Clean Science (CLEAN)

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To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai - 400 001
Scrip Code: 543318Clean Science and Technology Limited
innovotion of work
National Stock Exchange of India Limited
Exchange Plaza,Plot no. C/I,
G Block, Bandra-Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN
Dear Sir/Madam
Subject: Transcript of conference call on the Company's QlFY22-23 Earnings.
Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations"
2015 ("Listing Regulations")
Further to our letter dated 20.07 .2022 and in terms of Regulation 30 read with Schedule III - Part A to the
Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Ql
FY22-23 Earnings held on 27th Ju|y,2022.
You are requested to take the same on record,
Thanking You.
For Clean Science and Technology Limited
IMahesh Kulkarni
Company Secretary
(Erstwhile known as Clean Science and Technology Private Limited)
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Clean Science and Technology Limited
Q1 FY2023 Results Conference Call

July 27, 202 2

MANAGEMENT : MR. SIDDHARTH SIKCHI - PROMOTER AND
EXECUTIVE DIRECTOR , CLEAN SCIENCE AND
TECHNOLOGY LIMITED
MR. PRATIK BORA - CHIEF FINANCIAL OFFICER ,
CLEAN SCIENCE AND TECHNOLOGY LIMITED

 Moderator: Ladies and gentleme n, good day and welcome to the Q1 FY23 Post Results Conference

Call of Clean Science and Technology, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questi ons after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Periwal from Axis Capital Limited. Thank you and over to you Mr. Periwal.

Ankur Periwal: Thank you Rochelle. Good evening friends and welcome to Clean Science and Technology Limited Q1 FY23 post result earnings call. The call will be initiated w ith a brief management discussion on the quarter performance, followed by an interactive Q&A session. Management team will be represented by Mr. Siddharth Sikchi, Promoter and Executive Director and Mr. Pratik Bora, Chief Financial Officer. Just before we begin a gentle reminder that, today's discussion may contain certain forward -looking statements and opinions with respect to the anticipated future performance of the company. Such forward -looking statements involve a number of known and unknown risks, unc ertainties and assumptions, which could cause actual results or events to differ materially from those expressed or employed by the forward -looking statements. With that, disclaimer, I'll hand it over to Siddharth for his opening remarks.

Siddharth Sikchi: Thank you Ankur. Good evening everyone. I am happy to connect with all of you again, to discuss the performance of company in Q1 FY23. It's an interesting moment for us as we have completed one year of our getting into the capital market, we would lik e to thank all of you and the investing community for the trust they have placed in us. And we will keep continuing with the hard work to create more value for our shareholders. I'll quickly brief you about the business environment. I mean the current global macro

environment
continues to be challenging both on geopolitical front as well as persistent inflation environment, which we are seeing around. Prices of key raw materials, energy and fuel costs were quite volatile even in the last quarte r. Despite of the persistent headwinds, we are happy that all our geographies and segments did extremely well. We had healthy growth on back of increased wallet share with our existing customers and gradual ramp up of new products, which were launched last year.

On financial highlights. One key highlight is that our revenue base has more than doubled over the last eight quarters from Q1 FY21 to Q1 FY23. Revenues for Q1 FY23 has reached INR 234 crore, which is a 60% growth over Q1 FY22 . On a year -on-year basis our exports grew by 40% and domestic revenues have more than doubled. The revenue mix remains at 65% export and 35% domestic. The EBITDA of company increased to INR 91 crore as against INR 71 crore, which is an increase of 28% yea r-on-year, but the margins were impacted as operating leverage benefits were largely negated by the inflation pressure across the key raw materials and energy costs, particularly in the form of coal.

On standalone basis, profit before tax at INR 94 crore and P AT of INR 70 crore grew by 30% and 29% respectively as compared to Q1 FY22. On consol idated basis PBT at INR 85 crore and PAT of INR 63 crore grew by 18% and 15% res pectively compared to Q1 FY22. Of course our balance sheet continues to be debt free with a cas h balance of about INR 280 odd crore.

On sales profile, the sales improvement was led by a combination of good volume growth and improved realizations across all segments. Performance chemicals continued to be the mainstay with the segment contributing 66% of our overall revenues. The pharma and agro intermediate's share increase d to 23% of revenues and FMCG contributed to about 10% of our revenues.

On capex front, in this quarter, we incurred a capex of about INR 23 crore. We have increased our capacit ies of our flagship products MEHQ and Guaiacol by 50% in the month of April. And the plants are now fully operational. We also aim to increase capacity of a new product called para benzoquinone by 50% in the coming month . The construction of our two new fa cilities is on track in our existing Unit -3. These would be used for production of our initial HALS series. And our aim is to commercialize them in H2 FY23, technicall y by December, we should be able to commercialize these plants.

 ESG remains as a priority at Clean Science and Technology. We are continuously implementing several sustainability initiatives across the organization. Our investments in renewable energy with a particular focus on solar power has helped us to reach a miles tone contribution of approximately 50% of our e lectrical energy consumption from renewable source. We strongly follow the 3R process reduce, recycle, reuse - across all our manufacturing units. Our initiatives on constantly optimizing plant processes has

helped us significantly reduce fresh water consumption. And we also target to bring down our GH G that is greenhouse gas emissions by another 5%. Under CSR the company focuses on major areas, such as education, vocational skills, environment, sustainabilit y, healthcare, and medical relief. We are making a significant progress in these areas and strive to actively contribute to social and economic development of the communities in which we operate.
On the outlook we expect stable revenue growth from our exis ting business lines and incremental growth from our new capacities . Macro concerns like geopolitical tensions, elevated raw material and power and fuel prices continue to remain short term ch

allenges. But as a company, we will continue to focus internally to further improve yields and operational efficiencies of our existing and newer businesses we get into. With our extremely strong R&D pipeline our endeavour is to continue de -risking our product portfolio and geographical presence. Thank you.
Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. Our first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: A couple of questions, first on the pharma intermediate, you have also an nounced in your opening speech that you're looking to increase the PBQ capacity by 50%. So that tells that the response has been good. How has been your initial response for TBHQ and PBQ?
Siddharth Sikchi: TBHQ of course it's a market which goes into food industry , as an antioxidant . Of course, validation with customers are ongoing and as being a food product, it'll take a little time. However, we are still able to run our capacity at about 30 -40% odd capacity. PBQ remains an agro chemical not into food segment and fortunately we have seen extremely strong demand because this product was only manufactur ed in China. Whereas the demand , I mean, we are catering to domestic customers . So with dollar touching ab out INR 80, I mean, that would help our domestic customers to look at us rather than considering China and we are trying to increase our wallet share with these existing customers in India and hence, the thought of doubling the c apacity by 50%.
Sanjesh Jain: So how much are we increasing from, 700 metric ton to 1,400 metric ton?
Siddharth Sikchi: This is for which product ?
Sanjesh Jain: PBQ.
Siddharth Sikchi: PBQ we are increasing from 500 tons to 1,000 tons.
Sanjesh Jain: Got it. Now the second question on the margin side, the phenol prices have been correcting. I know we get the benefit with the lag. Should we assume going forward the worst i s behind for the margin and with falling phenol prices, our margin should only improve sequentially over next three to four quarters, assuming that phenol prices keep correcting, obviously?
Siddharth Sikchi: Of course, what happens is Sanjesh, as you know, last two quarters or last six months, there was an extremely volatile environment and we were more concerned of getting material on time. So we have quite a bit of phenol lined up. I think we will end these old contracts because this comes wit h a lag, as you rightly mentioned, if the prices would have gone up further, these would have also helped us. So yes you are right. The prices are lowering, but we really want to see, because we saw this similar thing happening few months ago, where the pr ices went down a little bit, and then again, it went up with the energy prices going up, in Europe. So I am seeing these pr ices reduced just over the last few weeks. I think it is little premature to confirm that thes e prices will continue to be soft, but if these prices now go softer, then I think we can expect better numbers. Of course, we have to keep in mind that since we are entering new product segment, where
 we have to pass some benefit to our customers to get or start these validation process in that case, these will be a little drag because anytime you get into a new business line, you know, the yield efficiencies are not optimum. So these are a drag, but then over a few quarters, when these businesses als o become little mature then these numbers again, become a little bit better.
Sanjesh Jain: My last question on competition in MEHQ and Guaiacol within the domestic market, how should we see rising competitive intensity now that we are sitting on a very health

y
margin? When I compare to your peer, do you see a risk to your margin profile with competitive intensity increasing in our product of MEHQ and Guaiacol and BHA?
Siddharth Sikchi: So Sanjeshji , it is a very common perception that when somebody is making margins, other people have to look at that business. It is a very common perception in Indian environment. So we are always prepared for competition. Of course, fortunately, because

we are inventor of these pr ocesses, we have started these processes. So we are further continuing to improve our yield, our processes. We have proven our track record with existing customers over the past several years, both in pharma, as well as these monomer industries where we are supp lying. So I think of course competition is more than welcome , but I think we are on a very strong wicket, we have very large market share and we have proven customer track record over the past several years. And I think , we are quite prepared and ready for any new competition coming in.

Moderator: Our next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: I have a couple, first on the other income line, if yo u could please just help us understand the drivers of these, Forex gains and losses, that have been happening over the past few quarters. So what exactly drives it? How we should think about modeling it out, going forward?

Pratik Bora: So, in terms of forex, for the last four quarters, we have reported quarterly income of around INR 3 crore to INR 4 crore. This quarter, we reported a loss of INR 1.6 crore, basically the factor driving here is, whatever the outstanding contracts on the date of balance sheet, they get converted on the forward rate, for the book ed rate, less the forward rate on that particular day. So it's a mark -to-market which hits us. And again, I mean this time, it was negative because the rupee depreciation was almost 4 % during this quarter. So that's the reason, otherwise the usual income is INR 3 crore to INR 4 crore quarterly run rate.

Abhijit Akella: Okay. So, is it fair to conclude that, gradual and steady depreciation in the rupee is good for us, but sudden chang es are what impact us?

Pratik Bora: Absolutely. Because our Forex hedging policy is that in the immediate quarter, the hedging is almost close to 80%, 90% and in the further quarters the hedging goes down. So Q2 could be close to 60%. Q3 could be close t o 50% and hence, a sharp depreciation of rupee in a very short period of time. So it shows negative.

Siddharth Sikchi: Just to add here we are not in business of speculation of currency. Hence when a contract is made with a customer at say about INR 79. When we know the realizations are decided on a INR 79, we would, we tend to hedge that. It could go both ways, but we are, as I mentioned, we are not into speculation of currency. So we would book and this will be our trend even going forward.

Abhijit Ak ella: And, the second thing was just given some of these issues faced in Germany, where I believe we have some competitors based in that part of the world, but also some customers. Across your business portfolio, how would you think about the challenges a nd opportunities that are arising from that situation?

Siddharth Sikchi: See, the challenge always remains that Europe, if it gets into recession and people keep talking about that very heavily. And so could, I mean, United States as well, see these all economies are very related because I mean our biggest customer base is also in China, but China serves basically customers in Europe and Americas as well. So if there is a recession happening, it will impact, but also our competitors who are based out of Europe, would also be impact ed by the energy prices. So their manufacturing cost will

 keep on increasing. It’s a double edge sword and I think because we work in these global economies, these are some things which it is very difficult to predict today, but we w ill have to see how these things really culminate over the next few quarters.

Abhijit Akella: And, just one last thing from me, on the expansions of various products that are happening in terms of capacity, any timeline you could help us with in t erms of, by when you expect these t o reach full capacity utilization across, the major expansion projects?

Siddharth Sikchi: So the major expansion now happening in the HALS series, which I mentioned, we should expect to start commercial production by December, which is like four months from now. So these are two large segments, which, I mean, the segment overall is quite a large segment and these should start. And then of course the next further expansion will happen in the subsidiary, which is Clean Fino -Chem Limited, where the construction will start in about two months’ time from now. And we expect the commercial production to start in next year.

Abhijit Akella: And how about MEHQ and Guaiacol the 50% expansion also?

Siddharth Sikchi: That’s already started. I mentioned in my opening speech that the plan ts have already fully commercialized and operational now.

Abhijit Akella: Yes, I was asking about possible full utilization, by when would you expect that?

Siddharth S ikchi: We are right now running at 50%, 60% capacity utilization and we will keep increasing as and when we see the demand in these products.

Moderator: Our next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Per iwal: Siddharth just a couple of questions. So you did mention on the global slowdown being the key risk there. But just from given we are a large exporter to China, as well as Europe being a decent market for us, how has been the on ground sort of cost i nflation there given the sharp rise in natural gas? And I'm also talking more, not only from our existing product portfolio, but also from HALS portfolio, wherein BASF is a larger player there. So does it enhance our competitive positioning, versus the glo bal players and hence possibly a faster ramp up there?

Siddharth Sikchi: So of course I think, if you're competing today with a European producer , because they are going through a ver y high energy c ost, which was not anticipated. They are under a lot of pressure and they have been increasing prices across all their product segment. And I know BASF has indeed announced price hike in these HALS series of segments. So of course we shall be getting benefit of that price increase because BASF still commands the prices of these products. So all in all, it is a good point for us that these prices will be at elevated levels when we are able to start. And secondly, I think because of these disruptions in supplies from Europe, not because of just sea freight, but also because of these energy prices, the customer base, which is based out of India would be more than happy to have a source in India. So I think we should have good advantage . And of course that is the whole point that we are trying to be as quick as possible so that we are able to get in these, it is a sweet spot for us. And if we're able to get in it at this time, I mean, the validation across the customer base should be little quicker than anticipated.

Ankur Periwal: Sure. And secondly, from a pricing strategy perspective, earlier we had focused on gaining more volumetric share there and hence rela tively lower price hike for us, even in an inflationary scenario when phenol was sort of going up. Now with European gas effective cost of production being higher, and your positioning now, how should one look at the price pass through now, you

will contin ue to work on those prices only what they were earlier to grab more market share, or there could be a mean reversion there as well?

Siddharth Sikchi: No, I think we will not increase prices for sure, because we are seeing that our customers are also not able to , ultimately I have to see if my customer is able to absorb these costs. It's not only about what am I thinking about my competition, because these are, again, times when I don't want to really exploit my customers. And as Sanjesh asked, how do you defend yourself with new competitors coming in? I mean, these are the times where we need to prove to our customers that we are loyal suppli ers and we are not opportunist ,

 we are here to play the long gam e. So I don't think we are in this thought of increasing prices. We are making decent margins. So we would always be able to raise prices I mean, but we will not raise prices. We'll try and gain customer confidence because of the ongoing competitive environment, which we will see in the coming few quarters in India.

Moderator: Our next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: My first question is, you mentioned that we have abou t INR 280 crore of cash. And if I recollect correctly, this year and next year put together, we have a CapEx plan of about say INR 250 odd crore, given that we have and we are generating very good profits as well, this quarter was about INR 60 crore plus. So are there any incremental opportunities which we are looking at organic or inorganic space? And, what is your view in terms of utilizing this, significant amount of cash in the books?

Pratik Bora: So, of course, as a prudent policy, we always want to have a one year profit with us. I mean, it gives us quite a bit of comfort, but barring that, of course we have increased our R&D strength from 50 people to 70 odd people. We are looking at a lot of intermediates in pharma and agro as a great opportunity movi ng forward. I'm talking about HALS that's a big segment, but we are also trying to get into some interesting pharma intermediates, which were not made in India so far, some, monomer industry, different products, which have not been made in India before. So some of these products will also go online , we'll start commercializing these , so all this will need more CapEx. So all this will be there. And of course, with new products in pipeline, new th ings coming up, we might need this cash, in our new subsidiary going forward.

Rohit Nagraj: Got it. Second question is, in terms of the pricing, you mentioned, quite elaborately, but in terms of contracts, if I recollect, clearly, after Q2 results, you had mentioned that, you did not increase the price, last year Q2 results you did not increase the prices because normally the contracts are on a yearly basis and they will get renewed. So this year also based on the last year's cost increase, we have renew ed the contract from January and if the phenol or the raw material prices subsequently come down, probably, we will be able to get the benefit. Obviously we are not increasing the prices as you clearly stated but the other way round?

Siddharth Sikchi: No, of course these are running contracts . See the running contracts, whether the price

goes up or goes down, we are locked in. So of course, wherever there are running
contracts, we will get a benefit i f the phenol prices further starts going down, which is
absolutely a taken. But I also mentioned that if we start getting new inquiries, th is is
where I mentioned that I would not want to increase price because if I can myself see that
the raw price trend is moving downwards, then we would need a ver

y solid reason to
justify it to my customer, why am I increasing price? And this is not a valid reason saying
that the costing of energy has increased in Europe and my competitor cannot offer. So I'm
increasing price, you know what I mea n?
Rohit Nagraj: Got it. Yes, that's quite fair. Just a clarification on this, how much of our total revenues
are contracted on a yearly basis in percentage terms?
Pratik Bora: Around 30%.
Siddharth Sikchi: Yes, 25%, 30%.
Rohit Nagraj: Right. And just one last question, we have seen about 60%, Y -o-Y growth, top line
growth, how much of it was from volumes and how much because of the price increase?
Siddhart h Sikchi: Yes. Actually, it was mix of both volume and realizations and you'd agree, I mean, on Y -
o-Y basis, last year, the raw material prices were also soft. So there has been a realization
contribution also.
Rohit Nagraj: Right. If you could quantif y maybe 50% -50% or 40% -60%?
Pratik Bora: No, for competitive reasons, we don't want to share volume and realization data.
 Rohit Nagraj: No worries.
Moderator: Our next question is from the line of Krishan Parwani from JM Financial. Please go
ahead.
Krishan Parwani: I have just one question, sir. Since you would be commercializing HALS, my
understanding is you could also sell the N minus 1 or N minus 2 products of HALS. So
do you have any plans to do so or not at the moment?
Siddharth Sikchi: Of course we will s ell. First, if you look at it, say for instance, HALS is a domestic
market right now, if we're able to sell all of our forward integrated product the end
product, then of cour se we will not sell the intermediates, but tomorrow I realize that the
end product, which is 770 is not selling as quicker as I had anticipated and we are able to
make the intermediate of higher capacity, then we would want to sell that out of India.
Anyways there is no producer of HALS in India. So we'll have to only export it. So we'll
do that.
Krishan Parwani: Okay.
Siddharth Sikchi: I mean there is no point in closing a plant when I can make a product out it and sale
right?
Krishan Parwani: No, but I think, that probably one is TEMPO -OH, which can be used as an antioxidant as
well right?
Siddharth Sikchi: Right.
Krishan Parwani: Or rather than sometimes probably, it's just one of the seven categories of products. So
that's why I was wondering because, that itself can be used as a final product maybe, so
that was my question.
Siddharth Sikchi: Yes. 4 -hydroxy Tempo is an end product. It is a stabilizer for, polymerization inhibitor, it
also goes into water treatment chemicals. So definitely we will sale, so we are coming up
with two products.
Krishan Parwani: Okay.
Siddharth Sikchi: And of course the N minus 1, apart from these two products are also sellable.
Moderator: Our next question is from the line of Jay Shah fro m PMS. Please go ahead.
Jay Shah: I just wanted an overview on the business side, basically, since we just said that there's a
lot of tailwinds and demand coming from the pharma and agro intermediates, I wanted to
know, is this, I mean, how wa s the nature of the business? Is it like a two -sided
development when people are coming for you even for, you know, specialty
intermediates that are also not produced in India, or these are just maybe normal demands
for the products that, these are availab le with you? So like, what's the nature of the
participants, I mean, the customers that are coming to you are they innovators slash the
guys who make the APIs or they make the?
Siddharth Sikchi: No, we are not selling to any innovator. These are pharma p roducts, which we sell to API
producers in India, some o

f our products, which are not made in India before. So we are,
China plus one strategy types. And of course we export a major chunk where we are
competing with some European brands.
Moderator: Our next question is from the line of Keshav Kumar from RakSan Investors. Please go

ahead.
Keshav Kumar: Are we seeing any demand pressure signs in China due to the on and off lockdowns over there?
 Siddharth Sikchi: Not really. I mean, last quarter or two quart ers were really difficult t imes, I mean, China , there were zero COVID policies . They were trying to do, they closed so many ports, but we were able to find alternative ports. We were able to still cater to their needs. Of course it was not an easy game to sell, but the demand was never slowed now, honestly, and that is why you see these numbers right.
Keshav Kumar: Yes. Great sir. Sir secondly, a bit of a shot in the dark, I wanted to have a view on potential risks that can arise you to AI/ML driven catalytic discovery in the medium to long-term, because I'm seeing increasingly the publications are coming in the space and the value proposition is pretty much evident from how we've grown ourselves. So do you see it as a risk or are you yourself also thinking on the lines of having a multifaceted team with scientists and data scientists together, something like that?
Siddharth Sikchi: I have not understood your question, but I'm trying to answer. I mean, of cou rse we are trying to, we have a lot of good scientists and we are increasing our strength in R&D because we are seeing a lot of demand, a lot of request of products to be made for lot of our existing and newer customers. So we are trying to address all of those.
Keshav Kumar: Sir basically what I'm trying to get to is that, do you see eventually what the technological progress we have, getting easier to be exploited by somebody due to just the technology being there because of, AI/ML ?
Siddharth Sikchi: Okay. See, I'll tell you, this is quite common in India, as you might know. I mean, people try to po ach people and you can see that happening very, very often in Indian industry, but, innovators I mean, we've inve nted these processes, we understand the knack of it. We understand the problem zones in this. We have been catering to these set of customers. It's not easy, but I think for us, it is better to focus on our business, understand where we can go with all these, what we have, try and increase our product basket and keep becoming better in our own game. So other competition will keep on coming.
Keshav Kumar: Yes, absolutely.
Moderator: Our next question is from the li ne of Shubham Thorat from Perpetual Investment Advisors. Please go ahead.
Shubham Thorat: So I have two questions before that one clarification. So you mentioned that, your PBQ facility is going to be doubled from 500 tons to 1000 tons. So, can you tell me by when it is going to be commercialized? I'm sorry if I missed that part.
Siddharth Sikchi: I think in the next one quarter for PBQ yes, in about three to four months' time, we will be able to double the capacity.
Shubham Thorat: So my question is that, can you provide the raw material prices outlook for the coming quarters?
Siddharth Sikchi: See, phenol is one of our very key raw material, I mean it corresponds to about 50% of our overall raw material and which is majorly imported, and of course produced within India also, and we have covered it for a significant portion of this quarter. So I think going forward, if we are seeing also a downtrend in phenol p ricing, if this continues, then I think, we'll see in the quarter three and quarter four where the pr

ices will come down I
mean, based on crude oil prices.
Shubham Thorat: Second question is that, you mentioned that there is a capacity addition in R&D department. My question is that, you mentioned you have added capacity, added new scientists in your R&D department. So is there any product in pipeline for coming future?
Siddharth Sikchi: Of course if there is product in pipeline that is why we are add ing people in R&D right.
Shubham Thorat: So I was looking for, a specific name. Is there, can you provide specific names?
Siddharth Sikchi: These are again in our current existing segments, performance chemicals, pharma agro intermediates, FMCG I mea n, these are, our universe right , specialty chemicals. So we'll move around in the same segment.
 Moderator: Our next question is from the line of Avinash Gupta an Individual Investor. Please go ahead.
Avinash Gupta: I am just trying to understand and have a view on what kind of margins we can expect going forward, because continuously we are seeing a decline in the margins? Now on one hand you're saying that you are the innovator, you have got a lot of advantages in improving the quality, improving the productivity and other things, but on the other hand you are saying that, we don't want to be seen opportunistic and we want to use the current

advantage to gain the customer confidence. So I was really wondering where are we heading to I mean what kind margins we should model in?

Siddharth Sikchi: So I'm not going to give any absolute number to this question. You have to really understand that while running a business I don't look at one quarter or two quarters. I look at the business from three to five year horizon, number one. Number two, you have to understand that when we are adding new products, you cannot expect these margins. So when new products are added, you have to give little leverage to customers so that they try and validate you. So these also impact margins because otherwise you can never come up with any new products. So if you sum all of it, you can see what numbers we have presented to you.

Pratik Bora: Avinashji just to add that new product s have now started contributing almost 15% to our top line. So it's a good product diversification, which is happening here.

Avinash Gupta: The new products are contributing 50% of your turnover?

Pratik Bora: 15%, one five.

Avinash Gupta: Okay. So that means whenever you're going to do this , a new product, we have some drag on the margins for some time?

Siddharth Sikchi: Obviously. Yes.

Moderator: Our next question is from the line of Sujit Lodha from Birla Sun Life Insurance. Please go ahead.

Sujit Lodha: Sir first question would be regarding MEHQ market share, where are we now and where were we say a year back?

Siddharth Sikchi: Earlier we were about 50% -52% probably , today we are more than 60%, 65% maybe.

Sujit Lodha: Okay. Sir and secondly, just a small thing, on the R&D side, what is the current cost for the R&D team as such?

Pratik Bora: Around INR 3 crore.

Sujit Lodha: Around INR 3 crore for the 70 people you said.

Siddharth Sikchi: No right now, we are about 40, 45 people. We are in the process to add another 20 people, but of course, I mean, our levels would be simila r to these levels only. I mean, nobody is like exuberantly expensive or something of that sort.

Moderator: Our next question is from the line of Bala Murli Krishna. Please go ahead.

Bala Murli Krishna: Regarding this new capacity additions, what kind of revenue we can expect in upcomin g quarter from the new additions? From the new capacity additions, which you had on last quarter and which you are g

oing to be done this quarter. So what kind of incremental revenue we can expect from these capacity additions?

Siddharth Sikchi: No, we d on't want to put a number guidance, but qualitatively speaking I mean, we have added the capacities of flagship products by around 50%, so we are optimistic of our revenue growth, but we don't want to put a number to this.

Moderator: Our next question i s from the line of Saurav Tendulkar an Individual Investor. Please go ahead.

Saurav Tendulkar: So I just wanted to ask about this HALS series. So have you got all the EC clearances and everything is in order for launching this new product?

Pratik Bora : EC is not for a product it's for a land parcel.

Siddharth Sikchi: And we have it for our existing Unit -3, where these two lines are going to commission by December and for the new company, which is Clean Fino -Chem, we expect the ECs to come in the next quarter or so, or maybe two quarters.

Saurav Tendulkar: Okay. Sir because on the environmental clearance website, I can see on the name of this Clean Fino -Chem, TOR is granted. So I just wanted to ask about it.

Siddharth Sikch i: Right so once the TOR is granted, then I think we have to physically meet the committee and if they have any concerns or questions, we have to answer them, then the final EC is granted.

Moderator: Our next question is from the line of Kaushal Kedia a n Individual Investor. Please go ahead.

Kaushal Kedia: Sir, sorry, I got dropped off in the call in the middle. What is the volume growth?

Siddharth Sikchi: Kaushalji, it's for competitive reasons that we don't want to share volume and realization data, but I mean, just to give you a directional view, there has been a volume and realization growth across the products in fact q uarter -on-quarter basis also .

Kaushal Kedia: And sir with the current run rate that you've done, can we assume you can touch IN R 1,000 crore of top line this year?

Siddharth Sikchi: No, we are guiding at about 25%, 30% growth over the last year.

Kaushal Kedia: Then the last year, same quarter, because of COVID lockdown, it was subdued, right so won't you also compensate for that?

Pratik Bora: No, no last year same quarter, we had a robust growth.

Siddharth Sikchi: There was no subdued or anything. I mean, we came into essentials and we were able to run all our facilities. There were no issues whatsoever.
Moderator: Our next question is from the line of Manu T , a Retail Investor. Please go ahead.
Analyst: Sir my question is actually say at any point right, with the plans that we have new products, as well as we are commissioning new areas, right? So what will be the maximum percentage contribution from the new products and also like at what rate those products will grow? As we know like this is 25% to 30% that we are guiding for the existing one for the new products what will be the range that you are asking sir?
Siddharth Sikchi: The range is, I mean, as we come up with these new lines, of course, as the market picks up and as we are approved by our customer segments, this is how the gr owth will come in the quarters . So, I mean, if you are setting u p, if you are going to invest, how much are we putting in HALS?
Pratik Bora: Yes. So the asset turns for the new products could be in the range of 2.5 to 2.7 times .
Analyst: Okay. So what is the current plan sir what will be the maximu m contribution of the new products at any point like say FY23 end full year?
Pratik Bora: So in the range of 15% to 20%.
 Analyst: Okay. Alright. Sir current utilization rate sir like across at the ballpark eye level, what's the utilization rate?
Pratik Bora: For performance segment it's 65% for the other two segments it is in the range of 75%.
Siddharth Sikchi: So average is 70%.
Analyst: So there is more room to add more clients as well with the current capacity and in future, we are adding m ore capacities as well. So there's a lot of leg room for us to add more clients, is my understanding correct sir?
Siddharth Sikchi: Yes. In both existing and newer product segments.
Moderator: Our next question is from the line of Dharmil Shah from Marcel lus. Please go ahead.
Dharmil Shah: So first one was on the capacity addition for MEHQ and Guaiacol. Would it be fair to assume that total capacity for the company would be somewhere around 24,000 metric tons or somewhere in that range?
Siddharth Sikch i: I think we are not talking o n prod uct wise basis capacities.
Dharmil Shah: Okay and the second question was on the competition getting into this product. So particularly, Vinati Organics has announced that they would be getting into MEH Q and Guaiacol via the same route that the Clean Science follows.
Siddharth Sikchi: Right.
Dharmil Shah: Although the margins for them would be lower, but, if we think about it, the customer would be willing to have two customers to diversify their sup ply base. So would it in any way impact our, demand for Clean Science?
Siddharth Sikchi: See I think it is a little premature statement now. I mean, somebody has announced to commercialize but t o come in the market , to validate the products, to get into the customers. I mean, it's a game in itself and by th at time, we would have further become better in our existing business line , we would have added newer capacities. So I think it's still premature just on an announcement to get into too much details. I think we will closely watch and see how things roll up.
Dharmil Shah: Okay. Got it. And just any earlier in one of the conference calls, you had mentioned that you are working on the product called phenothiazine , any update on that sir?
Siddharth Sikchi: Actually we are working but I mean, we are still stuck with the right form of the product. So I think, we have still not been able to successfully devise the right form. We are still working on it. We've not like totally lost hope, but, it's difficult. I mean , you can imagine if there are only two companies globally making that right form, I mean three companies globally and no one in China and of course nobody is in India. So there is some trick to the game. We are trying our best, but let's see where it goes.
Moderator: Our last question is from the line of Anthony Joy, an Individual Investor. Please go ahead.
Anthony Joy: I just want to know, with your suppliers, how long is your co ntract the minimum as well as the maximum period?
Siddharth Sikchi: It depends from quarterly to half monthly, somewhere even annual. So the supplier contracts also differ from product to product country to country, supplier to supplier, there is a lot of variety to it. So it's very, I mean, I would have to give a very generalized answer to that.
Moderator: Ladies and gentlemen, I now hand the conference over to the management for closing comments. Please go ahead.

 Siddharth Sikchi: So thank you so much for all of you to attend our earnings call and I hope I have been able to satisfy all your questions. If there are any further questions you can email us and we'll try and answer as suitably as we can. Thank you again and lo oking forward to your sup

port in the coming quarters as well. Thank you so much.

Moderator: Thank you very much members of the management team and Mr. Periwal. Ladies and gentlemen on behalf of Axis Capital Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2022

28.10.2022
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra-Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN

Dear Sir/Madam

Subject: Transcript of conference call on the Company's Q2 FY22-23 Earnings .

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations. 2015 ("Listing Regulations")

Further to our letter dated 18.10.2022 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q2 FY22-23 Earnings held on 20th October, 2022.

You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Mahesh Kulkarni
Company Secretary

"Clean Science and Technology Limited
Q2 FY 23 Earnings Conference Call"
October 20, 2022

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND
E XECUTIVE DIRECTOR – CLEAN SCIENCE AND
T ECHNOLOGY LIMITED
M R. PRATIK BORA – CHIEF FINANCIAL OFFICER –
CLEAN SCIENCE AND TECHNOLOGY LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL

Clean Science and Technology Limited
October 20, 2022

Moderator: Ladies and gentlemen, good day, and welcome to the Clean Science and Technology Limited Q2 FY '23 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Periwal from Axis Capital. Thank you, and over to you, Mr. Periwal.
Ankur Periwal: Yes. Thank you, Tanvi. Good evening, everyone, and welcome to Clean Science and Technology Limited Q2 and H1 FY '23 post results earnings call. The call will be initiated with a brief management discussion on the quarterly performance, followed by an interactive Q&A session. Management team will be represented by Mr. Siddharth Sikchi, Promoter and Executive Director, and Mr. Pratik Bora, Chief Financial Officer. Over to you, Siddharth, for your initial comments.
Siddharth Sikchi: Thanks, Ankur. Thanks a lot. So good evening, everyone, and thank you for taking time out to understand our results. I am very happy to inform you all that on September 26, we have conducted Bhumi Pujan for our new 34-acre land parcel, which will be housed in our subsidiary, Clean Fino-Chem Limited. With around 300 people already working at this site, the construction activity has started fully and hopefully we'll commercialize the first phase of plants by December '23. For this first phase, we are anticipating an investment of about INR 300-odd crores, which will be all made through internal accruals. Also, we had earlier communicated that our facilities for HALS 701 and 770 in Unit 3 will begin in half H2 FY '23. And I'm happy to share that all facilities are near to completion, and we expect to start commercial production by November end. So about a month's time from now.
Let me give you a little financial highlights. Our revenue growth has continued as all our geographies and segments reported healthy growth. Revenues from Q2 FY '23 was INR 248 crores, which is an increase of 62% as compared to Q2 FY '22. Exports revenue grew 63%, and domestic revenues grew 57% on a Y-o-Y basis. Revenues mix was 75% export and 25% domestic, as it always had been. The key raw materials, energy and fuel costs continue to remain volatile and a mixed bag because of prices of some of the raw materials are still marginally reduced, while prices of some are still at peak.
Input prices are still higher compared to last year. Despite of that, our EBITDA increased to INR 98 crores as against INR 69 crores as an increase of 42% on a Y-o-Y basis. Our margins were impacted largely due to continued inflationary pressures across raw material power and fuel cost. The profit before tax is at INR 92 crores and PAT at INR 68 crores, which grew by 29% and

28%, respectively, as compared to Q2 FY '22. Balance sheet, of course, continues to be debt-free with a cash balance of about INR 235-odd crores.
Our capacity utilization has improved due to which our net fixed asset turnover reached approximately 3x compared to 2.3x in March '22. So this has resulted in improved return ratios, particularly ROCEs. For H1 FY '23 versus H1 FY '22, sales improvement was led by a combination of good volume growth and improved realizations across all segments. For H1 FY '23, performance chemicals, pharma, agro and FMCG chemicals contributed 67%, 20% and 11%, respectively, to revenues.
On CapEx, we have incurred a CapEx of INR 62 crores during H1 FY '23 with majority of this going towards our new plant for HALS in Unit 3. We have made further investment in our subsidiary Clean

Fino-Chem of about INR 65 crores during H1 FY '23.
ESG is one of the most prominent factors of this company. And we, as a company, are fully committed to sustainability and continuously implement several initiatives across the organization. In line with our commitment, we have purchased additional land for setting up an open access solar power plant of 5-megawatt capacity. It is expected to be operational by end of this fiscal. Currently, approximately 55% of our electrical energy consumption is from renewable sources. We strongly follow the 3R process: Reduce, recycle, reuse. We are continuously upgrading our facilities and investing in various technologies across our manufacturing units that are energy-efficient and helping resource recycling.
Our initiatives on constantly optimizing plant processes has helped us significantly reduce water consumption and emissions. Under CSR, our core focus areas still remain as education, environment, sustainability and health care. Our initiatives have significantly benefited and uplifted the surrounding communities.

Our basic outlook, macro concerns like geopolitical tensions, elevated power and fuel prices still continue to remain as a short-term challenge. But with our new sites, new series of products, strong R&D pipeline, we will continue to focus on diversifying our product portfolio and geographical presence while simultaneously improving yields and operational efficiencies. Thank you so much from my side, and we can open now for questions and answers.
Moderator: We will now begin for the question-and-answer-session. Anyone who wishes to ask a question, may press * and 1 on your touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. To ask a question you may enter star and one The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: A couple from my side, a couple of them. First, on the HALS series. Now that we are very close to start the commercial production, can you help us understand what is the competitive advantage that we have built in this business like we have in MEHQ in terms of innovative production process. We are fully backward integrated. Similarly, can you help us understand what is the winning mantra for us in HALS series?
Siddharth Sikchi: Absolutely. So Sanjesh, thank you so much for your question. The first is, so we are, like MEHQ and Guaiacol, we are fully backward integrated in the manufacturing of HALS. We will be one of the very few companies which will be starting from the basic raw materials, which is acetone and ammonia.
All the catalyst which is needed for these processes will be developed totally in-house and this unit 3 will be the first time when this series will be introduced in India. One of the very big advantages of course, with dollar inching towards 83 types, this HALS 770 is majorly imported into India, majorly, the players are BASF, Suqian in China, SI Group in Europe and with the dollar becoming INR 83, it will be more attractive for buyers within India to buy from us. And of course, for buyers who are importing these products have to pay an additional 8% custom duty which, in our case, will also be an additional advantage to us.
Sanjesh Jain: Siddharth, I got the process point, but I don't think I agree with you on currency because if it is coming from China, China has depreciated, Yuan has depreciated more than India. That way, I don't think we have that advantage. You may revisit at that. But that's my limited point on that. But I got your point that we are fully backward integrated, plus we are having a unique -- is this process unique for us, like what we do in MEHQ a

nd Guaiacol?
Siddharth Sikchi: No. So see, typically, the HALS series is derived out of two main raw materials, which are called Triacetonamine and Tetramethyl Piperidinol. These two raw materials have to be made from acetone and ammonia. So basically, there's a triphasic reaction where we have developed a very unique process and a catalyst which is very unique.
Our yields and efficiencies are quite competent. But of course, I would not understand what Chinese or BASF has at the moment, but looking at the prices, I think our process and yields are quite unique. And of course, as and when the plant commercializes and as and when we move on, there will be further optimization of our process like we have done with MEHQ and Guaiacol. Sanjesh, as you already know, that MEHQ and Guaiacol also was not a day one highly profitable product. You cannot start with a 50% margin product at any given point of time. These margins buildup happen over the period of time.
However, in MEHQ and Guaiacol, we were late because we started the production of raw material like Anisole later on, and then we started getting into forward and backward integration. But in HALS, because of our understanding, we are starting with the key raw materials, with

acetone and ammonia day one. And you should also understand that nobody in India has been able to ever been successful in this chemistry, and we were the first ones to get into this zone.
Sanjesh Jain: Fantastic. I think I'm more than clear on this. Great, Siddharth. Second, on the margin side, I thought raw material prices have corrected quite a bit and that is still not reflecting in our margin. Is that we were carrying inventory, there were some inventory losses. Is there anything unusual here that we should see in the margin because we are still at 39% margin.
When you started, it was upwards of 50%. One, I understand that there is an increase in the top line because of the inflation. So that optically reduces the margins. Can you help us understand, on a like-to-like basis, how far are we from the previous high margins?

Siddharth Sikchi : See, now what happens is, Sanjesh, is that of course, if you compare the COVID year, see that was one of the very unique years, which we should not really take into consideration because those were the times when phenol was 1/4th or 1/3rd of what it is today. Phenol is still at about INR 100, INR 110, which otherwise phenol, on a regular basis, is about a INR 70 to INR 80 kilo product. However, during COVID times, phenol has fallen to as low as INR 40 as much contracts were continuing even in COVID year.
So that COVID year is a very unusual year, which we should not really take into consideration. However, what is also happening is as we are growing our new lines, as we are expanding our -- foraying into newer products, so there is not super margins to begin within these products like TBHQ, para benzoquinone. So in this case or in this product, like DCC also, we have to be aligned to our customers, giving them service and giving them the most competitive price for us to first enter into these businesses.
And that is why if you see our asset turn has now started improving because all these facilities are now started production, and now we are reaching these scales. And I mean still, we are at a very low level, but I think in the next two years, we are really hoping that these numbers should also improve.
Sanjesh Jain: So for now because we are starting new facilities, there is new product launches. The margins should stabilize at this level or you expect some more correction before you start moving up again.
Siddharth Sikchi: So see, the margins, now once we start HALS, we are now a growing company. If you really look at our ROCEs, what we are now assuring is that our ROCEs will be upward of 50%. If you see at these current H2 numbers, our ROCE

is at about 54-odd percent. So this will continue,
new plants will come up, which will give lower margins. There will be old plants, which will run at optimum capacities. So this is a mix. And in a growing organization, this will always happen because we want to keep growing. Now if we grew at about 64% or 62% on a year-on-

year basis. So we are going to come up with new facilities, see, there will be new complexities. I'm not saying that Chinese are going to just be there. I'm sure they would also play around. They might want to reduce prices. And we have to deal with it. And that is how the competition is going to play around. Nobody is going to just give me very easily. But we have to compete only on technology, which we are very focused about on a longer-term perspective.
Sanjesh Jain: Got it. I have two more questions, if you allow me. Yes. One is on China. We saw last quarter, it was one of those of lockdown, but I think that lockdown is still around. Is it cautious choice of diversifying more and limiting the sales there or you do see that bottleneck has really gone off and we are still willing to completely normalize the sales in China?
Siddharth Sikchi: Sorry. I have not understood your question. Can you please repeat?
Sanjesh Jain: China segment, we used 40% earlier, right? 40% of our exports is to be China.
Siddharth Sikchi: Absolutely.
Sanjesh Jain: Now it is 32%, right? And last quarter you made a comment, it came to 32% because of the lockdown and the various other impacts.
Siddharth Sikchi: Right.
Sanjesh Jain: Even in this quarter, I think we are at the same level, right? 32%. It has not shown improvement while China has come out of the lockdown. My question is, it is a cautious choice by the company to see that we diversify more into a non-Chinese market or China market has still not normalized. So what's happening on the China side?
Siddharth Sikchi: Two things. I mean now what is happening is that newer products which are coming, which are not currently being exported to China. Now when this HALS series come up, it will be predominantly Indian business to begin with. So what will happen, this 32%, maybe in the next two, three quarters, will further reduce. And that will...
Sanjesh Jain: Got it. It's a mix change which is impacting the geographical mix, and this will only be in favor of more India now going onwards?
Siddharth Sikchi: I mean this HALS 770 is very Indian-focused. But when our subsidiary starts, again, we will have a very big export opportunity. So this switch will keep happening. But yes, now the concentration, what it used to happen is, again people used to look at us as a very 2-product or a 3-product company, with this is HALS coming in. It is going to open up a variety of chemistries, a variety of markets, variety of segments which we'll be entering. We are kind of de risking ourselves from our flagship products.

Sanjesh Jain: Okay. One last question. Now I'm taking from what you said in the previous answer. What is this INR 300 crores aligned to? I mean, what other products are we planning up in this subsidiary? Will it have MEHQ, Guaiacol or it will be a completely new set of products?
Siddharth Sikchi: All new. See, Clean Fino-Chem Ltd., because it's a new facility, it's a 34-acre facility. First INR 100-odd crores is only going into building, common facilities like a utility block, an admin block, QC block and R&D block and an ETP facility, overall landscaping. The next INR 200 crore is all going into building these HALS facilities. Now what happens is after this HALS, when we are coming up with a new product, then the expense or the CapEx is only going into building that particular plant, which will be far lower than doing the entire facility again.
Sanjesh Jain: Okay. And tha

t entire INR 200 crores will be HALS?
Siddharth Sikchi: HALS is a series. So the number, see 770 will further expand 770, 622, 944, 119, 2020 and blends. So this will have the entire series of the product.
Sanjesh Jain: No, because we haven't launched the product while we are already planning a very big expansion. Are we very confident of having HALS a very successful portfolio for us? Will that be a right assumption?
Siddharth Sikchi: The business sir, if I have to take chances, right.
Sanjesh Jain: No, I completely agree. Its calculated risk, right. I know you would know, you would have talked to certain customers, you would have sent samples, you would have done checks before taking such a big decision, right? So I just wanted to understand what is giving you this confidence? I'm not doubting it. I'm not doubting it. I completely agree that entrepreneur has to take up the risk. I'm talking -- you have taken a calculated risk. What is giving you that confidence?
Siddharth Sikchi: See, number one is 770 and 701, these two products will start in November. Our next facilities are really going to start after a year. So this one year we are going to learn a lot about this business. We are going to understand the nuances of this business which we can incorporate going forward.
And the advantage -- in this is if you just make one product like 770, our overall big distributor or a big customer is not really keen to look at you because he's buying seven products more from BASF or Chinese or whoever. If you have the entire basket, you become more interesting as a strategic player. So series is the best thing to do and also these chemistries are very complicated. So because we have mastered this chemistry, it's good to get into this, and we can get the first-mover advantage being located in India. People are all talking about China plus one. And if the Europe energy crisis continue, we are in a very beautiful, sweet spot. So I don't want to lose out

on waiting for two years and see how the market pans out. And the best part is it is all from internal accrual. We can take a little bit more risk compared to leveraging our balance sheet.
Moderator: We have the next question from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: So continuing with HALS, how power-intensive are these products? Or does it vary from a different product within the HALS series?
Siddharth Sikchi: See, HALS series already, there are products which are two steps, there are more which are seven steps. The more the number of steps, the more is the power and energy utilizing each step. So a product like 944 or a 200 will be far more power intensive compared to a 770.
Ankur Periwal: Fair enough. And will it be fair to presume that higher the number of steps, higher the complexity and higher the margins on that product?
Siddharth Sikchi: And higher the margins, of course. So like if a smaller 770 is about $7, and 2020 is $20 to $22.
Ankur Periwal: Okay. Now the relevant question and where I was coming from was, now given the energy crisis in Europe and where BASF is the largest, probably the most of the manufacturing of HALS is also done there, does it also open up a big market for you even from a price competitiveness perspective?
Siddharth Sikchi: Absolutely. I mean, secondly, as I mentioned, the dollar also turning INR 83, INR 84, plus the biggest thing what happened is even see these master batches, for instance, these customers are also -- some are small, some are large. With us being in India, people can now have just in time. Whereas when compared to Europe or China, where they have to maintain stocks beforehand because of the complexity of the geopolitical tension and the sea freight which was also a very big issue. So this will give us a very big advantage because we are very strategically located.
Ankur Periwal: Sure. But

the initial ramp-up of 770 and other products will be India-focused. And then probably with the new capacity coming in, let's say, 12 months out, the focus will be probably equally in India as well as abroad. Is that a fair assumption?
Siddharth Sikchi: Yes, absolutely. Some of the products are very big in Europe and North America.

Ankur Periwal: Sure. And the distribution network to reach all these clients will be similar to what we are or work has already been in progress for abroad?
Siddharth Sikchi: Work is already in progress. Some would be new, some would be old. So it all depends on how interested they are. And once we launch this, then it will give a lot of confidence also to distributors to -- because when you're only talking that product will come after two years, the

interest is very low. When you tell them okay, one has come, few are coming along the line, that gives them a lot of interest.
Ankur Periwal: On the demand outlook side, given the slowdown that you are seeing in Europe and probably even China. How are things on the ground across our existing as well as maybe HALS as a product range?
Siddharth Sikchi: I think Q3 would be a little soft...
Moderator: Sorry to interrupt you. Sir, we have lost. Sorry, sir. You'll have to repeat the answer because we lost your audio in between.
Siddharth Sikchi: Okay. See Q3 is always a little softer because everybody in US, Europe, China, they are managing their inventory. So all the orders become slow, plus the holiday seasons in this country. So the demand again rises up in Q4. So this is a very general trend we have seen over the past several years.
Ankur Periwal: Okay. Fair enough. Another question on the competitive intensity. I recollect you again mentioning that you have not been as aggressive in terms of passing to the RM inflation and try to focus more on the market share gains. How will be the pricing gap now? And have we taken any pricing increase now?
Siddharth Sikchi: See, now the new contracts will start happening in the month of November, a little bit in October, some in November. And now what is happening is people are also getting cautious because the prices of raw material everybody sees will come down. Freight prices have come down already. So everybody is a little cautious of booking the next year. So we are also trying to see how all this is going to happen, plus the currency movement has happened dramatically over the past four to six weeks' time.
Ankur Periwal: So, when the industry will be moving more towards shorter-term contracts rather than longer term given the volatility?
Siddharth Sikchi: I don't know that. Some will be still a longer-term contract but today, what I have seen the flavor is people are looking at a half yearly contract and what has happened is over the past two years, people feel that it is better to do half yearly or quarterly rather than the complete annual contract. Some are still doing contracts on annual, but there is still a discussion going around it.
Ankur Periwal: Okay. Fair enough. And just last one, if I may, on the margin front here. So, the Q-on-Q improvement that we are seeing in the gross margin, is it largely a function of revenue mix here or some bit of pricing benefit?

Siddharth Sikchi: So it is mix of both. I will let Pratik answer this on minor detail.
Pratik Bora: Yes. So Ankur, there are three factors playing here. First is a product mix. Second is also the realizations have improved across four flagship products, which is MEHQ, Guaiacol, BHA and 4-MAP. And third is of course, we have also got benefited from the softer raw material prices.
Ankur Periwal: Okay. Sure enough. And given the pricing trend being downward, probably this number should be a basis going ahead?
Pratik Bora: It depends on the pro

duct mix also. As we mentioned that Q3, we are also launching a couple of new products, so what percentage of revenues they form that will also have a bearing on the margin.
Moderator: Thank you. Participants if you wish to ask questions, please enter star and one. The next question is from the line of Sher Shah from Capital BMS. Please go ahead.
Sher Shah: Congratulations for a very good set of numbers. I just wanted to know that how do we first, when we are looking for a product or a new chemistry, what is the process that the team generally follows? Do we look at the industry and maybe the export/input data and customer requirement? Like, what are the factors that help you decide on a particular chemistry or a particular product?
Siddharth Sikchi: So this is a very generalized question, and the answer is it really depends on chemistry. It depends on market situation. It depends on import, statistics and a variety of factors where we decide what products we have to work on.
Sher Shah: Okay. And so for that, then apart from HALS, can you tell us that what are the some other

chemistries or not obviously products but what are some chemistries that we are looking at or maybe there…
Siddharth Sikchi: We are looking at interesting agro intermediates and also expanding our performance chemical base.
Sher Shah: Okay. So when you say agri intermediaries, is it because there is a lot of China plus 1 and Europe plus 1 playing out that is helping us at the income traction? Is that why one of the reasons that we are focusing on that particular segment? Or is it that we see good void that we can fill up because of..
Siddharth Sikchi: Any Europe plus 1 strategy, I don't understand Europe plus 1 strategy but what I'm looking at is these are some of the molecules, which would drive growth on a longer-term sustainable basis.

Sher Shah: Okay. And this is basically because most of our capacities are fungible is why, what helps us attain the sustainability in this molecule?
Siddharth Sikchi: No, we don't have any fungible capacities. We are generally, we like to have dedicated plants for dedicated products and that is how the phenomena will be going forward as well.
Moderator: Thank you. Participants if you wish to ask questions, please enter star and one. The next question is from the line of Samir Gilani, individual investor. Please go ahead.
Samir Gilani: Hi, Siddharth! Siddharth, my question is more to do on your comments last time you made on PBQ. You had mentioned we were at 30 tonnes, 40 tonnes a month, where on that product, if you could maybe give us some indication there? And is it fair to assume that over the course of time, we would probably be able to serve the entire import of this product for India?
Siddharth Sikchi: So we have expanded the capacity. We've doubled the capacities to about 70 tonnes to 80 tonnes a month and I think Indian demand is closer to 70 tonnes to 80 tonnes a month, but of course, the switch does not happen easily. People still want to keep Chinese as a second source. So that switch and that confidence for these customers will take over the period of time, so as and when the confidence starts building, as and when the customer gets more and more confident about our supply position, that is the time when we will see 70% of the switch happening to us. It will never be 100% switch. Because no purchaser likes to depend on any company on a 100% basis.
Samir Gilani Yes. Fair enough. But is it fair to assume that we will be able to charge close to $30 on that product even as we scale up? Or we are going to get a lower product price for that?
Siddharth Sikchi: See, PBQ is a product which is dependent on raw material prices. Now these raw material prices have come down. So the PBQ prices will also come down. So the prices which were at about $30 today is about $16, and we are following the mar

ket trend.
Samir Gilani: Fair. Is it fair to assume, Siddharth, that once PBQ scales up, I mean now, let's say, when the customers take the offtake, we should probably clock INR 100 crores, INR 150 crores from this product?
Siddharth Sikchi: Not, INR 150 crores, but approximately, now it is not a $30 product, if you assume it safely $15 into 70 tonnes, whatever that number is, would be the safe assumption on that product.
Moderator: Thank you. Reminder to all the participants, if you wish to ask a question, please enter star and one on your phone now. The next question is from the line of Anurag Patil from Roha Asset Managers. Please go ahead.
Anurag Patil: For this INR 300 crores CapEx, what can be the typical asset turns?

Siddharth Sikchi: Typically, we are 2.7 to 3 is the asset turn.
Moderator: Thank you, very much. We have the next question from the line of Sujit Lodha from Birla Sun Life Insurance. Please go ahead.
Sujit Lodha: Sir, just one question regarding this new facility where you've done a bhoomi poojan, which has been recently started work. What proportion of the land will be used for this HALS capacity? The CapEx you are expecting about INR 300 crores, what percentage of the land will be used for that?
Siddharth Sikchi: See, I think the overall facility can have about 11 plants, 12 plants, HALS will be about less than 4 plants, 5 plants so we still have a lot of space for growth.
Sujit Lodha: Okay. So roughly about 1/3rd of the land would be used for this?
Siddharth Sikchi: Yes. You can easily assume that, but only advantage now is after we have done the initial groundwork, the next plant will come in less than nine months or 10 months' time frame. So the ramp-up will be far quicker for the new facilities or the new product side.
Sujit Lodha: Is there a problem from my side? I'm not able to hear.

Moderator: Yes, probably. You can call back from an alternate number because we were able to hear the management. Sure. In the meanwhile, we'll move to the next question from the line of Mukul Jain, individual investor. Please go ahead.

Mukul Jain: I'm sorry, if my question is very basic. The company has catalyst technology, and my worry is ensure the company would also be worried, what if these technologies leak outside? So basically, what precautions the management have taken to protect this technology? Who have access to this technology? Are there a scientist or the management or something inside if you would give on this?

Siddharth Sikchi: Basically, these are very-very complicated technologies, building catalysts. We are fully backward integrated, forward integrated. The chemicals, some of the chemicals still come in coded form and it is customer acquisition. Some of the validation of each product sometimes take close to 3 years, 4 years. This is a very long-drawn process, and we have been able to reach here in 17 years. It's not very easy for somebody to just copy these technologies.

Mukul Jain: Yes. Right, sir. But maybe others won't be able to copy, but somebody from inside might leak them, is it possible something like this?

Siddharth Sikchi: There is anything possible, but the chances are quite remote because not one person is aware of entire portfolio of products. Like a person who is working in catalyst division would not know what is happening on plant scale. Or person using the catalyst does not know what is happening with the regeneration of catalyst. The person who is working on one of the line is not aware of how the raw material is being produced. So, there is a variety of things happening. So it is not easy for a set of people to just pass on these technologies.

Moderator: Thank you. Participants if you wish to ask questions, please enter star and one. As there are no further questions, I woul

d now like to hand the conference -- sorry, we do have two questions in the queue now. We have Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is, as you mentioned that we have optimized the process for our flagship products over a period of time. So how much time do we expect to optimize our HALS series in terms of -- optimal level of margins over a two year period, three year period? Thank you.

Siddharth Sikchi: So typically, how it happens is year one, where typically -- validation happen, customer has to understand and understand our product. So the first year is typically a little slower compared to the balance. The first year would be a 20% to 30% capacity utilization. I mean, in case of HALS, we are expecting a little bit more higher and then the ramp-up happens over the period of time.

Rohit Nagraj: Right. So maybe by second year end or early third year, we'll be able to have optimum utilization? And that time, the margins will reflect the correct picture?

Siddharth Sikchi: Absolutely.

Rohit Nagraj: Right. And second thing is for the -- your set of products. Normally, what is the benchmark that we are using? So is it like import substitute? Some kind of a return profile or a margin profile that we are looking at?

Siddharth Sikchi: We first look at very interesting chemistry. We want to be in segments where there are not too many people. So we like that space and of course, we are into a particular segment like a performance chemical or in intermediaries for pharma and agro. So we like to stick to this space and stick to chemistries, where we can make some impact and make some better margins than our competitors.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishanchandra Parwani: I have just one question about the HALS global tonnage. So, I remember, I think you told, I think, in the last call that 770, it's about a 2,000 tonne import in India. So, could you please help us with global tonnages of 701 and 770, if you have it handy?

Siddharth Sikchi: Typically, I think the import of 770 is close to 3,000 tonnes in India. That installed capacity is 2,000 tonnes. So there is a big headroom and for us to supply only retail market.

Krishanchandra Parwani: Okay. And the global tonnages, do you have it handy for that?

Siddharth Sikchi: Globally, I think, I don't have handy, but I can tell you that these products are upwards of 12,000 tonne to 13,000 tonne capacity. Overall HALS, as a segment, is a 1.2 billion market, and growing at about 7% to 8% each year.

Krishanchandra Parwani: Yes. Understood. And I think one last follow-up, if I may. So on this 770, 701, who would be our customers domestically? I mean, just to understand the usage would be like, let's say...

Siddharth Sikchi: 770 would be companies like Plastiblends, Alok Industries who are into master batches. And for 701, it would be customers who will be using it for, say, water treatment chemical like a GE or Suez chemicals. So these are some of the customers we would have and also, 701 has some pharma usage.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Siddharth Sikchi: So, thank you so much for taking time out. And I would want to wish all our listeners a very-very happy Diwali and a safe Diwali. And thank you so much from my side.

Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

08.02.2023
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra-Kurla Complex Bandra (E), Mumbai - 400 051
Trading Symbol: CLEAN

Dear Sir/Madam
Subject : Transcript of conference call on the Company's Q3 FY22-23 Earnings .

Ref.: Regulation 30 of the SEBI (Listing Obligat ions and Disclosure Requirements) Regulations.
2015 ("Listing Regulations")
Further to our letter dated 27.01.2023 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclo sed herewith the transcript of c onference call on the Company's Q3 FY22-23 Earnings held on 2
nd February,2023.
You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Mahesh Kulkarni Company Secretary

Clean Science and Technology Limited
Q3 FY2023 Results Conference Call
February 02 , 202 3

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND EXECUTIVE DIRECTOR – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. PRATIK BORA – CHIEF FINANCIAL OFFICER – CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Clean Science and Technology Limited Q3 FY23 Results Conference Call, hosted b y Axis Capital Limited. As a reminder all participant lines will be in the listen -only mode and there will be opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an oper ator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Periwal from Axis Capital. Thank you, and over to you, sir.

Ankur Periwal: Yes. Thanks, Susan, and good evening, everyone, and welcome to Clean Science and Technology Limited's Q3 FY 23 post results earnings call. The call will be initiated with a brief management discussion on the quarterly and 9 months performance followed by an interactive Q&A session. Ma nagement team will be represented by Mr. Siddharth Sikchi, Promoter and Executive Director, and Mr. Pratik Bora, Chief Financial Officer.

A general reminder that today's discussion may contain certain forward -looking statements and opinions with respect t o the anticipated future performance of the company. Such forward -looking statements involve a number of known and unknown risks, uncertainties and assumptions which could cause actual results or events to differ materially from those expressed or implied by the forward -looking statements. With that disclaimer upfront, I'll hand it over to Siddharth for his initial comments. Over to you, Siddharth.

Siddharth Sikchi: Thank you, Ankur. So good afternoon, everyone. We are happy to share our Q3 FY23 results. Let me begin by sharing this news that our manufacturing pla nts for HALS 701 and 770 in our Unit 3 got commercialized in early December. Now the product is streamlined. We have also sent commercial samples to customers within India, and we are glad that we have received our maiden order for HALS in this month of January. We are also very happy to announce that we are the only and the first Indian company to have commercialized this technology in India. As usual, we ha d committed to some timelines , and we hav e been very close to these timelines . Some key financial highli ghts for this quarter. I'm very happy to announce that we have recorded our highest ever quarterly profit after tax. We have recorded milestone of first quarterly PBT, which is more than INR 10 0 crores . This is the second quarter, I mean, quarter 2 as well as quarter 3, where margin improvement s have been seen. Also, I'm very pleased to announce that this is the first time we have announced interim dividend after our listing. Also, the ROCE stan ds at a very healthy number of 53.6% and I'm happy to say that o ur 9-month FY 23 revenue stands at about INR 719 crores, which is 5% more than our full year revenue of FY 22.

Our year -on-year revenue growth continues across all geographies and segments. Re venues for Q3 touche d INR 237 crores which is an increase of 31% as compared to Q3 FY 22. Exports have risen by 38% and domestic revenues have grown by 17% on a year -on-year basis. Our key raw materials, energy and fuel costs, have corrected a little bit, a nd that is the reason you see these numbers returning. EBITDA increased to INR 108 crores as against INR 76 crores, which is a 42% rise on a year -on-year basis and PBT at INR 112 crores and PAT of INR 84 crores grew by 44% and 45%, res pectively, as compare d to Q3 FY 22.

The balance sheet continues to be debt -free with cash balance of approximately INR 280 crores. For 9 -month FY23 versus 9 -month FY 22, the sales improvement was led by a combination of good volume growth and improved realizations across all pro ducts. Nine -month year -o

n-year

revenue growth is 50%. For this 9 -month FY 23, performance chemicals , pharma and agro intermediates and FMCG chemicals contribute to 68%, 19% and 11%, respectively, to the revenues. Revenue mix stands at 72% export and 28% dom estic. Contribution from our new product is now increasing steadily and currently stands at about 10%.

On capex, we have incurred a capex of INR 105 c rores during the 9 months of FY 23, with majority going towards our new plants for HALS in Unit 3 and upgradation of our existing equipment for efficiency improvement. And as always, the capex is done through internal accruals. Construction activity at our fully owned subsidiary Clean Fino -Chem Limited is on track and various activities in this regard like site lay out, initial civil construction and activities are progressing quite well.

In terms of key organizational announcement, I would like to welcome our new CFO, Mr. Sanjay on board. He has a vast experience of 35 -plus years in finance domain and is a valuable addition to the Clean Science team. Pratik Bora continues to be a key member and will oversee functions of strategy and corporate finance in his new role as Vice President Corporate Finance. In view of the new products that are under development or that are in pipeline to launch, we have also added strength to our sales and business development team. Our current R&D team stand at approximately 80 people, and it is further due to grow in the coming years.

The company is fully committed to sustain ability and continuously implement several initiatives across the organization. We are continuously upgrading our facilities and investing in various new technologies across all our manufacturing units, which helped us to increase our energy efficiency and improve our focus on 3R, which is reduce, recycler and reuse. Our initiatives have helped us significantly to reduce water energy consumption and also reduce our emissions. We are committed to continually implement globally benchmark ESG practices. On CSR , our focus still remains on education, environment, sustainability and health care.

With our new series of products and a strong R&D pipeline, we continue to focus on diversifying our product portfolio and geographical presence . Our existing market segment continues to be robust and introduction of HALS will further contribute to the Performance Chemicals segment. We expect contribution to increase in FY '24 and onwards. And that's all from my side.
Moderator: The first question is from the line of Sanjesh from ICICI Securities.
Sanjesh: A couple of them from my side. First, on the China side, I think China has opened up finally. We have a very large exposure to China almost 35% of our revenue, and which has sort of underperforme d in last 2 years for the obvious reasons. Do you think China open up can add tailwinds to our growth beyond the existing product expansion and the new product expansion? Will China opening up help in terms of driving faster revenue growth in that geograph y? China has underperformed growth if you see in geographies, right?

Siddharth Sikchi: So Sanjesh, over the past few years, I mean, last 2 years, we did not have any stoppage or reduction in business in China. In fact, I feel that maybe with China opening up with full swing could only help us to increase our business in China.
Sanjesh: Yes, that was the pr ecise reason. Do you think that could add to the growth in China opening up and sourcing more .
Siddharth Sikchi: It shall add to the growth.
Sanjesh: Got it. Second, on the pharma piece, I think we added in the course of last 1 year. As the growth in pharma looks likely underwhelming, any particular reason or any particular product which is causing the drag on the pharma growth?
Siddharth Sikchi: Pharma bus iness in itself is a little slow as t

he market is under slowdown and one of the key agro intermediate became quite slow in this year. So we saw quit e a reduction in the volume of PBQ but I am expecting post March, these increase in volumes to restart again .
Sanjesh: Got it. S o basically, it's largely PBQ.
Siddharth Sikchi: Largely PBQ , which is a new product.
Sanjesh: And Guaiacol and DCC continues to do well.
Siddharth Sikchi: Yes, because Guaiacol is a core product and we have to sell it to the exten t we produce it and which we are able to sell quite well. I mean that's not a big issue for us.
Sanjesh: Okay. Got it. The next question is on the sequential revenue growth. There was a decline of 4%, while the gross profit has improved by 3%. Is it fair to ass ume that some of the reduction in the raw material prices have been passed on, and hence, there is a decline in the sequential revenue and volumes have grown, right?
Siddharth Sikchi: Absolutely, yes. You are right. Where ver there is spot business, where w e have to adjust the prices, do the adjustment in the lowering of raw material prices.
Sanjesh: Why I'm asking this question is last quarter, you said that you would want the margins to stabilize at 39%, 40% in this quarter, which was already half a quarte r into this quarter, and we are at 45% margin. In half a quarter that looks like slightly stretched. Were you surprised or it's more mathematical where you have passed on the margins? How have been your EBITDA per if you want to assess that? Is there an im provement even in that?
Siddharth Sikchi: I don't think we can share the EBITDA prod uct-wise or segment -wise.
Sanjesh: I'm not asking for number. I'm more willing to look at that trend.
Pratik: So Sanjesh, just to add here, there have been 3 major factors which have contributed to EBITDA margin. The first factor, as you rightly pointed out, the raw material cost, which is corrected to the tune of close to 17% to 18% between our flagship raw materials . And the end product prices have largely remained steady. The second key factor is the power and fuel cost. So you'll see

almost a 2% improvement there. And the third factor has also been on a year -on-year basis, if you see now we are at a very large revenue base, close to INR 240 crores a quarter. And our fixed cost is now getting absorbed over this larger revenue base. So of course, there are benefits of operating leverage, which are playing around.
Sanjesh: Got it. Now coming to the other expenses, which has declined, this is purely because of the reduction in the power cost and the freight cost because I thought we have started commercializing HALS , so some of the costs would have come from the commercialization of the plant where it has decreased 15% quarter -on-quarter. Is there any one -off or it is steady st ate.
Pratik: No. So in other expense, there is no one -off. So a couple of things have played on power and fuel cost. The coal pricing has come down from INR 13 to INR 11 per kg. So we saw a delta of close to INR 2.5 crores Beside there was a small refund o f coal cess which has also benefited us. So that has led to a moderation in other expense costs. But apart from that, there is no one -

off.
Sanjesh: Because it has come down from INR 47 crores to INR 39.5 crores, there's a delta of INR 7 crores to INR 8 cro res, you did mention about INR 2 crores from the coal. Other INR 5 crores benefit is coming from?
Pratik: Q2 to Q3, yes. So basically, there are 3 big ticket items, power and fuel cost. Second is repair and maintenance. And the third is other expenses put together, where there is, of course, a CSR component as well.
Sanjesh: Okay. So there is no forex gain or anything.
Pratik: So the forex gains sits in other income, not in other expenses. So either gain or loss recorded in other income line item.
Sanjesh: So the i

ncrease in other income. This is a follow -on. This increase in the other income from INR 2.8 crores to INR 12.6 crores is what that explains?
Pratik: Yes. So in other income, INR 1 2.5 crores, there are 2 heads to it. First is the regular treasury income and the forex income, which is INR 4.5 cr ores plus INR 2.7 crores, i.e. INR 7.2 crores. And the balance INR 5 crores is coming from disposal of noncore asset and some coal cess refund which we have received this quarter.
Sanjesh: Got it. I got all the clarification on the bookkeeping, but I have a few strategic questions, but I will come back in the queue.
Moderator: The next question is from the line of Arun Prasath from Avendus Spark
Arun Prasath: Siddharth, if we take your 2 major products, MEHQ and BHA. How much room you have to grow volumes from the current levels without the need to put additional capacity. Some ballpark numbers will be helpful.
Siddharth Sikchi: So here, I think we have increased our capacity by 50% in the month of April. And of course, we had anticipated that this capacity in itself will take care for 2 years of our needs. But we were

able to commercialize and the market was able to absorb all of this maybe also because of the European energy crisis. But I feel that our MEHQ a nd Guaiacol because these are core products of each other should grow at typically 5% to 6%, and maybe not for now but m aybe after a year or so, I would be able to exactly comment on whether a newer facility will be needed or not. At the moment, it is a li ttle difficult to confirm on this point.
Arun Prasath: This 5% to 6% growth is on the category level, right?
Siddharth Sikchi: On the industry level.
Arun Prasath: So, your growth should be much higher if you are gaining market share?
Siddharth Sikchi: Yes, we will grow above the industry rate . See after a point, it will become very difficult to grow market share, and i t will only lead to price revision because we will have to lower the prices to get additional market share. So we feel that new growth will come from our new segments of product, which is the HALS segment, which we have commercialized and also the new products like PBQ, TBHQ and othe r pharma and agro intermediates.
Arun Prasath: All rig ht. And regarding the HQ prices. Do you see any softening of the prices? Do you see any early indication of some softening in this year?
Siddharth Sikchi: Already revised, they have started revising. I mean, it ha d gone to $13, and today, it i s slightly above $7. And I expect these prices can also further revi se a little bit more. Because conventionally, HQ is about $5.5 to $6 product
Arun Prasath: Right. So if we are going back to that kind of a pricing , how much MEHQ supply can come from your competition? Because then it becomes very attractive for the competition to come back into this market, isn't it?
Siddharth Sikchi: Again, see HQ, when they convert it into MEHQ, they also get additional product called PDM B which now the market has reduced to substantially lower level. I mean there is availab ility but no offtake. So that product has to be monitored and addressed before making the main pro duct. And plus, of course, the e ffluent s are always there. And what happens is for products or additives like o ur performance chemical like MEHQ, my customer prefers steady supply. They don't like on and off of supplies because these are very important additives for them. So if somebody can restart an MEHQ facility, and if I am able to offer them, they would still want to buy from me because we have a sustainable proc ess and we do not have these on and off and no t dependent on just a raw material called HQ.
Arun Prasath: So, whatever you have gained market share because of the closure of the HQ based players. So you are confident you will be able to maintain th

at and s ustain it.
Moderator: Yes. 100%.
Arun Prasath: Right. That's very helpful. My last question is on HALS. I thi nk you have reiterated the time. So can we expect the ramp -up in next 6 months? Is it the right assumption at this point of time?

Siddharth Sikchi: Because now we have commercialized , the samples have started flowing to the customers. People have approved, we have got some maiden order. So I'm very hopeful that in the next 6 months, 770 will be well entrenched in the market.
Arun Prasath: Okay. Typically, for this isn't the approval process longer than, say, a couple of years. Why for us especially for H ALS, it's a very short period.
Siddharth Sikchi: Advantage of HALS is, first of all, this is a major ly Indian business. Typically, India is a very price -sensitive market. As compared to MEHQ or BHA , the market is out of India, like Europe, US, Japan, where the timelines are far higher to approve a vendor. But these markets, which go into master batches is a very price -sensitive market, plus t hese products are not going into food products, where approvals are far higher as in a cosmetic or food industry, the process is far higher compared to a master batch. We are going to first target Indian market, which is price sensitive. So the import is a bout 3,000 to 3,500 ton s, and I am only targeting 30% of only the Indian market share, which is a very doable number.
Arun Prasath: Okay , and the price of 770 is sustaining at the level that you anticipated last year?
Siddharth Sikchi: Because the raw mate rial prices have c ome down, the prices have come down, about $6, $6.5, and we are able to maintain that. That's not an issue.
Arun Prasath: Okay. And then initially, like do w e have to take a price cut to full capacity.
Siddharth Sikchi: I need to make it attractive for a customer so that he has the ability to shift from an existing vendor. And fortunately, because it is overseas vendor, so there is always an inclination to buy in India because of just in time, also, we can supply them as per their needs. They don't have to keep stock in their factories. So all those advantages we offer plus the import duty of 8%. So all those benefits they get when they approve us in their system.
Arun Prasath: Okay. So what kind of utilization we can expe ct on the 770 and 701 by the end of, say, next year?
Siddharth Sikchi: We should expect at least 50% to 60% of capacity utilization for sure. Because by December, our other line of HALS will begin. So in the next 6 to 9 months, my target is to touch about 1,000 tons of sales minim um. I mean 100 tons per month type.
Arun Prasath: That's a very, very aggressive number, isn't it?
Siddharth Sikchi: Well, at least we keep some good margin. I mean, we should h ave some higher targets, and so at least the target, w e should sell 100 tons a month, say, by October, November. And let's see, I mean, I think it is possible . Let's see how it goes on.
Moderator: The next question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: So just two questions there . One on HALS. I recollect you earlier mentioning that we had already cracked a couple of products at lab -scale scale, and you were looking to scale them up. Two of them are already sort of commercialized. So first question, what are the timelines that one should look at in terms of launching of new HALS products? And secondly, from a revenue ramp -up

or a product approval perspective, will it or will the sharper sort of revenue ramp -up in HALS products will come only when we have, let's say, a portfolio of maybe 7, 8 products which makes an impressive offering from a client perspective? Or it is slow and gradually and it will keep on adding up? How should we look at that?
S

iddharth Sikchi: 1 question at a time. So all HALS are now successfully developed, whi ch commercialize by December including 622, 944, 119, 2020, etc. So between December 2023 and March 2024, all these products will come online. So that is answering your first question.
Second question is Indian market does not buy all of it. So they buy majorly 770 and then buy majorly 944. So today, when I'm starting with 770, the whole reason of starting 770 is that India does not need all these products. Because these all go in different segments , India chooses 770 more than other HALS in their process. So 770 in Indian market or Indian perspective does not have any implication if I have other products in the basket or not. But when I start with 770, I develop confidence of customer by December. So when a new capacity comes in, they are convinced that even the other HALS , we will be able to supply them with good quality that they are using currently and we are actually a sustainable source for them.
Ankur Periwal: Sure. On the international market, how sh ould one look at the ramp -up of the product improvement.
Siddharth Sikchi: So international markets, we are already talking to some of the distributors. Of course, we can start by sending samples of 770 and telling the customers that see these other produc ts in pipeline are going to come in about 9 months' time, which is not a very long waiting period. I mean, by the time I give samples, by the time they approve it, they can see that in the next few months,

we will be ramping up the other facilities and pro ducts as well.
Ankur Periwal: Sure. And on the pricing -wise, competition here, since BASF is the largest one and there are respective power, gas -related issue there. How our pricing would be , how you'll be faring pricing of our products versus theirs? What could be the gap?
Siddharth Sikchi: I think we will have to offer at least 5% discount, 5% to 10% now where BASF is predominantly present. That is how a customer will get that boost. And plus with this whole energy issues, I'm sure even a European would w ant to look at Indian source because if the power , energy problem returns or whatever, they still need another non-EU supplier base that they can depend on and have two suppliers for this product.
Ankur Periwal: Sure. And on a backward integration side, an y thoughts there for HALS or it is still probably early days?
Siddharth Sikchi: No, no, we are fully backward integrated. We are starting from the basic raw material, acetone and ammonia. That is the whole beauty of this technology. These are catalytic tra nsformations, and we are starting from basic raw materials. I cannot make acetone and I cannot make ammonia. So I mean, these are the most commonly available commodity chemicals, which we're using to make the entire HALS series .
Moderator: We move on to the next question that is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: First, just on the revenues and volumes for this quarter, but there's been a modest decline in revenues on a quarter -on-quarter basis. Is this po ssibly to share the volume numbers on a quarter -on-quarter basis, like what the volume growth might have been and how much prices were down?
Pratik: Abhijit, we are not comfortable sharing the volume and pricing for individual products. But I think quarter -on-quarter, it's not a fair comparison here because Q3 is generally leaner period for us because anyway, the majority of the sales is coming from export market and because of general inventory destocking, exports are a little slower. So year -on-year comp arison would be a fair comparison.
Abhijit Akella: Okay. Got it. And as you mentioned previously, the EBITDA per kilo, our spreads would have actually improved because of the f

alling raw material prices. That's why the profit margins have picked up. Is that fair to interpret?
Pratik: Yes. And the correction in raw material prices has not transpired into correction in the end product prices. End product prices have largely remained steady.
Abhijit Akella: Got it. And 1 last thing. The presentation mentioned t hat about 10% of revenues have come from new products. Is it possible to just share some color on which of these have prominently contributed to this?
Siddharth Sikchi: So, these are TBHQ, PBQ and Veratrole. These are new oducts which we have started and which have contributed to 10%.
Moderator: The next question is from the line of Rohan Vora from Purnartha Investment Advisors Pvt Ltd.
Rohan Vora: So my question was partially answered when you answered an earlier question, but I would like to ask how do you look at the competition in India for MEHQ and Guaiacol specifically? Given that one of the player is coming up with the capacity in the next year?
Siddharth Sikchi: We will like to focus on our business rather not focus on wha t others are doing. I think this is how we would like to remain. And if competition comes, we think we are quite equipped to counter the new competition in this business.
Rohan Vora: Okay. But, would it have an impact on margin for a while or market share for a while or we would be able to maintain that?
Siddharth Sikchi: We'll be able to maintain. Let the competition first come in.
Moderator: The next question is from the line of Archit Joshi from B&K Securities.
Archit Joshi: Congrats on a good set of num bers. My question was on a comment that you made earlier that the Indian custo mers don't need the plethora of HALS, that we intend to manufacture in the future. So there's naturally going to be us looking at the export opportunity for HALS . So I just wante d to understand how the approach is going to be in terms of selling these newer HALS eventually which we will start manufacturing in our facilities later on. Because there is competition from global majors like BASF, and since this is again going to be a p roduct which

will have quite a bit of customer stickiness, how difficult or easy would it be to kind of grab market share from them. So just your thoughts on that.
Siddharth Sikchi: All the products which we have started in our earlier days of career have been manufactured by someone or the other. For instance, MEHQ, when we started, Solvay was a very, very dominant

player globally. However, over the year s, we were able to establish our footprint and increase our market share. However, those times and this time, the difference is today, we are quite mature in the market. We have distributors across the globe. We have customers whom we have known. So the penetration will not be as difficult as it was in those earlier days.
And the second important point is that as a purchaser, BASF is also quite, I mean, strict on their policies, where we, as a smaller player will be quite flexible, for instance, packaging. If a customer needs specific packaging, BASF would not do a specific packaging for a specific customer. But for a player like us, we will be able to do this. And that is how we will win over these customers compared to other bigger players and I'm not looking at a larger market share. Plus, the best part about HALS, is that the market itself is growing at ab out 10 -odd percent. So without too much of disturbing th ese big players of the game, we'll still be able to get a reasonable market share for us.
Archit Joshi: Understood, sir. Just 1 thing on the market that is growing a t 10%. I think in the past year , it was mentioned that size is about $ 1 billion market. And there's just some confusion I had with respect to the volumetric size of which you mentioned that it is about 12,000 in terms of v

olumes. But
if I do that it works to be like $90, $95 per kg sort of a product on a blended basis. Is there some discrepancy in my understanding? Is it that the 12,000, 13,000 tons that you're looking at is only specific to the product that you are manufacturing? Or the entire market is that big.
Siddharth Sikchi: The entir e HALS market, meaning adding all the global capacity stand s at $1 billion. I am just making some percentage of this. So hence, your assumption of calculating my volumes and dividing by $1 billion and arriving at $95 is not the right way.
Archit Joshi: Okay. sorry, I still couldn't get that. So the 12,000, 13,000 tons that we had spoken of earlier is specific to the products tha t we are going to manufacture.
Siddharth Sikchi: It is a combined capacity of all the HALS products we will be manufacturing . Meaning 770, 701, 119, 944, 2020 , etc.
Archit Joshi: Got it. Sir, I believe is it that the $1 billion market size is for all light stabilizes because I think there are UV stabilizes also or is it very specific.
Siddharth Sikchi: HALS is the major part. Actually, UV stabilizer is like very, very minor percentage in this entire HALS business. And these are called as UV absorbers . HALS are UV stabilizers.
Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.
Rohit Nagraj: Congrats on good set of numbers. My first question is in terms of capacity utilization across 3 segments. If you can just broadly tell us in Performance Chemicals, pharma and FMCG maybe excluding HALS, the capacity utilization by Q3 end.

Siddharth Sikchi: I think Performance Chemicals were 6 8%; pharma, agr o was 19%; and FMCG was about 11 %.
Pratik: No, sorry, a small correction there. These are revenue contribution numbers which were just mentioned. In terms of capacity utilization, Performance Chemicals is higher c lose to 75 -odd percent; followed by pharma, which is close to 65%; and FMCG Chemical is between 6 0% to 65%.
Rohit Nagraj: All right. And that excludes HALS because HALS started just now, right?
Pratik: HALS excluded
Rohit Nagraj: Sure. Second question is in terms of the capex that we're planning. So if you just can give us the details in terms of FY 23 capex and FY 24 capex in terms of different segments and what will be the amount?
Pratik: Yes. So, FY 24, in the parent company, th ere will be a small maintenance capex, but the majority of the capex will happen in the subsidiary company, which could be north of INR 150-odd crores.
Rohit Nagraj: Okay. So, it will be FY 23...
Pratik: FY '24.
Rohit Nagraj: Yes. FY '23 for the first 9 months, we have done 105...
Pratik: That is in parent company . And in subsidiary company, we have in fused INR 65 crores which is over and above INR 105 crores.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: So, I think on your comment that you made about during the quarter, raw material prices have come off, but the end product prices are holding stable. So sir, is this the nature of our product portfolio that are end product price are reasonably from a prici ng perspective? And I guess, in periods of raw material and it's totally impacted by the raw material volatility either way?
Siddharth Sikchi: So basically, the beauty of Pe rformance Chemical is such that, see there is a range which is stuck in the purchaser’s mind. So when the raw materials price increase steeply, they don't want to increase steeply. But even when the raw materials fall steeply, they are not looking for total correction. So that is the beauty of this business , that it is really very little price bound compared to the raw material volatility. Hence, in quarter 1 and the earlier quarters when the raw materials

were quite steeply high, we were not able to pass everything to

the customer, and which is why
our custom er base still remains intact to us.
Nitin Agarwal: Fair enough. So I guess, I mean, is it fair to assume that during the period or during a phase where if the raw materials stay reasonably benign, our gross margins reasonably strongly hold on as we've done in the past, barring in the last few quarters.
Siddharth Sikchi: Correct.

Nitin Agarwal: Yes. Okay. And then secondly on likewise similar question on your other expenses. Now in the current manufacturing network that we have are fixed costs around staff c osts and overheads are they largely in the base now? So whatever revenue growth that you will get incrementally of operating leverage on it?
Siddharth Sikchi: Absolutely, yes. Yes.
Moderator: The next question is from the line of Arun Prasath from Avendus Spark.
Arun Prasath: Siddharth, now that your R&D bandwidth is mostly free given that HALS has moved to the commercial stage and operations stage almost. Currently, how many products you are currently working on R&D side? And when we can expect the next ma jor announcement regarding the new products.
Siddharth Sikchi: So what we p refer is, I mean, going forward, when we are about to commission the facilities or when we are in mid -construction phases is when we would make the announcement, not make earlier an nouncements anymore.
Arun Prasath: Okay. So we will be only announcing once you have built a plant? Or is it like that?
Siddharth Sikchi: Yes. I mean we prefer doing that. I mean we do it rather than just make announcements.
Arun Prasath: Okay. Just as an indication, how many products are there in your pipeline at this point of time
Siddharth Sikchi: There would be more than 10 products at any given point of time.
Arun Prasath: And all these products are in the similar end categories or similar adjacencies or it's som ething away
Siddharth Sikchi: Some are in performance chemicals; some ar e in agro and pharma intermediates. So our sales remain quite focused. I mean, we are quite clear about the space we want to operate in. So we are quite sticking to this spa ce, and we like this space quite a bit. Also, v ery interesting products we are working on pilot scale and very soon, we will start working on the plant. So just after HALS commission s, there will be a line of interesting products coming up, too.
Arun Prasath: Okay. So this capex guidance of INR 150 crores includes th e plant for other products as well?
Siddharth Sikchi: So basically, when you start any greenfield, you have to start with everything together. I mean you need to build a common admin block; you need to build a common utility block . You need to build a common effluent treatment facility. So some of these facilities will be useful for any other plant we built. And next capex will only be pertaining to that manufacturing block, but not with ove rall site development.
Arun Prasath: Great. What I was asking is the new product that you said you'll launch after HALS, that already your con struction kind of underway.
Siddharth Sikchi: No. We want to first let HALS come to a decent size and scale becaus e I mean, we want to start this production by December or at least have commercial runs by December. So we don't want

to divert too much of attention into getting into something else right now. Because HALS in itself is a very large segment we are getting into. So once we reach a decent scale here, I mean, in terms of construction or something, then probably by March 24 end, we might start construction for our other facilities.
Moderator: The next question is from the line of Rohit Nagraj from Centrum Broki ng.
Rohit Nagraj: So you mentioned that we have strengthened our sales and development team along with

R&D.
So in terms of the staff cost expenses, would this be the trend going forward? I mean, increase in terms of inflation?
Siddharth Sikchi: Not too muc h, don't worry, our numbers are never going to be very flamboyant. And with the revenues growth coming in, it will be on similar levels. So don't worry about that.
Rohit Nagraj: Sure, sure. That's wonderful. Second thing, in terms of capex, just 1 clarific ation. On the subsidiary front, we mentioned about INR 150 crores of capex. And partly, this will go in terms of infrastructure and partly for creating capacities. So in this particular phase, how much amount of capex will go for capacity creation.
Pratik: Actually , the 150 crores will go towards this HALS products which we just mentioned. It will

go for these HALS products put together.
Moderator: The next question is from the line of Garvit Goyal from Invest Research .
Garvit Goyal : So just 1 question. Our company's product finds applications in various industries like pharma, agri, agro, et cetera. Can you please give me a brief outlook how the demand traction and things are happening there on how do you see them shaping up in the ne ar future?
Siddharth Sikchi: Let me answer your first question. The Performance Chemicals is looking quite robust. Same is the case with pharma. A little bit agro is down. So that is what I mentioned about PBQ . But all in all, it's a decent growth. So I do n't see too much negative around it.
Garvit Goyal: Okay. Sir, can you guide me the next 1- or 2-year outlook.
Siddharth Sikchi: We are not giving any forward -looking statement, sorry.
Moderator: The next question is from the line of Sanjesh from ICIC Secur ities.
Sanjesh: First, I wanted to understand our go -to-market strategy, particularly, you did elaborate on the domestic market. But can you similarly help us understand for the 701 and other products which we are targeting the international market. One, w hich are the applications which you think are low-hanging and would be very easy to tap? And number two, which are the geographies which you think there is an inherent demand and which fits very well in our portfolio. These are the first 2 questions.
Siddh arth Sikchi: I'll give you very broad view, Sanjesh. I cannot give you product -wise and market strategies and application and area -wise segment, etc.

Sanjesh: Broader strategy.
Siddharth Sikchi: Like our other products, we will have both channels, we will have direct customers, and we will have distributors for these products. Because European or American customers who prefer stock point, they would like to only buy through some distributor channels. And we have our existing distributors who are already int o additive businesses or Performance Chemical businesses who are quite equipped or understand these markets. So these will be our first point of contact, and the sales which we have made in the domestic market. So this is how broader market will look like.
Sanjesh: Got it. Second, again, a question on the HALS. You said that it's growing at 10%. It looks phenomenal considering that the global GDP is over 3%. What are the applications which is driving the HALS grow at such a rapid pace? Is there a new applic ations being developed. How should we see this 10% growth and would be very helpful if you can help us understand.
Siddharth Sikchi: Each product has a different application. And we will be able to send you across because these are 11 products which have d ifferent application s across different segments. So it will be very difficult to explain you on telephone call. You can get in touch with Pratik and he will send the details.
Moderator: Ladies and gentlemen, that is the last question. I now hand the conference over to the management for the closing comments.
Siddharth Sikchi: So I thank all of you for

taking time out to understand our results and to participate in the call and for the interesting question s. With this, I look forward to, again, getting in touch with all of you after our Q4 or FY 23 numbers. So thank you again, all of you, and thank you so much.
Moderator: Thank you. Ladies and gentlemen, on behalf of Axis Capital, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2023

23.05.2023
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort,
Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra-Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN

Subject: Transcript of conference call on the Company's Q4 and year ended 31st March, 2023 Earnings .

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations. 2015 ("Listing Regulations")

Dear Sir/Madam,
In terms of the referred Regulation 30 read with Schedule III - Part A to the Listing Regulations, we are enclosing herewith the transcript of conference call on the Company's Q4 and year ended 31st March, 2023 Earnings held on 18th May, 2023.

You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Mahesh Kulkarni
Company Secretary

Encl: as above

Clean Science and Technology Limited
Q4 FY 23 Earnings Conference Call
May 18 , 202 3

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND EXECUTIVE DIRECTOR – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CHIEF FINANCIAL OFFICER – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. PRATIK BORA – VICE PRESIDENT , FINANCE –

CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Clean Science and Technology Limited Q4 FY23 Earnings Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t he conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Periwal from Axis Capital Limited. Thank you, and over to you, Ankur.

Ankur Periwal: Yes. Thanks, Ryan. Good afternoon and welcome to Clean Science and Technology Limited's Q4 FY23 Conference Call. The call, as usual, will be initiated with a brief management discussion on the quarter and full year performance, followed by an interactive Q&A session. Management team will be represented by Mr. Siddharth Sikchi, Promoter and Executive Director; Mr. Sanjay Parnerkar, Chief Financial Officer; and Mr. Pratik Bora , Vice President, Finance. Over to you, Siddharth, for your initial comments.

Siddharth Sikchi: Thank you, Ankur and good evening, everyone. First of all, I would like to thank all of you for taking time out to attend our Earnings Call for FY 23. I am very happy to connect with all of you again to discuss the performance of our company in the financial year FY 23 and pleased to inform that it has been a very strong performance by the company, recording its highest -ever revenue, EBITDA, and PAT for a financial yea r amidst the global macro challenges and volatile raw material prices.

Also, as mentioned in the last call, our manufacturing plants for HALS , Hindered Amine light Stabilizers 701 and 770 that got commercialized in our Unit 3 in mid of November has stabilized and ramping up as per our scheduled time frame. We have received good response from the domestic markets and recorded our maiden sales in Q4 FY '23. We aim to increase our sales gradually in the coming months as we look forward to add new premiu m accounts in the domestic markets and make headway in the export market. Like most of our products, we are proud that HALS has been manufactured for the first time in India and Clean Science as of now is the only manufacturer of this product in Ind ia.

A little on financial highlights. This is the second consecutive year -on-year growth of more than 35% as total revenues recorded in FY '23 of INR 936 crores, increased by 37% over FY '22. As compared to FY '22 in FY '23, the exports revenue grew by 40% and do mestic revenue grew by 30%. Revenue mix was 72% export and 28% domestic.

EBITDA increased to INR 403 crores as against INR 300 crores, growth of 34% year -on-year. Input prices continue d to be volatile throughout the year, but moderated and stabilized in H2 FY '23, leading to strong margin recovery during this period. As a result, EBITDA margins at 4 4% remained stable at almost the same level as last year. PBT at INR 405 crores and PAT at INR 304 crores, both grew by 33% as compared to FY '22.

At INR 191 cro res, approximately, the company incurred the highest capex in a financial year in the history of the company. In spite of the capex undertaken during the year, our balance sheet continues to be debt-free with cash balance of approximately INR 300 crores.

CRISIL recently upgraded the company's long -term rating to CRISIL AA- Stable and reaffirmed the short -term rating to CRISIL A1+. For the year, our ROCE was 50% and RONW was 30%. Our commitment to dividend di stribution policy i s h

ighlighted by the fact that this was the first year, we announced an interim dividend of 200%. In addition to this, the Board has recommended a final dividend of 300% also.

For FY '23, sales improvement was led by a combination of good volume growth and improved realization across all products. For this year, Performance Chemical, Pharma & Agro, and FMCG Chemicals contributed 69%, 19% and 11%, respectively, to the revenues.

Derisking of revenue continues with the addition of new products and new customers. New products now contribut e to 9% of total revenues in FY '23 as compared to 4% in FY '22. Contribution from Americas and Europe region is also increasing steadily.

We have incurred capex of INR 191 crores during FY '23, with majority of this going towards our new plan ts for HALS i n Unit 3 and upgrading of our existing equipment for efficiency improvement. Of this INR 65 crores were invested in our subsidiary Clean Fino -Chem, CFCL,

and all capex continues to be incurred through our internal accruals only. The construction activity a t Clean Fino -Chem Limited is on track. Various activities in this regard like site layout, initial civil construction, and allied activities are progressing well.
Since inception, we as a company are fully committed to sustainability and continuously imple ment several initiatives across the organization. We are continuously upgrading our facilities and investing in various new technologies across all our manufacturing units that help us increase our energy efficiencies and improve our focus on 3Rs of reduce , recycle, and reuse. Our initiative has helped us significantly to reduce water, energy consumption, and emissions. We continue to increase our share of renewable energy. During the year, our third solar plant was capitalized with 5 -megawatt capacity, tak ing our total solar capacity to 17.4 megawatts. We are committed to continually implement globally benchmarked ESG practices and sustainability is an integral part of our strategy. Under CSR, our core focus area remains to promote education, environment su stainability, and health care.
With a new series of products and a strong R&D pipeline, we continue to focus on diversifying our product portfolio and expanding our geographical presence. HALS series and a couple of new interesting products are expected t o commercialize during the year, which will add to the existing product portfolio. We have implemented all our projects on time and are pretty confident that our new facility of CFCL will also be commercialized as committed. Our strong financials, strength ening product portfolio, automated manufacturing facilities, global capacities, focus on constant innovation and sustainability by applying clean chemistry provide us with a solid foundation to create a sustainable road map, enabling us to deliver consiste nt growth going forward. Thank you so much.

Moderator: Thank you. Our first question comes from the line of Sanjesh Jain with ICICI Securities. Please go ahead.
Sanjesh Jain: I got a few questions. First, on the capex , we did INR193 crores this year. I think majority of it will be in the Unit 3. Can you help us understand what is left for next two years in terms of capex in Unit 3 and Unit 4?
Pratik Bora: Yes, Sanjesh. Pratik, this side. In terms of capex in the parent company, th ere will be a very small maintenance capex . But in the subsidiary company, this year, the capex could be INR 180 odd crores and incremental capex will be announcing by Q3 or Q4 that will go for the next line of series of products.
Sanjesh Jain: Now this su bsidiary capex , it is in the Unit 4?
Pratik Bora: Unit 4. Unit 3 is in the parent company.
Sanjesh Jain: Okay. Got it. And this INR 180 crores will be largely towards ?
Pratik Bora: Yes. Majority of that will be incurred this year. This wi

ll be primarily towards HALS.
Siddharth Sikchi: Sanjesh, when we are implementing these capex , it is also for the site development, which helps us when future products come online.
Sanjesh Jain: So it includes utility, infra and all those things, plus the capacity?
Siddha rth Sikchi: The admin building. It includes the infrastructure, common ETP. It includes solvent storage tanks, the utility block like the boiler houses, the thermo plant, nitrogen plant. So it's the common infra, the overall site development, along with HA LS. So when the newer facilities come up, the capex is lower because this basic infrastructure is already covered under the capex because it's a greenfield project.
Sanjesh Jain: So incremental capex will largely go towards production block for a particula r product? Got it. Just to understand, in the first phase of commissioning of HALS, we did 3,000 metric tons, which you mentioned previously. And how much we will be adding in this next round of capacity?
Siddharth Sikchi: No. So the capex in Unit 3 is abo ut 2,000 tons, not 3,000 tons. That is one. And two is the totality of HALS will be close to 15,000 tons. And it is a combination of a variety of products, not just one product, but all within the range of HALS.
Sanjesh Jain: And when we say 15,000, how many years are we factoring here?
Siddharth Sikchi: Three to four years. I mean, the plant will be of these sizes, but of course, gaining the market share and utilization will take about three to four years' time.
Sanjesh Jain: Got it. Got it. And the average realization is close to $8 to $10, right?

Siddharth Sikchi: Right. You can assume that.
Sanjesh Jain: Fair enough. Second, on the margin guidance and what we have delivered, I remember it probably the end of second quarter, we guided like we will b e stable at 40%. In two quarters, we

have done phenomenally well, no complaints. But do you want to relook at the margin guidance from the medium term with 48% this quarter, how should one see the margins for next two years?
Pratik Bora: Sanjesh, in terms of margin for parent company, there will be relatively steady state of margin. But of course, I mean, you can't extrapolate Q4 margins because this quarter, we were benefited with the benign raw material prices also. In the subsidiary company, the margin s, as you would imagine, would improve as the utilization levels improve.
Sanjesh Jain: Got it. But I thought the China situation has turned slightly more aggressive for the commodity and the prices are going to fall more is what I can understand and what has been some of the commentaries from your peer who produces your raw material. So in the near term, it is fair to assume that margins will remain robust, considering that the raw material cycle is quite favorable for Clean Science?
Siddharth Sikchi: So I'll tell you the raw material prices are definitely falling. Of course, there is stiffer competition because everything has opened up. So there will be more competition compared to what we had over the last few quarters, but also the commodity cycles , the prices of commodity chemicals, for instance, phenol has fallen as high as 30%. So we will definitely be benefited by that. But of course, there will also be market price reduction of our end product following the market trend.
Sanjesh Jain: Got it. S o what should be a steady state margin, Siddharth, in the parent business?
Siddharth Sikchi: So Sanjesh, the prices are reducing. But also, t he overall global demand is slightly reducing because of Europe factor, because of the U.S. factor. So you will ha ve to give me one quarter or two quarters to really give you a correct picture of what you should loo k at in the longer -term.
Sanjesh Jain: Fair enough. One last question, Siddharth. I'm not dragging, but just one last. This year, particularly

this quarter, the volume growth looks quite softish considering what we have delivered in the last three quarters. Can you help us ascertain whether it's a pricing decline or volume was slightly under pressure, though we have pulled the margin? What has happen ed and what is the story on the revenue side?
Siddharth Sikchi: The basic story is that a lot of MNCs, a lot of our customers were holding stocks because everybody was really worried about another lockdown or any other scenario. However, over the last two quarters that fear of any lockdown is all ruled out. The freight costs have minimalized, and they have come to pre -COVID levels.
So now if you see this last quarter and maybe Quarter 1, there will be a lot of destocking happening at lot of our customer places. And hence, everybody is trying to reduce their stock levels, which everybody had am plified during the COVID year. So that is what you are seeing

that there is a slight reduction in volume. And of course, because of the commodity price falling, there is a realistic expectation of finished products prices also going down.
Sanjesh Jain: Got it. Fair enough. Thanks for answering all those questions and best of luck for the coming quarters.
Siddharth Sikchi: Thank you.
Moderator: Our next question comes from the line of Arun Prasath with Avendus Spark. Please go ahead.
Arun Prasath : Good eveni ng. Thank you for the opportunity. Siddharth, just continuing the discussion on this growth, especially on the FY '23. We had a stellar year for the top end growth of close to 35 percentage. Obviously, this has three components; the exchange rate, the rupe e depreciation aspect, pricing has clearly helped as compared to '22, and then the volume growth. And going by the current commentary, it looks like the two of the three components are not going to be there in this year. So will the volume growth alone will result in a sustenance of our top line? How should we look at this?
Siddharth Sikchi: See, there are two aspects to it. In a typical business cycle, you typically get such one or two quarters when such operation occurs where there is destocking happening or where there is a lower demand. But the se quarters are also useful for consolidation. I mean these are the quarters which separate us or I mean, separate the fittest . There is a lot of fr oth in the market, which also disappears. These are also the times when we keep working on our processes bec ause we have time to repair , do maintenance of our plants as well. So these times are utilized for these activities.
However, I do not see that such parameters of Quarter 1 will be for entire year. Probably there will be an improvement in Quarter 2 or Quar ter 3 and where we anticipate that the volume growth will again return. Of course, if the commodity price still remains low and if the crude oil price remains below $75 a barrel. And of course, if the commodity chemical prices are lower, then we do expect the finished product prices also to remain low. However, in absolute terms, in terms of volumes, if in Quarter 3 and Quarter 4, the volumes recover, then I think we are good to go.
Pratik Bora: Rupee depreciation did not benefit us largely because we under take hedging. So actually, for

first half , we reported negative forex . There was no forex gain per se, in H1.
Arun Prasath : Okay. So that means this year, we can expect some benefit because you would have hedged the much higher rates now.
Pratik Bora: Yes, relatably, we should be. Yes.
Arun Prasath : Understood. And then on the volume growth, Siddharth, just a follow -up question on that. Do you see any of your customers in, say, acrylic acid or its derivatives adding capacity and the capacity coming online t his year?

Siddharth Sikchi: No. Nobod

y is adding capacity. Everybody is trying to cons olidate . And I think that is what I just mentioned that this year would be a consolidation year for several of the businesses.
Arun Prasath : Understood. And last time, in the previous call, you mentioned that you are targeting 100 tons per month of HALS once you commi ssion. How realistic we are now, how closer to this target at this point of time?
Siddharth Sikchi: So I mentioned that we should target about 100 tons per m onth after a year of production or successful commercialization. So by the end of the year is what we are anticipating to touch that volume, provided the import still remains at about 250 to 300 tons. I mean on the relative market terms ; we will get about 1 /3 of Indian markets. So prices have reduced because of the master batches consumption reducing, but I still am hopeful that we will be able to touch or gain 30% of Indian market.
Arun Prasath : Right. And what about the initial feedback from the customers, master batch customers? What is it there?
Siddharth Sikchi: We have had no rejection even on samples. A lot of places we have given test, I mean, pilot samples, which have been approved at a lot of big accounts. And we have no w started supplying in tonnages, so I think that's a very good sign. In fact, as we are speaking, we are also tr ying to open up in Europe and are trying to speak to some customers in Europe. Recently, we got approved at a global account who are based in mul ti-country. So the response is very good, and I think once we start our other premium grades of HALS, which are more expensive grades, I think the response will be faster.
Arun Prasath : And in India, domestic, we have already touched base with all the lead ing master batch manufacturers or just?
Siddharth Sikchi: More or less . We have touched base with all of them. Some are in the approving phase; some have approved us. But I think all in all, the feedback from customers is that, I mean, they are really deli ghted to have a local s upplier based in India because it is a key component in their entire master batch which nobody has been able to successfully deli ver to the quality at par with global standards.
Arun Prasath : Understood. That's very helpful, Siddhart h. Just squeezing one last question for Pratik. Of the INR190 crores capex we have done this year; in parent company, we have done close to INR120 crores. Of that, how much is related to the HALS in Unit 3?
Pratik Bora: Close to INR50 crores, but this I'm talking only about the production block.
Arun Prasath : Understood. Okay. Thank you very much. All the best for you guys.
Moderator: Our next question comes from Ankur Periwal with Axis Capital Limited. Please go ahead.
Ankur Periwal: First question on the inventory situation, which you mentioned is slightly elevated . Just curious if this is a specific phenomenon maybe in the domestic market or you are seeing the same in

export market as well? Given that on a quarterly basis, at least we see especially on a quarterly run rate basis, Q4 is slightly softer on the domestic side.
Siddharth Sikchi: So this we are anticipating , ultimately, we are all related to each other. Even if there is a global slowdown or a global destocking, it also impacts my customer if they are based in India because ultimately, either they are exporting or using it for domestic market. So the answer rem ains that this is a phenomenon which is occurring global, including us.
So even in some places where we had very key large deals, which were like very important for our company, where the stocks we had raised to 3x levels because of all these turmoil of transit. Now that we have realized that everything has returned to normalcy , even we have started reducing our stock in line with our pre -COVID levels.
Ankur Periwal: Sure. And second t

hing, you did mention that the RM prices are coming down. And obviously, there will be some pass -through of this RM deflation. Has it already started happening or is it probably still some time for that to happen?

Siddharth Sikchi: So it has already started. So what happens is when the market is soft and when the com modity prices have steeply fallen, there is a very obvious expectation from customers to get a lower price.
Ankur Periwal: Sure. The reason I asked that was that ear lier probably people would have, or normally industry would have likely elevated inventory and potentially there could ha ve been some higher cost rating inventory on the books. But in our margins, that was not the case even the gross margin expansion. So just curious on that side. Yes. So where I'm coming from, is the gross margin expansion also only a function of RM deflation, lower RM cost or it's also a function of better production?
Pratik Bora: Yes. So Ankur, we don't carry a very high inventory. It's less than 30 days. So the gross margin benefit is because of the lower RM cost and, of cour se, better product mix.
Ankur Periwal: Yes. Got it. And just lastly, on the HALS side, 701 and 770 largely focusing on the domestic market, but you did mention expansion into Europe as a market and tapping the international customers. From a distribution network point of view, is it in place or is it work in progress and any timelines you can share there?
Siddharth Sikchi: Sorry, 701 is not an Indian market product. It is mostly export. 770 is domestic. However, the point is that by December, when we come up with the entire other basket, it will have global markets. So we are trying to start marketing and having distribution network globally. So by December, Jan uary, when we have these two products in line, the market network is already in place.
Ankur Periwal: Sure. And have we started producing the samples for the other HALS range of products as well, which will go as a part of the pilot right now?

Siddharth Sikchi: No, people are not interested in pilot samples because these are very key ingredients i n their supply chain. So they would want to test only the commercial samples. And the same is the case with Indian suppliers also.
Ankur Periwal: Okay, fair enough. That's it from my side. Thank you.
Moderator: Our next question comes from Abhijit Akella w ith Kotak Securities. Please go ahead,
Abhijit Akella: Just a few things to clarify. One was on HALS; these 15,000 tons . Should we expect that all of it comes on stream by December this year itself or will it be gradually spaced out?
Siddharth Sikchi: What happens in a chemical plant is, when we set up a facility, I mean, if we have installed capacity of 15,000 tons, it is very difficult to split into fragmented capacities. However, the utilization will be very low when we begin this, because, of course, the market has to absorb these capacities. So the installed capacity, the capex is already made for these 15,000 tons . However, the realization will start as and when the market picks up.
Abhijit Akella: Understood. And the total capex towards the entire 15,000 tons would be approximately how much?
Siddharth Sikchi: Approximately INR 300 crores, which also includes the site development, which I just mentioned in the first question.
Abhijit Akella: Sure. Understood that. And yes, as you pointed out, it will take maybe three to four years to fully sell out this 15,000 tons capacity , is that correct?
Siddharth Sikchi: Yes.
Abhijit Akella: So probably FY '24, we could maybe expect something like 1,000 tons of sales. And then FY '25, I mean would you have like some rough utilization number in mind?
Siddharth Sikchi: Not like that because FY '23, the plant will only begin by December. The Quarter 4 of FY '24 will only go in sampling, teething is

sues, and all those things. So the real business will happen in FY '25.
Abhijit Akella: Right . So understood. Also, just to check with regard to growth drivers for the next two to three years, besides the HALS range, you did mention in your opening remarks about a couple of other promising products. So a re those likely to contribute significantly in the nex t couple of years? If you could , could you please share some color on that as well?
Siddharth Sikchi: So I do not want to disclose the product line we are doing, but of course, they are into our segment s of performance chemical, intermediates for Pharma & Agro. So there is an additional capex of INR 200 crores, which we have lined up for these additional businesses, which I think we will start construction from July, August this year. And these plants wi ll all probably begin by mid of next year. So that is additional growth driver apart from HALS.

Abhijit Akella: Right. This is mid of FY '25?
Siddharth Sikchi: Yes. These are none of the existing products, more or less, these are all new products.

Abhijit Akella: Sure, sure. I got it. What about the capacities of the existing produc ts itself like MEHQ and BHA, et c., that we have debottlenecked? Do we still have some leeway to grow over there, and could those also contribute over the next two, three years?
Siddharth Sikchi: Yes, of course. So we have leeway. There is still open volumes which we can supply. And at any given point, if we see for some reason that these capacities are to fully utilize , there is always an option to replicate the p lant capacities i n our UNIT 4.
Abhijit Akella: And the demand weakness that you're seeing for the time being, is that across the product range? Or is it concentrated to specific end -use industries and products?
Siddharth Sikchi: See, typically, some of the products are doi ng well. Some of the products are slow. So it's a combination of both. And these are cycles, these keep changing. I mean after a quarter or after two quarters, some of the businesses will pick up , some of the businesses will be slow. So it's really a combi nation of all of them.
Abhijit Akella: Yes, understood. Is there an expectation that we need to pass on some of the raw material cost savings we have had , starting the next quarter or so, maybe like just a timing gap between the fall in raw material cost a nd the negotiation of finished good s prices downward?
Siddharth Sikchi: Yes, definitely. I just mentioned that there's a combination when the commodity prices have sharply fallen and the demand is slow. I mean our customers also expect because their customers are also expecting lower prices in the cycle . We have to as w e are a part of it.
Abhijit Akella: Okay. Got it. Thank you so much and wish you all the best.
Siddharth Sikchi: Thank you so much.
Moderator: Thank you . Our next question comes from th e line of Krishan Parwani with JM Financial. Please go ahead,
Krishan Parwani: So just two clarifications on the previous questions. So one is, we understand that you would not like to disclose the name of the products. But just wanted to understand the ch emistries that probably those products will entail. And our model would be the same? Would it be to focus on differentiated processes?
Siddharth Sikchi: Yes. So these are newer chemistries which we are doing. And thes e are also catalytic processes, the pro ducts also have zero discharge, zero effluents, etc. So the concept overall remains the same. And I think that is what we are going to take forward.
Krishan Parwani: Understood. And sorry, I think I'm not sure whether you have given any update on PTZ.

Siddharth Sikchi: Not yet .
Krishan Parwani: Okay, thanks. And just one last one. On the capex front, I thi

nk you mentioned about INR 200 crores of capex . So basically, can you break it down for like '24 and '25, what would be the number for the full years?
Pratik Bora: Yes. So Krishan, for this year, we are guiding for a capex of around INR 180 crores for FY '24. INR 200 crores incremental capex will go for the new products, which will largely be during last quarter of FY '24 or FY '25.
Krishan Parwani: Okay. Perfect. Thank you for an swering all of my questions. All the best.
Moderator: Our next question comes from Rohit Nagraj with Centrum Broking. Please go ahead,
Rohit Nagraj: Sir, on the new set of products, so the HALS series, will our working capital requirement go up? And given that we are also targeting the exports market, so will we have to keep our inventory levels elevated given that there will be some transit time.
Siddharth Sikchi: No. Not really.
Rohit Nagraj: Okay. Got it. And in terms of the new products that you just ta lked about the INR 200 crores capex . So will it also have a simi lar kind of raw material basket, which can be sourced from domestic market, or we will have to depend on imported raw material?
Siddharth Sikchi: It will be a combination of both.
Rohit Nagraj: Right Sure. That's all from my side. Thank you and best of luck.
Moderator: Our next question comes from Arun Prasath with Avendus Spark. Please go ahead.
Arun Prasath : Thanks, just a follow -up. Sir, I just wanted to talk about PBQ. Have we complet ely exhausted the capacity here? And how the domestic market looks like? And what else you are seeing in the export opportunity in this PBQ? Can it be scalable. H ow big this molecule in the export market? Some color on the PBQ.
Siddharth Sikchi: So PBQ is majorly in agro business. Right now, that agro business is a littl e on a slower side. So we have some u nused capacities. And we are also now supplying to some European customers.
I hope that we'll see the volume growth probably in the Quarter 3 this year.
Arun Prasath : Okay. There is no domestic customers for this product?
Siddharth Sikchi: There is major domestic customers, but ultimately, these are all agro -based customers, and the demand is slow with these agro -customers.
Arun Prasath : Great. Understood. And secondly, on MEHQ, we are very confident that whenever the demand comes with, we'll be able to add replicate the existing plant and add capacities. Is it because

others are not adding capacity in this product? Are we the only player who is going to ad d capacity in this, especially given the European players look s like they were nowhere in the capacity?
Siddharth Sikchi: So it's a very difficult question for me to answer on what others are trying to do because we keep hearing a lot of names who are tryi ng to get into this business. Our business is to be as sharp in our price and try to get as much market share as we can. And when I said that the moment we realize that we are running out of capacities , because we do not want shortages of these products in the market, w e can add up capacities in a time frame of nine months because we have done this already three times in our history.
Arun Prasath : Okay. Understood. And lastly, on the new set of products that you are going to start constructing in this year, what is the end product category for these products?
Siddharth Sikchi: So some will go into performance chemical category. These are a series of products. Some might go into water treatment chemicals; some might go into pharma and remedials.
Arun Prasath : When you say performance, it is again into the polymer or any other category?
Siddharth Sikchi: So in performances, I mean there are inhibitors again. So they will be used in a variety of industries.
Arun Prasath : Okay. But not concentrated in the polymer ?
Siddharth Sikchi: No, no, not specifically into

polymers.
Arun Prasath : Okay. And this set of new products, what is the capex planning for these sorts of products ?
Siddharth Sikchi: Approximately INR 200 crores.
Arun Prasath : And similar asset turns and margins, that is what you're anticipating?
Siddharth Sikchi: Similar asset turn, yes, more, or less once these products reach those scales. And margins, I think these margins will be lower in the initial years then our parent businesses. But t hese margins will come up after a couple of years because of our improved yield efficiencies, getting premium customers on board. So it will always be a combination.
Arun Prasath : Understood. Thanks for that.
Moderator: Thank you. Our next question comes from Ankur Periwal with Axis Capital Limited. Please go ahead.
Ankur Periwal: Yes, just a few clarifications . And Pratik, if you may pitch in. So the capex for Facility 4 is INR 180 crores, wherein then we'll have the full HALS plant up and running. And the second round of capex is INR 200 crores, which is over and above the current capacity getting into new performance chemicals, etcetera, right?

Siddharth Sikchi: For the new pro ducts, right.
Ankur Periwal: For the new products. So FY '24 is INR 180 crores capex , which will be largely HALS. And then this INR 200 crore odd for the new Performance Chemicals will be FY '25?
Siddharth Sikchi: It will start partially in FY '24. But by mid of FY '25, these products will be online.
Ankur Periwal: Sure. So the revenue from these, let's say, INR 200 crores capex into Performance Chemicals will start, let's say, of FY '25? Correct?
Siddharth Sikchi: FY '26, yes.
Ankur Periwal: Yes, fair enough. And any -- if you can share product approval time frame over here, will it take three months, six months? Or it's already work in progress?
Siddharth Sikchi: Some of the product will be very quick because we are absolutely aware of those markets. W e are aware of the customers. Some would be a little newer customer . So that might be between 3 to 6 months' time frame. And more products will be far quicker because we are already into antiretroviral, and this is also a product which goes into antiretrov iral, and we are going to replace the Chinese source , so I think that could be a little bit quicker .
Ankur Periwal: Yes, that was my next question. Are these products replacement of some existing vendor with either Indian or international?
Siddharth Sikchi : I realized that you would ask this, so I thought I'll answer it.
Ankur Periwal: Sure. And the asset turns, as you mentioned, are similar to the current business.
Siddharth Sikchi: Between 2.5 and 3, yes.
Ankur Periwal: That's it from my side. Thank you.
Moderator: Our next question comes from Abhijit Akella with Kotak Securities. Please go ahead.
Abhijit Akella: Just one clarification with regard to the economics we should expect on the newer products in general. So while I understand that the margin profile on these will be significantly lower than what the parent company makes at least in the initial few years. From an ROC perspective, how attractive would you say they would be , would they be more or in the same ballpark as the parent

company busines s? Or how would you see that trending over the next few years?
Pratik Bora: Yes. So, Abhijit, as the capacities reach optimal utilization level, the endeavour is 2x and target is to clock the ROCs w hich the parent company is clocking and then it will be a combination of asset turn, whic h we are guiding for 2.5x to 3x and better margin . So margin profile, as we have been guiding that as we penetrate into these markets as we get those premium customers as the utilization increases, then the margins will start kicking in, and henc e, the ROCs that we are optimistic of 50% level as it is playing out in the parent compan

y.

Abhijit Akella: Understood. Got it. And in each of these products that we are entering, we are confident that we have some sort of technical edge. That's a prerequi site for us to get into these products. Is that correct understanding?
Siddharth Sikchi: More or less, yes.
Abhijit Akella: Thank you so much and all the best.
Moderator: Our next question comes from Chetan Thacker with ASK Investment Managers Limited. Please go ahead.
Chetan Thacker : Yes. So just wanted to understand one thing, a small clarification. So FY '24, revenues will be largely from our existing product basket. '25 is when HALS started to kick in and that ramps up over the next three years. And mid -of '25, we get these new products, so that should start kicking in from mid - ‘25, '26 largely. That is a fair understanding?
Siddharth Sikchi: Fair understanding, only thing is the HALS, of course, the plant which have already commissioned for the 770 and 701. Those will be additional in this year, FY '24.
Chetan Thacker : Okay. And so what is the total capacity of this 770 and 701 that has alread y been commissioned?
Siddharth Sikchi: 2000 tons per annum install ed capacity.
Chetan Thacker : Once the expan sion comes in the other unit , the total reaches 10,000.
Siddharth Sikchi: It reaches 1 5,000 in total.
Moderator: Our next question comes from the line of Tanush Mehta, an Investor. Please go ahead.
Tanush Mehta: Yes. A few of my questions have been answered. I just had a very broad question that seeing the way we are clocking our margins, which are nearly industry high. Do some of our customers come to us for negotiation because seeing that the margins are high as compared to what others make in the industry?
Siddharth Sikchi: So when I also see some of my raw material suppliers clocking very high margins, I cannot go and tell them , because the margi ns or the prices are related to the market prices. So if they are getting at a cheaper price than mine, then there is a negotiation. If they do not get at a cheaper price than mine, then there is no negotiation in.
Tanush Mehta: Okay. That's it from my sid e.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Siddharth Sikchi: So once again, thank you so much for taking time out to hear our earnings call. I hope Pratik and I have been able to answer all of your queries and looking forward to again speaking to you after our Q1 FY '24. Thank you so much, and have a great evening, guys. Thank you. Goodbye .
Moderator: Thank you. On behalf of Axis Capital Limited, that concl udes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

08.08.2023
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort,
Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra-Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN

Subject: Transcript of conference call on the Company's Q1 FY23-24 Earnings .

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations.
2015 ("Listing Regulations")

Dear Sir/Madam,
Further to our letter dated 28th July, 2023 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q1 FY23-24 Earnings held on 3rd August,2023.

You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Mahesh Kulkarni
Company Secretary

Encl: as above

"Clean Science and Technology Limited
Q1 FY2024 Conference Call"

August 03, 2023

MANAGEMENT : MR. SIDDHARTH SIKCHI - WHOLE TIME DIRECTOR
MR. SANJAY PARNERKAR- CHIEF FINANCIAL OFFICER
MR. PRATIK BORA - VICE PRESIDENT, CORPORATE FINANCE

 Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY2024 Conference Call of Clean Science and Technology Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this

conference is being recorded. I now hand the conference over to Mr. Siddharth Sikchi.
Thank you and over to you Mr. Sikchi.
Siddharth Sikchi : Thank you. Good evening, everyone. I am happy to connect with all of you again to discuss the performance of our company in Q1 FY24. Let us talk about the business environment. The current business environment is converse to what we witnessed last year. Last year was marked by high inflation, disrupted supply chain, leading to higher freight rates and geopolitical tensions. Due to these factors, raw material and end product prices were relatively higher. In rising price environment and interrupted supply chain, companies were stocking up their inventory up front leading to a higher sales volume and realisation. However, this year till date is marked by benign inflation, steady supply chain and relatively stable geopolitical environment. Consequently, raw material and end product prices are correcting compared to higher base of last year. In declining price environment, companies tend to go for destocking which leads to lower sales volume.
To summarize, last year was a seller's market, while current year is a buyers' market. Companies with better technology, backward integration and lean cost structure would continue to report higher percentage margins.
A quick on financial highlights. As alluded during last con call following key trends have played out during Q1 FY24 – A) Raw material prices have corrected across the board; B) With correction in raw material prices, there is a moderate correction in end product prices too; C) Led by demand slowdown and inventory destocking, volumes are impacted severely. Although, we do not believe there is any significant loss in our market share.
Revenues for Q1 FY24 declined by 20% to Rs. 185 Crores against Rs. 232 Crores during Q1 FY23. Revenue mix was 63% export and 37% domestic. EBITDA decreased to Rs. 77 Crores against Rs. 91 Crores during Q1 FY23. Led by better product mix, benign input prices and prudent operating cost structure, company could report higher EBITDA margin of 41.3% compared to 39.4% during Q1 FY23.
 Higher EBITDA margins despite decreased revenue base underscores our unique technology progress and unequivocally prudent operating cost.
On standalone basis, profit after tax was Rs. 58 Crores against Rs. 70 Crores during Q1 FY23. It is worthwhile to note that last year company recorded onetime gain of Rs. 9 Crores during Q1 FY23, which got adjusted in the consolidated P&L. So, on consolidated basis, PAT is lower by only 6% at Rs. 59 Crores despite 20% decline in revenues.
We are pleased to report that PAT margins are higher at 31.6% during Q1 FY24 as against 30.4% during Q1 FY23.
Sales profile: Performance chemicals continued to be the mainstay with the segment contributing 67% revenues. Pharma and agro intermediates contribution decreased to 19% of revenues and FMCG chemical contribution increased to 13% of revenues. FMCG segment witnessed marginal revenue growth.
Capex update: we have incurred capex of Rs. 90 crores during this

quarter. Of this Rs. 85
crores were invested in the subsidiary CFCL. All capex continues to be incurred through our internal accruals. Initial civil construction activity is completed at Clean Fino-Chem Limited, erection of equipment, pipe fitting, etc. has commenced at CFCL. The progress is on track as planned earlier.
Outlook: This could be a year of gradual recovery with demand bottoming out during the first half of financial year. Declining raw material and fuel price along with demand slowdown remain key short-term challenge, but as a company we will continue to focus internally to improve yields and operational efficiencies. With our strong R&D pipeline, our endeavor is to continue derisking our product portfolio and geographical presence.
Thank you so much. We are now open for Q&A.
Moderator : Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press * and one on your touch tone telephone. If you wish to remove yourself from the question queue may press * and two. Participants are requested to use handsets while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
 Sanjesh Jain : Good afternoon, Siddharth. Thanks for taking my question. I got few questions. First on the MEHQ and BHA, can you help us understand what is the volume decline for this quarter and how are you looking at the market because it appears that China's revenue for us has declined even more at 47%. What is happening on the China's side - is it just the

destocking or you are also seeing few local players getting active in the China market now; so that is my first question.
Siddharth Sikchi : The revenue degrowth is on account of two third on volume and one third on realization. To the best of our understanding, there is no new producer in MEHQ or BHA in China, however, because of destocking and lower demand, the offtake has been lower than anticipated.
Sanjesh Jain : Is it purely because of the lower offtake. It is very clear to understand that there is no new local producer who just got aggressive or anything like that.
Siddharth Sikchi : Not at the moment.
Sanjesh Jain : Got it. Second question is on the pharma, agrochemical intermediate business that appears to have fallen even more sharply than our performance chemical, while the pharma companies are doing fairly okay compared to the agrochemical, we have not seen destocking or any of those things on the pharma company at least their commentary does not tell that, so what is happening on that side for us. Is it more of PBQ, which is hurting us on that segment?
Siddharth Sikchi : No. PBQ has no impact. There are two major pharma products and Guaiacol is a major pharma product, which goes into cough syrup. Now with these current issues, which happened in Indonesia, Iraq where cough syrups supplies from India had health issues on citizens of those countries. That is why all these regulations are impacting Indian suppliers of cough syrups and hence there is a sluggish demand for this product. On the other hand, our anti-retroviral product, which is DCC has almost peaked 80% of our plant utilization. So, this is really only in particular to this product i.e. because of these cough syrups issues, which I am sure you would have read in newspaper over the last few months.
Sanjesh Jain : Do you think it is a permanent loss for this player or somebody is getting replaced or will these guys come back because that if you read that news it appears to be quite serious.
 Siddharth Sikchi : It is indeed. So, what Indian government is also doing is for those companies which are making in North India (few of those compan

ies) have been banned, have been closed, but there are organized players in this business like Granules or Gennex, other companies, which will get those market shares from those banned companies. But of course, the customers sitting in overseas say in Indonesia, in Iraq on those parts will again need time and confidence to regain and come back to India, but definitely they have to come back because of the price benefit what Indians can offer compared to a European or a Taiwanese player.
Sanjesh Jain : Will this recovery be a slightly more back ended than the destocking one that will be fair assumption, right?
Siddharth Sikchi : Please can you tell again?
Sanjesh Jain : I am telling performance segment can recover earlier, probably pharma segment may take a little bit more time for us; will that be a fair assumption?
Siddharth Sikchi : It depends. On this particular cough syrups issue is little serious, so based on it, but we are very hopeful that performance chemical will rise quickly compared to the pharma, but then we are also trying to get more share of overseas customers like mainly in Taiwan and in China for pharma segment and we hope they will compensate for the loss of Indian customers, which we have accounted for.
Sanjesh Jain : Got it. The next on the HALS side of the business, we were expecting some revenue booking in the Q1, can you do some color on the health side of revenue?
Siddharth Sikchi : It is taking a little longer because of this lower demand of masterbatches producers globally, so the approval processes are there, people have approved product, we are getting repeat orders, but the volumes are low. So, if India was importing 2000 tonnes today the imports have also gone down by more than 50%, hence the demand has become slower, but we are quite optimistic that as and when customers try our product, the volumes will gradually increase. Today we are about less than 50% of our current capacity what we are running, we hope in the next two quarters we should at least touch 50% of our capacity utilisation.
Sanjesh Jain : In next quarter, we expect to reach 50% capacity utilization?
Siddharth Sikchi : Next two quarters.
 Sanjesh Jain : Assuming by Q3 and or Q4, we should be ticking three thousand metric.
Siddharth Sikchi : In Q4 our new facility of HALS can also begin with other products lined up.
Sanjesh Jain : Okay fair enough. Couple of questions for Pratik. First, on the other income, it appears to

have gone up again. Can you help us understand, what is driving the other income?
Pratik Bora: In other income, there are two items. First is Forex income where we have reported Rs. 5.6 Crores gain this time and the other is treasury income where we have reported Rs. 6 Crores gain. Apart from that there is no non-recurring item.
Sanjesh Jain : This 6 Crores is recognition because of the completion of the period of the investment or the it is only mark to market basis?
Pratik Bora: It is mark to market. Treasury investment is realized and unrealized gains both. Because yields have corrected during this quarter from 7.50% to 7.10%.
Sanjesh Jain : Okay, so that has led to some additional booking of the other income.
Pratik Bora: 80% of our investments are into debt mutual funds, so as yields correct, we get mark to market benefit there.
Sanjesh Jain : Got it. Second question is on the operating cost. Can you help us bridge the operating cost from last quarter to this quarter, what are the line item which is driving 20% sequential drop in the other expenses because fuel costs have largely been stable. Trade cost have normalized to pre-COVID level. I know volumes have fallen that will be one, but more color would be helpful.
Pratik Bora: No. In fact, year-on-year, power and fuel cost has almost halved. In Q4, we reported a power and fuel cost of close to Rs. 18 Crores, while this quarter we have reporte

d a
power and fuel cost of close to Rs. 12 Crores. That was a big impact and in other expense, there is a small CSR expense, which was sizable during Q4 and not much bigger in Q1.
Sanjesh Jain : There is no change in the freight cost I suppose,
Pratik Bora: No. Freight anywhere is not a very big cost concern.
Sanjesh Jain : Ok, but this explains only what Rs. 6 Crores and CSR and the fuel.
 Pratik Bora: Ok that majority covers it.
Sanjesh Jain : No, it covers it. That is it from my side. Thanks for the time for taking all the answers and best of luck for the coming quarters.
Moderator: The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal : Thank you for taking the question. Firstly, on the pricing bit, you did mention one third revenue decline is led by pricing and you did mention in the initial remarks that some bit of pricing correction may still happen, so are we largely done in terms of pricing correction or is it moving in sync with the RM prices?
Siddharth Sikchi: Moving in sync with the RM prices, but I believe that this is the worst price levels we have seen in the history, so I do not see further erosion of prices, but unless there is again a sharp decline in RM prices, which at the moment are again on upward swing because of the increase in crude oil prices. So, all the raw materials are again started inching up, so the finished product prices should not go down further than this; it is my belief.
Ankur Periwal : Sure, and the bigger issue here is inventory destocking only or is there a significant cut in demand as well, which probably can take slightly longer time to recover?
Siddharth Sikchi: Both. There is destocking and as well as there is a slower demand globally, so both are contributing to the volume reduction. It is like minimum of one, maximum of two more quarters to get the business back on track.
Ankur Periwal : Ok and you did mention that we have not lost any market share in India or globally, so it is more of a market decline, which is where the impact is coming in.
Siddharth Sikchi: Yes, this is to our understanding, maybe little bit here and there but not on major percentage levels.
Ankur Periwal : With this given demand slowdown and probably another maybe couple of quarters there, considering the capex that we had already planned as well as the other product that Rs. 200 Crores capex there, any changes there that is one and secondly on HALS specifically we had launched only two products earlier. How do we see the new product launches going ahead? Will it be deferred, or you know kind of?
 Siddharth Sikchi: For question one, the capex plan is still on. There is no deviation from that plan that is point one. Point two, on HALS, the new range of product as planned will start in December which are the other series product. So, the plan remains constant. There is no change in plan because of the change in demand scenario because these are market dynamics and things will move up and down, but our projections and our plans of projects will not be changed for this.
Ankur Periwal : The earlier two products were largely focusing on the domestic market. The newer ones will be both export and domestic.

Siddharth Sikchi: Yes, there will be both domestic and export. Again, first time in India. That's it.
Ankur Periwal : Ok, great. That is it on my side. Thank you.
Moderator: The next question is from the line of Rohit Suresh from Samatva Investments. Please go ahead.
Rohit Suresh : Good evening. Thank you for the opportunity. The first question I had is on the TBHQ part, so there is a listed competitor in India and they are comparatively larger than us, so what are our plans in terms of expanding the product line, do we plan to forward integrate into blends or anything or ho

w are we going what that part of the market?
Siddharth Sikchi: Currently TBHQ is a decent market for us. We are not planning any expansion and the major goal of this TBHQ product was to cater to the demand of our existing customers of BHA and AP that is one and number two we have no intention in going into blends because those are B2C markets and I do not see our company is equipped enough to even target the B2C markets and we would rather like to focus on B2B businesses.
Rohit Suresh : On the hydroquinone, are we sourcing at domestically or on the international market.
Siddharth Sikchi: We are sourcing hydroquinone from overseas market.
Rohit Suresh : Great. Thank you so much and wish you all the best. Thank you.
Moderator: The next question is from the line of Nikhil Mishra from Five Start Investments. Please go ahead.
 Nikhil Mishra : I just wanted to know about the performance chemical business, how is the demand in the China and how it is going to impact our company?
Siddharth Sikchi: As we just mentioned that 2/3rd of the reduction in our revenue is because of volume. China is slow at the moment and hence we are seeing volumes degrowth while on the FMCG segment we have seen stability because the current markets are quite stable. But of course, since the RM prices have come down, the prices of end products have also come down to that extent but otherwise those are decent stable business for us.
Nikhil Mishra : Ok. Have we lost any market client because of this scenario?
Siddharth Sikchi: Because of which scenario?
Nikhil Mishra : Because of this demand scenario and slowdowns scenario.
Siddharth Sikchi: If there is a slowdown and if the customer does not need the material, then we cannot force sell the material. So, to that extent, yes, we have a volume degrowth.
Nikhil Mishra : Ok. Can you please name the FMCG companies which you are supplying to?
Siddharth Sikchi: We are not providing customer names please. Thank you.
Nikhil Mishra : Okay.
Moderator: The next question is from the line of Arun Prasad from Avendus Spark. Please go ahead.
Arun Prasad : Thank you for the opportunity. Siddharth my first question is on the Guaiacol situation you are having with respect to the cough syrup, so would not this be a problem for you in ramping up in MEHQ also because without the ability to dispose Guaiacol in the future, MEHQ production and also is going to be difficult right?
Siddharth Sikchi: That is a valid point, but at the moment since even MEHQ is on slower terms so we are able to cater and manage both the products together however in longer run if we see that this is a permanent problem we will look for other outlet of Guaiacol, which goes into FMCG chemicals or we may think of manufacturing something ourselves so we can use our Guaiacol effectively.
Arun Prasad : Right. Will it be very capital expensive, or do you have a ready-made markets if you have to go for the plan B?
 Siddharth Sikchi: If we go for a plan B then one is a ready-made market, while other is a market where we have to establish ourselves.
Arun Prasad : But the time taken to execute this plan, will it be weeks or months or years because till then the growth in MEHQ will also be difficult even if the end market turns around, right?
Siddharth Sikchi: In plan B also, we have two plans; plan B1 andplan B2 so plan B1 will be quicker and plan B2 will take a relatively longer time. Sorry you can call plan B and plan C then.
Arun Prasad : My second question is on HALS you have run this plant for last six months and a reasonable understanding and everything, the costing is at par with what you envisaged during the project conceptualization phase, is it better or?
Siddharth Sikchi: Yields are now more or less stabilized. What were anticipated and what we are getting are qu

ite closer. Of course, the only concern we have is to enter the market at a time when the demand is suppressed, so the customer expects a little bit more discount compared to what is available in the market, so only that is a little tricky situation but otherwise the margins which we had anticipated are in line with which we are in currently.

Arun Prasad : Do you think even at these current low-price scenario, you will be competitive and able to substitute the imports into the country as far as the domestic market is concerned?

Siddharth Sikchi: We have no choice boss.

Arun Prasad : Okay now and I understand there are no choices, but we will be making money similar to the levels of the current business?

Siddharth Sikchi: The plants are still running at 40% to 30% capacity utilization. My fixed cost still remains the same, so that when I ramp these up these capacities and when we get prices equal to my competitor is when we will start making decent amount of money.

Arun Prasad : Right and the other part of this entire HALS is this you are integrated up to say acetone and ammonia and all, but sebacic acid is another raw material that you had to consume, any chance for you probably say two years three years down the line where you can backward integrate in this actually or you always have to depend upon the inside purchase?

 Siddharth Sikchi: The sebacic acid what you are talking about right?

Arun Prasad : Yes.

Siddharth Sikchi: No. We are seriously contemplating on how to backward integrate. Because castor oil is easily available in India and it is a derivative of castor oil, so we are just trying to understand whether it makes sense to even make for our captive consumption, but right now we are currently buying from the domestic or even import markets.

Arun Prasad : You will be able to capture the chain margins if you are able to go back into that?

Siddharth Sikchi: Absolutely. If we are able to do further backward, I am sure we will have a better competitive advantage over our competitors because to our understanding no other producer of 770 is making sebacic acid himself.

Arun Prasad : Right. Understood. Lastly on PBQ, we have seen a lot of PBQ getting imported into this country, so is it like a different segment or a quality is different, or we are not able to substitute, or we do not have capacity. Can you just throw some light on this?

Siddharth Sikchi: Yes. There is a specific grade which is coming from UK. The basic issue is the color of this product we are still not there with the color, which is required for this particular customer but in lab and pilot we have understood what was going wrong and now we are planning to procure those equipments where we can get the exact quality which was currently imported from overseas so this is about a matter of time say probably about three months when we should be able to get similar quality which is imported into India.

Arun Prasad : What is the current utilization in PBQ?

Siddharth Sikchi: Sorry?

Arun Prasad : I was asking what is the current utilization in PBQ.

Siddharth Sikchi: It is quite low, it is about 20 odd percent, it is because of this particular factor that we need to improve the color of the product which now we have realized and probably in the next three months, we will be able to restart our supplies to the customers who are looking for this color.

 Arun Prasad : You have to procure HQ from outside to manufacture PBQ, does it have any impact on this or is it irrespective of variable purchase you can still manage to tinker in our R&D and deliver this to this potential customer?

Siddharth Sikchi: If you buy from decent sources of hydroquinone, I do not think there is any issue with on that aspect.

Arun Prasad : Okay. Thanks for that and very helpful and all the best.

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erator: The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta : Good evening and thanks for the opportunity for asking questions. Just one thing that our product basket is more dependent on China basically that we do the products which are first time in India and probably China was one of the key manufacturers. In the current environment, do we see that that the China coming back and absolutely putting the realization again much below probably and some of their product costs also. Do we see that any threat or underlying threat in our business model right now as long as the Chinese manufacturer remains aggressive or do we see that whether the new product development and the process, which will follow the lean chemistry will have an advantage even if the Chinese players dump the cost then also our product acceptance

will be there in the market even at a higher prices?
Siddharth Sikchi: First of all, there is no higher price. We have to match what is available in the market so that is one. Secondly if you look at our Q1 numbers, that we have not anticipated any new Chinese player at the moment in our product segment because the demand is slower in China and because ultimately, they are also dependent on Europe and U.S and hence to that tune there is a volume degrowth. The volumes should come back to normalcy in Q3, Q4.
Rohan Gupta : Is it just only volume degrowth problem and not that Chinese players are producer dumping the material in the market. My question was that are we better in terms of cost curve than the Chinese player so that what we are hearing in many other products also that they are dumping the product and even willing to sell the product at a much lower cost or prices because of the government is focusing more on the manufacturing and they want to focus more on the GDP growth and also irrespective of their cost structure they may dump the product so just wanted to understand see if we follow a differentiated process, different chemistry does that give us some edge over the Chinese manufacturer where our cost of production is either lowered with them or since we follow the green
 chemistry that is why the customer still will prefer our products even if it is higher price so that you already answered that we have to match the cost in the market so there is no arbitrage opportunity there but do we have a lower cost cut than the other manufacturer because of the process which you follow.
Siddharth Sikchi: We are established over the long period of time we feel we have a cost benefit because these are depreciated plants, these plants have been working, we are approved that majority of the locations so of course but however when we come to newer product like the HALS or 770 where we have to compete with the Chinese players as well in the market and of course if they dump product below their cost then of course it is going to be a difficult not just for my industry but for any new startup of the product to compete with established Chinese players. But because of our in-house grown processes and products we are able to still complete and get higher market share wherever we can.
Rohan Gupta : Thank you Siddharth, that is it for my side.
Moderator : The next question is from the line of Abhijeet Akela from Kotak Securities. Please go ahead.
Abhijeet Akela : Good evening and thanks so much for taking my questions. The capacity utilization for our key products or maybe segment wise if you might be able to just share where we are running at right now across the business?
Pratik Bora: Hi Abhijeet, so performance chemical capacity utilization is close to 60% this is primarily because of addition of HALS capacity of 2000 tons, which is running below the average utilization level. FMCG segment has done really well, it is running close to 70% and pharma and agro is running cl

ose to 62%.
Abhijeet Akela : Got it. Thank you that is helpful. For performance segment, so it is weighed down by HALS it is not as if there has been a major slippage in the other mainstay products right like MEHQ or BHA?
Pratik Bora: There has been a degrowth in in MEHQ and BHA also, but because it is a 2000 tonnes HALS capacity, which we have added into performance chemicals and that got commercialized during Q3-Q4, so that is also weighing down.
Abhijeet Akela : Right understood. For the price erosion that we are seeing is basically like just weak demand and in that context or suppliers competing to sell out their material is that
 essentially the main reason, so in that context do you see it continue for another one or two quarters or are we sort of near the bottom now.
Siddharth Sikchi : It will extend for another quarter because we are already in August, so we can see that trend even in this quarter, but hopefully the market should rebounce and things should start looking upward in quarter three and quarter four is the hope.
Abhijeet Akela : Got it. From a margin perspective, Q2 could be a little bit more subdued compared to what we have seen here in Q1?
Pratik Bora: Abhijeet, it is very difficult to comment on margin outlook because this quarter closing stock prices were much lower than the consumption prices so there was a hit in that sense also on our margins. Margins could be at par, or it could be better also and we have mentioned that EBITDA margins are better by about 200 bps when compared on year-on-year basis.
Abhijeet Akela : The demand outlook for the new HALS that they are going to launch by end of the year

you know the 15,000 tons so by say CY 2024 should we expect that things sort of move towards a little bit more of normalcy in terms of the demand scenario there?
Siddharth Sikchi : Assuming we start the facility in Q4, we expect to resolve teething issues, because it is first time this facility is installed, in about two or three months and probably another quarter might go in customer validation because this would be an entirely new zone of business or new products. So H2 FY 2025 is where we should start seeing revenues coming out of that facility in a reasonable way.
Abhijeet Akela : Right, but the target of trying to fully use up all the HALS capacity in maybe three four years that is still a target we are working towards?
Siddharth Sikchi : Absolutely.
Abhijeet Akela : Okay understood. Thank you so much Siddharth and Pratik. All the best.
Moderator : The next question is from Dhruv Muchhal from HDFC Mutual Fund. Please go ahead.
Dhruv Muchhal : Thank you so much. Hypothetically assuming this cough syrup, Guaiacol issue continues for longer, probably the cough syrup issue. I am just wondering the demand for cough syrups still remains right and if not from India somebody else will be supplying, so the
 Guaiacol demand effectively overall should remain, so I am just wondering if not to India is it will be how easy or difficult is it to export these guaiacol for somebody who is making cough syrups outside?
Siddharth Sikchi : The best part is that we are approved with all the producers of Guaifenesin. Be it in China or be it Taiwan, so there are majorly three country producers - India, Taiwan and China. We are approved with all the customers, so if India loses some of the market share it will either go to these customers and we are approved at both the locations so it is not from India we will get this from outside. Hence, we feel and eventually that should come back and we should start seeing that growth again back in Guaiacol.
Dhruv Muchhal : But exporting it is not very difficult; there would be some freight cost element they would want to source it but otherwise?
Siddharth Sikchi : Freight cost is below 10 cents

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Dhruv Muchhal : Okay got it. Thank you so much.
Moderator: The next question is from the line of Daigin , who is an Individual Investor. Please go ahead.
Daigin: On your last question you mentioned that your volumes are 60%, 62%, 70% is that the production volumes you have, so it has not gone to market has it gone to inventory?
Pratik Bora : What we mentioned was if there is a 20% drop in revenue, 14% of that which is 70% came because of decline in volume and balance came because of decline in realization.
Daigin: Okay thank you.
Moderator : The next question is from the line of Rajashekar MS who is an Individual Investor. Please go ahead.
Rajashekar MS : Goode evening. Thanks for the opportunity, I just wanted to check out where you see your company in a five years' time from now on because I see the utilization is less, do you anticipate increase?
Pratik Bora : Please repeat your question, we are not able to hear you clearly.
 Rajashekar : I just wanted to know where you see our company five years from now on because now, I see utilization is low, so what you anticipate in future, that is my question?
Pratik Bora : Utilizations are low during this quarter, and these are again temporary things. We do not see as a challenge for a five-year outlook and our outlook remains positive as we are launching products where we are probably first-time manufacturers in domestic market, and we have some advantage on the manufacturing process. As we have always been mentioning, we are process innovators, and we will continue to do that.
Rajashekar : Thank you very much.
Moderator : The next question is from Anil Kumar who is an Individual Investor. Please go ahead.
Anil Kumar : Last time, you had a mentioned that companies are being stocking because of this there is pretty slow demand in Q1 and Q2, so do you foresee that it will be over by Q2 or you think it is going to prolong considering the fact that China is now opened up and they are also trying to dump here stocks which they had earlier.
Pratik Bora : As of date, we are anticipating it could be one quarter as mentioned earlier, or it could be up to two quarters where this destocking or low demand phenomenon could play out and probably Q2 or Q3 it could bottom out.
Anil Kumar : The second thing probably the revenue realization will start from Q4 of this financial year right, how about other series that you will be launching and how it is planned?

Pratik Bora : Yes, so the plan remains same for subsidiary company. The revenue should start contributing from Q4 of this financial year.
Anil Kumar : Okay thank you.
Moderator : The next question is from the line of Nandini Maheshwari from Mirabilis Investment. Please go ahead.
Nandini Maheshwari : I wanted to know about the second phase of capex that you have mentioned about in the last quarter as well about the new performance chemicals so could you talk a bit more about a kind of products which could be entailed here?

 Siddharth Sikchi : We are only mentioning the segments; we are not talking about the actual products name, so these are again in performance chemical intermediates for pharma and agro.
Nandini Maheshwari : So, it will be spread across the performance segment.
Siddharth Sikchi : We are already into.
Nandini Maheshwari : Okay that is all.
Moderator : The next question is from the line of Deepak an Individual Investor. Please go ahead.
Deepak: Great, actually I have a question regarding contract manufacturing opportunities. In Europe and in China, many factories are closing out at least in Europe I know and many of these customers are looking for a manufacturing partners in India or in other emerging countries where the labor cost is not that much so are you also looking for such opportunities or are you already working on them?
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ddharth Sikchi : Our existing set of customers have some ideas we are thinking on those lines, but nothing is concrete to discuss at this point of time.
Deepak: Thank you.
Moderator : That was the last question in queue. I would now like to hand the conference back to Mr.Siddharth Sikchi for closing comments.
Siddharth Sikchi : Thank you all for taking time out to discuss the performance of the company for Q1 FY24 and we look forward meeting you all again once we present our Q2 FY24 results. Till then have a good one and take care and good evening.
Moderator : Thank you very much. On behalf of Clean Science and Technology Limited that concludes this conference. Thank you for joining us ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2023

04.11.2023
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra-Kurla Complex
Bandra (E), Mumbai - 400 051
Trading Symbol: CLEAN

Subject: Transcript of the conference call held on November 02, 2023 to discuss Q2 FY24 performance.

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations. 2015 ("Listing Regulations")

Dear Sir/Madam,
Further to our letter dated October 19, 2023 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of the conference call held on November 02, 2023 to discuss Q2 FY24 performance.

You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Mahesh Kulkarni
Company Secretary

"Clean Science and Technology Limited Q2 FY2024
Earnings Conference Call"

November 02, 2023

MANAGEMENT : MR. SIDDHARTH SIKCHI – EXECUTIVE DIRECTOR,
CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR - CFO, CLEAN SCIENCE AND
TECHNOLOGY LIMITED
MR. PRATIK BORA – VICE PRESIDENT , CLEAN
SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY2024 Earnings Conference Call of Clean Science and Technology Limited.

We have with us on the call, Siddharth Sikchi - Executive Director, Sanjay Parnerkar – CFO, and Pratik Bora - Vice President.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Siddharth Sikchi for his opening remarks. Thank you and over to you, sir.

Siddharth Sikchi: Thank you so much. Good evening, everyone. I am happy to connect with you all of you again today to discuss the performance of our company for Quarter 2 FY24.

Let me start with giving you a little perspective on the business environment:

The market continued to remain a buyer's market rather than seller's market during this quarter. The overhang of destocking continued during Quarter 2. The overproduction in China has led to aggressive pricing of the products, thereby, putting downward pressure on realization during this particular quarter. The demand in Europe and to some extent in the United States was unusually low.

To summarize, in Quarter 2, we did not see a strong recovery in demand.

On financial highlights

Quarter-on-quarter comparison:

On Q-o-Q basis, the 4% decline in revenue was led by drop in realization across the key products. In fact, improved sales volumes limited the decline in revenue. The contribution of non-flagship products to revenue increased to 25% during this quarter. However, EBITDA margins continue to be strong at 42.4%. This leads to two important takeaways, one, product diversification and geography diversification has gradually started to reflect and second, despite that the EBITDA margins continue to remain healthy. EBITDA margins are higher on Q-o-Q basis by about 1%, led by lower consumption prices. PAT margins are lower on Q-o-Q basis due to lower non-operating income.

Year-on-year comparison:

Revenues for Quarter 2 FY24 declined by 27% to Rs. 178 crores against Rs. 245 crores during Q2 FY23. Volume degrowth and drop in realization both contributed to a 27% decline in revenue. EBITDA during Q2 FY24 decreased to Rs. 75 crores against Rs. 97 crores during Q2 FY23. Led by lower input prices and a better product mix, company reported higher EBITDA

margin of 42.4% compared to 39.8% during Q2 FY23. We are pleased to report that PAT margins are higher at 29.1% during Q2 FY24 as against 27.9% during Q2 FY23. On standalone basis, PAT is Rs. 52 crores against Rs. 68 crores during Q2 FY23. Although the absolute PAT is lower, the PAT margin is higher, led by better gross margin and limited impact of negative operating leverage.

On Sales Profile:

Revenue contributions from Performance Chemical, Pharma and Agro Intermediates and FMCG chemicals were 67%, 19% and 14% respectively. Contribution from the Pharma segment was impacted due to lower sales of Guaiacol led by ongoing issues in certain international markets with regards to cough syrups. HALS 770 and 701 continue to demonstrate progressive improvement with revenue contribution coming in from the export market as well during this quarter. We are pleased to report that during this quarter, the sales contribution from non-flagship products increased to 25% despite that EBITDA margins were 42%. As we have been mentioning that every product launched will go through following life cycle, a) stabilizing the production, b) securing approvals with clients, c) increasing the utilization levels, d) continually working towards improving yields and

production efficiencies in backdrop. Invariably, the outcome of above process is product stewardship which leads to better return on capital employed.

CAPEX update:

We have incurred capex of Rs. 165 crores during this quarter of which Rs. 155 crores were invested in our new subsidiary, CFCL. Total investment into CFCL till date is approximately Rs. 275 crores. The progress with construction activity at the subsidiary Clean Fino-Chem Limited is as planned. We expect the water trials to commence during this quarter, while commercial production to kick start during quarter 4. We are happy to report that we have firmly delivered on our commitment of approximately Rs. 300 crores CAPEX through CFCL to commission by Q4 FY24 with entire CAPEX to be funded through internal accruals. We are also in the process of erecting the state-of-the-art pilot facility, which is expected to commission over the next 4 weeks. This pilot facility will considerably strengthen the transition process from lab to pilot to commercial scale production.

Our R&D efforts are fortified by our strong in-house engineering and project teams, which help us create global scale and automated state-of-the-art manufacturing facilities at a very competitive price and in time effective rate. This boosts our return on asset and reduces our time to market considerably.

ESG:

We continue to work towards ESG actively through delivering products with low carbon footprint, continually evaluating use of alternative raw material fuels and increasing our share in green power. We are pleased to announce that we have successfully cleared the Responsible

Care audit. We are now a Responsible Care certified company. We will soon be publishing our Maiden Sustainability Report and would be happy to have your review comments. We have now set a next 5-year ESG target for ourselves. Details of same will be elaborated in BRSR report.

Outlook:

Regarding new product development, we recently performed Bhoomi Pujan at CFCL for construction of a new chemical plant for manufacturing pharma/Agro intermediates. We will be sharing further details in due course. We continue to execute our growth plans as committed.

Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, I have a few questions. Firstly, if you can explain the sequential increase you have seen in the power cost this quarter?

Pratik Bora: During this quarter, the production volume of our flagship products increased by over 25%. However, that increase in production did not totally reflect in the sales because of lower realization and that is the reason the power cost has increased considerably during this quarter. We expect it to normalize by over 100 bps in due course.

Archit Joshi: And secondly, sir, wanted to check on a few accounts you were working on, number one, the status of our backward integration initiatives in HALS through sebacic acid, any comments on that front, sir?

Siddharth Sikchi: So, far, we worked on R&D to establish a process to develop our own in-house sebacic acid using castor oil, however, the economies of scale do not permit us for the time being to invest into production of sebacic acid because the price of these products are currently quite subdued coming from the current manufacturer based out of India and China as well.

Archit Joshi: And sir, secondly, clarification on the challenges that we are seeing in Guaiacol, in the previous concall, you were kind of trying to qualify our products with some Chinese and Taiwanese customers to sort of divert our sales from China, has that gained any traction in our current business environment?

Siddharth Sikchi: So, we are one of the largest suppliers of Guaiacol

to the China market from India of course. So, we are approved in the Chinese market. Taiwan customer is a little sticky customer with the competitor, and it might take a little longer to get our approvals, however, this year we would have shipped only about less than 10% of their annual demand, but we expect in '24 calendar year that should increase little bit, but not to the extent which I would have wanted. So, we would look at some other avenues to sell Guaiacol particularly in the vanillin market in China.

Archit Joshi: Sir, just one last if I can squeeze in, so the recent pharma/agro intermediate plant that you are working on, is this the same one that we had spoken of earlier with respect to Rs. 200 crores CAPEX that we had earmarked for some products, if you can elaborate?

Siddharth Sikchi: Yes, this is a part of that CAPEX. So, this is the first product apart from the HALS, which we had discussed of about Rs. 200 crores CAPEX, so this is the first molecule out of that.

Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh: This is Sanjesh here. Sir, couple of questions, first on the Agro Pharma Intermediate that we have started, can you elaborate that in this Rs. 200 crores of CAPEX, I believe it will be a multipurpose plant, what kind of product are we working? Will it be sold in the domestic market? Or it is to cater to the exports market? Any number of products are we working on, more color around that will be really helpful and what is the asset turn, I think we have said two times asset turn earlier, do we stick to that?

Siddharth Sikchi: So, let me answer this. So, this block would be Rs. 30 crores of CAPEX. This is a single product dedicated line, and we expect a revenue of about Rs. 100 crores out of it and it is mainly a domestic market product.

Sanjesh: And it will be agro or pharma?

Siddharth Sikchi: Pharma segment. As the segment in our revenue is performance, agro/pharma and FMCG, so this falls under the intermediates of pharma and agro.
Sanjesh: Are we supplying? What is the end application, or does it have multiple applications?
Siddharth Sikchi: It has multiple applications, but pharma mainly.
Sanjesh: And the Rs. 200 crores of block that we have started now to work on, do we have a product portfolio over there?
Siddharth Sikchi: So, out of Rs. 200 crores, 30 crores in pharma intermediate, and Rs. 170 crores is remaining. So, we have some products in pipeline. So, you will have to give me one more quarter to confirm those plants.
Sanjesh: The second you earlier mentioned that we had seen a healthy volume growth, but couldn't completely offset the drop in realization to reflect in revenue, can you give us more flavor in terms of what is the kind of volume growth we have seen? That is number one and number two, can you also help us understand what is the contribution of HALS within the new product, we said that 25% of the revenue is new product, but can you help us understand where are we?

Siddharth Sikchi: I will give you that. So, let me answer the second question first. In that 25%, these are the new products apart from HALS, mainly TBHQ and DCC. So, these were smaller in contribution because these plants, at least the TBHQ plant just started about a year ago. So, all those qualifications with the needed customers were complete and now we see volumes pickup and same thing happened with DCC where we were competing with the Chinese where we had some further process improvement which has made us more competitive and emerge or enlarge our market share within India and Europe and little bit into Japan.
Sanjesh: And where are we in PBQ?
Siddharth Sikchi: PBQ we are still start tightening and we will still need some more time, but the efforts

are still
going on and we hope that in the next few weeks, we will have some decent outcome out of it, but we are working on it for sure.
Sanjesh: And HALS, we started booking revenues in the HALS as well or?
Siddharth Sikchi: Yes, we have started looking for revenue. We have done about, I think we are monthly about 40-50 tons per month we are selling and in fact, we are very pleased that today, we have got our first European container load order. So, we will be the first Indian company to export this product to the European territory and gradually we are seeing export market also showing some interest and Indian markets will keep continue to grow for us.
Sanjesh: And this will be what, 701 exports market or is it 770 only?
Siddharth Sikchi: So, of course both, but 770 is majorly what I am discussing, so that is the bigger market compared to 701. 701, we are happy to inform that we have got our first order from China and also from Taiwan. So, the validation time which took about a year, 6 to 8 months' time because this is a very specific application is now completed with large buyers and now these are trial orders and getting into bigger commercial orders.
Sanjesh: One last question from my side is on the China situation, I think for us to completely revive, I think China has to come back, we have a 64% revenue decline there, how are we reading? What are our buyers telling us in terms of Chinese situation? Do you think it will drag remain for another couple of quarters or do you think it will take slightly longer than that?
Siddharth Sikchi: See it will take at least 2 more quarters including quarter 3 and maybe a little bit of quarter 4 or maybe totally quarter 4, but now we are gradually seeing demand slightly picking up, but of course, China is also interdependent on Europe like we are because eventually their end products are also supplied to Europe and the Americas. So, since Europe is absolutely down and the US also is not at the best, hence we are seeing lower demand across all the segment globally.
Sanjesh: You don't see yourself getting replaced by any local vendor in China, that risk is completely ruled out, right?

Siddharth Sikchi: Not at the moment, but to the best of my understanding, not at the moment, there isn't any competition in China for this product.
Moderator: Thank you. The next question is from the line of Huseain from Carnelian Capital. Please go ahead.
Huseain: I just wanted to understand that Rs. 300 crores CAPEX that we have done in the Clean Fino-Chem subsidiary, so what will be the asset turns there and how fast we will be able to ramp up that part?
Siddharth Sikchi: The asset turn should be between 2.5 and 2.8 and the entire CAPEX to come to 80% capacity utilization will easily take between 2 to 3 years.

Huseain: So, this capacity cannot reach the max utilization will be at 80% or we can reach to 100%.
Siddharth Sikchi: No, typically in chemical plant 80%-85% is a very good capacity utilization. There are boiler breakdowns, there are equipment breakdowns, there are maintenance breakdowns. So, typically 80%-85% is a good norm.
Huseain: Sir, this Guaiacol issue that is there globally, so how long do you see this pain to continue and when we see the demand reviving coming back, any understanding on that front?
Siddharth Sikchi: We are also regularly looking at the market and we still believe it will take at least another quarter or so for the problems which had happened with the cough syrup manufacturers from India. I think it will at least take a quarter more for all of them to clear of their names and their demand to again come back to India.
Huseain: And sir, lastly on this agrochemical intermediate that you said we are investing across Rs. 200 crores in this new agrochemical intermediate, so for any specific products that are there, will it be margin accretive, so

me color on that if you can share with us? How it will be in times to come?
Siddharth Sikchi: While Sanjesh asked the same question, the answer was it is not 200, it is Rs. 30 crores, it is the pharma intermediate. The revenue expected is about Rs. 100 crores and major market is Indian market. So, out of 200, Rs. 30 crores in this, and for balance Rs. 170 crores - the products are still to be announced to the market.
Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.
Jason Soans: My question is in terms of, what happened is our volumes have basically tipped off or had a steep fall from the past year and what I believe is our product goes into the critical application in super absorbent polymers which have various applications, so I expect that demand should be

sort of stable in nature, but of course, as a steep demand fall. Now, I can see that China has markedly slowed down, there is steep increase in interest rates all over the world as well which is having an impact, but could you give us some more color as you spoken about in the presentation at two third is basically a volume drop, so what is the exact reason for this such a sharp fall in volumes, more color on that just I wanted some more color?
Siddharth Sikchi: The main issue is destocking. Similar to pharma industry, if you see the revenues or volumes have dropped, it is not that people have stopped taking medicine, but the reason is people had overbooked capacity or overbooked product from us in the past assuming there would be a product shortage or there would be logistics issue which that is what I mentioned in my starting remark that this destocking continued to happen during Quarter 2 and that is the reason why the off take has been lower than it was in the past.
Jason Soans: And sir, wanted just a clarification, this Clean Fino-Chem, basically whatever CAPEX you are putting into Clean Fino-Chem, is that particularly going to be only for HALS?
Siddharth Sikchi: No, sir. Basically Clean Fino is a very large facility, the land is about 35 odd acres. There will be at least 5 or 6 more facilities like HALS to come in there. HALS is just one part of the entire block, but because it is a Greenfield project, we have to invest in admin block, in warehouse, in ETP, in utility blocks, in solvent storage. So, the entire thing is building up, but like if you see the new facility, the new pharma intermediate which we are starting, the only production block cost is only about Rs. 30 odd crores which will give us the revenue of Rs. 100 crores because all the other ancillaries are made with the HALS. I hope I am able to explain you.
Jason Soans: So, HALS is only a part of it. You are of course, going to do more capacity expansion in that large piece of land, basically that is what you said?
Siddharth Sikchi: Absolutely, so there will be lot more products coming into that facility.
Jason Soans: And sir, lastly, I just wanted to know if you can share Guaiacol, sir, how much percentage of revenue does it contribute to?
Siddharth Sikchi: We don't share individual product wise contribution.
Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: First on the sales part, now Q-o-Q basis, you did mention that there is a volume recovery, just curious from a volume decline what we saw in the last quarter, how has been the improvement and any specific business segment wherein the improvement is more or less out of the three segments?

Siddharth Sikchi: So, in quarter, this is expectation right of quarter 3. So, we feel pharma should be good enough, but other we are still trying to understand because November and December months are typically slow because everybod

y is on the mode of reducing stock across the world. So, November and
December are typically slower months for us. I think the best judgment we will be able to give
you on the next concall where we will have Q4 picture more clear to us.
Ankur Periwal: My question actually was more specific to this quarter, so 4% Q-on-Q declined, right, wherein
you said volumes have grown, so obviously there is a decline in realization here, but from a
volume decline perspective, the volume that we were doing in the last quarter versus this quarter,
is there any specific segment which is driving or it is pretty broad based?
Siddharth Sikchi: So, FMCG segment boosted, we saw volume growth in DCC and TBHQ also as we mentioned
we have witnessed volume growth. So, volume led increase in sales during this quarter was Rs.
8 crores, realizations impacted by negative Rs. 15 crores and that is how we see a negative Rs.
7 crores quarter-on-quarter decline.
Ankur Periwal: Secondly, on a gross margins, now on a year-on-year basis or Q-o-Q basis, there have been a
pretty decent improvement and this is when 25% of the revenues are coming from the non-core
part right, the new products, the non-flagship products are contributing, so will it be fair to say
that whenever the demand bounces back sharply, the margin jump could be even higher or are
there efficiency that we have derived in the non-flagship product wherein the margin accretion
of these products is also strong now?
Siddharth Sikchi: No, it is decent enough, but I think it will be wise to consider these margins only for these non-
core products.
Ankur Periwal: On the HALS pricing, you did mention that and congrats for the new orders from China, Taiwan
as well as 770 getting good traction, how are we pricing these products, vis-à-vis and presuming
BASF will be the largest competition here, so how are we pricing our products vis-à-vis BASF?
Siddharth Sikchi: BASF is one of the suppliers, today the prominent pricing level guys are the Chinese. So, today,
we have to mark our products at par with the Chinese prices and we have no choice, but to mark
closer to them to grow our market share even slightly lower to China to get more market share
within India.
Ankur Periwal: And from an operating performance perspective, I know it is still early days, but going ahead
we should expect process led efficiencies and the pricing being the same or maybe the product
mix itself will change and contribute better on the margin front?
Siddharth Sikchi: Both, I think one, even like I mentioned during my talk also that China has cut prices across all
products and all segments which might improve in the future, which I am not very sure about
whether it will happen in Q3 or Q4, but that should happen. So, once Chinese start raising their
price, we will be able to also raise our prices number one and number two starting January when

we will have the other range coming in that will give our customers more, they will be able to
buy more products from us and that will help us to reduce our fixed cost by selling more volumes
from our facilities.
Ankur Periwal: Just last bookkeeping question on the working capital bit, the inventory days have short of a bit,
any specific thing to read over there?
Pratik Bora: Ankur, if you see our Balance sheet, actually value wise inventory remains closer to the March
number. Because you are calculating it on the COGS or on the raw material purchase that is why
optically the number of days look higher, but if you look value wise it is almost in line with the
March number.
Ankur Periwal: So, volume wise, the numbers would be higher because the raw material prices have come down
as well so?
Siddharth Sikchi: Yes, so it is essentially the WIP stock, which has gone up.
Ankur Periwal: Because of the dispatches that we have been doing now that explains.
Siddharth Sikchi:

Yes.
Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please
go ahead.
Abhijit Akella: Just with regard to the outlook for the second-half of FY24, given that it is likely to take another
couple of quarters almost for demand to come back, should we sort of expect that volumes
gradually pick up from the levels of 2Q over the next 2 quarters or should we continue to work
with these volumes and pricing also remains around these levels, how would you sort of expect
things to shape up in the next 2 quarters?
Siddharth Sikchi: This would be forward-looking statement. We will see as it comes because we are also amidst
trying to understand where the markets and where the world is leading to.
Abhijit Akella: Then just on the 2Q results, I am sorry I wasn't exactly able to understand the reason for the
increase in power cost on an absolute basis, I guess you were mentioning maybe that percentage
terms it has gone up for some reason, but why the absolute increase quarter-on-quarter and also

if you could please just share the breakdown of volume versus price on a year-on-year basis for 2Q if that is possible?
Pratik Bora: So, first on power and fuel cost, actually the production has increased for the key products by over 25%. However, that production increase is not reflecting in sales because the inventory has also gone up and also the sales realization has come down. But with the increase in production,

the power and fuel cost shot up and as a percentage of sales it looks even little higher, as sales are lower.
Abhijit Akella: So, this also explains the increase in inventory in that case, is that right?
Pratik Bora: Exactly.
Abhijit Akella: And also the volume versus price breakdown for the year-on-year?
Pratik Bora: So, of 27% declined, primarily it is led by almost 50:50 volume and realization.
Abhijit Akella: And just one last thing from my side, I believe the Agro Pharma project that we had announced a couple of quarters back, right that for which we have just done the Bhoomi Pujan, if I am not mistaken the original schedule was maybe to start construction around July or August and then commission the plants around 2Q of FY25, so are we still on track for that commissioning timeline or this could take a little bit longer than that?
Siddharth Sikchi: You are absolutely right. We had announced a little earlier, but I think we got delayed because of these market situations and we were evaluating ourselves, but with Bhoomi Pujan happening on 20th of October, you can calculate about 9 months from today the plant should be up and running.
Abhijit Akella: And then the same timeframe for the subsequent products as well as when we announced them?
Siddharth Sikchi: No, we have not announced them, we are still under evaluating, but hopefully we should start announcing as and when we move forward with those.
Abhijit Akella: But it will again take 9 to 12 months is it to commission those as well?
Siddharth Sikchi: Typically, a block for us takes about 9 months.
Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.
Arun Prasath: Sir, my first question is on this destocking phase that you are talking about, in last 15 years, you would have seen this kind of a situation a couple of times, so from that experience, can you help us understanding this destocking to say restocking, what is the typical timeline in terms of, say months or weeks you have seen in the past?
Siddharth Sikchi: So, typically, to my understanding it should be anywhere between 2 to 3 quarters. See, this time it is also more as there have been two reasons, one, people have really overstocked because of COVID and assuming there will be logistics issues and all that and the second big problem happened was the demand collapsed when the world

opened up. So, it has been two-sided sword.

So, we expect it should be anywhere between 2 to 3 quarters of this destocking depending on region to region, company to company and product to product.
Arun Prasath: When you see demand collapse that you are seeing across all your, say top three products or it is more specific to more like a Guaiacol situation or where there is an uncertainty where it will come back, or it is more like a temporary setback?
Siddharth Sikchi: It was more predominantly in the performance segment. It was more predominant in performance chemical segment, but unfortunately that accounts for the major portion of our revenues, which is about 65% to 67%. We did not see so much destocking issue in pharma, intermediates or in FMCG segment.
Arun Prasath: Because our understanding is if you see MEHQ, which majorly goes into super absorbent polymers, though there will not be any growth, it is more or less kind of a very resilient end consumer demand will be there, so is it really a demand setback or there is a market share loss that is a key question there?
Siddharth Sikchi: See if it was a market share loss, we would have known for sure, but I think maybe a little bit plus minus 3%, 4%, 5%, I am not able to gauge to that extent, but what had happened is because performance chemical becomes the lowest in the priority of a purchase manager, but it is one of the most important item. So, he doesn't want to stop his production or miss his production because of lack of performance chemical. So, I feel there is more stocking of these performance chemicals because these are the cheapest item in the purchase list, so when destocking happened, these items were far more in their warehouse than the major key raw materials is my anticipation of this entire situation. Hence we saw more problems in performance chemical rather than pharma intermediates or in pharma agro or the FMCG segment.

Arun Prasath: And looking at the October, November in terms of monthly volume, how far you are from say typically that you will see the volumes in this October, November, December quarter, how far we are from the steady state numbers in terms of volume?
Siddharth Sikchi: I think that I will be able to tell you in our February call.
Arun Prasath: My second question is on your commentary on the non-core products like TBHQ and DCC, we have seen fair volatility in the demand of these products or there is I would say some kind of a seasonality is there, so this what you are seeing in this last quarter, it is more sustainable or still you will be seeing some ups and downs on this?
Siddharth Sikchi: No, these are not cyclical products because TBHQ is used as a stabilizer in edible oil business and DCC is of pharma intermediate for Valacyclovir, which goes into ARV. It is a pharma product. So, these are typically decent volume, steady supply products, these are not cyclical at all.

Arun Prasath: So, that means what we are seeing the demand that we are seeing in this quarter that I think what you are saying is sustainable?
Siddharth Sikchi: You can take plus minus 20%, but these are not cyclical for sure.
Arun Prasath: And TBHQ, it can become potentially the major product, your dependence on HQ will also go up?
Siddharth Sikchi: Yes, we have dependence on HQ and all products manufactured are important products for us, we will never manufacture a product which is not important to us, right.
Arun Prasath: But do you have any process which can take care of the HQ production in case this becomes big opportunity?
Siddharth Sikchi: Today, HQ is quite abundantly available from India, China, Japan, United States, Europe, so today we have no issues in procuring these raw material and the prices which we are able to get these are also quite competitiv

e compared to our competitors.
Arun Prasath: And finally on HALS, you spoke about the export market, can you give a little bit more color on where we are in terms of building relationship this end customer and distributor, what are the key push backs that you are getting and how we are going to make roads in these markets?
Siddharth Sikchi: We are actually in a dating phase with our customer. They are evaluating us, we are evaluating them, we are trying to show them what best we can do for them, they are not willing to totally believe us, they want to evaluate us more I think it will take few quarters for positive outcome.
Arun Prasath: And this is typically a direct relationship with the customer, no distributor involved in these products, or how it is?
Siddharth Sikchi: Both because say for instance in India we have direct relationship with large customers. We also have distributor models because lot of small customers prefer to get the product in a day's time, same as in the case with Europe, we have distributor model and also we are speaking to some large customers if they can.
Moderator: Thank you. The next question is from the line of Manan Poladia from MKP Securities. Please go ahead.
Manan Poladia: Sir, my question is firstly on the TBHQ HALS side, what I want to understand is you said that about 25% of the businesses this quarter is basically from the new products, which sounds quite interesting, if you could quantify that going forward for the next 3 or 4 quarters per se, how much you expect them to contribute to your topline in terms of absolute terms and percentage of revenue terms?

Siddharth Sikchi: See, this is the first quarter when we have non-flagship products have 75% and we have grown our new products to 25%. Of course, since we are not raising capacities of our flagship product at the moment, so all the growth which will keep coming would be from the newer product. So, subsequently in each quarter and quarter you will start seeing that our flagship product percentage to revenue will start coming down and these newer products will start contributing more and more. Now, I would not be able to give you exact quarter and exact absolute number, but typically if you see if you are able to start our HALS with an investment about Rs. 250 odd crores to begin the plant in January and so let us assume we will have that sales coming up. So, when these sales numbers start coming up, my flagship product numbers in comparison, the percentage of flagship will keep reducing and non-flagship product will start increasing.
Manan Poladia: Just a short follow up on that, so you expect this trend to continue even after your Guaiacol capacities come back to more utilization, right?
Siddharth Sikchi: Yes, Guaiacol is a one-off case, but we don't expect that will change the entire scenario and Guaiacol is still being produced because it is a core product for us.

Manan Poladia: Also, sir, just one last question on the CAPEX side, you said that you have done another Rs. 150 crores this quarter and we have about Rs. 250 crores on the balance sheet, right, what are our CAPEX plans for let us say the next 3 fiscals?

Siddharth Sikchi: So, there will be more projects which are coming up. We have anticipated or we have earmarked additional about Rs. 170-Rs. 180 odd crores which we will announce probably in the next one to two quarters for the products which we will start with that investment.

Manan Poladia: And so that will all be financed by internal accruals, correct?

Siddharth Sikchi: Absolutely and everything will be happening through our internal accruals. We are sitting on cash of Rs. 250 odd crores, so the new CAPEX will also happen through our internal accruals.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Just one

from my side, I think you mentioned that your HALS sales have reached 40-50 tons per month, so just wanted to understand what is your internal target by end FY24 and start off FY25?

Siddharth Sikchi: 200 tons per month. I don't know how much I will be able to achieve. By end of 25, so you are talking about say probably March 25, our target is to sell this product and new products of this series should also start selling. So, we have a big target in front of us.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, in your opening remarks, you mentioned that there has been a pricing pressure across most of the products, so have we seen those prices coming down to the pre-COVID levels and what is your sense in terms of whether these prices will stabilize at these levels? You mentioned that once China comes back to normalcy, probably the pricing will move, but in the intervening period, what is your sense in terms of how the pricing will behave?

Siddharth Sikchi: To my sense and to my best of my understanding, the prices which we were offering in Quarter 2 were one of the lowest prices we have seen over the last several years, so I do not see further discounting of price unless something new comes up and the commodity prices further or the crude oil prices drops further and the demand is an issue, then the prices might have to further lower, but to my understanding the prices should not lower beyond this point is my sense of this business.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for their closing comments.

Siddharth Sikchi: So, thank you so much for your time and to understand the performance of our company, Clean Science and Technology. Again, wishing all of you in advance a very happy and safe and healthy Diwali. Thank you so much. Take care.

Moderator: Thank you, members of the Management Team. Ladies and gentlemen, on behalf of Clean Science and Technology Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

06.02.2024
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E), Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of the conference call held on 3rd February, 2024 to discuss Q 3 FY24 performance.

Ref.: Regulation 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulation s. 2015 ("L isting Regulations")

Dear Sir/Madam ,
Further to our letter dated 17th January, 2024 and i n terms of Regula tion 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of the conference call held on Saturday, 3rd February, 2024 to discuss Q 3 FY24 performance.

You are requested to take the same on record.

Thanking You.

For Clean Science a nd Technology Limited

Mahesh Kulkarni
Company Secretary

"Clean Science and Technology Limited
Q3 FY'24 Earnings Conference Call "
February 03, 202 4

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND EXECUTIVE DIRECTOR – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CHIEF FINANCIAL OFFICER – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. PRATIK BORA – VICE PRESIDENT – CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY'24 Earnings Conference Call of Clean Science and Technology Limited. We have with us on the call Mr. Siddharth Sikchi, Executive Director and Promoter , Mr. Sanjay Parnerkar, CFO , and Mr. Pratik Bora, Vice President. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operat or by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you, and over to you, sir.
Siddharth Sikchi: Thank you so much. Good afternoon to all of you. First of all, my sincere apologies for making you all come on the con call on a Saturday afternoon. However, I'm very happy to connect with all of you again to discuss the performance of our company for quarter 3 FY'24.
Business environment : We witnessed progressive recovery during this quart er across volumes compared to the last quarter. Low demand globally along with incremental capacities which came up over the last couple of years, especially in China, is putting downward pressure on price realization.
On the financial highlights : On a Q -o-Q basis, we recorded 8% growth in sales and growth is primarily volume -led with realization being steady. We are pleased to report that during this quarter, Guaiacol sales increased by 50%, led by volume growth. With pickup in volumes, contributi on from principal products increased to 78% during this quarter compared to 73% during the last quarter.
EBITDA increased by 14% to INR86 crores during this quarter, while EBITDA margin expanded to 45% as against 42.5% during the last quarter. Better produ ct mix and benefit of operating leverage led by higher revenue base compared to last quarter resulted in 20% growth in PAT to INR62 crores as against INR52 crores during the last quarter. We are also extremely pleased to report that Board has approved an interim dividend of INR2 per share.
On Q -o-Q basis, sales declined by 18%. Decline is majority realization led with lower realization contributing 13% to decline and volume led degrowth has been up to 5%. Sales profile is more diversified compared to last year with contribution from principal products being 78% during the quarter as against 85% during the same quarter last year.
EBITDA degrew by 20% on a year -on-year basis from INR108 crores to INR86 crores during this quarter. However, led by better profitability across newer products and lower consumption prices, the EBITDA margin continues to be robust at 45% during this quarter compared to 46% same quarter last year.
It is relevant to note that here EBITDA margin continues to be strong despite diversified sales profile and lower sales base.

Sales profile : The revenue contribution from Performance Chemicals, Pharma and Agro Intermediates and FMCG were 67%, 19% and 13%, respectively. Performanc e segment was most impacted with realization -led decline in sales across MEHQ and BHA. Pharma segment growth was led by DCC. This improvement was volume led. And FMCG segment witnessed realization -led decline in sales. The new HALS series continued to demonstrate sequential uptick on a quarter -on-quarter basis with volume -led increase in revenue by 10%.
A little bit on capex update. We have incurred a capex of INR225 crores during the first 9 months of FY'24, including investment in subsid iary of INR215 crores. Total investment in CFCL during this quarter was INR60 crores, thereby total equity infusion into CFCL till date is INR 335 crores. We are on track to comme

rcialize the capacity for pharma intermediates by Q3 of FY'25.
On ESG, we are pleased to announce that we have published our maiden sustainability report and would be happy to have your view on the same. We are in process of installing rooftop solar plant of 1.5 megawatts at our new facility. This will moderate our carbon footprint and also rationalize the power bill.
So all in all, to summarize the business performance : earnings scale is impacted during current slowdown. Further earnings profile has diversified with meaningful revenue coming in from new products, yet earnings qua lity, that is EBITDA margins continue to be upbeat at 45%. We reiterate that innovative technology and strong process engineering skills would enable the company to endure volatile times in resilient manner. Thank you so much.
Pratik Bora: Operator, you may open the call for Q&A.
Moderator: Sure. Thank you very much. The first question is from the line of Sanjesh Jain from ICICI

Securities. Please go ahead.
Sanjesh Jain: Hi, Siddharth . Thanks for taking the question. I got a few of them. Fir st, on your opening remarks you said that there has been a lot of capacities which have come in China and put a pressure on pricing. When we look at the performance, it really doesn't look on that. Is it that these pressures have come in post this December or it is an ongoing process even in previous quarter and few quarters behind also you have seen that?
Siddharth Sikchi: No, Sanjesh, it is a very generalized statement because we have seen capacities of, say, diphenols, which has come up over the last few quarters in China. And even in our pharma intermediaries we see Chinese had raised up capacities. So there has been a stiff competition. And I think it is a very common phenomenon in all chemical segments at the moment.
Sanjesh Jain: Anything in the particularly for MEHQ/BHA, which are our principal product. Are we seeing activity on that side as well?
Siddharth Sikchi: Not at the moment in the current technology. But of course, because they have hydroquinone based processes. But as of now, there is no real threat in MEHQ and BHA for us.

Sanjesh Jain: And second, Siddharth, I can appreciate the percentage margin and which are very healthy. But it is also a factor that there is a significant fall in the realization, which make percenta ge margins slightly less reliable. How is the unit margin for us? Are they also back to that pre -COVID level which we were doing? Or how are they for MEHQ and BHA?
Siddharth Sikchi: On percentage -wise, yes, we are on pre -COVID levels. But of course, the ab solute numbers are lower because the prices have fallen significantly, right, because of the current scenario.
Sanjesh Jain: My next is on the HALS 770 and 701 now that we have started commercial production and supply side, what are the initial response, customer addition, which category, domestic versus international. Can you give a little bit more color on that?
Siddharth Sikchi: Yes. For the 701, it also goes in water treatment. We are approved by some big multinationals in Europe. We have started exporting the product to China. I mean, that's again a thing because China has been supplying 4HT to the world. So we've got our presence there and send some material to China. We have sold something to Korea. And we are also now in the process to discuss with some customers in Europe and North America.
For 770, yes, we are approved with a lot of customers in India. And of course, we have also started talking to global customers. You would have started seeing we have started shipping to Europe, to Middle East, and domestically our acceptance is increasing, and we see that this is a great support to us. And as the new series will start in Februar y-March, that will be a real support because the customers are looking

for a basket rather than a single or 2 products.
Sanjesh Jain: Fair enough. You touched upon my next question, actually. Where are we in the portfolio? We previously spoke that we are l ooking at some 10 products within the HALS basket. Are the products completely prepared in the pilot stage and it's just that this new plant when it starts we are good to go? Where are we in those products ?
Siddharth Sikchi: So now the plant is going to start. So phase wise, in every 15, 20 days, so the capacity is installed for all the products. But of course, it would not be sensible to start everything at day one. So we are going to start, say 1 pr oduct, say, day one, let it stabilize for 2 -3 weeks, then start the second one, stabilize it, and start the third one.
So even my people have to get trained because these are absolutely new products and processes at Clean Science. But the capacities are all installed. The INR335 crores is invested and the plants are now about to begin.
Sanjesh Jain: So say, by another 2 quarters, we should be ready with all the 10 products commercially getting shipped. Is that a fair assumption?
Siddharth Sikchi: I would not know exactly the 10 products, but yes the major HALS which we have mentioned, they will all be in pipeline. And we would have already started selling, sampling and everything will happen.
Sanjesh Jain: Last question on the utilization side...

Siddharth Sikchi: And again, Sanjesh, if you would appreciate that despite of the current business environment, despite of our venturing into the HALS first time in India, our timelines which we had me ntioned all along that the plants will start in December, January, I think we are quite there even despite the biggest capex in the history of the organization and being a greenfield project.
Sanjesh Jain: No, no, I clearly appreciate that, Siddharth. It's a phenomenal execution , timeline, product, and

margins are really impressive in this tough environment and no credit from that perspective. It's been a phenomenal execution. Just looking at the HALS pickup, I just wanted to understand how are you looking utilization in FY'25 and '26 from these new plants?
Siddharth Sikchi: I think it's a future statement.
Sanjesh Jain: I think just on hope. I'm not...
Siddharth Sikchi: So typically when we install a capacity, see the general thumb rule in our mind is the capacity utilization shou ld happen up to 80%, 85% in 3 years' time. So 30 %, 30%, 30% sorts . This is a basic thumb rule we expect .
Sanjesh Jain: That's roughly an assumption ?
Siddharth Sikchi: And anything faster is a bonus to us.
Sanjesh Jain: Perfect. Siddharth, any more update on the pharma side. We have announced 1 product previously and we said that we have an ambition to put up the capex of INR200 crores. Any more update on that side?
Siddharth Sikchi: So the pharma intermediate plant, the construction has begun. We hope to start commercialization by September -October. So that is ongoing. That is one. And there is another update - few projects which are in pipeline, which are at pilot scale, and we are very hopeful that in th e next few weeks we will take a decision on the capex for those things. So there are 2 major products, which we are working on, and those in total can take up our capex of INR200 crores, INR100 crores each.
Sanjesh Jain: Got it. So we are on the pipeline. We are on the on the route map for that as wel l, right?
Siddharth Sikchi: Absolute, absolutely.
Sanjesh Jain: Got it. Thanks for that for answering all the questions and best of luck for the coming quarters .
Siddharth Sikchi: Thank you so much , Sanjesh as always
Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Thanks for the opportunity there. So first question, y

ou started off saying that globally pressure on realization still continues. And especially China, the demand has slowed down there. But if I

look at the quarter -on-quarter numbers, there has been improvement in China sales per se. Any specific product which is driving this? Or how should one look at it?
Siddharth Sikchi: First of all, your voice is not clear, Ankur.
Ankur Periwal: Should I repeat the question.
Siddharth Sikchi: Yes, Yes, please. Ankur please repeat. Hello?
Moderator: I'm sorry, sir. Seems like the current questioner has dropped from the queue.
Siddharth Sikchi: No problem. You can take him again , now the next question, please.
Moderator: Sure, definitely . The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.
Arun Prasath: Siddharth, my first question is on the -- once again on the China. Generally , we get the commentary that Chinese volumes and exposure once again back. And -- but in our portfolio, that's the exposure the Chinese kind of halved, what you said around 40%, 45% is now way lower than that. Is it the result of the Chines e capacities coming up there? Or do we plan to get back those volumes? A little bit of commentary on this will be helpful.
Siddharth Sikchi: So, Arun, the sales to China or the percentage exported to China, that going down has nothing to do with any of the capacities or anything coming up in China. It's overall slowdown in the revenue and some change in the product mix also with the highe r capacity coming up, with the new products coming up, the domestic sales exposure has gone up.
Arun Prasath: Okay. So our volumes in China remains absolutely the same level, not -- maybe visitors in '21 levels, it has remained the same.
Siddharth Sikchi: No, it has lowered a little bit because of the lower demand in China.
Pratik Bora: So the point we're trying to make is, we are not getting replaced. We are not losing market share in any of the customers I mean, with any of the customers.
Siddharth Sikchi: And also, we have derisked -- I mean, with the new product portfolio, we have derisked ourselves from the exposure when we were selling into the China market.
Arun Prasath: Is the HALS contribution so high that has kind of derisked already? Or is it you're talking about the other products other than say, MEH Q and BHA?
Siddharth Sikchi: No. So there are -- even the HALS, but even the pharma intermediates, they are now -- the Indian markets are opening up for those products as well, right . Hence, even if you see the revenues, which were predominantly from the flagship products has come down in terms of percentage. So earlier where they were contributing 85%, now are roughly close to 75%, 76%. So that 7%, 8% has been the majority Indian sales or the domestic sales.

Arun Prasath: So what I understand is, as far as our portfolio is concerned, especially with MEHQ and all, the Chinese production is yet to ramp up and hence our volume is not yet there. But once China gets back, especially on this front, are we confident of getting back those volumes? Or it will be kind of a tough competition with these captive producers there -- local producers there?
Siddharth Sikchi: So hopefully we hope that the economies will recover. We hope that things will again come to normalcy. And again, the demand should come up. This destocking as, I think, has hopefully come to an end, and that is why you can see our Q3 numbers -- I mean, quarter -on-quarter, our numbers have started improving. So it is not a firm answer, but I can -- I think, hopefully, the economy should move towards recovery.
Arun Prasath: That's right. But what I'm trying to understand here is our cost advantage over the Chinese because of the different process …

Siddharth Sikchi: Still the same.
Arun Prasath: Is it still intact ? Do you think -- or the new capacities are also -- are likely to bridge the gap?
Siddharth Sikchi: Not at the moment. It's the advantage is still intact. Hence, that is why the EBITDA percentage remains the same, right?
Arun Prasath: But the new capacities are also on the -- will be -- we'll h ave -- over that also will have advantage that's what you're saying, right? New Chinese capacities.
Siddharth Sikchi: We're talking about new capacities of MEHQ at the moment.
Arun Prasath: Second on HALS, the price level has obviously been way lower than what used to be there. Is this the new normal because of our entry into the ecosystem? Or is it again because of the lower demand at the end category level?
Siddharth Sikchi: So typically, whenever there is a new entrant, I mean we have seen this acro ss all the products when we started. I mean the existing players -- I mean, the only point of advantage they have is -- I mean, they lower the price to make our entry difficult in new accounts. It is a very natural phenomena, and I think we are used to thi s.
So we had expected, of course, the prices have dropped more than our expectation. But we are in the game, and we will comp ete and we'll fight it as we have done all along.
Arun Prasath: No doubt on that. But the question is -- earlier we attributed the price drop to the demand cut down, are we seeing the demand bounce back on HALS side?
Siddharth Sikchi: See, over the last year, whatever the demand has been during entire '23, it was a subdued year. So I think '24 should be a slightly better year.
Arun P rasath: Right . Understood . Thanks for that's . All the best . Thank you.
Siddharth Sikchi: Thank you, Arun.

Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Sorry, the line got dropped. I hope I'm audible now ?
Siddharth Sikchi: Clear.
Ankur Periwal: Yes, great. Okay. So first question on China as a market. You did mention realization led pressure and consumption over there has also been slower. Yet Q -on-Q, our revenue from China has gone up. Any specific comment, any product which has clicked there?
Siddharth Sikchi: In general, we are seeing a little demand picking up. But of course, I mean we would have liked the little higher price as always. And -- but I think with the lower and subdued demand, we are restricting ourselves to increase the price because we don't want to spoil the customer or I mean disappoint the customer when he's returning after a few quarters by asking him a price increase.
Ankur Periwal: Sure. And correct me if I'm wrong. The pricing over here is more spot. There is no longer -term contractual pricing that we enter into for the international sales.
Siddharth Sikchi: In China, yes, in particular, it is a quarter or a monthly price. Very rarely, people talk of a longer price. And I mean, it's a trend whenever in falling markets, nobody wants to make a long -term contract. In rising market, people all want to meet long -term contracts. It is very simple.
Ankur Periwal: And the oth er markets, Europe and US as well over there, the pricing is still shorter than contract?
Siddharth Sikchi: Yes. But again, Europe is a little slower than we had expected. North America, South America is decent .
Ankur Periwal: Secondly, on the prod uct growth per se -- the segmented growth per se. Performance Chemicals has seen Q -on-Q improvement, which is a good, healthy sign. Pharma, you mentioned is largely volume -driven and FMCG decline is because of realization. Any specific product to highlight here, the new product contribution ramping up, which is setting there in performance?

Pratik Bora: So Q -o-Q wise actually MEHQ, there has been a good growth.
Siddh

arth Sikchi: Apart from that, I mean, the other products also, the new products which came i n, they have also contributed in.
Ankur Periwal: And thirdly, on the HALS side, you did mention a decent uptake in terms of both 770 and 701. Any time lines you would like to share for the newer products? And the -- secondly, from an overall market size, w hile we are seeing realization -led decline or absolute shrinkage in demand for many of the products, is there any change or some dynamics changing in HALS per se across the products?
Siddharth Sikchi: Ankur, please repeat.

Ankur Periwal: Sorry. Okay so two parts of the question. HALS, is the way we are seeing realization -led decline in other products. Are we seeing the same decline in HALS range of products or the overall market size of the segment getting decline? And secondly, how are we looking at the ti me line for our products?
Siddharth Sikchi: See, I'll tell you -- the point is, Ankur, that we are just a very new start -up in HALS, right? Even if there is a little demand subdued, we are anyways not looking to get a big market share. Even out of the enti re capacity installed, we are only looking to start commercialization, say, 25%, 30%. So even in subdued markets, have a problem, but it is not that it is so low that we will not be able to sell 25% of our installed capacities.
Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.
Jason Soans: Just wanted an update on the -- so the inventory destocking scenario right now, you mentioned last quarter that a lot of the inventory is in exces s. Just wanted an update on the destocking scenario. Right now, how do you see it across the various economies?
Siddharth Sikchi: So honestly speaking, I particularly feel that, I mean, we have been seeing destocking over the last entire year. And I think -- I mean, according to me, one year was a good time line for all the destocking to happen. So I think now -- I mean, maybe one or two particular accounts, I'm not sure. But in general, I think the destocking phenomena is now behind us.
But only what is st opping us is the consumption. I think the demand or the consumption has to increase for the volumes to come back to normalcy. But the destocking phenomena is behind us now for sure. And hence, you can see gradual increase in revenues over the past few quar ters for us.
Jason Soans: And sir, I just wanted to also understand that -- I mean, of course, you have mentioned that there is no localized competition coming in from China, and we are not seeing any local threat right now. But just wanted to know, I mean , I understand that we have an absolute wonderful process in terms of MEHQ and BHA, which gives us a very productive throughput from -- and so that's the only process advantage?
Is the only thing which stops the Chinese from coming into our domain, I mean, could it be a very basic question to ask, but just wanted to ask you this.
Siddharth Sikchi: I also believe the same thing what you said.
Jason Soans: Okay. And sir, I just wanted to know, I mean, you did speak about the contribution from the principal pr oducts decreasing from 85% to 76% currently. So the new products are adding in more. So you're basically diversifying basically. So are you saying -- I just wanted to understand the interpretation of that.

Are the pharma and agro intermediates that contrib ution is increasing? Or is there any other new products which are contributing? I just wanted some more colour on what these new products are, which are leading to this diversification.
Siddharth Sikchi: New products are like TBHQ, the new products are the HALS, the new pharma intermediate is DCC. So these were at nascent stage, say, few qua

rters before. Now we have got approval. These
volumes are increasing. So these will start -- we have started increasing -- I mean, the revenues have started increasing d ue to these new products.
And hence, the percentage is changing. And plus, as the new HALS capacities now start, the percentage of the flagship product will further start reducing. So it's good for a company that we are not dependent on just few products.

Jason Soans: And sir, lastly, just wanted to understand if you could give me -- in your three segments, if a volume and realization breakup, if you could give me if it's possible -- across performance chemicals, agro intermediates, and FMCG chemicals?
Sidd harth Sikchi: Not possible, sir.
Jason Soans: Okay. And overall, if possible, any broad number?
Siddharth Sikchi: Overall, what -- the EBITDA margin -- the numbers are with you.
Jason Soans: No, no. I'm saying in terms of volume and realization, so that in terms of sales.
Siddharth Sikchi: Actually, these segments are so complex -- each products, different realization, it is too complex for us also to calculate.
Jason Soans: Yes, because 18% of the revenue decline year -on-year. So, just wondered if a ballpa rk is possible?
Pratik Bora: So 13% is realization -led and 5% is volume -led.
Siddharth Sikchi: 13% is realization -led and 5% is volume.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.
Abhijit Akella: Just on HALS, Siddharth, last quarter you said sort of intimated us at 40, 50 tons a month is what we are doing. So sort of just wanted to get an update if that's still the run rate we are at? Or has there been some further improvement? And by the end of f iscal '25, are we still sort of looking at 200 tons a month? Is that the target?
Siddharth Sikchi: No, I think last quarter, yes, you were around the similar numbers. But I think going forward we are aiming to increase that quite a bit.

Abhijit Akella: Yes. So I believe last quarter what you said was 200 tons by March 2025 -- 200 tons a month by March '25. So can you sort of work with that target now as well?
Siddharth Sikchi: I think so. I think so we should stick to that target.
Abhijit Akella: And just w ith regard to the margin profile or ROCE profile on HALS, given the pricing pressure that you've been witnessing. During the course of FY25, should we sort of expect some pressure on the overall blended margins as the products ramp up from there?
Siddharth Sikchi: Yes, definitely because we are newcomers, the yields and efficiencies are not the best, plants are underutilized . So of course, there will be pressure on margins.
Abhijit Akella: So I mean, roughly compared to this 45% you've seen this quarter, is there a broad number we could work with for next year for the overall company?
Pratik Bora: Abhijit, I mean, this question we can take probably next quarter because there are couple of new products, right? I mean for the HA LS Series which will be coming in the subsidiary company. So then we'll be able to give a better view on the margins for the new products which should be coming up. They'll be launched for the first time.
Siddharth Sikchi: First time in India as well.
Mod erator: The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.
Pratikshit: Yes, hi. Siddharth this is Pratikshit. Thank you for taking my question. Just one from my side. I mean, could you just break down the total capex for '25 and '26 as in project wise, if possible. I think you mentioned that there are two capex, it's INR100 crores each.
And then in the last call you said about INR30 crores for one pharma intermediates. So what other projects are there in pipeline? So y es, that are two part of the question. That's it.
Siddharth Sikchi: So first, I'll answe

r the second part. I think at the moment, we have this INR230 crores line -up.
The rest, we will come as it goes. The pharma intermediate is on -- going to happen by September. So this capex is committed.
The first INR100 crores, I think we should start -- I mean, if everything goes well, we should start somewhere in April or May, the first round of capex, I mean, of course, it will take -- it will happen during the cours e of 11 months.
And for the next one, I think probably it will start by August or September.
Pratikshit: So in a way, if we see this, let's say, INR230 crores, it's happening in '25. Any ballpark number you have for, let's say, the overall '25, around INR300 crores or something like that?
Siddharth Sikchi: No, no. Not like that.

Moderator: Thank you. The next question is from the line of Jay Jariwala who is an Individual Investor. Please go ahead.
Jay Jariwala: Thank you for giving me opportunity . So my first question is like the margins were around -- in between 40% to 50% over and around. So is there any chance of margin expansion after the

capex?
Siddharth Sikchi: No, not possible.
Jay Jariwala: Okay. And around INR100 crores -- INR108 crores p rofit was there near the December 2022.
So is there any timeline where we can expect to cross that?
Pratik Bora: So actually, yes, that was the best quarter, I mean, till date. There will be two, three quarters
more where we.
Siddharth Sikchi: Easily.
Moderator: Thank you. The next question is from the line of Jay, who is an Individual Investor. Please go
ahead. Jay your line is unmuted you can please proceed with your question.
Jay: Sir, in last con call one question was there regarding PBQ an d you said that you had a colour
problem -- some specific customer had a colour problem, and you are working with it. So can
you give any update for that? Is the matter sought out and you are supplying still...
Siddharth Sikchi: I have still the same answe r like last quarter. We are still working on it.
Jay: Okay. And sir, my second question is regarding Guaiacol. You said that 50% increase in sales
this quarter, that is great. So can you just give the idea that from the -- your peak Guaiacol sales,
current ly where we stand?
Siddharth Sikchi: Sorry?
Jay: Currently where we stand as a Guaiacol sales compared to our peak Guaiacol sales?
Siddharth Sikchi: I mean, the market -- the basic problem that happened because of those issues where there were
death of chi ldren in South Africa , and there was a tight scrutiny on Indian producers of
Guaifenesin, which, of course, use Guaiacol as a raw material, plus our markets like Iran and
Egypt had some currency issues.
So all those factors resulted in lower rev enues of Guaiacol. But I think over the quarter we have
seen those issues getting resolved. And hence, the customers have come back and the demand is
again looking upward, and that is how we could achieve this additional revenues of Guaiacol.
Jay: That's g reat. Sir, my question is from earlier before this issue, our sales was suppose 100 tonnes
than currently where we stand. So still we are how much behind our peak sales in Guaiacol?

Siddharth Sikchi: Now we have come back to similar levels. But we are stil l holding some stocks, right? So we
will have to work on selling those as well.
Jay: Great. Sir, my last question is regarding this MEHQ. Recently, we have done the capex and
increase our plant utilization. So now what is the capacity utilization in partic ularly MEHQ?
Siddharth Sikchi: Closer to 60%, 65%.
Moderator: The next question is from the line of Rajasekar MS, who is an Individual Investor. Please go
ahead.
Rajasekar MS: I just want to know what is your total investment on Clean Fino -Chem, and when i s the capac

ity
coming up?
Siddharth Sikchi: Sorry. Can you repeat your question?
Rajasekar MS: What is your total investment in Clean Fino -Chem? And when is the -- when are the capacities
coming up there?
Siddharth Sikchi: Yes. Clean Science has totally infused INR335 crores till date in Clean Fino -Chem, and the
commercialization is expected during this month.
Rajasekar MS: During this month. And you are also doing a lot of investments. Your peak turnover has been
about INR935 crores in 2023. With all these investments coming up, what is your increase in
turnover you were expecting? Are you able -- will we be able to double the turnover with these
investments?
Siddharth Sikchi: Yes, that's the endeavour.
Modera tor: The next question is from the line of Sunny, who is an Individual Investor. Please go ahead.
Sunny: Sir, I have a question on the pharma intermediates, the current funds as well as the proposed
ones. I just want to know, are these supplied to the dom estic market or this apply to the export
market?
And secondly, are these much more generic products? Or also it includes patented products?
And lastly, is there a contract like -- I mean, is it a long -term contract? Or it's like a short contracts
-- these are pharma intermediates.
Pratik Bora: Okay. So the first part, majority of the pharma product sales comes from the domestic market.
Second, these are -- so we are a key starting material supplier. So there's no patent or generic
aspect to it. And sorry, what was your third question?
Sunny: Regarding the contract sizes. I mean, is it a long -term contract or...
Pratik Bora: No, there are no long -term contracts here.

Siddharth Sikchi: Quarter contracts.
Pratik Bora: Quarter contracts like, yes -- three month s contact.
Moderator: The next follow -up question is from the line of Jason Soans from IDBI Capital. Please go ahead.
Jason Soans: Just wanted some bit of clarification. So 1 time I had interaction long back, I mean, we had envisaged the capex of -- this i s coming from an earlier question as well for a breakup. So we had envisaged an investment of around INR180 crores in FY24 in Clean Fino -Chem, which is in Unit 4, and INR200 crores for the new products, which I remember. So could you just bifurcate the cap ex once again for us, please? I mean, what is pertaining to HALS and what is for the new products?
Siddharth Sikchi: Because it's a greenfield project so it includes everything, including the boundary wall, including the security cabin as well, okay? But t he newer capex will only be dedicated to the plant. Only the production blocks. Now I don't need to build another security. I don't need to build another boundary wall.
So future capex, when we say, INR100 crores is typically only for that production block , and maybe two things here and there. So when you say INR335 crores, it doesn't mean that it is entirely going to HALS because we are also creating the common infrastructure.
Jason Soans: So just to again get my understanding correct, the pharma intermedi ates, which you said the capex will -- I mean, the facility will go on stream in September, October 2024, as you mentioned. And then you'll be commercializing 1 block of capex of INR100 crores starting in April this year and one in August, is that right?
Siddharth Sikchi: Provided my pilot trials are successful.
Jason Soans: Provided everything goes as per plan, then this is the plan, right?
Siddharth Sikchi: Absolutely.
Moderator: As there are no questions from the participants, I would now like to hand th e conference over to Mr. Siddharth Sikchi for closing comments.
Siddharth Sikchi: Thank you so much. I think we finished the call in 45 minutes. I think Saturday works for us as well now. So I would like to thank again all of you for taking time out, and t hat's all from my side

. Thank you so much.
Moderator: On behalf of Clean Science and Technology Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

17.05.202 4
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort,
Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conferen ce call on the Company's Q4 and year ended 31st March , 202 4 Earnings .

Ref.: Regulation 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulation s, 2015 ("L isting Regulations")

Dear Sir/Madam ,
In terms of the referred Regula tion 30 read with Schedule III - Part A to the Listing Regulations, we are enclosing herewith the transcript of conferen ce call on the Company's Q4 and year ended 31st March, 2024 Earnings held on 15th May, 2024 .

You are requested to take the same on record.

Thanking You.

For Clean Science a nd Technology Limited

Mahesh Kulkarni
Company Secretary

Encl: as above

"Clean Science and Technology Limited Q4 FY24
Earnings Conference Call "

May 15, 202 4

MANAGEMENT : MR. SIDDHARTH SIKCHI – EXECUTIVE DIRECTOR AND PROMOTER , CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Q4 FY24 Earnings Conference Call of Clean Science and Technology Limited.
We have with us on the call Mr. Siddharth Sikchi - Executive Director and Promoter, Mr. Sanjay Parnerkar - CFO and Mr. Pratik Bora - Vice President . As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you and over to you, Mr. Sikchi .
Siddharth Sikchi : Good evening, everyone. I am happy to once again connect with you all to discuss the performance of our Company for Quarter 4 FY24.
Let me brief you on the business environment to set the context for the financial performance :
We continue to witness progressive recovery across all the product segments. The recovery is primarily volume driven. In fact, we have recorded volume growth on annual and sequen tial basis during this quarter.
Coming to the financial highlights :
Starting with Q-o-Q comparison :
On Q-o-Q basis, we recorded 16% growth in sales. Increase in volumes contributed 23% increase to sales , while lower realization offset ted sales growth by approximately 7%. The product mix and geography mix remained steady during the quarter gone by . EBITDA increased by 14% to around Rs. 99 crores during this quarter, while EBITDA margin remained strong at 44%. Profitability increased by 20% to Rs. 75 crores dur ing this quarter. Key highlight of the quarter was volume led healthy growth in top line.
We are also pleased to announce the Board has recommended final dividend of Rs. 3 per share , so the total dividend payout ratio increased to 21.4% for F Y24 versus 17.5% from FY23. Led by strong focus towards cash conversion, the cash balance continues to be meaningful at Rs. 340 crore s despite increased payout ratio and significant CAPEX done during the financial year.
Coming to Y-o-Y comparison :
On Y -o-Y basis sales increased by 4% from Quarter 4 last year against this quarter . Improvement in sales is primarily volume le d. Sales profile is more diversified compared to last year with contribution from principal products being 76% during this quarter as compared to 84% during the same quarter last year. Same quarter last year, the RMC percent was lower, led by relatively higher end product prices. Accordingly on comparatively basis EBITDA de-grew by 6% to Rs. 99 crores.

On sales profile, the revenue contr ibution from Performance Chemical , Pharma and Agro Intermediate and FMCG segment was 67% , 19% and 13% respectively. Performance segment profile diversified with the addition of new HALS (701 and 770 in particular), however, lower realization impacted the g rowth. Pharma and Agro segment de -growth was Guaiacol led which recovered in H2, while DCC contributed positively to the growth. FMCG segment contributed positively to the growth. The newer segments, particularly HALS 770 and 701 continue to demonstrate sequential uptick quarter -on-quarter with volume led increase in sales by 40% , of course the base was lower.
To summarize :
On full year basis 16% de-growth in sales was realization led. In fact , rebound in volumes during H2 led to positive impact. Steady volumes despite destocking and global slowdown underscore s the client stickiness and goodwill towards Clean Science . We are indeed grateful to our customers for placing their trust in us. Further new product contribution increased to 23% from 18.5%.
An update on the CAPEX . We have incurred the

highest CAPEX in the history of Company of
approximately Rs. 235 crores during FY24 ; this includes investment in subsidiary of Rs. 215 crores. During March 24, the operations at C FCL were commercialized, which is in line with

our earlier guided timeline. Further, we have also set up a state-of-art pilot facility operating at significant lar ger scale which will further accelerate timelines for our new process commercialization. We are on track to commercialize the capacity for Pharma Intermediate by Q3 FY25.
CAPEX outlook . we are progressively positive on our trial runs for our new products u nder performance segment and we are in process of f irming up next leg of CAPEX as we analyze more outcomes of these trial runs. We will announce the capital commitment accordingly towards the new projects in due course of time.
On ESG . We look forward to o utline the ESG targets set by us for the next 5 years in upcoming annual report. We are on track to keep the emission levels , share of renewable electricity and specific energy levels, consumption levels within the target levels. We have commercialized 1.6 MW maiden rooftop solar plant at our new subsidiary Clean FinoChem Limited.
To summarize , the key highlights of the year gone by –
The decline in revenue during H1 was primarily volume le d. Progressively volumes recovered during H2 , in fact, volumes have surpassed during Q4. The sales profi le diversified product wise and geography wise. Despite declin e in revenue and product diversification , Company reported steady EBITDA margin of 43% for the full year FY24, which is in line with FY23. On CAPEX front , the commercialization has been within cost and time guidance. Thank you so much.

Moderator : Thank you very much. We will now begin the question -and-answer session. First question is from the line of Rajesh Mangal Agr awal from Rajesh Mangal and Co. Please proceed.
Rajesh Mangal Agrawal : I am a retail investor and I want to know whether this C FCL is only our subsidiary ?
Pratik Bora : Yes, there are 3 more subsidiaries, but those are non -material in nature.
Rajesh Mangal Agrawal : And in our presentation you have shown this investment, this investment pertains to the investment made in subsidiary, I think?
Pratik Bora : Yes, in the current asset, the investments are related to the treasury book and on the non -current side the m ajority is into the subsidiary.
Rajesh Mangal Agrawal : Just tell me one thing boss , in this investment in the financial year 31st March 23, we have shown this position at Rs. 281 crore s and right now we have shown it as Rs. 292 crores and we said that we have invested Rs. 215 crores in this CFC L?
Pratik Bora : Yes, that is what it is.
Rajesh Mangal Agrawal : How this how this figure applies ?
Pratik Bora : So that is what I referred to . Please see n on-current investments or long-term investments then you will see the increase which is investment in the subsidiary . The number which you are referring to is the investment in the Treasury book which is shown in the current asset side .
Rajesh Mangal Agrawal : And this CF CL is commercialized in March 24 okay, so how much we expect the top line growth and EBITDA margin from the C FCL?
Siddharth Sikchi : These are futuristic statements, so we would like to avoid making such future statements.
Rajesh Mangal Agrawal : But being an investor, I think the Company doesn’t have any problem to give this guidance ?
Siddharth Sikchi : See typically if you see our past record, this is as per our past record , our asset turn h as been close to 2.5 to 2.7, so based on the investment which we have already made, hopefully in the next 2 years to 3 years, the top line should be closer to Rs. 800 cror es based on the investments which we have already made this is again as per our past records.
Rajesh Mangal Agrawal : An

d what is the order in hand right now?
Siddharth Sikchi : We don't work like a long -term contract on these businesses. These are quarterly basis businesses or monthly basis businesses because primarily our first markets are Indian market where these UV stabilizers will be sold , so these are decided on monthly or on quarterly basis.

Rajesh Mangal Agrawal : But from this revenue mix by geography, I come to know that the Indian market in FY24 is only 36%?
Siddharth Sikchi : I was talking about only C FCL, about the subsidiary what you are talking about, the Clean Science as a whole.
Rajesh Mangal Agrawal : Your m arket is wholly in India ?
Siddharth Sikchi : No, it is not only India but our first go to market is Indian market because there are huge imports of these UV stabilizers into the Indian market , so hence these are our first target markets . We have already started exporting to Europ e, but we don't have these long -term contracts for these businesses.
Moderator : Thank you. Next question is from the line of Sanjesh Jain from IC ICI Securities. Please go ahead.
Sanjesh Jain : First help us understand ex of HALS w hat has been the gro wth in volume for this quarter? I

think that the whole point is to understand whether the underlying growth in the volumes shall remain strong ?
Siddharth Sikchi : No, HALS is a s mall portion Sanjesh because it is just recently commissioned , but the other products which we have like the antioxidant say DCC or TBHQ these products which were running at lower capacities have now started picking up and are running at decent capacity levels .
Sanjesh Jain : So, the growth in vo lume is across the categories across the product?
Siddharth Sikchi : Absolutely for all segments , all products.
Pratik Bora : Sanjesh t here is no one off in this .
Sanjesh Jain : Second, on the HALS just wanted to understand now that we have ramp up and there has been a visible growth, can you Siddharth talks a little bit on 770 and 701 because I think 770 was more an Indian product, 701 was more of an export product . How has been ramped up in each of these product , customer approval?
Siddharth Sikchi : So, let me start with 701 , so again as I mentioned, this has variety of applications, but majorly is into water treatment chemicals. The major market remains out of India and fortunately for us because t hese are export products, there are large customers who have never bought from India before, so we have now I can say that we are approved with almost all the major accounts globally, that is one good news . Second , we have now started giving trial orders or commercial shipments to all our customers and I think over the next 3 months to 5 months -time frame, we should reach a decent volumes of about a 1,000 ton per annum basis , so that remains in 701 . In 770 as I have said that gradually the Indian market should start picking up for us, which has

happened a slower than as we had anticipated , but currently we have at least I think 50% of Indian market is now supplied by Clean Science and I think over the next 3 months to 4 months period, I think this number from 50 % should become 60 % to 65 %. With our other range which are now starting within the next 3 weeks to 5 weeks -time frame, the confidence of customers that we have more products into the basket, the pickup in Indian market should gradually again increase and our endeavor is to touch 70 % to 80% of the total Indian market for all these HALS .
Regarding export market for UV 770 in particular, because that is the product which we have commercialized, we have already shipped material to Europe, Middle East now we are already in discussions with customers and distributors in North America for these entire UV range .
Sanjesh Jain : That is sup

er helpful. Just couple of clarifications here, first on the 770, we are already 50% market in 770 that is what you said, right?
Siddharth Sikchi : That is what I said .
Sanjesh Jain : It is only for an UV application, or you are telling entire 770 as a product we are 50% market share ?
Siddharth Sikchi : No, India was buying between 200 tons to 250 tons , we are already selling roughly 100 tons -110 tons a month now to Indian market , so on that basis I assume we are already at 50% market share.
Sanjesh Jain : Pricing how much discount it would be today to the imported pricing?
Siddharth Sikchi : Typically, this product discount of 2.5% to 3% because we give that advantage of not letting them stock the material . We can do just -in-time supplies which our competitors cannot . I mean the European competitors certainl y cannot and even the Chinese cannot and small buyers who are buying between 3 ton and 5 tons they have to typically buy a full container from competitor whereas in our case they can only buy what they need. These are additional perks which I am offering along with 2% to 3% price discount.
Sanjesh Jain : Second follow up on 701 Siddharth, I thought earlier we thought it was Agro Intermediate and that is where the large demand was there for 701 and now water trea tment is an additional market. Where are we in that Pharma Intermediate as a product for 701 or application for 701 ?
Siddharth Sikchi : That was PBQ. I mean, 701 never had any market in Agro, that was Para Benzoquinone which has agro application. 701 has a big market in water treatment and some Intermediates which companies make which they don't want to disclose to us.
Sanjesh Jain : One follow -up on 770 because we are already 70 %-80% of India n market that means we need to incrementall y place our product in export. You did mention that European Union, Middle East, and North America are opening up, how do you expect that ramp up to happen? And second

is that we earlier said that by end of March we want to see 200 ton per month , do you th ink you can exceed that with this kind of already sales coming in?
Siddharth Sikchi : See first of all, I said 50% not 70% Indian market , so we are already at 50% Indian market that is one correction . Number 2, export market typically takes a little longer because the approval

process then appointing right distributors , stocking the material in USA , so USA could take a little longer though I would love that things should move as fast as possible, but touching 200 tons by next March should be doable. I don't think it is absolutely non -doable, but you will have to give me a 2 more quarters to see how export market picks up.
Sanjesh Jain : And just one last question before I join back the queue, it is more numerical in nature. The other expenses today at Rs. 41 crores per quarter have we reached the peak cost in terms of operational in all th e plants commissioned or there is more cost which is yet to come in the coming quarter ?
Pratik Bora : At Clean Science level , it is almost baked in because the capacities a re operating at optimal levels.
Sanjesh Jain : And for the subsidiaries ?
Pratik Bora : For s ubsidiary, the overhead absorption rate will incr ease as the operation scale up. We had just one month of operations.
Sanjesh Jain : That I got from the margin perspective that will play out from the cost perspective there is more cost which is yet to be recognized in the P&L? This is more from modeling perspective how to build the cost ?
Pratik Bora : Yes, additional cost will flow in as the new plants also commercializ e.
Sanjesh Jain : So out of 17,000 metric ton of HALS which we were looking at how much of that capacity has already commercialized ? And how much is yet to be commercialized ?
Pratik Bora : We will share that in subsequent calls, and it

is not 17,000, it is 10500 , which we had announced to exchange for HALS . Only 770 is commercialized and further new products we will announce in due time.
Siddharth Sikchi : So, the capacity is all installed, but we are taking one product at a time , so we take one product because these are large capacities , so establish it, let it work, then go to the second product rather than starting everything together.
Sanjesh Jain : That is fair enough, but just that one operational question all these plants are dedicated plants or multi -purpose plants because they are all from the same family, right?

Siddharth Sikchi : Absolutely dedicated line. See , the main Intermediates are common which are the basic starting materials for all the H ALS, but the subse quent lines are dedicated lines b ecause every process is a very different process. Now UV 770 is a three -step process, but UV 944 is a seven -step process, so the raw materials are absolutely different, despite being in the same family.
Sanjesh Jain : So how many initial steps are common or how large is your common facility for the feedstock ?
Siddharth Sikchi : There are only 2 common feedstock s, one is called TAA, and other is called TMP. So, these 2 feedstock are common for all the HALS, they are basically the building blocks. So those capacities are upward of 10 ,000 tons -12,000 tons, so those have been operational now of course to whatever requirement we have, we are only running to that, but rest lines are a ll individual lines.
Moderator : Thank you. Next question is from the line of Parth Mehta from Vallum Capital. Please go ahead.
Parth Mehta : So just 2, quickly questions I have , one is that we have a higher inventory of absolute value and number of days , so just wanted to understand what has led to this increase and h ow do we plan on reducing this?
Pratik Bora : So, for inventory, as you rightly pointed out on value basis , is almost in line with last year. But as you would have noticed quarter -on-quarter there is increase in sales and Q4 was a best quarter for this year. That is why the inventory shows up a little higher number apart from that the WIP stock is also little higher otherwise raw material or finished good inventory is less than 30 days , so there is no price risk there .
Parth Mehta : And just another one if you can help me with the capacity utilization for our M eHQ and BHA?
Pratik Bora : We share segment -wise capacity utilization , product -wise we are not sharing , so for this quarter performance segment th e utilization was close to 70%.
Parth Mehta : And the other two segments ?
Pratik Bora : For this quarter, Pharma was also in that range while FMCG was a little higher close to 75%, which is for 4 MAP .
Moderator : Thank you. Next question is from the line of Ankur Periwal from Axis Capital . Please go ahead.
Ankur Periwal : First, continuing with the discussion on HALS amongst the other products tha t you are supposed to launch while 701 is domestic focused, how are the other products they will be largely export focused or there will be a mixture?

Siddharth Sikchi : First 701 is export driven and 770 is domestic as well as export . The next products which we are going to launch probably in the next 3 weeks to 4 weeks are 622 , 944 where they have both

markets, I mean domestic as well as export , but of course because now people are now more in domestic markets , so of course the first p oint of sales would be from domestic markets. Following this would be 119 and 2020 again they are partly domestic , but largely exports.
Ankur Periwal : Since you mentioned 50% of 770 is already being captured by us, what will be the total size of India across, let us say these 6 products or 7 products that we are planning?
Siddharth S

ikchi : 770, 622, 944 volume wise I think it should be closer to 350 tons, 400 ton s a month I mean, put together everything about 5 ,000 tons per annum 5% to 6% .
Ankur Periwal : So, these will be, so to say the earlier or the low-hanging fruit for us, which could be sort of in the captured in the near term and exports as you menti oned will take some time for us to ramp up?
Siddharth Sikchi : Absolutely . Just a little point there see originally when we started 770 also it was a very tricky to convince, but now that customers also overseas have heard about us , so I think going forward for 622 , 944, it should not be as uphill as it was to start with 770 because there would be same distributors, same customers buying these products as well.
Ankur Periwal : So which was my question as well , so distributor -led network is already in p lace, but the core product approval which probably the client will take, how much is that time typically?
Siddharth Sikchi : 3 months to 6 months.
Ankur Periwal : And pricing wise, you mentioned India discount is only 2.5% -3%, how are we placing let us say 770 or maybe 701 in terms of pricing globally?
Siddharth Sikchi : See 701 , I think again the discount is less than 5% because the advantage we have is 701 is typic ally made by only the Chinese Company , so we are the first non -Chinese Company producing 701 , so that gives us a little advantage . In 770 , again, the difference delta which people are asking is about 5% max globally.
Ankur Periwal : Secondly, on the revenue mix here, you did mentioned on the FY24 basis we are give and take flattish on volumes on a Y-o-Y basis, if I look at specific geographies, China and maybe Europe has seen a sharper decline year -on-year. If you can help us, get som e sense on how has been the volumetric growth or performance across the international markets, China, Europe, and US largely?
Siddharth Sikchi : See, we are seeing increase in Indian market because of new products, 770 in particular and also our Pharma Intermediate also our antioxidant for food and feed industry. Hence, Indian market

is growing for us . Europe, North America has been very steady for us ; of course, Europe in particular with the UV HALS sales picking up should slightly increase. North America has been flat because there is no new product which we have sold in the United States so far.
Ankur Periwal : So Europe, you mentioned on the existing portfolio, we are flattish year -on-year or there is a dip in terms of volume?
Siddharth Sikchi : This is a gradual increase for new products, but in terms of our existing product because of the client demand, there has been a slight reduction , so net it should be flattish.
Ankur Periwal : And Europe will be a b igger market for HALS?
Siddharth Sikchi : Yes, that is the hope.
Ankur Periwal : Lastly on the margin front, now given as we ramp up let us say HALS or the other products also which we have seen a pretty healthy recovery overall in terms of volumetric growth, where do you see margins stabilizing on a blended basis?
Siddharth Sikchi : See on blended basis as on today because there is stiff competition from China and see any time when there is a new entrant in the business there is always a stif f competition . Customer also want to discount us on pricing plus it takes a larger time for approvals. So on blended basis for this year we a re not targeting more than 15% for the subsidiary, for the new products in the subsidiary which is namely HALS .
Ankur Periwal : So my question was more on a medium term, not immediately this year, but let us say 26 or 27 once a subsidiary also sees some ramp up.
Siddharth Sikchi : Then I think we should touch about the 25% margin.
Moderator : Thank you. Next question is from the line of Arun Prasath from Avendus Spark. Please go.
Arun Prasat

h : I was asking the other grades which you will be obviously scaling up the end customer is same or is it different ?
Siddharth Sikchi : No same , so only difference is difference in quantity. So there could be a customer who could be buying bigger quantity of 770 and smaller quantity of 944 and there are other customers whose req uirement of 622 , 944 would be higher than 770, so the customer base remains more or less the same.
Arun Prasath : So which means that you already, once you tap 770, that is the reason you are confident that you will be able to scale this up faster ?

Siddhart h Sikchi : That is the hope and that is what we also feel that because when we started 770 people had not even heard about Indian producer and people were not confident of our qualities and supplies , but now that we have been successfully supplying over the past one year, so that confidence has increased dramatically . So, n ow when I launch the other range of products, it should not as difficult as 770 was.
Arun Prasath : What is the price difference of these grades with respect to say 770? How premium th ese grades are?
Siddharth Sikchi : Suppose 770 is $5, 944 should be $9, 119 should be about $10-$12, so these are all expensive , I mean 770 being the cheapest.
Arun Prasath : Our capacity I heard you that the Intermediate is common, but downstream to the Intermediate that is then TMP and TAA is different , but how fungible are these capacities? The question is if tomorrow if you want to increase more of the high value grades, will you be able to do it or you need to put further CAPEX to this?
Siddharth Sikchi : As on today whatever I have installed, at least if I am able to use for the next 2 years -3years I would be more than happy.
Arun Prasath : Our guidance of 30-30-30% utilization over the 3 years that stands same?
Siddharth Sikchi : Yes that stands the same still.
Arun Prasath : So that means by the year end we should be seeing 5 ,000 tons of sales on annualized basis right?
Siddharth Sikchi : Year end by March, right , we should see about 3 ,000 ton s.
Arun Prasath : Majority it is 770, it will be ?
Siddharth Sikchi : Yes, to begin with, yes, you are right, but the others will also start.
Arun Prasath : My next question is on the mix. Domestic export mix during this year obviously , the domestic has done very well. We can see that in terms of value term also it is good 9% growth, but export as a whole has been 25% reduction , is it more because of the competition or mix? How should we think about this ? And what how we should we think about that the recovery , recovery will be again swifter in this export market ?
Siddharth Sikchi : So overall the domestic market increased because of these Pharma Intermediates which we have mentioned, FMCG chemical and hence in that proportion the export p ercentage has reduced .
Arun Prasath : It is mainly related to mix what I understand because your voice was not completely audible .

Siddharth Sikchi : Yes, it is a mix you are right.
Arun Prasath : And obviously there is because of the destocking in this year, our overall volumes the yearly basis will be low er, so if we have to assume that this will recover, what is the potential volume that we can see on this lower base in this year?
Siddharth Sikchi : Quarter 4 , we have seen a lot of volume growth coming back. Now next volume growth for FY25 will all be from the newer plants and the new Pharma Intermediate which will start in quarter 3.
Moderator : Thank you. Next question is from the line of Jason Soans from IDBI Capital. Please proceed.
Jason Soans : So first question is just wanted to know the other expenses this quarter have seen a sharp jump , so any one offs or anything in that respect?
Pratik Bo ra: You are look

ing at quarter -on-quarter, right, the other expense?
Jason Soans : Yes.
Pratik Bora : It is basically the CSR expense, which was not there in the earlier quarter . The other is these new products which were commercialized , so these were incidental direct manufacturing expenses , but primarily it was CSR expense.
Jason Soans : From a 146 million it has gone to 226 million, so basically it is because of CSR and new product expenses ?
Pratik Bora : You are looking at console numbers, right?
Jason Soans : Yes, that is right .
Pratik Bora : In that case it is subsidiary numbers which are related to incidental direct manufacturing expenses . I was earlier referring to the standalone number. CS R is not applicable for subsidiary .
Jason Soans : And sir, next question, just wanted to know, there is a domestic player who has started a capacity in our principal products. Just wanted to know what your view is in getting up to fend off this competition just ?
Siddharth Sikchi : So far we have not seen the product , if you have seen please let us know .
Jason Soans : Just wanted to know, you did speak about the progressive volume growth, so just wanted to know in terms of is it more of a market share gain led growth or is it that the end user industry growth is coming back? What is the exact reason for this volume growth coming in?

Siddharth Sikchi : See I feel H1 was such a washout because of destocking and I think H2 was volume recovering I would not say that we have increased market share or anything I think the best to describe would be that we have recovered whatever lost volumes we had in H1.
Jason Soans : Sir overall on a year basis basically revenue has de-grown by around 15 % to 16% , so volumes must be flat on an annual basis on a ballpark number ?
Siddharth Sikchi : Yes, that is flat .
Jason Soans : Volume is flat, so 15% realization roughly okay. Sir just wanted to understand, sir, for Mequinol , I mean, I understand that it is used to the polymerization Inhibitor, but I just wanted to know from you that of course that is also using skin lightening as well. So in terms of our product, does it require a Pharma grade Mequinol or if we are able to cater to that market or are we already catering, does that increase the scope of Mequinol as such for our product ? Or we don't cater to the skin?
Siddharth Sikchi : No, we are not catering to any skin customer because it says it is a skin lightening agent, but I don't think it is recommended maybe, but I don't have any skin customer since I don't have a Pharma license.
Jason Soans : You don't have a Pharma license for the M eHQ.
Siddharth Sikchi : Because nobody has asked us, ever.
Jason Soans : My question was just from the perspective that if we do cater to that and we already have an expertise in that, so then it might increase the scope of our product or help us add more revenue.
Siddharth Sikchi : I know, but what happens is sir, Wikipedia gives lot of usages, but in practical life these usages are not there.
Jason Soans : You did speak about HALS 770, you basically having a discount of 2.5 % to 3% as compared to the imported products , so just wanted to know in terms of the other HALS products which you just mentioned, do we have a similar pricing strategy for those products as well, of course 2 % or 2.5% to 3%?
Siddharth Sikchi : I think so, sir. We should follow the same trend. The 3% discount plus inventory saving for these guys should decent incentive for them to look at the homeland producer.
Jason Soans : And sir, you mentioned 5 ,000 ton s demand per annum that you are only talking about the new HALS products, right, which you are going to introduce? The 5 ,000 tons demand for HALS?
Siddharth Sikchi : When I say HALS , this is all including everything all put together.

Jason Soans : Just one f inal question, just wanted to know, this Pharma Intermediate capacity which is coming in Q3 FY25, so what therapies or what Pharma application will be going into?
Siddharth Sikchi : Antiretroviral.
Jason Soans : Antiretroviral all of that, majorly going to antiretroviral ?
Siddharth Sikchi : Yes.
Moderator : Thank you. Next question is from the line of Abhijit Ake lla from Kotak Securities. Please proceed.
Abhijit Akella : So first of all, just a clarification on this Pharma Interme diate CAPEX , last quarter we had mentioned that maybe the Rs. 100 crore s CAPEX we could perhaps start in April or May. I think there we are now still in the evaluation stage , so is there a timeline by when we expect to sort of start working on these couple of Intermediates?
Siddharth Sikchi : Rs. 30 crore s is the CAPEX for Pharma Intermediate which will start in Q3, an additional Rs. 150 crore s CAPEX is based on the pilot runs which we are running as soon as we are successful the additional Rs. 150 crores CAPEX will be made and announcement will also be made for the same.
Abhijit Akella : The other one was just to clarify with regard to what we said about HALS the volume ramp up by end of March 25, we are expecting 3 ,000 tons or so of volumes from our end ?
Siddharth Sikchi : Yes, that is the h ope, 3 ,000 ton March 25 , so about 1/3 of capacity.
Abhijit Akella : And then progressively scaling up over the next couple of years and we are targeting probably because of the unabsorbed overhead not more than 15% margins in fiscal 25 , but as it ramps up to full utilization, we are looking at maybe around 25% or so ?
Siddharth Sikchi : Absolutely , when we reach the peak plus when we get all the premium customers globally, then I think we should target about 2 5%.
Abhijit Akella : And P harma business also, would it be comparable in terms of margin profile, the one that you are looking at?
Siddharth Sikchi : I think that would be better, much better.
Moderator : Thank you. Next question is from the line of Sujit Lodha from Birla Sun Life Insurance. Please

proceed.

Sujit Lodha : So when you were referring to that, the pricing for HALS is right now 3% lower to competitors , what we understood that there is some import duty benefit also which you get , so is it adjusting for that or that benefit will remain, there is a n import duty which is there on this product side ?
Siddharth Sikchi : See there are some customers who buy against deal license , so in that case, we are adj usting the price and when it is duty paid again, we are adjusting the price. So we have two prices of UV 770 in India, one is for deemed export and one is for regular business.
Sujit Lodha : And how much is that duty, sir, this?
Siddharth Sikchi : 7.5%.
Sujit Lodha : Regarding the HALS products wherein you get into the higher value products product , does that mean your gross margin s as a percentage also goes up?
Siddharth Sikchi : Yes, absolutely, because my fixed cost will also start coming down because as you are aware, it is a large block , so my fixed cost will keep coming down as my v olumes ramp up start happening.
Sujit Lodha : No, I was talking about the gro ss margins. So the gross margin is also higher ?
Siddharth Sikchi : Yes, gross margins will also be higher.
Moderator : Thank you. Next question is from the line of Rohit Nagraj from Cent rum Broking. Please go ahead.
Rohit Nagraj : So first question is you outlined the Pharma CAPEX 30 and 150 depending on the pilot studies , similarly for Performance and the FMCG segment, are their CAPEXs lined up ? Given that these capacities are also currently operating at 70 %-75% utilization levels ?
Siddharth Sikchi : Rs. 30 crores Pharma Intermediates, Rs. 150 crores Performance Chemical.
Rohit Nagraj : And FMCG anything?

Siddharth Sikchi : Not yet, sir.
Rohit Nagraj : The second question is in terms of HALS , again, when we are exporting, what is the value proposition that we are providing to the customer given that the customer is currently being served by the competitor , so is it only based on the pricing or anything else that we are looking at?
Siddharth Sikchi : Geographical advantage, we are non -Chinese, non -European.

Moderator : Thank you. Next question is from the line of Aditya Gupta an Individual Investor. Please go ahead.
Aditya Gupta : Broadly, for HALS like are we roughly in the range of the $9 per K g that we had guided earlier or are we operating much below that?
Siddharth Sikchi : 7 to 8 now on blended basis , so 770 cheap, 944 is expensive, 119 is expensive , so on blended basis it is $8 you can assume.
Aditya Gupta : And the second question is the basic bookkeeping question the new Pharma line of products that we are going to add that is going to be in the subsidiary o r in the parent Company ?
Siddharth Sikchi : Subsidiary, no w everything is in subsidiary now as we have no space in parent.
Moderator : Thank you. Next question is from the line of Hussain Bharuchwala from Ca rnelian Capital. Please go ahead.
Hussain Bharuchwala : Sir, we had a tax rate of around 10% in FY24 , so what is your tax rate we can assume in FY25 for our calculation?
Siddharth Sikchi : Clean Science is 25 % while Subsidiary is 15 %.
Moderator : Thank you. We have our next follow up question from the line of Rohit Nagraj from Centrum Broking. Please proceed.
Rohit Nagraj : Sir in terms of our standalone business across the segments, what is your understanding in terms of pricing, whether the pricing are stabilized ? And in terms of volumes also the inventory destocking was more or less come to an end given that we have shown volume growth? On these two aspects what is your understanding particularly from the exports market?
Siddharth Sikchi : In export now volume s we are see ing back . As on today I assume the prices will not go below these prices. These are the lowest prices for all the products in all the segments.
Rohit Nagraj : And just one clarification in terms of China , so we have been hearing generally that China has added the capacitie s over the last couple of years across different set of chemicals , so have you heard anything from a competitive point of view in our range of products ?
Siddharth Sikchi : So, China, you are right that they have added in all capacities in all segments inclu ding Indians have also done that . In our range , I have not seen any Chinese in this particular range and hence our volumes have remained intact in the China market. Of course, there is always a conventional process which the competitor can take to produce our products and hence we have to keep pricing

in a manner that we are still more competitive for the buyers to buy.

Moderator : Thank you. Next follow up question is from the line of Parth Mehta from Va llum Capital. Please go ahead.
Parth Mehta : Just one clarification you had mentioned that we have a capacity utilization of 70 %-70% in Performance Chemical and Pharma and 75% in FMCG, so are we at the optimal level or is there any scope for better utilization in these segments ?
Pratik Bora : In Clean Science, yes, we are at optimal levels (these are utilization levels for this quarter) .
Parth Mehta : So, we do not have any scope for incremental volumes from our existing products ?
Pratik Bora : Largely yes.
Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Siddharth Sik chi for closing comments.
Siddharth Sikchi : Thank you so much everyone to come and attend our Earnings Call and I hope we have been able to answe

r all the questions well. If there is any further questions , you can e -mail us so that we can clarify if there is any further doubt. Thank you so much for your time again.
Moderator : Thank you. On behalf of Clean Science and Technology Limited, that concludes this c onference. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2024

03.08.2024
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort,
Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conferen ce call on the Company's Q1 FY2 4-25 Earnings .

Ref.: Regulation 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulation s, 2015 ("L isting Regulations")

Dear Sir/Madam ,
Further to our letter dated 18th July, 202 4 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q1 FY2 4-25 Earnings held on Thursday, 1st August , 2024 .

You are requested to take the same on record.

Thanking You.

For Clean Science a nd Technology Limited

Sanjay Parnerkar
Chief Financial Officer

Encl: as above

"Clean Science and Technology Limited
Q1 FY'25 Earnings Conference Call "
August 01, 202 4

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND EXECUTIVE DIRECTOR – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CHIEF FINANCIAL OFFICER – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. PRATIK BORA – VICE PRESIDENT – CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY2025 earnings conference call of Clean Science and Technology Limited. We have with us on the call Siddharth Sikchi, Executive Director and Promoter; Sanjay Parnerkar, CFO; and Pratik Bora, Vice President . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you, and over to you, Sir.
Siddharth Sikchi: Thank you so much for the introduction. Good evening, everyone. I am happy to connect with all of you to discuss the performance of our company for quarter 1 '25. Overall, the business environment continues to be encouraging ; and our quarterly business performance has been a reflec tion of encouraging business environment.
Coming to the financial highlights. Starting from Q -on-Q comparison. On a sequential basis, the revenues were steady. The geographical mix also remained stable during the quarter gone by. EBITDA remained steady at about INR98 crores, while EBITDA margins improved by 100 bps to 45.5%.
Coming to the year -on-year comparison . On Y-o-Y basis, sales improved by 16%, which was primarily volume -led. Improved sales led to strong EBITDA growth of 28% during the quarter, while EBITDA margins improved by approximately 4%. Consequently, the company reported 23% growth for the current quarter. On a consolidated basis, profitability was impacted due to sizable higher cost base vis-à-vis sales for the new subsidiary, Clean Fino -Chem Limited, CFCL, during quarter 1.
During the current quarter, at CFCL, we stabilized 770 HALS production and reported revenues only for HALS 770. During the month of July, CFCL commercialized three additional new products under the HALS segment, which a re HALS 622, HALS 944 and HALS 783. Soon within a couple of weeks, we will also be commercializing HALS 119. Commercialization of new plants and scale up of existing capacities will aid higher absorption of the fixed cost and drive profitability.
Let me t alk about sales profile. The revenue contribution from Performance Chemicals, Pharma and Agro intermediates and FMCG Chemicals were 69%, 18% and 13%, respectively. The Performance segment witnessed strong growth led by increased volumes. Pharma segment growth was led by improved volume and realization and FMCG segment growth was primarily volume -led. For this particular quarter, the HALS monthly sales volume scale d to 125 tons per month for the HALS series, which is 770 and 701 put together.

A little bit on the capex . We have incurred a capex of about INR100 crores during the quarter 1, which was primarily towards investment in subsidiary. We are on track to commercialize the production of the Pharma intermediates by Q3 FY'25.
Further on the new capex , we are very excited to announce that we have organically designed a novel process for manufacturing of Performance Chemicals segment product . Led by the positive outcome of pilot runs, we have started the construction of the produ ction block. The total capex towards the production block at our subsidiary is estimated to be INR150 crores, and the plant is expected to commercialize by H1 FY'26 with the capacity which could address 15% of the market demand.
Let me speak a little bit on ESG, led by our resilient performance during the last year, amidst volatile business environment, CRISIL has reaffirmed long term rating at CRISIL AA-/Stable and short -term rating at CRISIL A1+. We are pleased t

o announce additional investments
towards setting up 6 -megawatt solar plant, which will moderate our power bill and enhance our green footprint.
Thank you so much. And we can now open the floor for questions and answers.
Moderator: The first question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: A couple of questions from my side. First, on the HALS volume, I think last quarter, we did a run rate of 200 metric ton and this quarter, we are at 125 ton. Is that right understanding?
Siddharth Sikchi: No, I don't think t he understanding is right. We had touched about 80, 90 tons a month, which now we have at about 125 tons a month.
Sanjesh Jain: 200 tons is aspirational?
Siddharth Sikchi: 200 tons is aspirational. I mean, eventually, we want to reach 200 tons.

Sanjesh Jai n: Okay. Okay. Sorry, sorry. I got confused between the guidance for March '24 and this -- that's fine. And second, on the -- on the CFCL side, if I console stand -alone, the number what I get is largely CFCL where we have done INR67 million of revenue and INR22 million of gross profit, which implies a gross profit margin of 33%. Is this a representative margin for the HALS series?
Siddharth Sikchi: This is for only 1 HALS product. See, right now, we have only commercialized 1 product, right ; HALS 770. And t hat too is on a very limited capacity utilization. As I mentioned in the opening remarks, that 3 more products, 622, 944 and 783, we just commercialized over the last 2 to 3 weeks' timeframe. So now these will also start picking up. An d additional ly, 119 will commercialized by August 2nd week.
Sanjesh Jain: Fair enough. Siddharth, can you just talk about the application for all these 4 new HALS series? What are the applications for them?

Siddharth Sikchi: Today, there are wide variety of applications. These are called Hindered Amine Light Stabilizers. So the 770 would be usually used in master batches, whereas the 944 would be used in agricultural sales. So they have -- all of them have a variety of different applications. 292 would be used in coating industry. So depending on the price, depending on the application, all of them have a different application base. We can connect offline to give you the entire scenario of each product and their application because each one has a variety of applications.
Sanjesh Jain: Fair enough. That's fair. I will connect separately on this. Just on the America side, the revenues have been declining for the last 3, 4 quarters, while it was very strong in FY'23. What has changed in America?
Siddharth Sikchi: In America? O h, in the U.S.?
Sanjesh Jain: Yes, in the U.S.
Siddharth Sikchi: There is nothing specific. Of course, overall, there was the highest destocking was there in the U.S. because of the geographical -- the transit time distances. So you know the destocking too k longer compared to other parts of the globe. But other than that, there is nothing significant to pinpoint here. Like if you see our Europe business grew. So we were able to onboard some new customers. And some of the U.S. entities who also have offices in Europe probably prefer to produce more in Europe compared to the United States.
Sanjesh Jain: And Siddharth, on the two Pharma capex which we spoke about in the earlier call, we were on pharma -- so we said to 1 in August to May, the other 1 in Septembe r, each with the potential capex of INR1 billion, which is INR100 crores.
Siddharth Sikchi: No, no. So 1 is performance chemical segment, not pharma. L et me re -explain. So there are three capex - 1 underway, which is Pharma intermediate, which will start in by October, November.
Sanjesh Jain: INR30 crores?
Siddharth Sikchi: This is INR30-odd crores, correct. After that, another 1 is the Performance Chemicals segment, which I just explained, the construction has

begun which has a capex of INR150 crore s. Again
we have -- variety of applications, but we will term it into a Performance Chemicals segment. The third one where the capex should start in September, the construction activity , again, could be about INR150 crores. And that has, again, probably wi ll also fall under Performance Chemicals segment.
Sanjesh Jain: Okay. And the 1 we have started, we said that we will be to start with 15% of the market. You were referring to India market?
Siddharth Sikchi: Which one? So that is -- go again on that questi on?

Sanjesh Jain: So you said that you will be 15% of the market when you will start this capex . You were referring to India, 15%? Or the...
Siddharth Sikchi: Global capacities. Always global capacity.
Sanjesh Jain: Okay. We will be 15% of the global capacity. So what will be the total revenue from this?
Siddharth Sikchi: See, the total revenue should be closer to INR350 crores.
Sanjesh Jain: Okay. And major application will be?
Siddharth Sikchi: There is, again, a variety of applications, but you coul d consider performance chemicals -- I mean, the major bucket where we can put these products into.
Sanjesh Jain: No, no. I was more looking at what is the end industry application, agro, pharma, auto, polymers.
Siddharth Sikchi: These are, again, stabilizers. You can assume, and also intermediates for pharma.
Sanjesh Jain: Okay. So basically polymers and pharma?
Siddharth Sikchi: Yes.

Sanjesh Jain: And -- okay, okay. So this is a global. So for India, we will be the sole producer of this product, right?
Siddharth Sikchi: Not -- no, no. There are some companies who are manufacturing it.
Sanjesh Jain: Okay. There are already some companies manufacturing it. Got it.
Siddharth Sikchi: But it would be a differentiated technology.
Sanjesh Jain: When we sa y differentiated, we generally mean continuous flow, right?
Siddharth Sikchi: It means that the economics could be better. Commercially, it should be better.
Sanjesh Jain: Okay. Fair enough. Yes. That's it from my side. Thanks, Siddharth, for answering all the questions and best of luck for the coming quarter.
Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: Congrats for a decent set of numbers. Just continuing with the capex bit, a clarification th ere. So there are 3 capex , all the 3 are in pharma products. Will that be right understanding?
Siddharth Sikchi: No, no, not right understanding, Ankur. First one, INR30 crore s Pharma. Second one, Performance. Third one would be into Performance segment, b ut not Pharma.

Ankur Periwal: Okay. And...
Siddharth Sikchi: 1 in Pharma segment and 2 in performance segment to put it simply.
Ankur Periwal: Sure. And the third 1 is the one, which, if I'm not wrong, we alluded that wherein we are doing some work at the pilot and R&D stage and we'll decide whether we go ahead or not on that?
Siddharth Sikchi: Yes, now we have decided to go ahead.
Ankur Periwal: Sure. And any thoughts on addressable opportunity for that specific product or segment and where it is -- the end -use applications are?
Siddharth Sikchi: Again, it is a very large segment. And you could consider it into like a water treatment -- water treatment chemical.
Ankur Periwal: Okay. And any broad thoughts on revenue size opportunity, both at the global scale for these products? Just trying to understand the size and scale of what can they generate internally.
Siddharth Sikchi: I mentioned about INR300 crores to INR350 crores.
Ankur Periwal: On the INR150 crores capex , yes.
Siddharth Sikchi: From the third project, it is -- the working is still going on. So let me work a little bit more and get back to

you with firm numbers.
Ankur Periwal: Okay, sure. And while the second -- the INR150 crore s capex that you mentioned, there are other producers of those products in India. For the third 1 also, that is the case? Or it's -- sorry, I missed that part.
Siddharth Sikchi: Yes, there are producers in India.
Ankur Periwal: Okay. Great. Secondly, on the volum e-led growth across more or less all the segments there, just trying to understand whether this volume that growth was led by 1 or 2 products or it was decently widespread across our portfolio?
Siddharth Sikchi: No, it was widely -- I mean, so spread acros s the portfolio.
Ankur Periwal: Okay. Great. And just lastly on the capacity utilization side, where are we now across Performance, Pharma and FMCG?
Siddharth Sikchi: Between 60% to 65% capacity utilization.
Ankur Periwal: Across all the segments? Sure. An d just last -- yes, yes, got that answer. So just last bit, there was some pressure on the realization front earlier. And since last 2 quarters, we have been seeing

a decent uptick there. Will it be fair to say that most of that pain is behind us and proba bly things are either improving or stable across the products?
Siddharth Sikchi: Stable. I am not seeing any increase in prices and it would be possible over the next 2 or 3 quarters.
Ankur Periwal: Okay. But demand is picking up? Or it is towards your mar ket share gain that we are witnessing here?
Siddharth Sikchi: Yes, yes. Volume -led growth is happening. Realization, there is no growth. I mean, they are all steady numbers on Q -on-Q basis.
Moderator: The next question is from the line of from Arun from Credit Aspat . Please go ahead. Hello Mr. Arun, your line has been unmuted. Please go ahead with your question.
Arun: It is Arun from Avendus Spark. Good evening, Siddharth. Thanks for the opportunity. First, on the domestic front for the HALS, you said we ar e on track on 125 tons per month. What we understand is the domestic demand market for this is around 250 to 300 tons per month. Given

that the market share in HALS is somewhere around 50 to 60. So does it mean we have saturated the domestic demand for this product?
Siddharth Sikchi: First of all, 125 is not domestic. It is -- I'm talking group -- I mean, India plus export, because export is a very small portion, but it is both. And no, I mean, there is still quite room and I think we still have to cover a lot of ground in India.
So I think it will take a little bit more longer because a lot of large players were also waiting for the other HALS product to start because I mean they always have this thou ght that they were only buying one from us and balanc e two or three from the competitor.
So once we have the full basket, they would be able to switch more or less everything with our quality is at par. So I think with the entire basket coming in, I have a feeling -- strong feeling that now the conversion -- I mean, customers converting to us would be far better chances compared to what we had with just 1 single product.
Arun: Right. So other grades should help you to scale up, but is it -- what is the target we are -- 100% import substation? Or what is it t hey can aspire to be? Has the customer indicated anything, like how much they will take it from us once all the grades come in?
Siddharth Sikchi: So no customer commit anything, but we typically aspire that we should have 70% to 75% of Indian market becaus e of a variety of reasons compared to what people are importing. So the aspiration is to have 70% to 75% of Indian market. And of course, grow in Asia, in American and European markets which now has started picking up because, again, the same issue, a lot of customers were reluctant to only test 1 product.

Now with the b

asket, they have that confidence that, okay, now we can look at buying mixed container rather than buying just 1 single product. Because also, Arun, like all my competitors make the entire range. So we were the only ones, we had only 1 product. Of course, that was how we started. But the design is to have all the products in the basket so we are at par with our Chinese and European competitors.
Arun: And HALS, if I'm not mistaken, Siddharth, the range of product will include close to 10 to 15 different grades?
Siddharth Sikchi: Including blends, yes.
Arun: Okay. But on a -- excluding blends, how much is our coverage in terms of -- 5 out of how many products?
Siddharth Sikchi: It could be 9.
Arun: So we'll be still -- the remaining 4 is still working, work under progress or ...?
Siddharth Sikchi: It is w ork in progress, but the 4 which we have commercialized 4 to 5, these are like the bulk products. Those that are after this, t hese are more ver y specific , niche , very high, means these are now upwards of $15, $13 products, which will now come up in the Phase 2.
Arun: Okay. So major roadblock that stopped us from scaling up is now clear with the introduction of these 3 products? That is my underst anding, right?
Siddharth Sikchi: 4 products. Yes, you're understanding is right. So with these 4 products, we have covered a basic -- these are like the basic HALS which are needed by all the customers. Then it becomes very, very specific that some need th is number, some need that number. But that also we want to start so that we can also target some niche customers, and these are also more profitable products compared to the regular HALS.
Arun: And what is the current -- from the current going rate? What i s the premium realization for these compared to, say, 770 or 771, Siddharth?
Siddharth Sikchi: So that, let me -- I'll have to work once we held out the plan t scale. But these are decently priced product. And see, the point is these premiums HALS are upwar ds of $15, but then the market size is also smaller.
Arun: No, no. Not -- when I say $15, it is for 622, 944 and 783 or?
Siddharth Sikchi: No, no. These are all below $10 products. But the newer ones after these 4 ones which will come up, which are -- I said are niche products. These are upwards of $15 products.

Arun: Okay. Okay. No, I was wondering about this 622, 944 and 783. It will be much higher than the 770 and 701, right? That differential I was inquiring?
Siddharth Sikchi: 622 is more or less similar to 770, but yes, 944 and 110 are twice the price of these products.
Arun: Understood.
Siddharth Sikchi: Upwards of $9.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.
Jason Soans: Yes. I just wanted to ask you that t he last time around on the call, you had mentioned that for HALS, we're looking at a 3,000 tons -- around the 3,000 tons sales volume for FY'25 with an average $8 realization for the entire basket. Do we still stick to that? I mean, that's sort of that ballpark guidance?
Siddharth Sikchi: No. Because see, our overall capacity installed would be around 9,000 tons to 10,000 tons, which I think over the next 3 to 4 years, we will ramp up to take it to 80% capacity utilization. So you understand this 8,000 tons would be the ideal capacity utilization, spread over 3 to 4 years. So roughly 150 to 180 tons per month, we should start achieving now going forward. I mean, of course, let a quarter go because we these products have just started commercial production. B ut probably in the next 3 to 4 months' time, our target is to touch 150 to 200 tons a month of all those together.
Jason Soans: Okay. Okay. So for FY'25, probably 2,000 tons would be a fair kind of volume assumption?
Siddharth Sikchi: For all of them put together, yes.
Jason Soans: Yes, yes. Rough assu

mption. And for FY'26, would you like to -- I mean, any kind of rough growth where you can see HALS going, considering that we have a 10,500 capacity -- capacity I believe for HALS, we have at CFCL. So 2,000 tons starting with '26, probably what we can do in your view?
Siddharth Sikchi: See, in my view, being aspirational and of course, I have to push that. But we would be around 2,500 tons to 3,000 tons more. So 2 plus 3 sorts, 2.5, 3. So about 50% capacity utilization, which we should achieve by FY'26.
Jason Soans: Okay. And realization is probably at $8 is a fair assumption as of now? For the average of the entire market?
Siddh arth Sikchi: Yes, $7, $8.

Jason Soans: Okay. Okay. Sure, sure. And Siddharth, in terms of -- I mean, when you look at HALS, you have, of course, said that you will also look to target towards the export markets as well. So how do you see the Chinese compet ition playing out in that? Or are we very cost competitive as compared to the Chinese players?
Siddharth Sikchi: See because today it's a very large facility and the base is too high, I mean, in terms of costs. Hence, until we reach a proper scale and size , it will be difficult to be cheaper than the Chinese because today, we are running at probably less than 20% capacity utilization, whereas I'm competing with people who have been in this business for 15 -odd plus years. So you will have to give me a couple of quarters to reach a typical scale or volume where I can cover a lot of my fixed cost, and then I think the margins will start coming.
Jason Soans: Sure, sir. Sure. Sure, Siddharth. But roughly, you had said that probably when you start, you will come out -- probably margins will be around 15% levels. Then as the capacity ramps up, it can reach 25% levels. So that stands kind of?
Siddharth Sikchi: I'm still with that statement. But 15% cannot happen with only 20% capacity utilized.
Jason Soans: Right, right. Absolutely, absolutely.
Siddharth Sikchi: I have capacity utilization to come up with this margin. You are right.
Jason Soans: Yes. Sure. Sure, Siddharth. And I also wanted to note that, of course, we are focusing on looking at more growth from the non -primary products, which is MEHQ basically. So how has that growth been in this quarter? From DCC, TBHQ?
Siddharth Sikchi: See all the other products are now growing. I think the volumes have come back. I mean, individually, I cannot give you a number right now. But typically, all the products have been -- we are running at 70% plus brand capacity utilization of all the products, 65%, 70%. So we are decently covering up. And of course, if there's new products like DCC and TBHQ, which you just me ntioned still, there are more new customers being onboarded as we move along.
Jason Soans: Okay. Sure, sure, sure. And just 1 -- last 1 from my side. I just wanted to understand the capex which you have said the last one, which you were starting in Septemb er 2024, I believe that's also CFCL. This is for Performance Chemicals, and that will basically cater broadly to the water treatment segment. Of course, the revenue projections we will give later, but this is broadly the thing. Is that right?
Siddharth Sik chi: Yes.
Jason Soans: The third capex which you mentioned. Of course, this Pharma intermediates is INR30 crores, then there's a novel process, which is going by Performance Chemicals, capex of INR150 crores and expect it to commercialize the 1H? 15% of th e demand, and this is the third one, which will basically cater to water treatment. Right?

Siddharth Sikchi: So 150, 150 and 30 crores .
Jason Soans: Okay. This also is at 150. Okay. The third 1 also is INR150 crores capex . And this you are looking at INR150 crores -- and this is also probably -- the t

hird 1 also you're looking at more import substitution demand. Would that be a right understanding?
Siddharth Sikchi: You could say that.
Moderator: The next question is from the line of Krishan Parwani from JM Financial.
Krishan Parwani : Just a couple of questions from my side. Firstly, I think that 1Q FY'25, you mentioned there is INR100 crores capex . So where was it spent?
Pratik Bora : Investment in subsidiary company by the parent company.
Krishan Parwani : Okay. Okay. Understood. And now with all the capex , what will be the gross block of -- I mean that was what INR330-odd crores, right? There's no incremental capex in the HALS?
Pratik Bora : Yes. So we have infused total INR435 crores in the subsidi ary as of date.
Krishan Parwani : Understood. So that -- but the fixed asset that you have for HALS is 330 or so? Or is it 430?
Pratik Bora : Overall, as of now, the gross fixed asset could be in the range of INR350 crores.
Krishan Parwani : Okay. And just on Pharma intermediate side, so I think you've highlighted that the commercialization will be done by the third quarter of this year. So are the samples approved by the customer? Or is it still ongoing?
Siddharth Sikchi: Yes. The pilot samples are app roved by some of the customers because not all pharma customers are okay testing pilot samples, they need commercial samples.
Krishan Parwani : Understood, understood. And just last bit on the legacy products, do you think you would have fully utilized your capacities by FY'26, of all the -- prior to the HALS, whatever products that you used to have? You still have?
Siddharth Sikchi: Some of the products, there is a possibility. But in that case, again, we'll make investment in subsidiary, CFCL, and rebuild those facilities. So I think that decision, we will make by end of December.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella: Just on HALS, so what about 701, I didn't hear much about that in our recent discussion? So any -- are we selling any of that? Or is that sort of not on the agenda as of now?

Siddharth Sikchi: 701, we are already at 70% plant capacity utilization. We are exporting to Europe, U.S., you will see very shortly. We have also exported i t to China, where there are already, I assume 4, 5 producers. And India, of course. So -- I mean, it is a very good product for us, and we aim -- looking at this, if this continues, very shortly, we will have another facility to make 701 in our subsidiary.
Abhijit Akella: Okay. Okay. The reason I asked is I thought in the opening remarks, you had mentioned that this quarter, we reported sales only for 770. Is that only from CFCL? Is that what we meant to convey?
Siddharth Sikchi: In subsidiary, there is no 701.
Abhijit Akella: Okay. I get it. Got it. And second thing was just -- I'm sorry if I have missed this in the past, but just in terms of year -on-year and quarter -on-quarter, possible to help us with the breakdown between volumes and prices for the qu arter?
Pratik Bora : Abhijit, on year -on-year basis, it's largely volume driven. In fact, realizations have offsetted the growth. And quarter -on-quarter basis, it's fairly steady. We have seen a decline in realizations, and that has offsetted the growth, bu t volume has pulled it up.
Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.
Rohit Nagraj: Congrats on decent set of numbers. First question is in terms of our product pipeline. So now that we have been completely tapped a nd there are a few more products for which we are doing the capex , how does the pipeline look like? And which in all are the areas which we are currently working on in terms of user acquisition?
Siddharth Sikchi: So in terms of future product pipelines, we just discussed 2 large capex totalin

g to INR300 crores. And again, the sector remains Performance, Chemical, intermediates for pharma, agro, water treatment and FMCG chemical. So the universe remains the same. An d the INR300 crore s additional capex is planned I mean, within -- which will be done within FY'25 and a little spillover to FY'26 first half. And in the meantime, of course, whenever there is more opportunities which come up. I mean, because we are working on a few more products in R&D and pilot. As and when these go ahead, I will discuss it during the earnings call.

Rohit Nagraj: Yes, I understood the first part. I was referring to the products which are currently in, say, R&D and pilot. So which areas we are looking at in terms of the user application? Will it be the same areas as currently we are working on? Or will it be different areas in terms of user segment?
Siddharth Sikchi: No, I think we are very similar to performance chemical, agro intermediates . Pharma intermediates in particular, is big for us. So I think the segment remains the same for us.
Rohit Nagraj: And second thing, in terms of the subsidiary, if I recollect properly , probably the pace that we have, we can accommodate INR1,000 crores of capex . Was that the number correct? And we

are currently probably having maybe INR300 crores to INR400 crores of projects which are commissioned and which are in pipeline, just perspective.
Siddharth Sikchi: Yes, I think you're correct.
Moderator: The next question is from the line of Arun from Avendus Spark.
Arun: What is our current utilization in our core business today across MEHQ and BHA and other core products?
Pratik Bora : So Arun, I'll speak segment -wise, FMCG is higher, it's close to 80%. Performance and Pharma is in the range of 65%. Performance segment is a little lower because of HALS capacity, which is largely underutilized.
Arun: Just the other question is can you just break the performance into -- excluding this core -- excluding HALS and our traditional volumes ?
Pratik Bora : No, that will tantamount to giving product -wise utilization, which we are not very comfortable with.
Arun: Okay. Ex HALS -- just wanted to underst and how is our position?
Pratik Bora : Ex HALS -- it's in the range of 70%, which is basically the 4 products - MEHQ, BHA, AP and TBHQ.
Arun: Okay. So how long will it saturate this capacity? For 770, we can say, 85, 90. So what is the timeframe that we hav e in mind?
Siddharth Sikchi: So I think probably if -- see, I think we will have to really gather this information. And I said that probably by end of this year, we will evaluate whether there is a need to set up. I think 1 of the time it would be, but whe n should we would be the right time to set up additional capacities of these MEHQ, Guaiacol, anisole. People, I think, take a call in the next six months' time.
Arun: So basically, we will wait for competition? That is what I can -- wait for competition be fore the -- that's...
Siddharth Sikchi: I don't know. We are not waiting for any competition. We are waiting for our own evaluation to see whether the market is able to absorb these capacities. And what should be the capacity for the next installations.
Moderator: The next question is from the line of Surya Patra from PhillipCapital India.
Surya Patra: Yes. My first question is on the one of the costs that could be there because of the new capacities. So could you quantify that? Because my point is, in fact, on a consolidated basis, although we

are saying that our new capacities are currently not optimally utilized. And hence, there would be the kind of impact that our consolidated business witnessing.
But despite that, we have seen a consistent improvement in the margin in the consolidated business. So th

at means something is really driving despite the kind of the business challenges that we are witnessing for the industry at this moment. So what is the another cos t and what is -- in such a situation, what is on the core business front driving this margin sequentially?
Siddharth Sikchi: So basically, the -- I mean, the parent company is doing well. I mean, this is, again, on account of the new product addition, on a ccount of improved yields, efficiencies, on account of reduced raw material prices. So these are the various factors why the parent company is still doing well.
And of course, the subsidiary, as you rightly said, it's still -- I mean, of course, because th is is the first working quarter is at loss because of the heavy duties, which we have already on net.
Surya Patra: Exactly, sir. Is it possible to quantify, sir, like what is, let's say, the EBITDA level, what would be the kind of hit that you would be fac ing for the new business?
Pratik Bora : So for subsidiary, apart from raw material, we have incurred employee expense , power & fuel cost, and also other expenses, which is in the range of INR5 crores to INR6 crores.
Surya Patra: Okay. Okay. And then for the existing business or continuing business, this margin expansion, you said on the revenue -- in the prices front, there is no sequential improvement that is flat. And on the cost front, sequentially, there is no reduction, rather, it is slight improvement or stabilized

price. So then is it the volume growth that is helping out to showcase a slightly better margin?
Pratik Bora : Yes, because the increased cost is getting hedged off due to product mix . But at gross margin level, it's fairly steady. 34.4% was R MC for Q4, and this quarter is 34.1%. It's basically EBITDA which has gone up because other expenses have come down a little bit.
Surya Patra: Okay. And do you see really in terms of the demand recovery or demand for the existing product as well as the new product, it is a kind of sequentially, let's say, 10% kind of better, 20% better? Some sense in terms of the demand improvement that you can talk about?
Siddharth Sikchi: The demand is sustainable, you can see on quarter -on-quarter, the volume growth is h appening. And of course, we are aspiring to take more and more volumes going forward.
Surya Patra: Of course, sir. Okay. I mean I wanted to also have a sense. So whether it is like -- what is the intensity of the demand recovery or, let's say, demand impro vement that you are witnessing? It is sub 10% or better than 10%? Or any sense on that?
Siddharth Sikchi: On Y -o-Y basis, if you see the entire demand -- I mean, the entire revenue growth has only happened on volume increment. The prices has remained lower only.
Moderator: The next question is from the line of Dhara from ValueQuest.

Dhara: I just needed a better clarification on the third capex that you mentioned, which is towards the water treatment chemical INR150 crores is what you are saying? Could you just clarify the timeline for the construction and commercialization for this project?
Siddharth Sikchi: See, typically, it is a 10 to 12 -month process for us from construction to plant direction to water trials. So assume if we start in September or October, you can add 12 months to that.
Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital.
Jason Soans: So just wanted to understand 1 thing. Actually, I was under the impression that all the HALS products are coming through CFCL. But you just mentioned that in the subsidiary, there's no HALS 701. So how does that work out? Just wanted some explanation on that.
Siddharth Sikchi: So there were -- there were 2 typical HALS, 770 and 701, whic h we originally started in Clean Science, which we started in February '23. But of course, the capacities were v

ery small. But that also helped us to build these large plants in the subsidiary.
Jason Soans: Okay.
Siddharth Sikchi: But 770, we have replicat ed, and 701, we have not replicated.
Jason Soans: Okay. Okay. Sure. So 770, you have replicated. So the sales which we see from CFCL is only 770, the 67 million which has come, right?
Siddharth Sikchi: Yes. Absolutely.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Siddharth Sikchi for the closing comments.
Siddharth Sikchi: So thank you so much, all of you, for taking time out to understand the company. That's all from my s ide. If there are any further questions, people can connect with me or Pratik or Parnerkar for any offline questions you might have. Thank you so much.
Moderator: On behalf of Clean Science and Technology Limited, this concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

11.11.2024
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort,
Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conferen ce call on the Company's Q 2 FY24 -25 Earnings .

Ref.: Regulation 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulation s, 2015 ("L isting Regulations")

Dear Sir/Madam ,
Further to our letter dated 23rd October ,2024 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q 2 FY24-25 Earnings held on Thursday, 7th November, 2 024.

You are requested to take the same on record.

Thanking You.

For Clean Science a nd Technology Limited

Ruchita Vij
Company Secretary

Encl: as above

"Clean Science and Technology Limited
Q2 FY '25 Earnings Conference Call "
November 07, 202 4

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND EXECUTIVE DIRECTOR – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CHIEF FINANCIAL OFFICER – CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. PRATIK BORA – VICE PRESIDENT – CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of Clean Science and Technology Limited. We have with us on the call Mr. Siddharth Sikchi, Executive Director and Promoter; Mr. Sanjay Parnerkar, CFO; and Mr. Pratik Bora , Vice President.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you, and over to you, sir.
Siddharth Sikchi : Thank you so much. Good evening, everyone. I wish you all a joy ful Diwali and a prosperous New Year . I'm happy to connect with all of you to discuss the performance of our company for quarter 2 of FY '25. The business environment continues to be encouraging. Our quarterly business performance has been reflection of encouraging business environment.
Coming to the standalone financial highlights. Starting with the quarter -on-quarter comparison. On a sequential basis, the revenue was steady. Domestic and international sales mix was 30% and 70%, respectively. EBITDA remained steady at INR95 crores, while EBITDA margins continue to be strong at 42%.
A comparison on Y -o-Y basis, sales improved by 26%, and this improvement in sales is primarily volume led. Improved sales led to strong EBITDA growth of 25% during the quarter. Consequently, company reported 30% growth for the current quarter.
As the subsidiary operations scale up, the consolidated profitability is expected to improve.
We are on track to launch the pharma intermediate during quarter 3 and look forward to volume scale up in the HALS series. A little bit about the sales profile. The revenue contribution from Performance, Pharma and Agro and FMCG Chemicals were 69%, 18% and 14%, respectively. Performance segment witnessed strong growth am ongst all segments led by increased volumes. Pharma and FMCG segment witnessed similar growth, which was volume led.
For the quarter, HALS monthly sales volume scaled to 135 tons a month basis. A little on capex update . We have incurred a capex of INR155 c rores during H1 FY '25, which was primarily towards investment in the subsidiary. We are pleased to announce commencement of construction activity for another Performance Chemicals segment, which is expected to commercialize by H2 FY '26.
On ESG, we are pl eased to announce the company has secured a responsible care certification for three years. The recognition underscores our commitment to safety, health and environmental management. On the outlook, we are optimistic o f the growth going forward, led by lau nch of

pharma intermediate, scale -up of our new products under the HALS series and commercialization of Performance segment products. Thank you so much.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sanjesh Jain from ICIC I Securities. Please go ahead.
Sanjesh Jain: Yes. Good afternoon, Siddharth and Happy Diwali. Thanks for taking my questions. I got a few of them. First, you said that entire growth what we have seen both in Perform ance and pharma intermediate segment has largely come through volumes, which is very impressive, 30% plus, right? What current utilization are we running our plan t right now in both this segment? And do you anticipate more capacity addition in the coming q uarters?
Siddharth Sikchi: Currently, we are running at 70% capacity utilization in totality. And right now, we have more bandwidth. So right now, we

are not looking for expanding on immediate basis .
Sanjesh Jain: Siddharth, can you break this between the legacy and HALS because HALS is something which is a newer prod uct?
Siddharth Sikchi: No, I'm not talking about HALS at all. I was only talking about Clean Science. I mean, as it is an absolutely different volume, because the capacities are far larger, and we are probably at 10%-15% capacity utilization. So the ramp up has to happen.
Sanjesh Jain: So what we are telling is that even in the MEHQ, BHA and all those DCC and all those our existing products , there we are running only 70%. So we ha ve a good headroom for growth. So there is no immediate need for capacity addition there, right?
Siddharth Sikchi: No, we have it. I mean, right now, it 's not needed . I mean, we have debottleneck at various points. So now we are good for some more time.

Sanjesh Jain: That's very clear. Second, on the -- again, the parent business, which is the legacy business. The quarter -on-quarter, I see the mix of the business remains steady. Pricing also, you're telling us has been very stable. Any particular reason why there is 250 bps quarter -on-quarter dip in the gross profit margin?
Siddharth Sikchi: So, now , Sanjesh, what is happening is , the raw material prices have increased over the past few months due to the war scenarios. I mean , the Israel -Iran thing and all that. However , we have not been able to increase or pass the price increase right now to the customer. We are right now focusin g on getting the volumes back compared to last year. That is one. Second , our product mix is also changing. I mean , the principal products are reducing and newer products like the pharma intermediate , the TBHQ. So those products are now increasing the bask et. And hence, there is a little compression in the margins.
Sanjesh Jain: Okay. But on a like -to-like basis, MEHQ or BHA, It won't be so much, right? I can understand...

Siddharth Sikchi: Not so much, not so much.
Sanjesh Jain: Not to an extent of 250 bas is points?
Siddharth Sikchi: Not that -- it's not there.
Sanjesh Jain: Got it. And do we intend to pass on the raw material pressure or we will now focus on market share gain?
Siddharth Sikchi: Right now, I think for the next quarter, I think I would like to focus on getting the volumes back, getting the business back on track because now I think the volumes have come back. And I think it's better not to increase the price, and we can see some competition might come up globally -- somehow if there is. So ri ght now, our focus is to remain -- to have the same stickiness of the customer but get volumes as much as we can.
Sanjesh Jain: Got it. And was there any particular activity in America, the re venue sequentially doubled?
Siddharth Sikchi: See, now our HALS segment , the water treatment chemicals, those markets have opened up from the US . That is one. Plus general -- because of the last year slowdown, some of our customers of Performance Chemicals, which were not lifting materials, have now resumed that. And so those volumes have also now come back to the business.
Sanjesh Jain: So this is sustainable, right?
Siddharth Sikchi: Yes.
Sanjesh Jain: This is absolute revenue sustainable . I can understand growth, but absolutely sustainable, right?
Siddharth Sikchi: Absolute will also be sustainable.
Sanjesh Jain: Got it. Then the next thing on the HALS side of it, we were three products, 701, 770, 119, and we expected to launch 944 and 292. Where are we in that?
Siddharth Sikchi: So let me go back. 701 launched, selling no problem . 770, same case. Now there are three products, which is 622, 944, 119 .
Sanjesh Jain: And 770?
Siddharth Sikchi: All three are now successfully launched. Now we have started receiving approval from the customers. I mean, the sales have also

begun. And now I think, hopefully, quarter -on-quarter, the sales and the volumes should start picking up, which we will start seeing.
Sanjesh Jain: Got it. This 622 was the water treatment one, right, you spoke about?

Siddharth Sikchi: No. 701 was water treatment.
Sanjesh Jain: Okay. 701 was water treatment. Tha t's what picked up in US?
Siddharth Sikchi: Yes, that's also picked up in US.
Sanjesh Jain: Got it. The next on the capex, you said that the INR30 core s pharma should be up and running next quarter -- this quarter, right , Q3?
Siddharth Sikchi: By 15th Nove mber -- 15 to 25 November is we expect to start putting raw materials in the system.
Sanjesh Jain: And this is what domestic or largely exports?
Siddharth Sikchi: Majorly domestic. China substitute.
Sanjesh Jain: So it is an import substitution?
Siddharth Sikchi: Yes, China import substitution, right.
Sanjesh Jain: Got it. And we have all the approvals in hand, right? So because it's a relatively smaller capacity , so ramp -up should be faster?
Siddharth Sikchi: There is no approval because pharma does not approve from your lab or pil ot. They need commercial product for approval. I mean this is a very standard practice. But we expect the

validation and approval should come between one month to five months to three months depending on customer to customer. But while the ramp -up happens -- I mean once the approval happens and we start supply, I think the ramp -up should be pretty much easy because the building is ready. We just have to add equipme nt and that is the capacity.
Sanjesh Jain: And how much India imported materials annually?
Siddharth Sikchi: Right now, our capacity is 50% of Indian imports.
Sanjesh Jain: 50% of Indian import. And we are competitive on pricing?
Siddharth Sikchi: That is the whole reason to put up the plant.
Sanjesh Jain: Yes. I'm just confirming. I can completely get that, just reconfirming that.
Siddharth Sikchi: Of course, I mean, tomorrow if China reduces the price by 50% then we don't know. But on current basis, I mea n, what we have been tracking for the last three years, we should be able to catch up, no issue s at all.

Sanjesh Jain: No issue s at all. And you said that one more product we are launching in second half of '26, that's INR150 crores of capex what we announced, right?
Siddharth Sikchi: Yes. So that should start by June -July sorts.
Sanjesh Jain: June-July of '25?
Siddharth Sikchi: Of '25.
Sanjesh Jain: Got it. And this will be for what application?
Siddharth Sikchi: Variety of applications . I mean it's quite a versatile product. So it is like a stabilizer , inhibitor , performance chemical. So it has a lot of applications.
Sanjesh Jain: Got it. Yes. These are largely my questions, Siddharth. Thanks for answering all of them very patiently and best of luck for the coming quarter.
Siddharth Sikchi: Thank you so much, Sanjesh.
Sanjesh Jain: Thank you, sir.
Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.
Priyank Chheda: Hi, Siddharth , and congratulations for a fantastic performance on volumes. Again, coming back to gross margins. So with the HALS mix further going up , it is not expected that gross margin mix will slightly deteriorate as well as EBITDA margin mix will slightly deteriorate . Now when we, again, prioritize volumes, should you think that this would further go down and hence further ramp -up in the mix?
Siddharth Sikchi: Sorry, I think there was a network issue.
Priyank Chheda: Hello. Yes, we can hear you, Siddharth.
Siddharth Sikchi: Priyank, we were not able to follow your question. If you can speak little slower and louder I mean, I think there is some disturba

nce in the line.
Priyank Chheda: Okay. Am I aud ible right now?
Siddharth Sikchi: Yes, you are. And put one question at a time.
Priyank Chheda: Perfect. The question is on the gross margins, with the HALS mix going up , it was expected that gross margins will slightly deteriorate on the lower side. Now when we are focusing on volumes...

Siddharth Sikchi: On consolidated levels.
Priyank Chheda: Correct, on consolidated level. And now when we are prioritizing volumes and we're not able to pass on slight price increases of the raw material , should we think and should we consider that this gross margin deterioration will further accelerate versus what we were thinking earlier?
Siddharth Sikc hi: No, it is not like that. The margin and volumes , the price increase I was more or less talking about the parent company products. That is point number one. Point number two , with this HALS volume pickup , as they pick up, our overall process becomes more and more robust because the plants are -- when a chemical plant is designed, these are continuous processes, right? So running a plant at 10% and 15% capacity utilization is not a very optimum level of capacity utilization.
So as and when our capacity utilization increases, our gross margins will start improving , also due to the fact that our yields efficiencies will further start increasing or improving. So this will all account to increasing the gross margin. And of course, when we go to the fixed cost, because this is a very large facility, the fixed costs are relatively high. So when the volumes pick up happen, the fixed cost distribution on per kg basis will further improve dramatically and should

start contributing more to the margin levels.
Priyank Chheda: Got it. That is clear. On the regional mix, China we have seen Y -o-Y for the first half going up by 38% and as well as in Europe we have seen a 34% jump. What should be the end market that we should track , end consumer products that we should think when it comes to China, Europe? And also, is there a seasonality in India with respect to the September quar ter, particularly?
Siddharth Sikchi: No. There is no seasonality in our businesses. It is just that -- I mean, the demand which you see the last year was a real washout. So these were expected demand -- these were the demand already in place earlier, of co urse. I mean, there is an increase of 5% to 7%. And I think that is what has come back now in the system. So these are sustainable volumes.
Priyank Chheda: Got it. Any particular end consumer market in China that we should think? Any particular end consume r market that we should... ?
Siddharth Sikchi: Acrylic acid producers
Priyank Chheda: Sorry?
Siddharth Sikchi: Acrylic acid producers.
Priyank Chheda: Got it. Perfect. And on the capex side, you did mention about a product -- another product of Performance Chemicals. I think that stabilize r where we are d oing the capex of INR150 crores. You did not touch upon another product around the water treatment, which we are also again doing in the subsidiary company. Anything on that?

Siddharth Sikchi: That will also begin probably in the next two to three weeks, we'll start the construction and we expect that plan t to commercialize by December calendar '25.
Priyank Chheda: And that's also INR150 crores of capex. So now we are doing a two 1 50 crores capex -- two products. One is Performance Chemicals with INR150 crores and one is water treatment pr oduct with another INR150 crores?
Siddharth Sikchi: Total capex INR300 crores.
Priyank Chheda: Perfect. In the same complex of the subsidiary, we have further room to expand. Anything from your R&D labs , any breakthrough that we have got about in terms of further expansion into new pr

oducts in that line?
Siddharth Sikchi: There are a few, but let them crystallize and let us -- if we decide to go on commercial scale, we will make the announcement.
Priyank Chheda: Perfect. Now last question on the stand -alone utilization, the stand -alone business , the parent business , ex of HALS where we are at 70%. And we have -- we know the key plug -in that we need to do with respect to one that we know is PBQ where we had to do some product rectifications. Where are we on that? And the second one is TBHQ.
Siddharth Sikchi: One question at a time, Priyank, because it is easier that way , you are not clear. So PBQ, we have restarted the plant, okay? We have restarted after our successful pilot trial, and we have submitted the samples to some of the customers. Let us get a feedback and then we will know -
- I mean, there has been a process or product improvement in terms of application a t the customer then. So we will know the results probably in the next two weeks' time.
Priyank Chheda: And on TBHQ, where we were somewhere around 50%, 60% utilization?
Siddharth Sikchi: No, that has gone up to 70% now.
Priyank Chheda: Okay. So PBQ and TBHQ are the key plug -ins to be done in terms of stand -alone utilization s going up?
Siddharth Sikchi: No, TBHQ did quite well quarter 2 as well.
Priyank Chheda: Okay.
Siddharth Sikchi: So that is why revenue share of parent product came down. So TBHQ is more or less settled . PBQ is the one, which we have to work on now.
Priyank Chheda: Any other product in the parent where we need to work it on to -- for utilization to go up? Or is it a proper demand, which will drive the utilization going up?

Siddharth Sikchi: Right now, I think we are good. In case we see any demand coming up in any of these products, then I think the next stage will be to set up another facility for that.
Priyank Chheda: Got it. All my questions were answered. Thank you so much.
Siddharth Sikchi: Thank you so much, sir.
Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Yes. Hi, Siddharth. Thanks for the opportunity and congratulations on a strong revenue growth

there. Just on sales, while you did mention volume -led growth across performance and FMCG and Pharma , any Q -on-Q further decline in pricing or we are largely stable there across Performance as well as HALS?

Siddharth Sikchi: Absolute stable now.

Ankur Periwal: Sure. And the comment that you earlier made in terms of focusing on market share gains, with the R M prices coming down now, is there any price cuts taken by competition? Or they are probably still holding on to the earlier pricing and hence, more market for us to gain?

Siddharth Sikchi: Holding. We are holding at the same price now. And there is no rea l lowering of price. I mean, we are still in that range, plus/minus 3%, 4%. So sometimes it goes up, some news, again, it goes back. So it's more or less we are in the range -- I mean I would not say there has been tremendous reduction in raw material pric es.

Ankur Periwal: Sure. Just curious, given that we have been consistently gaining volume -led market share here, any price tactic or any strategy being played by the competition? Or it's tough given the market environment?

Siddharth Sikchi: Very tough given the market environment.

Ankur Periwal: Okay. Fair enough. On the HALS side, we have seen -- last quarter, we were at 125 tons odd . This quarter, we are at 135 tons , so gradual uptick there. This uptick is largely led by higher growth in the existing products that we had launched 770 and 701 or the newer ones wherein we were waiting for the approvals . So the newer ones for which we were waiting for product approv als from global customers, where is the progress there?

Siddharth Sikchi: So you wi

ll see that first time -- I mean, of course, the material has been shipped to Europe, they have been ship ped to the US. Now the customer base is increasing as we are mov ing forward. Fortunately, the next line of product, which completes the entire basket is also now fully commercialized , approved. So now I personally feel that going forward, the ramp -up should increase with existing as well as new customers. Plus, we are at a point where we are started

appointing distributors globally in South America and United States, in Europe. So that also -- the reach is also increasing as we move on.

Ankur Periwal: Yes, that was the next question. So from a distribution point of view , we are there across the globe. So there are no building blocks there? That is already in place?

Siddharth Sikchi: That is already in place.

Ankur Periwal: So the only thing which you are waiting for is the approval for the newer as well as existing produ cts, which are largely five now? Or have we started focusing on the blends as well?

Siddharth Sikchi: No. So basically, what is happening , of course, we are also making one blend already, which is called 783. And if needed, we can make other blends. So far, we have not received any other interest in any other blend. So 783 is a more prominent blend. So blend is not a very complex operation. It just need s mixing of two material at an appropriate percentage.

Ankur Periwal: Okay. Sure. And just last bit on the bookkeeping question. So this quarter, our tax rate had increased versus 25%, 26% earlier. Is it a one -off? Or should we read something into it?

Sanjay Parnerkar : It is only one -off, but there is no major increase in the tax rate. It is largely because of the other gains where the tax rate is a little more. The change in fundamentally , the change has happened because of the finance budget where they have changed the rates for capital gain tax.

Ankur Periwal: Okay. Fair enough. That's it from my side. Th ank you and all the best.

Siddharth Sikchi: Thank you, Ankur.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: Siddharth, thanks for the opportunity. My two questions, first on the -- our trad itional Performance Chemicals business like MEHQ and BHA. You said on the -- you said on a Y -o-Y basis, it's primarily volume -led growth. On a sequential basis also is it a volume -led growth?

Siddharth Sikchi: Yes. On a sequential basis also it is volume -led growth.

Arun Prasath: Okay. Because I'm just wondering because in Q2, now price sequentially went up by 7 percentage , 8 percentage, which means that we have not increased price in MEHQ and BHA and other traditional products? We are not able to...

Siddharth Sikchi: It was a very short period -- I mean the price shot up because of the current news about the war between Iran and Israel. But within a week or two, the prices again subsided down. We are not in this one -off opportun ist where we can increase the price so quickly.

Arun Prasath: Okay. So as of now, our price -- our procurement prices more or less come back to the normal

rate in terms of …
Siddharth Sikchi: Yes.
Arun Prasath: Okay. And earlier you also said that you are g oing after the volume instead of margin, this is to the MEHQ and BHA or the other traditional Performance products? There is a new set of products...
Siddharth Sikchi: I was speaking more or less about our parent products, about the parent business where w e are trying to gain those additional market share. In terms of HALS -- I mean, in terms of other performance chemical like per se HALS, and we are anyways too little in the market. So we have to only keep adding and growing the market share.
Pratik Bora : Arun, just

to correct . We are not going for volumes over margin. We are conscious of not going for further margin dilution. Like we are conscious of ensuring EBITDA margins of 40% plus for parent company .
Arun Prasath: Great. Okay , which means -- is there any capacity additions in our traditional basket of products outside India? Because you said there is an increase in competition, and hence we are not able to increase -- pass on the prices immediately.
Siddharth Sikchi: Sorry, go a gain.
Arun Prasath: Is there any capacity addition outside India from your competition where they are also placing huge volume in the market?
Siddharth Sikchi: No. I mean, right now, there is no competition addition. Of course, the conventional route is always available for anybody to make the products which we are making. So we have to be conscious of the fact that we have to place our pricing in a manner that the competitor is not incentivized to add more capacity and go to the customers.
Arun Prasath: Okay. The spread between the MEHQ and the HQ, is it still negative, right? So we should still have some room to increase MEHQ to gain this arbitrage ?
Siddharth Sikchi: No, we will look at increasing probably post the December period. Once we understand how the market is shaping up. So probably, we might look at it or relook at it going forward in quarter 4.
Arun Prasath: Okay. All right. Siddharth, can you also give approximately what is our current market share in MEHQ and what is our capacity share in MEH Q global ly?
Siddharth Sikchi: In MEHQ, we think our market share would be 55% to 60%.
Arun Prasath: And on a capacity basis?

Siddharth Sikchi: Okay. Capacity basis, 60%.
Arun Prasath: Okay. And that means the actual volume share would be lower?
Pratik Bora : We mean, market share on the production basis, MEHQ could be a little lower because MEHQ is also captively consumed for BHA.
Arun Prasath: Okay. And anything you're hearing from your competition on adding MEHQ capacity on this alternate route , apart from outside India anywhere you're hearing about that?
Siddharth Sikchi: No, not at the moment that we are aware of.
Arun Prasath: Okay. So, which means largely this margin reduction in this quarter in the parent business looks like very temporary phenomenon? Is it the right assessment?
Siddharth Sikchi: Right, yes.
Arun Prasath: And any reason why in parent business, powe r and fuel cost is disproportionately higher in this quarter as compared to previous quarters?
Pratik Bora : Arun, it has gone up from 8.7% to 9.6%, primarily led by increased production activity, some impact of monsoon where we got lower ne t solar credit. And the third is also little bit alteration in the product mix, which had adverse impact on the power and fuel. That is from that narrowband of 8.5% to 9.5%.
Arun Prasath: Okay. Because what I'm seeing is sequentially power and fuel increased by 15%, whereas, volumes probably increased around 6% to 7%. That's why I was wondering if there's any onetime, one -off impact in the power and fuel.
Pratik Bora : Yes. There was a slight increase in the coal pricing also.
Arun Pra sath: Understood. And finally, on the capex side, INR155 crores capex we have done on first half, there is an investment or actual deployment of the cash?
Siddharth Sikchi: Deployment of the cash.
Pratik Bora : Investment in the subsidiary by parent company.
Arun Prasath: Okay. Not as a deployment, not yet deployed, because our cash flow capex is...
Pratik Bora : Some part of it is deployed by the subsidiary company, and some part is still lying in the territory, which should get deployed in this quarter.
Arun Prasath: All right. Thank you very much, Siddharth.

Siddharth Sikchi: Thank you so much.
Aru

n Prasath: Thank you very much. All the best.
Moderator: Thank you. The next question is from the line of Jitesh Agarwal from Finvision Capital Markets. Please go ahead.
Jitesh Agarwal: Yes, hi. This is Jitesh from Finvision. My question is regarding the recent election outcome of the USA, how do we see this impact on your business, especially vis -a-vis to the export s that you do to China?
Siddharth Sikchi: I don't think there is any impact on our business per se, because I mean, we had Trump before also when there was a change. And again, so that has really not impacted much. So I think we are very neutral to this.
Jitesh Agarwal: So, which is tariffs and the trade restrictions, will it take any kind of problem, any kind of business disruptions or any kind of issue?
Siddharth Sikchi: The tariffs from India -- you're talking about tariffs from India to US?
Jites h Agarwal: No, tariff of any Chinese product and your exports to China, something like that?
Siddharth Sikchi: No, no. The tariff between India and China has nothing to do with US elections. That is one. But the positive part is that US anyways has additio nal tariff of 25% for Chinese products, which anyway will be helpful to all Indian companies.
Jitesh Agarwal: Okay. So you see no impact as such by this election outcome?
Siddharth Sikchi: Not really.
Jitesh Agarwal: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Jason from IDBI Capital. Please go ahead.
Jason: Thanks sir. Thanks for giving me the opportunity. I just wanted to understand that last time we had spoken around sales volume of 125 tons per month for HALS, and lookin g at an average of around touching to 200 tons per month going ahead in this year. So are we on track to probably have back to 2,00 tons of volume per month for HALS in this year? And if yes, then what are you talking next year? I just wanted a directional sense on HALS volumes?
Siddharth Sikchi: See, first of all, all the four products which are commonly used by the customers are all now in place. That is one most important because earlier when we were offering only one or two products, whereas the customer had to buy the balance from the competitor. So now we have

that entire basket that is point number one. Second, because this was an absolutely new segment where Clean Science has entered.
So the lack of trust-- I mean, the f irst time entry barriers were already in place. But now that we have started supplying products already to them. So there is a very high level of confidence in these customers to test our balance three products which we have launched recently. So with all these things with basic approvals in place, with getting REACH registrations in Europe, with having distributors set up across the world.
I think now we are in a better shape than what we were earlier. So I mean, wit h this confidence, I think we should be able to -- going forward, to touch a 2,000 tons -- should be a target in 2025 for sure -- calendar year '25 I mean.
Jason: Sure, sir, financial year '25?
Siddharth Sikchi: Financial year. Yes.
Jason: Financial year. Okay, okay. And sir, about '26, I mean would you -- I mean, directionally, we have spoken about 4,500 tons, 5,000 tons.
Siddharth Sikchi: Right now, I think putting a number will not be easy, so maybe in the next call, I would have more fur ther clarity on how things are. And maybe that is the time we can discuss on this.
Jason: Sure, sure, sir. And but realization Sir, on an average, taking the basic as well the premium niche products, will stay at around $8 level, I would assume.
Siddharth Sikchi: $7, $8. Yes.
Jason: $7, $8. Okay.
Siddharth Sikchi: These products are about $5, $4.5, $5. One is about $10, one is about $7 -- $7, $8. So yes, about $6-ish should be a decent number.
Jason: $6-ish sho

uld be around a decent number. Okay. Sure, sir. And Sir, just in terms of -- I understand that you've spoken about the capex, the two INR150 crores new blocks. Now I just wanted to just confirm my numbers to the water treatment on you said will commercialize in December 2025. And the Performance Chemic als will commercialize in when? Could you just

reconfirm those numbers?
Siddharth Sikchi: June, July '25, about seven months from now.
Jason: Seven months from now and the water treatment shall commercialized by December 2025, okay?

Siddharth Sikchi: 13 months from now.
Jason: That's right. And sir, again, when you look at -- when you look at the last call, you had spoken about that the Performance Chemical, when you look at it at a revenue potential of around INR350 crores, up for the peak output. And you were probably going to give us a number for the water treatment in terms of opportunity size. So right now, would it be fair to give -- you would have a better assessment on the peak potential for the water treatment plant?
Siddharth Sikchi : INR300 crore s to INR320 odd crores
Jason: INR300 crore s okay. So you're looking at an asset turn of around two, two times . Okay. And sir, in light of the same. Yes, yes, in light of the same, just wanted to understand -- of course, th is is INR300 crores capex. So how would we look at our capex guidance in '25, '26 at a consol level?
Siddharth Sikchi: The capex in parent company is hardly negligible because there is nothing coming there.
Jason: No, I'm talki ng about a consol level, on a consolidated level. I understand all the capex is happening in the subsidiary, which is Clean Fino -Chem. So on a consol level, I'm asking '25, '26, what is the capex guidance?
Siddharth Sikchi: So, I think apart from INR150 cr ores to INR200 -odd crores.
Jason: Each year? Each year, right?
Pratik Bora : Yes. So this year, it would be pharma intermediate , INR30 crores. Part of the performance segment, it could be close to INR100 -odd crores. And next year, it would be the residual part of the performance segment, INR50 crores and incrementally INR150 for the other performance segment, which we
Siddharth Sikchi: Water treatment, what you call it.
Jason: Okay. Sure. So this you probably should be on INR180 crores on the next year should be around INR280 crores. That's what the calculation said.
Siddharth Sikchi: Yes.
Jason: Sure. Yes. Okay. And sir, just lastly, I wanted to ask you in terms of PBQ, I mean, earlier participant did ask. So if you could elaborate so what -- is this the same thing whether color was an issue? Is this the same thing the PBQ -- is that the same issue? Is there some other issues we are working on. You did mention that there is some work on happening on the PBQ part?
Siddharth Sikchi: So, w e started the plant again with some improvement -- as I said, it's a very delicate product. You need some approvals from customers to understand it if our product is suiting their application need because that was a problem . That is why we had to stop the facility to relook

at the process. But after the new commercial plant , I mean after the new process has started, the customer again needs new samples, right?
That's what I mentioned that it will take us ab out two more weeks to determine if the new process, the product coming out of the new process is suitable for the customer's application s.
Jason: Sure. Sir, those are all my questions. Thank you so much.
Siddharth Sikchi: Thanks.
Moderator: Thank you. The next question is from the line of Shivani from Monarch Networth Capital. Please go ahead.
Shivani: Hi, thank you for the opportunity. Most of my question has already answered, but if I could chip in just one -- two quick questions. One is

around the sustainable margin, HALS is low margin
product, if I recollect. And going forward, what could be the blended margin for the company?
Siddharth Sikchi: Yes. So, parent company could be 40% plus at EBITDA level. And subsidiary has commercialized, it could be around 25%.
Shivani: Okay. Sure. And for the new Performance Chemicals, so that's coming up, the margin would be similar range of 40%, 42%, correct?
Siddharth Sikchi: I mean it's a differentiated technology. So, margins should be better than HALS, and i t's adjacent to our existing products, but we don't want to comment on number per se, at this stage.
Shivani: Sure. And lastly, one more thing. We a re also -- there a new high -margin , high product, which is also in the pipeline. So, could you comment on that?
Siddharth Sikchi: They are still in pipeline.

Shivani: Any update or any additional products ? Or it's too early to ask the same?
Siddharth Sikchi: It is too early.
Shivani: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.
Krishan Parwani: Hi, Siddharth Ji, Pratik Ji. Hope you had a great Diwali. Just three questions from my side. So, firstly, where are we in terms of approval for our new Performance Chemicals, which is supposed to be launched in the first half of FY 2026?

Siddharth Sikchi: Once the plant commercializes, then we 'll send the samples across and it should take between one to t hree -- one to four months for the customers to approve.
Krishan Parwani: Okay. I mean, on the lab scale, are those approved?
Siddharth Sikchi: Our customers are such that, I mean, lab and pilot will not really hold too much significance in this.
Krishan P arwani: I get it. Okay. And secondly, on this HALS, the 135 tons per month volume that you indicated. So, is it entirely from subsid iary? Or is there any -- is there some volume from the stand -alone entity as well?
Siddharth Sikchi: It is console volumes. only HALS segments.
Krishan Parwani: Yes, I got it. Got it. And just a follow -up on that. That's the last question. How long do you think it would take us for a meaningful ramp -up of HALS , let's say, just to be EBITDA positive on the subsidiary side?
Pratik Bora: We expect this year to close on EBITDA neutral, I mean, breakeven basis, FY 2025 for subsidiary.
Krishan Parwani: You mean the closing rate should be EB ITDA positive, correct?
Pratik Bora: Yes, we are hopeful for full year because as new products are getting launched 622, 944, they are more margin accretive compared to 701, 770. Apart from that Pharma intermediate launch will also help drive the EBITDA for the subsidiary company.
Krishan Par wani: Okay. And the depreciation of the, let's say, Pharma intermediate plant is already there in the numbers? Or it is yet to come in the coming quarters?
Siddharth Sikchi: No, it has to come. The plan t begin operations just in the next two weeks or so. W e expect the real production to begin. I mean, the final product to come out, say, by mid of December. And say probably one month to three -month approval from a variety of customers. So we expect revenues starting quarter four.
Krishan Parwani: Got it. No. This is very helpful. Thank you for patiently answering my questions and good luck for the coming quarters. Thank you so much.
Siddharth Sikchi: Thank you. Krishan.
Krishan Parwani: Thank you.
Moderator: Thank you. The next question is from the line of Ro hit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Yes. Thanks for the opportunity. First question is you already mentioned that now we have the basic products of bouquet of HALS products. In terms of our proposition to customers, what are we propos

ing to the customer? Is it primarily from the cost -effectiveness perspective or anything else in terms of availability or some other parameter? Thank you.
Siddharth Sikchi: First is price. Second is geographical location. I mean, today the dominance is between China and Europe. So we are the first player from India, so a little bit on geographical say China Plus One. So that was another parameter. So these are some of the reasons why we see we should be able to get. And we are -- I mean our -- with th e entire capacity ramp -up, our global market share would only be sub 7%, 8%. And the market is already growing at 6%, 7%.
Rohit Nagraj: Fair enough. Second question is we have also indicated earlier that there are premium HALS products which are priced about just $ 15. So where are we in terms of the process on the lab scale and maybe putting up the...
Siddharth Sikchi: Labs and pilots are conducted. We have sent some of the samples to some of the customers. As soon as we get some results to unders tand, then probably we will think of how it can be manufactured in the existing setup.
Rohit Nagraj: Okay. For that, we may not have to put in separate capex as such, at least in the initial stage.
Siddharth Sikchi: Very little debottlenecking, some equipment here and there, but we have no intention to put -up

any additional facility right now.
Rohit Nagraj: And that will take maybe six months, nine months' time or shorter period?
Siddharth Sikchi: Six months.
Rohit Nagraj: Got it . That's all from my side and all the best.
Siddharth Sikchi: Thank you.
Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.
Archit Joshi: Thank you, sir. Good evening, gentlemen. Sir, I have a que stion on the HALS industry assets with respect to the competitive dynamics as we see today, especially in comparison to maybe a few years ago when we decided to have this entire product portfolio with us for realization for a few dollars higher, if I recal l correctly.
And we've seen some bit of pressure on realizations in the entire pack, especially the newer ones that we are about to launch. What has changed, sir? And if you can also give a few signs of yours on what would be the drivers to these realizati ons improving? And mostly, sir, could you help us understand the competitive landscape within HALS as it stands today?

Siddharth Sikchi: So basically, I have said this, I had answered this earlier. So basically, the competition is from Europe and Chinese. We are the fifth company globally to be fully backward integrated. There is tremendous pressure because Chinese has scaled up capacities over the past 2 or 3 years. And that is why they have driven the prices down. And we have to be closer to the market prices. Nobody wants to pay the premium.
But at par with Chinese prices, we are able to get businesses. As things move up, as our capacity ramp -up happens, our yield efficienc ies will keep improving, which will make us more and more competitive. As capacity utilization improves, as newer products ramp up in the subsidiary, the fixed costs will keep coming down, which will make the business more and more profitable as we move fo rward.
Archit Joshi: Sure sir. Sir, just sort of curiosity since some of our HALS are used in petrochemicals, mostly hydrolysis like polyethylene or maybe polypropylene, you mentioned acrylic acid earlier. You're seeing a situation wherein there is a decen t bit of our petchem overcapacity. Is there any parallels between realizations being depressed and products where we are starting them -- with respect to the application area?
Siddharth Sikchi: Polymer -- Acrylic acids was a for our other products that has nothing to do with HALS.
Pratik Bora: Acrylic acid, when we mentioned it was for MEHQ. HALS underlying appl

ication is largely
polymer industry.
Archit Joshi: Okay. I thought that would be a derivative of the petchem cycle. But anyway, got your point, sir. Sir, lastly, on these three capex, one of them, the pharma intermediate that is already underway and the other two with INR150 crores each. If you can just explain how different or similar are they from the perspective of technology, I think we've had gre at laurels on our shoulders with respect to the take that we have on an MEHQ and the products in the base business, if you can share some of your insights on how cost competitive we can be on the technology side ? Thank you.
Siddharth Sikchi: So I will just comment on the performance chemical. I mean on the pharma intermediate as Pratik mentioned, it's a new technology, which we have incorporated. Of course, we don't know exactly how Chinese are making it -- but looking at the price point, we f eel we have a decent margin going forward. That is one. In Performance Chemicals, yes, it's again, on newer technology. But of course, when the plant begins and it will be more and more clear to us and also to the market and how we have been able to improve the technology compared to our competitors.
Archit Joshi: Sure, sir. That explains a lot. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Abhishek Ranawade from Oakland Capital . Please go ahead .

Abhishek Ranawade: So I joined a little late. So I just wanted to ask you about the capacity utilization segment wise?
Siddharth Sikchi: We don't give segment wise, but overall, on parent company, it is 70% and subsidiary brand new, so there is far lower capacity utilization.
Abhishek Ranawade: Okay. And I would also like to know about the margi n growth trajectory or the HALS?
Pratik Bora: HALS at optimal utilization, we expect EBITDA margin of close to 25%.

Abhishek Ranawade: Okay. And is it going to be same for the next few quarters? Or is it going to improve?
Siddharth Sikchi: It will keep improving as we move on.
Abhishek Ranawade: Okay, because the volume is picking up, it will increase, right?
Siddharth Sikchi: Yes. Hopefully.
Abhishek Ranawade: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.
Arun Prasath: Thanks for the follow -up opportunity. Siddharth, just wanted to understand on HALS. Can you give us the -- what is the full potential revenue potential based on current prices of HALS and targeted mix at full utilization?
Siddharth Sikchi: So, current ly, we are manufacturing the base products where the prices are closer to $4. Going forward, we are c oming up with products which are closer to $8, $9. So if you do the math, we should be closer to $6.
Arun Prasath: Okay. $6 on the 10,000 tons of capacity. That is a revenue condition.
Siddharth Sikchi: Yes sir , on 12500 tons of capacity at consolidated le vel
Arun Prasath: Understood. Thank you. That's it for me. All the best.
Moderator: Thank you. The next question is from the line of Jason from IDBI Capital. Please go ahead.
Jason: Thanks for taking my question again. Just wonder to underst and, sir, on the pharma intermediate space, the INR30 crore s capex, what's the revenue potential of this sir?
Siddharth Sikchi: INR80 crores to INR90 crores.
Jason: Okay. Sure. And sir, just if I may, within this one last one. I mean one of our domestic peers has started their facilities in one of -- in some principal products where we also are large leaders. So

sir, just if you could comment on some -- if we are seeing some more competitive intensity on the gr ound in terms of those products?
Siddharth Sikchi: As on today, sir, I am not seeing anybody on ground.
Jason

: Okay. Sure sir. So those are my questions. Thank you, sir.
Moderator: Thank you. The next question is from the line of Neil Parikh from Orica Capital Advisors . Please go ahead.
Neil Parikh: Okay. So my question is with respect to R&D of the company. If I compare what happened in the last 6 years, in 2018, the count of scientist was 22, which by 2024, increased to 90. The PHD guys in your team in 2018 was a singl e person. In 2024, it increased to 9. So I want to understand what is the role? How critical are both of these positions in your company and the attrition rate of there?
Siddharth Sikchi: Very, very unique question. So let me start -- I mean the attrition rate is always higher on the chemist levels, which is a very low level in the company because of various reasons . Second, because there is a huge task force, hence, we are able to put up more capex quickly compared to what we were doing proba bly 10 years earlier.
So as you see, the capex of INR300 crores in HALS, additional INR300 crores, which we have to discuss plus a pharma of INR30 -odd crores. So all the capex of about 650-odd crores probably in a period of 2 or 3 years, is the highest level of capex, which company has done in the last 19 years since the inception. So that is the role of R&D to keep churning more and more products and as early as possible to optimize and go to the commercial levels.
Neil Parikh: Okay. Got it. I have one more question. That is with respect to the pay structure for the scientists and the PhD guys? Because if I look at the R&D cost of the company, it's not getting reflected well, so that's w hy.
Siddharth Sikchi: So what is your question?
Neil Parikh: My question is, what is the cost of the sci entists and the PhDs you employ? So for FY 2024, what portion of cost was it?
Siddharth Sikchi: So point is -- apart from salary, there is also ESOP giv en to these scientists. And I think that is the reason why they are still with us.
Neil Parikh: Okay. Got it. Thanks a lot sir. That's from my side.
Moderator: Thank you. We'll take the next question from the line of Hrushikesh Shah from Alchemy Capital. Please go ahead.

Hrushikesh Shah: Hello. Thank you for the opportunity. My question was relating to HALS -- you said that the reasonable margin is...

Siddharth Sikchi: Louder, louder, please.
Hrushikesh Shah: Yes, am I audible?
Siddharth Sikchi: A little louder.
Hrushikesh Shah: Yes. One second.
Siddharth Sikchi: Hrushikesh, you are there?
Moderator: Hello?
Hrushikesh Shah: Yes.
Moderator: Mr. Shah, please go to the question,
Hrushikesh Shah: Yes. My question was relating to HALS the sustainable ma rgin that you spoke is of 25%. Is this margin at current realization of 4% or at 6%?
Siddharth Sikchi: What is 4% and 6%, sorry?
Hrushikesh Shah: The sustainable margin for HALS is 25%, right?
Siddharth Sikchi: 25% EBITDA on 70%, 80% capacity utilization.
Hrushikesh Shah: And the realization that you assumes $4 or is it $6 overall $6 going forward?
Siddharth Sikchi: $6 average.
Hrushikesh Shah: Okay. Understood. Thank you. That's all.
Moderator: Thank you. The next question from the line of Neeraj, an individual investor.
Neeraj: Hi, Siddharth. Can you comment on the growth potential the rate at which our revenue can grow in coming few years, please?
Siddharth Sikchi: Which are apart from the capex we have done, the capex which is planned. I mea n we should be closer to 2.5x of our current revenues.
Neeraj: In a period of how much time?

Siddharth Sikchi: Sir, we want to do it as early. But looking at the market scenario, I think fairly you should assume 3 years.
Neeraj: Okay. Any plans related to separate listing of subsidiaries, etc etera ?
Siddharth Sikch

i: No, absolutely no.
Neeraj: Okay. Any other capex is planned or lined up, apart from the mentioned three capex?
Siddharth Sikchi: Not at the moment, sir.
Neeraj: No. Okay. Right. Thank you. Thank you so much, Siddharth.
Siddharth Sikchi: Thank you, N eeraj.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Siddharth for closing comments.
Siddharth Sikchi: So thank you all of you for taking time out to understand the company to understand our quarterly numbers. Thank you always for your support and time. Thank you so much. Have a good one. Bye -bye.
Moderator: Thank you. On behalf of Clean Science and Technology Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

03.02.2025
To,
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort,
Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E),
Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conferen ce call on the Company's Q 3 FY24 -25 Earnings .

Ref.: Regulation 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulation s, 2015 ("L isting Regulations")

Dear Sir/Madam ,
Further to our letter dated 23rd January, 2025 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q 3 FY24-25 Earnings held on Thursday, 30th January,2025 .

You are requested to take the same on record.

Thanking You.

For Clean Science a nd Technology Limited

Ruchita V ij
Company Secretary

Encl: as above

"Clean Science and Technology Limited Q3 FY25
Earnings Conference Call"

January 30, 2025

MANAGEMENT : MR. SIDDHARTH SIKCHI – EXECUTIVE DIRECTOR AND PROMOTER , CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CFO, CLEAN SCIENCE AND TECHNOLOGY LIMITED

MR. PRATIK BORA – VICE PRESIDENT , CLEAN
SCIENCE AND TECHNOLOGY LIMITED

Note: The transcript has been edited for readability and clarity

Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY25 Earnings Conference Call of Clean Science and Technology Limited.

We have with us on the call, Sidd harth Sik chi - Executive Director and Promoter ; Sanjay Parne rkar - CFO and Pratik Bora - Vice President.

As a reminder, all participant s' lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Siddharth S ikchi for opening remarks . Thank you and over to you, sir.

Siddharth Sikchi : Thank you so much. Good evening , everyone. I am happy to connect with you all in this New Year to discuss the business performance of our Company for Q3 FY25.

I would like to say these are difficult times for the chemical industry. Despite that, Clean Science has demonstrated robust cros s cycle EBITDA margins and firm growth plans underpinned by its technology prowess and customer -first approach. Our business performance continues to reflect the enduring fundamentals and agility.

Regarding the stand alone financial highlights :

Starting wit h quarter -on-quarter comparison : the revenues were steady with domestic and international sales mix being 40 % and 60% respectively. Favorable product mix and utility cost increased EBITDA by 8% to Rs. 102 crores while EBITDA margin strengthened to 45%.

Profitability of the Company increased by 10% to Rs. 74 crores with PAT margin being 32.5%.

Regarding year-on-year comparison : the sales increased by 20% and this was primarily volume led. Improved sales led to strong EBITDA growth of 18% during this quarter. Consequently, the Company reported 19% growth in profitability for the current quarter.

Regarding console financial highlights:

The Company recorded Rs. 240 crore s sales for quarter 3, which is 23% higher on an annual basis and steady on a sequential basis. Consolidated EBITDA stands at Rs. 98 crores, which is 14% higher on an annual basis and 10% higher on a sequential basis. The EBITDA margin for the quarter came in at 41.5%. For the quarter, profitability was Rs. 66 crores, which is 5% higher on an annual basis and 11% on a sequential basis.

On business update, let me first discuss the progress on HALS . At the outset , I am really pleased to report that during the quarter, HALS sales volume scaled to approximately 190 tons per month

while December exit rate was 200 tons per month . The H ALS product offering continues to diversify with revenue contribution coming in from HALS 701, 770, 622 and the newly launched 944, 119 and 783.

During the quarter, Company commercialized 2 new products, DHDT, a pharma intermediate which is used to manufacture Lamivudine. Company is a key domestic manufacturer of DH DT, leading to import substitution led demand traction. With commercialization of DHDT, the value proposition o f pharma segment further strengthen ed by creating cross selling opportunities with our DCC customers. Another product for the Performance segment which we added is BHT . It further strengthens Company 's position in antioxidant segment as it is being synergi stically sold along with BHA , TBHQ and Ascorbyl Palmitate .

Coming to sales profile . The contribution from performance , pharma and agro continue to be 69%, 18% and 13% respectively. During the quarter performance , the performance segment witnessed strong growth on an annual basis amongst all segments led by increased volumes.

Regarding CAPEX , we have incurred CAPEX of Rs. 160 crores during the first 9 months FY25, which was prima

rily towards investment in our subsidiary Clean Fino-Chem . The construction of the new performance chemica l product is on track and we expect to commercialize the production by H2 FY26.

Regarding an update on ESG : We have expanded our solar capacity by adding 400-kilowatt rooftop solar plant at our subsidiary. We h ave recently uploaded an updated sustainability report for FY24 on our website based on GRI standards. I am pleased to inform you that the B oard has

approved interim dividend of Rs. 2 per share.
Overall outlook, we look forward to increased growth in reven ues led by scale up of recently commercialized H ALS s eries and also the pharma intermediate. Thank you so much. We are open for Q&A now.
Moderator: Thank you very much . You will now begin the question -and-answer session. Anyone who wishes to ask a question may press "*" and "1" on their toucht one telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Priyank C hheda from Val lum Capital. Please go ahead.
Priyank Chheda : Yes. Hi, team, c ongratulations for great set of number s. My question is on we were planning to take some pri ce hike somewhere post December. Have you taken that? Is that the reflection of gross margins quarter -on-quarter improving or is it because phenol prices have slightly fallen down , so without price incr ease also is what the gross margin gains have come ?
Siddharth Sikchi : The dollar depreciated to INR 87 levels . So, we have not increased prices, our prices have still remained at similar levels whereas we continue to see increase in volume s, but of course as you

said, there has been a slight reduction in raw material price and of course the dollar impact naturally has given us the edge .
Priyank Chheda : Perfect. Now coming to MEHQ, P-BQ and TBHQ , MEHQ, what has been the utilization based on capac ity? Has that improved slightly? P -BQ and also TBHQ , if you can highlight , in P-BQ, we were supposed to restart , in last quarter somewhere you had given some update . Update on that also wi ll be helpful .
Siddharth Sikchi : So, on performance segment, our utilization is around 65 %-70%. Pharma, agro is also around 65%, FMCG is around 80%. Regarding P-BQ because we are still struggling, and we are not able to achieve the quality which is needed by the customer so we have now decided to drop that product entirely. And in the same facility, we will be starting another product which is called as Barbituric acid, which is an intermediate used to prod uce pigment yellow. And this product is not made in India, it is currently imported from China. Our product from lab and p ilot h as been approved by large customer like Sudarshan Chemical and we expect to begin this production of Barbituric acid in the next 3 months. So, same equipment of Para Benzoqunone will be converted into Barbituric acid , so no CAPEX, a little bit here and there, but we will start with this new product.
Priyank Chheda : Great to know that quick decisions and quick improvisation , so Siddharth, anything on what would be the quantum size of the production and the realization from this product that we can expect?
Siddharth Sikchi : The gross margins are decent about 50 %-odd, but on pilot scale , let me take it on plant scale to really understand how much production can be made. But the same set of equipments we have mapped , the same set of equipments can exactly be used to produce this new product.
Priyank Chheda : Great. And just the last question, did we have certain revenue contribution from the new pharma intermediate product in this quarter?
Siddharth Sikchi : Nil.
Priya

nk Chheda : Sorry?
Siddharth Sikchi : Samples are out to customers for evaluation, so I think for this quarter 3, there was nil contribution from the DH DT phar ma intermediate.
Priyank Chheda : Perfect. Thank you all the best.
Siddharth Sikchi : Thank you.
Moderator : Thank you. The next question is from the line of Sanj esh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain : Good evening. Thanks , Siddharth for taking my questions. F irst on the cost side , book keeping question , there has been a sharp decline sequentially. I s power cost decline can be attributed to the solar plant or is something else and why the other expenses have dipped sequentia lly by 10%?
Siddharth Sikchi : See, so the other income has come down because we booked forex loss .
Sanjesh Jain : No.
Siddharth Sikchi : Power and fuel came down because there was a slight reduction in coal prices.
Sanjesh Jain : Yes, I can hear you.
Siddharth Sikchi : Second was that out of in this last quarter, 5 days, we were off for Diwali. So, production was

also stopped and hence the c oal consumption was lower to that extent . So, that is why coal consumptions were lower by 7% because of these two parameters.
Sanjesh Jain : Got it and other expenses ?
Pratik Bora : In other expenses, the major part is power and fuel. So, that is essentially driving the other expense lower.
Sanjesh Jain : That is the same thing. Got it .
Siddharth Sikchi : Yes.
Sanjesh Jain : And if I look at the subsidiary number, even today sequentially, they have come off while I understand there is an increase of ftake in the HALS that should be from our existing client in the Clean Science, anything you want to talk about the subsidiary performance?
Siddharth Sikchi : So, what happened is during this quarter , we also produce d 770 in our parent Company .
Sanjesh Jain : Correct.
Siddha rth Sikchi : So, what we did is, Sanjesh , we made maximum 770 in our parent Company and in our subsidiary , we established this new product called as BHT . We didn't need so much capacity because the plant is still starting up. So, we thought why not use this facility to add on another product . So, with very minimal CAPEX of about Rs. 2-Rs. 3 crores, we entered into this new product BHT and we will be making this product on campaign basis for few of our customers who are also our current customers of BHA.
Sanjesh Jain : And how much capacity or revenue potential the BHT will have for us? Because I think it is a co-product of antioxidant ?

Siddharth Sikchi : Of course, because it was taken for the first time, we had some teething issues and all, but now we are contemplating to produce about 2000 -3000 ton on an annual basis.
Sanjesh Jain : And this would be the same ?
Siddharth Sikchi : So, if the product of Rs. 300 so about 2000 -3000 ton i f we are able to make , this is about Rs. 60-Rs. 80 crores of revenue, but the best part is that there is no CAPEX needed , and it can be made in our existing HALS facility where we have enough capacity r ight now.
Sanjesh Jain : Got it. And the same capacity will come down for HALS ? So, this was.
Siddharth Sikchi: Today, w e have ample capacity because this ramp up will anyways take 3 years' time .
Sanjesh Jain: Correct .
Siddharth Sikchi: So, why wait for 3 years? In the meantime, we can start producing another product. And tomorrow, after a year or so, we feel that we can d o about 5000 or 10,000 ton BHT, then we will go and set up an individual or independent block to make BH T, dedicated pl ant for B HT.
Sanjesh Jain: That is fair. That is actually very good capital allocation.
Siddharth Sikchi: Absolutely .
Sanjesh Jain: And second on the DH DT, this was a Rs. 30 crores plant, right?
Siddharth Sikchi: This is Rs.

30 crores CAPEX .
Sanjesh Jain: Rs. 30 crores CAPEX and th is should yield a revenue of what, Rs. 100 crores ?
Siddharth Sikchi: Close to Rs. 80-Rs. 90 crores.
Sanjesh Jain: Rs. 80-Rs. 90 crores of revenue and when d o we expect this to happen? Say i t will take 2-3 years, given our D HDT?
Siddharth Sikchi: See, typically we expect to get all approvals in the next 6 months. So, in two quarter , we expect that we should get some approvals from the large customer. Fortunately, t his is very Indian market. So, in the next 6 months, we shoul d get approval and following 6 months , we will finish all these trial requirements and all that. So, the following year , we should be a good year to get 70%-80% capacity utilization. So, you assume about 1 -1/2 year to reach optimum capacity utilization. We will not need 3 years here.
Sanjesh J ain: This will be quite quick?
Siddharth Sikchi: Because all the customers know us.

Sanjesh Jain: That is good. And I get you that our last quarter was 135 metric ton , this y ear we did 190 metric ton and i n this quarter, we did 190 metric ton in HALS .
Sidd harth Sikchi: Yes.
Sanjesh Jain: So, we are on track to touch this 400 kind of a metric ton end of March, or you think it is more like 300 -350?
Siddharth Sikchi: So, next year target we ar e targeting a decent number . I think by next quarter , we should touch about 300 , not quarter -on-quarter we should, w e should start expecting increment every quarter -on-quarter because now I think we have started getting , now that all the products are commercially approved and commercially started , now the only point is to grow our market,

grow our distribution network and that is what we have been doing now. So, I think in the next year, we expect about 3000 tons sales of HALS in totality.
Sanjesh Jain: In FY26 ?
Siddharth Sikchi: Yes.
Sanjesh Jain: That is good . And then the blended realization should be higher now, right more than $5?
Siddharth Sikchi: Should be. It should be closer to $5.5-$6. This quarter is what close to $4. So, that should go to $5.5-$6 now.
Sanjesh Jain: Very clear. Thanks for that. Very helpful with all your answers and best of luck for the coming quarters.
Siddharth Sikchi: Thank you, sir.
Moderator: Thank you very much. Next question is from the l ine of Arun Prasa th from Aven dus Park. Please go ahead.
Arun Prasath: Thank you for the opportunity. Siddharth, f irst on this , apart from 770 in which of those grades we are seeing maximum ki nd of a good feedback from the customers or distributors, and which is likely to scale up faste r where you have we are hopeful of utilizing the capacity ?
Siddharth Sikchi: So, the deal is now that now see , all these products came one after another. So, first we started with 770 , then we started with 622, then with 119, then with 944. So, as and when these products started coming in, those were the first products which we started selling. But when you start now that the entire basket is there, now we expect that based on our capacity on similar pro -rata basis, we should start seeing the market penetration . All the distributors whom we have appointed they onboarded us because they know that entire basket is going to be around. So, now going forward, the way we have, so I think 770 , 622 is more Indian bound customers which are buying low

range of HALS and th en 944 , 119 are products which are majorly be useful for Europe and American markets.
Arun Prasath: Right. And now big scheme of things, I think 119 and 944 will be o ut of much higher price is the right understanding ?
Siddharth Sikchi: They are of higher price compared to 770 , 701 and 622 which you are absolutely right. So, 944 is about $7-$8 and 119 is about $8-$9.
Arun

Prasath: Right. And on these distributors who will be distributing our product , previously were they distributing Chinese or European products with HALS ?
Siddharth Sikchi: No, some of them understand the market because they have been selling , say for instance or distributor of ours was selling phenolic antioxidant. He understands the customer, but he never had any opportunity to work with any HALS producer. So, these are some of the distributors who are very keen to work with us. So, that completes their basket also.
Arun Prasath: So, for some of the distributors for also the HALS is new?
Siddharth Sikchi: They have heard about it. See, is it new is like DHD T and D CC. So, we know DCC, we know DHD T is just about putting it together, so it is not new. They h ave heard about it. They know that product and that is why they quickly on boarded us, right. It is not that they don't understand what are these products ? It is not that they don't know . They were aware, but they never had any chance to collaborate this because there are only four other producers who are fully backward integrate d.
Arun Prasath: But what I understand is these distributors, their customers already consume HALS is understanding, right?
Siddharth Sikchi: Of course, absolutely.
Arun Prasath: And what is the current status of our direct sales to the say direct HALS consumers? Where we are in the whole customer acquisition cycle ?
Siddharth Sikchi: So, samples are being given , it depends. Again, every customer is different. W e have a long list of customers here because it is not like direct customers and this is a very long cycle of customer , long list of customers. So, at some scale, price negotiation is happening , at some product, qualification is happening. So, it is at variety of stages.
Arun Prasath: Understood. And specifically to 119 and 944 , which are the end categories which drive these two one ?

Siddharth Sikchi: So, 119 is majorly used in agricultural fil ms, so very good market in Turkey, Europe and in North America, South America an d 944 is into Polyolefins fields, so again very good market in these areas which I mentioned and also some markets in India.
Arun Prasath: So, none of the categories, these categories that you have mentioned is from the very end category perspective , is there any stress going on or the product itself or the category itself is

doing well , anything that you have picked up from the distributor? Or is it still recovering?
Siddharth Sikchi: Just price war . There is China always in the market plus there a re Europ eans. We are the new supplier , right. So, people have to trust us, p eople have to believe our quality, but the advantage is that we have different geographical location . Customers who are looking for non -Chinese, non-European , we are the only source so and let us see how the US tariff thing happens because if China gets a large tariff, then I think we w ill get great opening in the US market. And now , we have multiple distributors in the US as well. So, who are also very keen to partner and to work with us.
Arun Prasath: Understood. And secondly, my second question is on the existing business such that i f you see the alternate process, the spreads in the alternate process that is MEHQ versus HQ , it is kind of still comfortable for the alternate producers to produce. So, what will drive this, the alternate producers to actually stop producing and which will enable us to take a higher market share or take a prizing improvement. Any thoughts on that?
Siddharth Sikchi: Sir, I don't know which calculation you d id, because if that was the case, we would never gain the volumes which we lost because of destocking .
Arun Prasath: No, I was talking about the. .
Siddharth Sikchi: Entire growth has come only because of volume, so the spr

ead again with the conventional process cannot lead market share still and is way off than the process which we are using.
Arun Prasath : I understand . I agree with that. In between the spread of MEHQ versus HQ was negative and it has once again become positive nowadays , but that is the reason are they once again started facilities side o r do you see any reduction in their utilization ? Along those lines I was questioning?
Siddharth Sikchi: That is what I told you. If that was the case, we will not have gained the volumes. So, I am not seeing that anymore, but we can connect offline to further discuss your calculations , to rectify the calculations again.
Arun Prasath: Alright , Siddharth , thank you. We will take it offline. Thank you. All the best .
Moderator: Thank you. The next question i s from the line of Ankur Periwal from A xis Capital. Please go ahead.

Ankur Periwal: Hi, Siddharth . Thanks for the opportunity and congratulations for good set of numbers. First clarification , so apart from HALS , we were doing 3 CAPEX , Rs. 150 crore s, Rs. 150 crore and Rs. 30 crore . Rs. 30 crores has already got commissioned and for the other two you mentioned, they both of them will get commissioned by H1 of the next financial year, is that right?
Siddharth Sikchi: No, the performance chemical one Rs. 150 crores starting in July.
Ankur Periwal: And the other one was December ?
Siddharth Sikchi: The other one December , construction begins first week of February.
Ankur Periwal: Sure. And sorry , you said con struction starts in February and the commercialization is December this year 25? So, let us say Q4 of next financial year. Fair enough. Secondly, again, just trying to understand, since you mentioned the focus on dist ribution network for HALS will be the key thing to look out for. Now , I am trying to divide it into India and global and India, l argely, the distribution network is already in place or there is still scope for improvement here ?
Siddharth Sikchi: Major ly direct. We are sitting here , so very few customers prefer distribution. India is majorly all the big ones are direct. In global , outside of India, there are big M NCs where we are talking directly to them, but l ike India, there is a tale of customers for this because there is combination. It is n ot one product ; it is a combination of 4 -5 product s. So, now, we have established distributors across Europe, Latin , US, a nd also Gulf and South Af rica. Because this busi ness, Ankur, unlike our other businesses, there are customers who even buy small quantities like anywhere between 500 kilo to 2 ton material , so these people need domestic stock points. So, now we have appointed an d signing contract with some of the distri butors and now you will start seeing these distributors also getting active.
Ankur Periwal : Sure. And in the global market, North and South America will be a bigger market for our products right now versus the other markets that you mentioned, will that be right?
Siddharth Sikchi: North America and Europe will be large compared to South America.
Ankur Periwal : And the distribution network now is ramping up or probably will deepen further let us say over the couple of quarters ?
Siddharth Sikchi: We have now set more or less , just few additions here and there. So, you can say 70% network is there , now business should start coming.
Ankur Periwal: Fair enough. Just trying to understand the competitive landscape here. So, as you mentioned China and Europe bas ed players are the bigger ones here. The distributor is there an overlap or largely our distribution network is different which you highlighted that some of them are into phenolic based antioxidants, and they understand what they were not selling HALS right now. So, how should we look at that bit?

Siddharth Sikchi: You should look at it that they were not selling HALS before . So, there is no cross sell, so they exclusively will be our distributors now.
Ankur Periwal: All of them, or this is only a set ?
Siddharth Sikchi: No, all of them . See, ultimately the deal is , Ankur this is also very performance driven product like approval takes time with some customers, so now if that is approved so the link has to be constant . Now, we also don't want to ch ange the channels a nd even the customer does not recommend us to change the distributor. So, these are now relationship which will only develop over the next years to move on. So, we have taken some time to really work and understa nd whom we are working with. We h ad a lot of proposals in pipeline, but we have shortlisted whom we want to work . We have personally met them in their countries to unde rstand their reach, and now we have appointed over the last 30 days.
Ankur Periwal: Fair enough. That is helpful . And just last bit on this, the end customers either on the plastic side or polymer side or let us say agri side is common whether it is for B ASF globally or for these new distribution network or they are different sets ?
Siddharth Sikchi: No, customers are customers. T here is set of customers.
Ankur Periwal: They are already have a connect with that customer is where I am coming from?
Siddharth Sikchi: Sorry.
Ankur Periwal: This new distribution network that we are going through, they already have a connect with the end customer which is also consuming HALS .
Siddharth Sikchi: Of course . They know the market. They know whom they want to target first, whom they want to target second . They understand this business very well.
Ankur Periwal: Sure. Fair enough. And just one more bit on the overall growth front, sorry, overall realization front, are we seeing any further pressure versus let us say on Q-on-Q basis or maybe versus 6 months for our products or it is largely stable ?
Siddharth Sikchi: I think the prices what we have today are like all time low prices in the chemical segment , be it HALS or be it performance or be it agro segments. I think these are the lowest prices we have seen in many years. So, I don't expect prices to further dip. It might not increase very soo n, but we are comfortably placed. You c an see from that our numbers , right.
Ankur Periwal: Yes, fair enough . And lastly, we were also thinking of or we are also sup posed to launch blends of the core HALS products, the 5 , 6, 7 product that we had launched, has it already started?
Siddharth Sikchi: 783 is the bl end. So, we have started. We have also started selling it.

Ankur Periwal: So, that is the only one, but are there more in the pipe or probably let the distribution network get established and maybe over a period of time over the next few quarters we will start picking up over on that ?
Siddharth Sikchi: The blends are not very complex . It is mixed into produc ts. The European clients don't like to do that in Europe, so it is just mixing two products , it is not some rocket science. So, we will be doing it as and when the customer tells us . So, we know the 783 customer s requested that we don't want to buy individ ual, you please m ix it and g ive it to us. We did that.
Ankur Periwal: Fair enough, that is helpful . Thank you and all the best.
Siddharth Sikchi: Thanks.
Moderator: Thank you very much. The next question is from the line of Pankaj from Affluent Assets. Please go ahead.
Pankaj: Thanks for taking my question. Am I audible?
Siddharth Sikchi: Yes, sir.
Pankaj: Well, congrats for very good set of numbers. So, I am new to this Company . So, just wanted to understand that there a difference between the standalone consolidated E

BITDA margins . Can you please help me what i s dragging this b ecause the difference in revenues is minuscule as compared to the margin difference and when can we see it converging down?
Pratik Bora : Right. So, Panka j subsidiary was commercialized only last year March and it is a 34 acre greenfield capex which we have undertaken for tax reasons. Being greenfield capex, the fixed overheads are higher and impacting EBTIDA margins. The tax rate in the subsid iary Company would be at 17% perpetual. And hence the expansion is happening in the subsidiary Company .
Pankaj: So, when can we see it narrowing down? The difference?
Pratik Bora : Yes, as the scale up of HALS happens and as a new product s scale up, which we have recently launched like DH DT and the performance chemical , we see EBITDA margins improving .

Pankaj: Can you give some timeline say this yearend FY26 or so?
Pratik Bora : We might take somewhere between 2 -3 years. The gross block has already reached Rs. 376 crores for the subsid iary. So, as soon as it reaches optimal utilization .
Pankaj: Sure. Well secondly, the revenue to net block historically has been around 2. So, when can we see our sales picking up? Currently , our net block is around Rs. 700 odd crores ? So, when can we see this reaching the sales r eaching to 1400 or 1500?

Pratik Bora : Pankaj, it is similar to the first question which I just mentioned that the subsidiary undertook greenfield capex , that is why you see an increase in the net block but not a proportionate increase in the revenue which will start reflecting in as the scale up happens fo r the new products.
Pankaj: So, is it possible in by FY26 or it will be spilled over to 27 ?
Pratik Bora : Yes, it might get spilled over to 27.
Pankaj: Thank you. Thanks a lot.
Pratik Bora : Thank you.
Moderator: Thank you. Next question is from the line of Priyank C hheda from Vallum Capital . Please g o ahead.
Priyank Chheda: Thanks for the follow up opportunity. So, this year, Rs. 160 crore CAPEX 9 months is broadly for performance chemical and for next year we require that Rs. 150 crores of water treatment. That is the only CAPEX spend required for next year , right?
Siddharth Sikchi: I mean, unless we don't come up with something new , but ye s, so far these are the numbers.
Priyank Chheda: Got it. Now , did I hear correctly that you said that you are looking out for something 4000 tons as a target number for HALS in FY26? Is that right that I heard ?
Siddharth Sikchi: We are target ing 3000 -4000. See that is a plan w e want to pursue. So, we are keeping the bar a little higher, so let us see what we are able to achieve, but n ow that all the lines are ready, the production is ready, product is approved, customers or distributor network is set up and we think why we should not be able to do this.
Priyank Chhed a: Exactly Siddharth, so if we are planning to reach somewhere around 300 tons per month in Q4 itself, I think we can at least achieve 4000 plus given the sale of that is happening. So, just was curious to know why just stick to 3000 tons or 4000 tons?
Pratik Bora : Priyank , you are right. I mean, last quarte r we closed with run rate of 135 tons per m onth. This quarter we closed with run rate of 2 00 tons per month. But you should also understand that between last and this quarter, the product mix has also changed. Now we are coming up with advanced version of HALS w hich just now Sid darth mentioned that this quarter the average realization was $4.5. Next year, we are targeting an average realization of around $6. So, we want the distribution channel whi ch is recently established to pick up these advanced HALS also which is 944 , 119. So, that will help us with better realization and margins both. So, we will have a more clear and candid answer to the volume gu

idance for next year, probably in a quarter ’s time as we see the scale up happening . Like for this quarter, we have almost 10% of

our revenue coming from HALS at t he cons ole level. So, we are upbeat on HALS volume, but we want the product mix also to be favorable now going forward.
Priyank Chhed a: Got it. Great. Just last question. On MEHQ, on the competition last time you did mention that you haven't seen any new entrants coming in plus I think one of the local competitor s had an issue on the p lant with respect to Hydroquinone procurement, so anything on the competitive landscape, would you like to comment on particularly for M EHQ?
Siddharth Sikchi: Sir, we are not seeing even till date. If you find out, please connect us offline and let us know .
Priyank Chheda: Thank you.
Moderator: Thank you very much. The next question is from the line of Jay Patwa, an Individual Investor. Please go ahead.
Jay Patwa: Hello.
Siddharth Sikchi: Yes, sir.
Jay Patwa: Hi, Siddharth . I have a like broad spectrum pers pective I want to know that because your Company is like entering in a market where you have a few checklists like you should be a clean technology , it should be a unique process , then it basically it should be a import substitution and again if all this f ulfills , then it should be a high margin product , but as a Company , how difficult for you to find such product in R&D?
Siddharth Sikchi: Very difficult , sir, but we are trying our best.
Jay Patwa: So, can we assume that in future if Company wants to grow then you have to compromise in this checklist either at the level of margin or at the competition will be there or something like that?

Siddharth Sikchi: We don't want to compromise on few aspects like green chemistry . We want to produce chemicals which are clean in nature. It is not that we are averse to making something which is made in India if we have a better tech, why not? If it is decent, good margins like we have been able to do , why not ? HALS for instance a bsolutely new product never made in India very large TAM , we have been able to find this product ; the pharma intermediate, again not made in India; We are China plus One, good technology we have developed ; performance chemical one also the same. So, we have been able to find out. So, we will see as the quarter moves on , you and I will both see how things move along with us, but we are trying our best.
Jay Patwa: So, the reason why I am asking is because I think in previous call calls also you mentioned that the newer two CAPEX which you are doing Rs. 150 crore each for water treatment and performance chemical s, there are already competitors there in the Indian market , is it correct?
Siddharth Sikchi: There are Indian competitors, yes.

Jay Patwa: But the technology will be new or uniqu e process will be there for?
Siddharth Sikchi: Yes, our technology will be better. So, we feel we will have that edge over the competition.
Jay Patwa: And even for this DH DT, currently commercialized product, we have this UPL Limited , I think selling it in Indian market. Again, we have any edge over there or something .
Siddharth Sikchi: You should re-check , because to whoever customers we are engaging with , we are not seeing UPL at all be cause I think they don't make it themselves. They get it t oll manufactured somewhere plus there are quality issues. I think I have been hearing UPL for the last two years , but there is no product I think .
Jay Patwa: So, as per you , currently , there are no suppliers of DHDT from India?
Siddharth Sikchi: If you see the import statistics 200 tons per month was coming two years back and today also 200 tons per month is coming that is a clear indication that there is no entr

ance, otherwise that number should drop, right . That is a clear logic we apply .
Jay Patwa: That is great. And one more query regarding like 3 years ago , when you planned to go commercialize the HALS product in a big way , you assume that the gross margins will be similar of 25% at full capacity or things has changed in last 3 years due to the over capacity or something like that?
Siddharth Sikchi: I think we are still a little premature in terms of produce offering because now the advanced HALS are coming , we expect this to impr ove only. That was a very base minimum number we had, but I think it should be better than this only.
Jay Patwa: But the market dynamics has changed or something like that in last 3 years because of the over capacity or at the beginning itself we have assumed that the maximum margin level will be 25% around which you have indicated in previous concalls?
Siddharth Sikchi: Everything, the world has become so dynamic. Chinese are there, BASF is there, and we have to compete . I think with advanced HALS, the margin should be better only. You will allow us to one or two more quarter and with the whole picture and with the entire distribution network , we will have a far crystal -clear idea of this business.
Jay Patwa: Thank you ve ry much and best of luck.
Siddharth Sikchi: Thank you.
Moderator: Thank you very much. The next question is from the line of Hus eain Baruch wala from Carnelian Capital. Please g o ahead.

Huseain Baruchwala: HALS, I just wanted to understand, how much percent age will come directly from the client level and how much we see from the distributor level ?
Siddharth Sikchi: This is very difficult question because as I rightly said, it has just been a month that we have started appointing distributors. It is a very difficult question to tell you today specific percentage.
Huseain Baruchwala: And why it is not approved by the traditional distributor ? You said you appointed new distributors o n the HALS side who had similar products which you will cross sell in terms of that? So, you have not approached the existing distributors just w anted to understand that ?
Siddharth Sikchi: No, sorry. Go again.
Huseain Baruchwala: We have appointed a lot of distributors who are new, who don't sell HALS . So, why don't we approach to the existing distributors of HALS rather than appointin g new set of distributors? They were not selling HALS , but now they are selling HALS?
Siddharth Si kchi: If somebody is already selling HALS or suppose he is buying from China and selling , why would he buy from us? He has already taken that distribution from Chinese, right . These are not off and on relationships. These are ‘long only’ relationships actually.
Huseain Baruchwala: Got it. That is it from my side.

Moderator: Thank you. The next question is from the line of Abhijit Ake lla from Kotak Securities. Please go ahead.
Abhijit Akella: Good evening. Thank you so much. Sorry, I joined the call a few minutes late, so I might have missed this data point in case you shared it, but for HALS , what would the total volume have been that we have done year to date, if it is possible to share , please?
Siddharth Sikchi: Last quarter , we did 60 0 tons, Q3, which is the highest and exit of December was about 200 ton s a month which I had discussed about 2 quarters ago that our first target of the first milestone is to do 200 tons a month which we have achieved. Now, going forward, we only have to incr ease these volumes. All the p roducts are commercialized, quality is approved. Our product is in line with our competitors. So, now there is no problem there. A few quarters ago, people had this question whether our product is going to be approved or would be similar to B ASF or a competitor , now those questions are behind us a

nd now it is only about growing the market.
Abhijit Akella: Got it. So, on a full year basis, would it be fair to , just for modeling purposes I am a sking , pencil in a number of say arou nd 1800 or 2000 tons for Fiscal ‘2 5?
Pratik Bora : No, Q1 was 125 ton per month a verage , Q2 was 135 tons per month a verage this time it is close to 200 tons per month average. Quarter 4 would be probably in the similar range of 10 %-15% higher.

Siddharth Sikchi: We will try and see, I think majority sales should start coming in FY26 because some of the products started coming September, October sort s, so network established January . Product , submission , sample , so I think large chunk of business , we will see in FY26.
Abhijit Akella: Understood. Thank s that is really helpful . And just the other thing I had was on the margin situation in the subsidiary , Acetone prices have corrected , so are we seeing an improvement in the margin profile there and sh ould we sort of see that starting the fourth quarter or how are you seeing things over there ?
Siddharth Sikchi: Absolutely. I think because of the main raw material, which is Acetone, once the price goes off, of course , we should start seeing that flowing through. And I think Q4 and onward, we will see that reflection happening.
Abhijit Akella: Great. Thank you so much and wish you all the best.
Siddharth Sikchi: Thank you boss. Thank you, Abhijit .
Moderator: Thank you v ery much. The next question is from the line of Jason So ans from IDBI Capital. Please g o ahead.
Jason Soans: Yes, sir, t hanks for taking my question. My question is related to the previous participant also, so he didn't mention that on a quarterly basis , 1Q was around 125 tons and 135 tons and 200 tons. So, it does lead to a figure of around 17 00, 1800 tons . Is that a fair volume assessment for HALS for FY25 are you saying ?
Siddharth Sikchi: That is true. I mean you add this number s with Quarter 4 of about 600 tons again, more or less 600-650 then you will arrive to that number only .
Jason Soans: Right, yes sir, and you did also mention that average realization for this year probably around 4.5 and with advanced HALS , you are looking to target $5.5-$6 for HALS , right?
Siddharth Sikchi: This quarter 3 was 4.5. Quarter 4 would b e similar, but future on as we dive into FY26 with all these new products, we expect that next year say volume of whatever a few thousands or 3000 - 4000 tons with prices of $5-$6.
Jason Soans: Sure a nd, sir, in this definitely the depreciating rupee, the st rengt hening USD helps you because HALS generally is targeted towards the export markets. That would be a fair understanding, right?
Siddharth Sikchi: Well, even some raw materials are imported, right.
Jason Soans: So, that kind of gets netted somewhere. T hat is what you are trying to say?
Siddharth Sikchi: Yes.

Jason Soans: Got it. And sir, in the initial part of the call, you did mention that you dropped PBQ and you are diverting the production , yes to manufacturing Barbituric acid, so sir, just wanted to clarify this Barbituric acid, where do you slot it into the performance chemicals or I believe, or probably a pharmaceutical intermediate and w hat is the end use application for this if I may know?
Siddharth Sikchi: That is used to manufacture pigment yellow. This will be actually our first product which will go into a pigment industry. So, we will categorize this into FMCG segment.
Jason Soans: You categoriz e into FMC G.
Siddharth Sikchi: It is impor ted about 100 odd tons, Sudarshan Chemicals, Pidilite, Sargent, I think and such I think there are two, three large pigment producers who are importing this product from China.

So, I think if that first will be a very domest

ic market for us.
Jason Soans: You are looking at targeting to manufacture around 100 tons per month you said?
Siddharth Sikchi: I don't think I said 100 t ons. I just said that we are mapping the capacities and by end of next concall, I will give you exact tonnages what we think we will be able to achieve in a plan t which was earlier build for Para Benzo quinone .
Jason Soans: Sure sir . And sir, I just wanted to understand one thing. Of course , you have mentioned the timeline for both the blocks of the Rs. 150 crore s CAPEXs . Now , just wanted to know for the performance chemical bit , what could be the revenue potential? Would it be normal as in the general 2 x kind of thing? And also would want to know the end us e for this performance chemical , some color on that as in terms of wher e the end -use application for this performance chemical would be ?
Siddharth Sikchi: So, for Rs. 300 core is the revenue expected on full runs, and this is performance chemical, so they find application in antioxidant , stabilizers and similar such businesse s.
Jason Soans: And the timeline for the peak revenue hit probably around a couple of years or you would say 2 years ?
Siddharth Sikchi: 2 years.
Jason Soans: Couple of years for the peak revenue hit , okay .
Siddharth Sikchi: Actually, a couple of years.
Jason Soans: Sure, sir. Thanks a lot for that. Thank you.
Siddharth Sikchi: Thank you, sir.

Moderator: Thank you very much . The next question is from the line of Rohit Nagraj from B &K Securities. Please g o ahead.
Rohit Nagraj: Thanks for the opportunity and congrats on good set of numbers. The first question is, given that now we are expanding and appointing distributors domestically as well as outside , will it lead to the inventories and debtors being higher than the cu rrent levels?
Siddharth Sikchi: It won't have a very big impact because the revenues are also scaling up. So, we are not stock ing a very high inventory and apart from these pharma intermediates and performance chemical segments which are coming up, they ha ve sizable domestic market. So, the inventory or the receivable won't pile up. We would remain in that narrow range of 24 %-25% of sales as a working capital.
Rohit Nagraj: Fair enough. That is helpful. Second question again on the HALS front , so currently I think you said that abo ut 10% revenues came from HALS during this 9 month, if I am not wrong ?
Siddharth Sikchi: During the quarter.
Rohit Nagraj: During the quarter , right, so how much of that has come from domestic and how much from export and in FY26, how are we looking at the overall revenues from domestic and exports in terms of just broader percentage ?
Pratik Bora : For this quarter, as we mentioned earlier, the large contr ibution continues to come from our starting or the basic HALS which is 770, hence the domestic contribution continues to be dominant. And apart from that , revenue contributions came in from the USA and then some small portion from the rest of the world . For FY26 , it will be a little early to comment on the geography mix given the evolving product mix, it depends on how much of 622 , 944 will sell. So, that guidance we will be able to give probably by next quarter end.
Rohit Nagraj: Fair enough . Just one clar ification , in terms of pricing, is there differential pricing for the domestic market and the exports market in terms of premium or discount?
Siddharth Sikchi: Because people have to import the product in India to sell it 7 .5% duty, when we export to Europ e, because there are European entity, our product has 6.5% import duty. So, we have to keep matching these prices and then selling to these markets.
Rohit Nagraj: Fair enough. That is it from my side. Thanks and all the best.
Siddharth Sikchi: Thank you.
Moderator: Thank you. T

he next question is from the line of J ash Gandhi from Dalal & Broach. Please go ahead.
Jash Gandhi: Hello. Am I audible? Hello.

Siddharth Sikchi: Yes, J ash.
Jash Gandhi: Hi, sir . Thank you for the opportunity and congratulations for a good set of results. Sir, my question is on HALS, sir you mentioned that next year you are looking to gather more share

from 944 and 119 and that should improve the realization. And you also mentioned that that should the margins as well so what lev el should we assume because we used to say 25% , so any guidance on that?
Siddharth Sikchi: I think just wait for a quarter , we will give you more clear guidance in the next quarter call. The best important t ake away from this quarter is all the products ar e now commercialized , all quality issues, teething issues are over. Network growth is happening. So, now things should only revolve around selling of these products. So, this has supported to get all these numbers and get back to you.
Jash Gandhi: And sir, what should be the margins currently on HALS?
Siddharth Sikchi: 25% gross margin.
Jash Gandhi: And sir, on the new product, on the water treatment and the performance chemicals , those we entered through CAPEX, what should be the margin that we should work with?
Siddharth Sikchi: So, these are decently good margins compared to our HALS segment, so you should expect way over 25% for sure.
Jash Gandhi: Over 25%. Thank you, sir. T hank you so much.
Moderator: Thank you. The next question is from the line of Srishti from Monarch AIF. Please go ahead.
Srishti: Thank you for the opportunity. I wanted to understand what China 's market share in terms of capacity in HALS and who i s driving the pricing pressure here? Chinese or B ASF?
Siddharth Sikchi: BASF.
Srishti: And China's market share in terms of capacities or maybe market s ize of HALS ?
Siddharth Sikchi: Maybe 30%.
Srishti: 30%, understood. And sir, we were talking about, what kind of savings can we expect in our power cost now that we are talking about solar coming in and has that fully materialized in this quarter?
Pratik Bora : We have just installed 400 kilowatt of solar capacity , not MW. Our utility cost is largely coal cost, which is essentially fuel cost. Power cost is hardly 15% of overall utility cost.

Srishti: Understood. And s ir, there was this some noise about funding for the ARV Drugs, but that faded. So, what do our customer conversations tell us during that period where there was probability of the funding going away ?
Siddharth Sikchi : Actually, our customers, I have no such idea because they have to produce Lam uvidine, they have to buy DH DT and that has been happening for years. You see imports of DH DT coming from China and we are just trying to replace from China to our main. T hat is all I have on this.
Srishti: Perfect, sir. Thank you.
Moderator: Thank you very much. Next question is from the line of Krish an Parwani from JM Financial. Please g o ahead.
Krishan Parwani: Hi, sir . Congr ats on good set of numbers . Just three small questions from my side. So, first, just wanted to understand of the overall HALS volume that you have done till now. So, just a ballpark number, h ow much would be like 770? Not the exact one, but just a range like 40 %-50% or more ?
Siddharth Sikchi: We are not sharing HALS' category wise volumes , we are talking about HALS portfolio in particular , in general.
Krishan Parwani: No, got it, fair enough. I don't want you to reveal confidential details. That i s fine. S ir, just secondly, on this, do you expect large revenue contribution from B HT and Barbituric acid in FY26?
Siddharth Sikchi: I told you for Barbituric acid we are mapping the capacities, so even if you

are able to, lets say
400-500 tons , we will have to really map it , again these a re very approximate numbers. This is about a $4.5 kilo product. So, even if we do 400-500 tons you can do the math.
BHT , we estimate we will do about 300-400 tons of BHT in this year , in the next year. So, again that is about Rs. 300 of product. So, then you do the math. So, this is what we are estimating from BHT and Ba rbituric acid . So, both put together could be around Rs. 50 -Rs. 60 crores.
Krishan Parwani: Got it, and just the last bit, given you ha ve achieved a 200 tons monthly run rate in subsidiary else, I think you m anufacture more in the parent Company , but just wanted to understand how far do you think the subsidi ary breakeven is as in would it be at a 300 tons market under?
Pratik Bora : At Rs. 11-Rs. 12 crores of monthly revenue , subsid iary would break even. So, whatever we did quarterly that should come into monthly, we should see a break even in the subs idiary.
Krishan Parwani: Fair enough. This is very helpful. Thank you for patiently answering my question. Wish y ou all the best.

Moderator: Thank you. The next question is from the line of Arun Prasa th from Av endus Spark. Please go ahead.
Arun Prasath: Thanks once again for the f ollow up opportunity. So, that my question is on the sales to the Europe , it seems to picking up a lot and especially this quarter. Is this something w hich is one - off or this is structural and will be more and more towards will be Europe oriented rather th an Chinese , is that the way it will play out?
Siddharth Sikchi: We are trying to increase the market share. So, nothing is one-off now. Now the market should grow , we should start selling, 1 quarter come , 1 quarter goes, b ut things should now only start picking up. We have done all the REACH registration except one product so as and when reach registrations are also in place , we should start selling in the market . When we sell more than it is not one off , it is what we are trying to achieve, right?
Arun Pra sath: So, fair to say that Europ e will become the largest for us in a couple of years ?
Siddharth Sikchi: There is US, there is Europe, there is also Latin. I am not saying that Europe will be the largest. I mean Europe will be important for us. So, 3 geographies, apart from India is Latin , US and Europe including Turkey. So, these are important market for us, so we have to target these customers very well.
Arun Prasath : Understood. Thanks for that. All the best.
Siddharth Sikchi: Thank you.
Moderator: Thank you. Ladies and gentlemen, d ue to time constraint, t hat was the last question for today's call. I now hand the conference over to Mr. Siddharth Sikchi for clo sing comments .
Siddharth Sikchi: Thank you so much all of you for spending time to understand our Company in this late evening. Have a great week ahead and thank you and we will catch up again on the next quarterly call. Bye, bye.
Moderator: On behalf of C lean Science and Technology Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

26th May, 2025
To
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai -400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra-Kurla Complex
Bandra (E), Mumbai -400 051
Trading Symbol: CLEAN
Subject: Transcript of conference call on the Company's Q4 and financial year ended 31st March, 2025 Earnings.
Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")
Dear Sir/Madam
In terms of the referred Regulation 30 read with Schedule Ill -Part A to the Listing Regulations, we are enclosing herewith the transcript of conference call on the Company's Q4 and financial year ended 31'1March, 2025 Earnings held on Thursday, 22nd May, 2025.
You are requested to take the same on record.
Thanking You.
For Clean Science and Technology Limited
Ruchita Vij
Company Secretary
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CIN: L24114PN2003PLC018532
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Earnings Conference Call”
May 22, 2025
MANAGEMENT : MR. SIDDHARTH SIKCHI – EXECUTIVE DIRECTOR AND PROMOTER , CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CFO, CLEAN SCIENCE AND TECHNOLOGY LIMITED
MR. PRATIK BORA – VICE PRESIDENT , CLEAN SCIENCE AND TECHNOLOGY LIMITED

Clean Science and Technology Limited
May 22, 2025
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Moderator : Ladies and gentlemen , good day and welcome to Q 4 and FY '25 Earnings Conference Call of Clean Science and Technology Limited.
We have with us on the call, Mr. Siddharth Sikchi - Executive Director and Promoter; Mr. Sanjay Parnerkar - CFO and MR. Pratik Bora - Vice President.
As a reminder, all participants’ lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being rec orded.
I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you and over to you, sir.
Siddharth Sikchi: Thank you so much. Good evening , everyone. I am extremely happy to connect with you all to discuss the business performa nce for the company for Quarter 4 FY '25.
So, let me first start with the business performance. FY ‘2 5 has been a milestone year in the company's history with extensive business transformation . Let me share key highlight s:
#1. The company recorded the highest sales volume across its key products
#2. L ed by superior R&D capabilities , the company developed the highest number of products during the financial year . These include the entire HAL S series , DHDT , which is a pharma intermediate and BHT, along with two new products in the performance chemical segment , which are slated for commercialization in FY '26. The addressable market is set to increase by over $1.5 billion , underpinned by the commercialization of new products , which will position the company on a strong growth runway in the coming years.
#3. The company developed an entirely new value chain and complex chemistry capabilities to launch these new products. Some of the key chemis tries which the company developed include

triphasic catalytic ring formation, which is also called condensation reaction , hydrogenation , esterification , polymerization , hydroamination and chlorination .

Let me talk on standalone financial performance :

Starting with Q -on-Q comparison :

On sequential basis , revenues increased by modest 4.5% to Rs . 238 crores. EBITDA and PAT increased to Rs . 105 crores and Rs. 79 crores respectively , implying an EBITDA margin of 43.8% .

On a Y-o-Y basis , the sales increased by 7% during the quarter , and the revenue growth is

primarily led by increase in sales volume .

Let me highlight the consolidated financial performance :

Company recorded Rs . 256 crore sales for Quarter 4, which is 14% higher on an annual basis and 8% higher on a sequential basis. The consolidated EBITDA is Rs . 105 crore , implying 41% EBITDA margin.

Let me share highlights on the newer HALS segment performance :

For the quarter, HALS sales value is broadly in line with the last quarter and blended realization is approximately 425 per kg while the R MC at portfolio level is around ~65%.

For the full year FY '2 5, the HALS sales volume was roughly 1 ,900 ton , which ga ve us a sale of roughly Rs. 80 crores.

Successful validation by key customers based in Middle East, South east Asia and Europe are lead indicators pointing to sales momentum acceleration going forward.

Sales profile:

The revenue contribution from performance segment, pharma and agro segment and FMCG segment remain at 69%, 19% and 12% respectively. During the quarter , performance chemical sector has been the key revenue driver followed by pharma and agro segment.

On CAPEX cycle :

Clean Science inves ted Rs. 215 crores during FY '2 5 in our subsidiary Clean Fino-Chem . Construction for the new performance chemical product, which is expected to commercialize by Q3 FY '2 6 is on track. CAPEX for performa

nce chemical 2 has started and we expect the plant to commercialize by Q4 FY '2 6.

On ESG :

We are pleased to report that the Board has recommended final dividend of Rs. 4 per share. Total payout ratio is higher at 22% for FY '2 5 compared to the previous year. Led by strong focus towards cash conversion, the cash balance continues to be meaningful at Rs. 400 crores despite increased payout ratio and sizable CAPEX in the new subsidiary.

With this , I conclude my opening remarks and look forward to the Q&A session. Thank you so much.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the

line of Ankur Periwal from Axis Capital . Please go ahead.

Ankur Periwal: Congratulations for a good set of numbers and than ks for the opportunity. First, on the HALS bit, so you mentioned revenues were largely flattish Q -o-Q. But at the same time, you know, seeing new product approvals coming in.

So, I was just saying on the HAL S bit, so while the quarterly revenues were flattish, there has been sort of new product approvals as you highlighted from multiple geographies. So , two questions. One, the distribution network tie -up that we had done earlier, how has been the progress there and are you satisfied with that? And seco ndly, from a ramp -up perspective, what timelines are we looking at?

Siddharth Sikchi: Perfect. So, with respect to the distribution setup model, we set up some distributors over the last two quarters. However, out of some of those distributors, we realize d that some of them are not effective as we had expected.

So, in those geographies, we are re -looking and re -finding some of the distributors. So, this is part of the business cycle. So , you appoint few distributors , but you realize at a later date that they are not as effective as you would have wanted them. They were also keen to partner , but eventually for whatever reason , for resource problem , they also decided that maybe they are not able to allocate enough time and hence that process in some of the geographies have restarted. However, some of the distributors have become very active and are trying and have also got approvals in some of the large accounts globally in their particular area .

To give you a little flavor in FY '24, we did about 600 ton of HAL S sales , whereas in FY '25, we did roughly 2,000 tons of HAL sales . So, this is approximately 3x. And going forward in FY '26, our target is to touch 4 ,500 tons of sales. When I am talking, it is in cumulative with all

together. So , from Rs. 25 crores of FY '2 4 revenue, we came to roughly Rs. 80 crores .
Siddharth Sikchi: Ankur?
Ankur Periwal: Yes, just the last sentence. So , from Rs. 25 crores we went to Rs. 80 crores in '25. On '26, give me the number.
Siddharth Sikchi: And for '26, we are expecting closer to Rs. 210 crores.
Ankur Periwal: Okay, that's helpful. And our earlier target of full ramp up in HALS , so given the run rate , we are broadly looking at FY '27-'28 for that at the current capacity ?
Siddharth Sikchi: FY '28. So the total capacity is over 10,000 tons.
Ankur Periwal: Correct. And when do we decide to go for, let's say, the Phase -two of HALS expansion? Will you wait for more approvals coming in or a ramp up actual sales happening maybe '26 end,

what's the thought there ?
Siddharth Sikchi: See, once we start getting majority of approvals globally, once we start seeing decent ramp up, when we start seeing that okay we are seeing about 60%, 65% capacity utilization scen ario, that is the time we should go for Phase -2. Phase -2 will be far more pointed because we will not get into products which are lower margin accretive compared to the higher series.
Pratik Bora : Also , little more optimized towards pro

duct portfolio .
Ankur Periwal: Your voice got cut in the end, but I under stood. So , focus will be on the high margin products there.
Siddharth Sikchi: Absolutely.
Ankur Periwal: When we look at the international markets, especially the ones wherein the distributors are working well, what is the typical product approval cycle that we are seeing? Obviously, it will vary from product to product , but on average.
Siddharth Sikchi: 3 to 6 months .
Ankur Periwal: 3 to 6 months.
Siddharth Sikchi: Product to product, 3 to 6 months.
Ankur Periwal: And just lastly on this, the breakup of 600 tons in '24, 2 ,000 tons in '25, what will be the export breakup here for both the years?
Siddharth Sikchi: The export is not as large . Domestic is large, but going forward there will be more export coming into it.
Ankur Periwal: Fair enough. That's helpful. Secondly, if I do your consol minus standalone numbers, Q4 looks like a positive EBITDA versus a negative EBITDA for the last two, three , whatever, quarters.
So, am I looking at the right that we are breaking ev en? And this is largely HALS, right?
Siddharth Sikchi: Yes, yes, yes. This is largely HALS. The new other products are yet to ramp up.
Ankur Periwal: And lastly, on the balance sheet side, working capital has inched up a bit for the full year. Is it largely because of your product mix changing or higher contribution from HALS versus earlier years , especially the receivable parts ?
Siddharth Sikchi: Of course, what is happening is, we have started producing HALS on a larger scale. So , the stocks are higher, but the sales are comparatively lower because we need produce a minimum quantum.

Ankur Periwal: Fair enough. So , it's fair to say that once we see a ramp -up in our HAL S volumes, let's say , by FY '2 6 end, the working capital should come back to the normal range, 24 -23% range ?
Siddharth Sikchi: Yes.
Ankur Periwal: Great. Sounds good. Thanks , Siddharth , and congratulations once again.
Moderator: The next question is from the line of Arun from Avendus Spark . Please go ahead.
Arun: Good evening, Siddharth. Hopefully, it's clear. So, when we said the majority of the 2, 000, 1, 900 tons volume that we sold i s in domestic, and does it mean that we have largely saturated the domestic demand and from here… ?
Siddharth Sikchi: Not really. We have still got I think only 50% of the domestic market. There is still 50% domestic market left. Of course , we are not envis aging that we will get all the domestic market. But there is still quite a bit of room to capture in the domestic market itself.
Arun: So, what is the reasonable share that we can expect from the domestic market?
Siddharth Sikchi: 65% odd.
Arun: All right, so basically around another 300 -400 tons we can hope to saturate in the domestic market.
Siddharth Sikchi: Easily.
Arun: And of course , that also grows at a certain rate.
Siddharth Sikchi: Yes, that is also growing at a certain rate, yes, absolutely.
Arun: And specifically on Q4, when we said sales is almost same between the Q3 on a sequential basis, but why is that subsidiary revenue i s higher than almost double of December quarter? Any

particular reason?

Pratik Bora : Arun, the subsidiary revenue, you are right, has gone up from Rs. 10 crore Q3 to Rs. 21 crores in Q4. But I mean at a group level, the sales is in that range of Rs. 22 odd crores. That's just because we have a facility for 770 in the parent and the subsidiary company both, right? So , we produce d more from the subsidiary company , and that h as led to higher sales from the subsidiary company for HALS. But at group level it is approx. 22 crores .

Arun: So, less volume sales in the parent level . That's a reason.

Pratik Bora : Yes, that's correct.

Arun: But w

e thought we have saturated the capacities in the Unit -3. So , is there any reason for such rebalancing?

Pratik Bora : No, we are taking certain products in the parent company in Unit-3 for the HAL S facility where the hydrogenation chemistry is available. So, that's why we moved 770 in th e subsidiary company . We are pivoting to some new products. We are just trying it.

Arun: On the export market, I think we are focusing more on the distributors, but Siddharth, what about the direct sales to the big enterprises?

Siddharth Sikchi: No, no. I meant, distributor is important business for larger accounts. Say, big companies in Israel, some big accounts in Greece, some big accounts in Europe or in other parts like Middle East, we are talking directly to them. So , there is again same network, larger accounts plus all these larger accounts also wants to deal directly with the manufactu rer. So , in that case we are talking direct , but also trying to set up a distribution network because that is very important in these businesses because there are even small customers in quite a part of the world, which has to be catered only by the distri bution network. I mean , by stock and sale.

Arun: This is mainly because of the being export because in domestic, if I am right, we have done largely a direct sales, right? This we can't replicate in the export markets.

Siddharth Sikchi: Not possible, boss, because different languages, different geographies, different time zones, People want just in time. In India, it is possible. I mean, we can ship material anywhere within 4-day window. But that we cannot do in some part of America or some p art of Europe or any other location, right?

Arun: And in your presentation, even in your opening remarks, you mentioned that record sales, does it mean even in MEHQ and BHA , in our traditional products also it's a record sales for us.

Siddharth Sikchi: Yes, all our traditional products is what we mentioned. Ye s, traditional all our products, other than HALS . HALS is also highest actually. So , yes, all segments.

Arun: So, how much room do we have in MEHQ and BHA to further increase sales in '26?

Siddharth Sikchi: We have about 70 %-72% capacity utilization. So , we still have window there.

Arun: And any market share gain which is possible this year, given that competition has also said that they will also be placing their volumes in the export matu re market ?

Siddharth Sikchi: See, till date we have not seen the competitor product, but I think it's still premature to say. I think , let us wait for another quarter to decide what's going on actually.

Arun: That's it from me.

Moderator: The next question is from the line of Abhijit Akella from Kot ak Securities. Please go ahead.

Abhijit Akella: Good afternoon. Thank you so much for taking my questions. First one, just a clarification on the opening remark regarding the expansion of the ad dressable market by $1.5 billion that you alluded to earlier on. This is exclusive of HALS , right? Just to understand.

Siddharth Sikchi: No, no. Inclusive of HALS and inclusive of the performance chemicals which are about to commercialize in this financia l year. Both of them including. Inclusive of both of them.

Abhijit Akella: So, this is the total global addressable market.

Siddharth Sikchi: Yes. Total what we…

Abhijit Akella: HAL S is about...

Siddharth Sikchi: $1 billion.

Abhijit Akella: HALS are about a billion. $1 billion out of that, right? Okay.

Siddharth Sikchi: Yes, closer to that.

Abhijit Akella: For HALS , the average realization of Rs. 425 that we are making at this point, should we expect that to improve significantly in the next couple of years as the business ramps us ?

Siddharth Sikchi: Yes, 100%. Of course, it has to improve because the higher range products which are now commercia

lized will start being sold in the market.

Abhijit Akella: So, what would be a good number to work with at full utilization ?

Siddharth Sikchi: Say you can assume about Rs. 495, to Rs. 500.

Siddharth Sikchi: For FY ‘2 6.
Abhijit Akella: Yes.
Pratik Bora : There is scope for further improvement.
Abhijit Akella: Yes. So, at peak , I mean , still looking at say Rs. 700 crores , Rs. 800 crores from HALS overall
or is that a bit on the higher side?
Siddharth Sikchi: Bit on the higher side. We are looking at about Rs. 565-70 odd crores.
Abhijit Akella: And did DHDT contribute much in this past quarter?

Siddharth Sikchi: Not, zero, zero. We still are facing some teething issues. The product, the chemistry which was
done in lab and pilot is behaving very differently on plant scale. Every day we are learning a lot
of new things about it. So , probably , it will take at least four weeks more to set right the process
before we get into commercial s cales.
Abhijit Akella: Fair enough. And just last thing from my side, on the two new projects, Performance Chemicals,
I guess one is coming up in 3Q and then the other one in 4Q.
Siddharth Sikchi: About August, you can expect that we will start by August this year, so about three months from
now. And other we are expecting to start by February 26. So , an additional six months from that
day, from August. This is a very exciting year. I mean, a lot of new products are coming online.
Abhijit Akella: Yes and just wondering if it's possible to share a little mo re detail on these two , especially there
was one product that was catering to water treatment. So , any sense of the capacity over there,
the addressable market?
Siddharth Sikchi: See, b oth are around 10,000 -ton capacities and c loser to commercialization, I think, in the next
con call, we will give a little bit more picture on the performance chemical products.
Abhijit Akella: What sort of market share will we be targeting?
Siddharth Sikchi: Once we, I think, in the next corn c all, we will have far more better clarity on commercialization,
actual dates, volumes, and also what markets . So, we will give more detail during that period of
time.
Abhijit Akella: All right, we will wait for that. Thank you so much , Siddharth . All the best.
Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla AMC. Please go
ahead.
Naushad Chaudhary: Hi, thanks for the opportunity . A few clarification. On the R&D side, if you can share how much
we have spent in this financial year on R&D ? The recurring...
Siddharth Sikchi: Rs. 5.5 crores.
Naushad Chaudhary: Rs. 5.5 crores. And we have roughly 90 staffs in R&D, right?
Siddharth Sikchi: Yes, sir.
Naushad Chaudhary: Rs. 5.5 crores , this entire is recurring expenditur e, right?
Siddharth Sikchi: So, around Rs. 3.5 crores is the revenue expenditure and balance is capital expenditure, which
is one time.

Naushad Chaudhary: So with this, the rough calculation suggests roughly Rs. 4 -4.5 lakh average cost per staff in R&D.
Is this the industry standard? Because if we look at the other companies, like SRF, PI, even at
very large scale , their R&D cost per staff is substantially higher versus our number . How should
we read this ?
Siddharth Sikchi: You should be happy. We are saving more money and delivering higher productivity.
Naushad Chaudhary: No, but despite 9 PhDs we have and the smaller size of R&D team , shouldn't this be at least at
par of industry ? Because in terms of percentage of PhDs also looks 10% of the R&D staff which
is quite decent?
Siddharth Sikchi: I think important is output rather than quantitative. I think you should focus more on qualitative
rather than quantitative.
Naushad Chaudhary:

I am just trying to understand how are we able to manage it at substantially low cost versus
how…
Pratik Bora : Naushad, this number which you calculated, this is an average number. However, there are
resources which are cost -wise at much higher number than what you have calculated because
this is an average number.
Siddharth Sikchi: So, there are chemists also, basic chemists.
Pratik Bora : Yes, these chemists are freshers just passed out from college. So , that is also getting included in
your 90 count. And that is also pulling down the average.
Naushad Chaudhary: I was talking about the average cost of the peers as well, but anyways, we will take this offline.
Siddharth Sikchi: Sure. That would be nice.
Moderator: The next question is from the line of Prasad Vadnere from HDFC Securities. Please go ahead.
Prasad Vad nere: Hi, sir, thank you so much for the opportunity. Sir, wanted to get more understanding about
which type of HALS we are looking to push in domestic market apart from HAL S 770.

Siddharth Sikchi: All, 622, 944, 119, 783, all of them have domestic market as well , right ?
Moderator: The next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.
Rohit Nagraj: Sir, on the HALS front, we have said that we have touched about 2,000 metric tons and domestic demand will be about 2,500 metric tons. So , which and all are the key markets for exports that we are looking at? And in terms of competition, how is the strategy placed for the sales ?

Siddharth Sikchi: So Europe, U.S., Middle East , South Africa. So , these are s ome of the markets which we are aggressively getting into apart from India, of course. India is a home ground. Ye s.
Rohit Nagraj: And there in terms of competition, what are we looking at? Because I think the competitor would already be present there. So , from the offering perspective.
Siddharth Sikchi: Price advantage .
Rohit Nagraj: That's the advantage which we have.
Siddharth Sikchi: Price advantage , non-Europe, non -Chinese.
Rohit Nagraj: The second question is, now next year, you alluded that we are expecting about Rs. 210 crores from HALS. What is the kind of EBITDA margins that we are looking at? And in FY '27, when we further scale up, what is the kind of EBITDA margins we probably will be based on the operating leverage ?
Pratik Bora : So at company level, we are looking for 40% EBITDA margin, because it 's not only HALS. The pharma intermediate and performance chemical 1, which are more margin accretive compared to HALS, will lead to better margin at the company level. So , we look forward to around 40% EBITDA margin at consol level.
Rohit Nagraj: That's for FY '26-'27 as well, right?
Pratik Bora : That's for FY '26 . '27.
Rohit Nagraj: And on consolidated?
Pratik Bora : Yes, t hat's on consolidated basis.
Rohit Nagraj: And on consol level and next year FY '26, what kind of growth we are looking at ?
Pratik Bora : So, at consol level, for the parent company, it's existing products which are growing at industry growth rate of 5 -6%. And for the new product launches, there will be a significant growth in terms of sales value, which will absorb the overheads and depreciation costs for subsidiary . So, I mean, the opera ting profit growth rate could be in line with what we have recorded this year, which is in the range of 18 % to 20 %.
Rohit Nagraj: That's on the consolidated level you are talking about.
Pratik Bora : Yes.
Rohit Nagraj: All right . Fair enough. That's all from my side.

Moderator: The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.
Krishan Parwani: Congrats on good set of numbers and breaking even in the subsid iary. Just a couple of points from my side. First , have you sta

rted the production of Barbituric acid?
Siddharth Sikchi: We will start by August . Month of August.
Krishan Parwani: And on the BHT, have you seen any contribution or not yet ?
Siddharth Sikchi: We have already sold some quantities in the U.S., and you will see progressively the volumes are increasing over the next few quarters.
Krishan Parwani: That's great. And coming to HAL S, so I wanted to understand at this point of time which grade do you think could go in Phase -2?
Siddharth Sikchi: Sorry, go again?
Krishan Parwani: I am just saying at this point of time in the HALS, which grades do you think you could go for expansion in Phase -2?
Siddharth Sikchi: It could be the higher one like 944 , 119 and the newer ones which we are trying to make which are 2020 and these are all high polymeric HALS.
Krishan Parwani: So, basically targeting like the $8 -9 per kg kind of products, right?
Siddharth Sikchi: Absolutely.
Krishan Parwani: And just one clarification on HAL S. I think I missed your earlier comment. So , you highlighted 10,000 tons of sales with probably about a Rs. 570, Rs. 580 a kg realization. So , that comes out about Rs. 580 crore sales. Is that the peak for HAL S by FY '2 8 from the Rs. 300 crores CAPEX that we did ?
Siddharth Sikchi: Yes.
Pratik Bora : More or less , current realization.
Siddharth Sikchi: At current realization, of course, if the realization increases over the period of time, then this realization will also improve.
Krishan Parwani: And plus whatever capacity that we had, probably Rs. 30-40 crores of HALS capacity in Unit-3. So, that's all , correct?

Siddharth Sikchi: Yes.

Krishan Parwani: Thank you for answering my questions. I wish you all the best.
Siddharth Sikchi: Thank you so much, Krish an.
Moderator: The next question is from the line of Shi wani from Monarch Network Capital. Pleas e go ahead.
Shiwani: Hi, Siddharth and Pratik . Good evening. Congrats on the good set of numbers. Most of my questions are asked, but a couple of them is one, could you give a split between, you know, size and volume growth in FY '2 5?
Pratik Bora : So, around 25% was the volume impact and low er realization offsetted that impact by around 8%. So , that's how you see around 17% growth in the sales for full year FY '2 5.
Shiwani: And I just wanted to reconfirm that for the three new products which is DHD T, DHT and Barbituric acid, we haven't had any significant contribution in FY '2 5. Am I correct?
Siddharth Sikchi : Barbituric acid is in Clean Science which we expect to start in August. BHT is a small contribution this quarter. And DHDT, as I mentioned, we still are facing some teething issues in the facility . So, hopefully in the next couple of weeks , we expect the plant to start commercial production .
Shiwani: That is helpful.
Moderator: The next question is from the line of Abhigyan Srivastav from Marcellus Investment Managers . Please go ahead.
Abhigyan Srivastav: Hi, sir. Congratulations on the good set of numbers. I have two questions. The first question is, why has COGS gone up this q uarter?
Pratik Bora : Hi. So, the reason is the product mix that has led to a higher RMC as a percentage of sales during this quarter. So , if you note, there has been a meaningful growth in pharma segment, where the margin contribution is lower than the pe rformance segment. So , that has led to a slight increase in the RMC as a percentage of sales.
Abhigyan Srivastav: And the second question is, what are the key cost items that are driving up the other expenses? And are these cost items recurring?
Pratik Bora : Actually, if you see sequentially, it's CSR expense, which has led to a higher other expense. That is the only item which has led to an increase in the other expenses. Otherwise, the other expenses are in line with last quarter.
Moderato

r: The next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the follow -up. For FY '2 6, given that the two performance chemical projects will be capitalized , what is the overall CAPEX number that we are looking at?
Siddharth Sikchi: Rs. 300 crores overall. And for FY '2 6, Rs. 300 crores.
Rohit Nagraj: And beyond that, we don 't have currently any projects which are slated for FY '2 7 as of now .
Siddharth Sikchi: No, no, no. We have. But we will announce once, let these two big products come online, and then we will announce the subsequent CAPEX s.
Rohit Nagraj: I mean to say no announce ment as of now .
Siddharth Sikchi: Sorry?
Rohit Nagraj: No announce ment as of now.
Siddharth Sikchi: No, no announcement.
Rohit Nagraj: And generally from announcement to the actual commissioning takes about 12 .
Siddharth Sikchi : 10 months.
Moderator: The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.
Jason Soans: So, thanks for taking my question. Just wanted to understand. So, before we started HALS , I mean, we used to clock in margins of around 43 %, 44%. Okay. Now I understand with the new HALS and all , our margins have taken a slight dip, which is in line with o ur strategy. But now coming from 42 %, 43% of 40%, is that a fair enough, I mean, going ahead 40% should be maintained. I was just under the impression that when you start HALS , you are probably targeting margins of 15 % to 25%. So, I actually expected a sha rper margin drop on a consol level. But seems like we are doing better than expected. So, just any reasons for that same, for the same?
Pratik Bora : So, Jason, we have never alluded to any sharp dilution in the margin at Company level . We have always maint ained that EBITDA margin could remain in that narrow range of 38 to 42, plus minus 1 % or 2% to 40%. And as these new performance chemical and pharma intermediates product scale up , we expect margins to improve. Because these are more margin acc retive compa red to HALS . HALS is important from a point of view it will give us a scale benefit.
Siddharth Sikchi: The TAM of HALS is the largest. So , the ramp up is , I mean each block can give equivalent of Rs. 500 crores revenue. Whereas the other product TAM are smaller. Plus HALS has exposed us to a very different variety of customers, different chemistries which will be useful , like, for

instance , hydrogenation chemistry has been useful to getting into newer products.

Jason Soans: So, I got that. And just sir, I just missed the volume and the realization breakup for, if you could give it for the year also , if possible ?
Pratik Bora : Yes, for full year FY ‘2 5, 17% increase in sales was led by volume, 25% impac t was volume led, while lower realization offsetted the positive impact by around 8%. So , that's how you come to a 17% increase in standalone sales.
Jason Soans: Those are all my questions.
Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office . Please go ahead.
Rohan Mehta: So, firstly, I wanted to understand what your outlook is for BHA and TBHQ from a global standpoint. And secondly, are you evaluating customized antio xidant blends for , let's say , some peak lines basically forward integrating into antioxidants? And if so, what is generally a margin profile under these blends?
Siddharth Sikchi: No, we are not getting into blends. That's what our customers do. We don't l ike getting into our customers' shoe.
Rohan Mehta: And what is your outlook on TBHQ and BHA?
Siddharth Sikchi: So TBHQ is a decent , I mean , both the products are decent products. I mean , they are growing at about 4 %-5% industry standard. TBHQ is an edibl e oil business. So

, as edible oil production increases, TBHQ consumption increases. BHA is more about pet food consumption. So , as that increases, BHA increases. BHA plus BHT go hand in hand. So, yes, there is a decent and good outlook for both the products. Both have different avenues, different markets, but both are growing at 4 %-5% industry norms.
Moderator: The next question is from the line of Agam Shah, an individual investor. Please go ahead.
Agam Shah: A quick question, sir. Can you talk on the CAPEX for this year as well as for FY ‘2 7?
Siddharth Sikchi: So, this year, CAPEX , we just mentioned two performance chemicals, one starting in August, one starting in February. FY '27, we will announce it probably six months later.
Agam Shah: No, s o, in terms of amount for this year would be Rs. 150 crores?
Siddharth Sikchi: Rs. 300 crores.
Agam Shah: Rs. 300 crores . Okay . And so, all together, this year CAPEX plus FY '2 4 and FY '2 6. So , why can we reach , let’s say, the infection point and all the products start kicking in and the growth kind of shoots off ?

Siddharth Sikchi: See, all put together is what you are asking us?
Agam Shah: Yes, all put together where we can know the growth really takes off.
Siddharth Sikchi: So, it should be, I mean in terms of revenue?
Agam Shah: Yes, revenue.
Siddharth Sikchi: Rs. 2,500 crores to Rs. 3,000 crores is the revenue potential .
Agam Shah: And that should be reached possibly in the next three years? Or how should we look at it?
Siddharth Sikchi: Too much forward statement. We are trying our best.
Agam Shah: And the margins can also increase at that time?
Siddharth Sikchi: No. I mean, these are only , I mean, we would want to maintain similar margins .
Siddharth Sikchi: I mean, it would be great to hold such margins already in the business.
Moderator: The next que stion is from the line of Jason Soans from IDBI Capital. Please go ahead.
Jason Soans: Thanks for taking my question again. I just wanted to know, sir, a lot of some time back, MEHQ, we were seeing some weakness and demand for MEHQ. Of course, realization s were down. I believe they are still kind of soft and we have more of volume driven. Now, just wanted to understand, are there any tail winds for MEHQ to grow ahead in conjunction to more consumption of acrylic acid , any tailwinds you see from that perspec tive? And again sometime back going we had, yes.
Siddharth Sikchi: So, we are growing in volume s. Opening remark s mentioned that our volumes have been the highest in the history of the company. Prices are near lowe r levels . That is why you are seeing these numbers. But i n terms of growth, I think for MEH Q volumes it should be around 4 % to 5% on a year-on-year basis.
Jason Soans: Yes, and previously again in some few calls back we had alluded to those issues around Guaiacol due to the cough syrups and etc. Have those been...
Siddharth Sikchi: All resolved.
Jason Soans: That's all been ironed out, right?
Siddharth Sikchi: All resolv ed.
Jason Soans: All resolved. Okay, great. Those are all my questions.

Moderator: The next question is from the line of Shi wani from Monarch Network Capital. Please go ahead.
Shiwani: Thank you for taking my follow -up question. So, I just wanted to get sense of the two performance chemical which will be commercialized in FY '2 6. So, what's the asset turn we are expecting ? And I think in FY '2 6 there won't be any significant revenue contribution . So, in FY '27, how are we looking at the contribution from these two performance chemicals?
Siddharth Sikchi: I think we will talk about these performance chemicals closer to the date. So , we will take one product at a time. So , I think the first one, as I said, is goi ng to start in August. So , in the next con

call, we will talk a little bit more on the products.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Siddharth Sikchi for closing comments.
Siddharth Sikchi: So, thank you so much all of you for your time to attend this con call and understanding more about the company. I think with this, I close the meeting. Thank you all and have a great week ahead.
Moderator: Thank you. On behalf of Clean Science and Technology Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

19.07. 2025
To
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E), Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conferen ce call on the Company's Q1 FY2 5-26 Earnings .

Ref.: Regulation 30 of the SEBI (Lis ting Obligations and Disclosure Requirements) Regulation s, 2015 ("Listing Regulations")

Dear Sir/Madam
Further to our letter dated 10th July, 202 5 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q1 FY2 5-26 Earnings held on Thursday, 17th July, 202 5.

You are requested to take the same on record.

Thanking You.

For Clean Science a nd Technology Limited

Ruchita Vij
Company Secretary

Encl: as above

"Clean Science and Technology Limited
Q1 FY '26 Earnings Conference Call "
July 1 7, 202 5

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND
EXECUTIVE DIRECTOR – CLEAN SCIENCE AND
TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CHIEF FINANCIAL
OFFICER – CLEAN SCIENCE AND
TECHNOLOGY LIMITED
MR. PRATIK BORA – VICE PRESIDENT – CLEAN
SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, Good day, and welcome to the Q1 FY '26 Earnings Conference Call of Clean Science and Technology Limited. We have with us on the call Mr. Siddharth Sikchi, Executive Director and Promoter. Mr. Sanjay Parnerkar, CFO; and Mr . Pratik Bora, Vice President.

As a reminder, all participant lines will be in the listen -only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you, and over to you, sir.

Siddharth Sikchi: Thank you so much. Good evening, everyone. I'm happy to connect with you all to discuss the business performance for quarter 1 FY '26. At the outset, let me highlight that the operating environment for the quarter gone by has been marked by heightened volatility, driven by global trade uncertainties and geopolitical tensions. We have observed a degree of client caution resulting in extend ed decision cycles.

The business performance during the quarter has remained resilient and promising in this context. Let me first discuss the standalone financial performance. Starting with Q -on-Q comparison. On a sequential basis, revenue decreased by 9 % to INR217 crores. EBITDA and PAT were INR101 crores and INR77 crores, respectively. We are very pleased to report record high EBITDA margin of over 46% since our listing.

Coming to year-on-year comparison, the sales were steady for the quarter. Favorabl e product mix led to lower RMC and record high EBITDA margins. To give a little bit more granular context to sales performance during the quarter, please note that the sales momentum in established products have remained intact. In fact, they have witnesse d 5% sequential and 8% an annual growth, which is primarily volume -led.

Sales mix is highly favorable during the quarter with established products contributing highest to the stand -alone sales at 83%, as against 75% during quarter 4, and 80% during Q1 las t year. On account of this favorable product mix, the RMC has significantly improved by 13% sequentially and 4% annually. While non -established products have seen slower momentum due to softer demand, more importantly, we do not observe any loss in market share.

Let me speak on consol financial performance. Company recorded INR240 crores of sales for quarter 1, which is 8% higher on an annual basis and 6% lower on a sequential basis. The consolidated EBITDA is INR100 crores, implying 42% EBITDA margin. For the HALS performance for the quarter, the sales increased by 8% sequentially, led by better volumes. Geography mix diversified as 73% HALS sales came from domestic market as against 84% during last quarter. As we have mentioned in the past, HALS business will be EBITDA

breakeven at monthly run rate sales of INR10 crores. We are pleased to report that we a re now nearing the breakeven basis ongoing sales momentum.

We are pleased to announce that over the next 2 quarters, we plan to commercialize more advanced grade of HALS priced in the range of $11 to $35 per kg. These newer HALS will positively impact the margins.

A little bit on sales profile. The revenue contribution from Performance Chemicals, Pharma and Agro Intermediates and FMCG were 74%, 16% and 10%, respectively. During the quarter, the Performance segment contribution improved led by increased co ntribution from the HAL S series.

On a capex update, Clean Science invested INR80 crores during the quarter in the subsidiary Clean Fino -Chem Limited. The construction of Performance Chemical 1, which is expected to commercialize in quarter 2 is on track. The w

ater trials for Performance Chemical 1 is expected to commence in the next 4 weeks. And commercial production to begin in September.

Capex for Performance Chemicals 2 is underway, and we expect the plant to commercialize by Q4 FY '26. Regardin g DHDT, the Pharma Intermediate, the plant is now commercialized, the production process is more or less stabilized and now the samples have been sent to a variety of customers for validation.

Regarding another product called as Barbituric acid, we are in process to repurpose the existing facility of PBQ to convert it into barbituric acid, and this is estimated to commercialize by August end.

In terms of growth driver , with commercialization of newer launches, including HALS, Performance Chemicals 1, Perf ormance Chemical 2, the addressable market is set to expand by

over $ 1.7 billion over the next 3 quarters. These newer launches give us visibility in terms of revenue acceleration going forward.
With this, I conclude my opening remarks and look forward t o Q&A session. Thank you.
Moderator: Thank you very much. We have a first question from the line of Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.
Rehan Saiyyed: So I have a couple of questions. First on, sir, could you please what is the ca pacity utilization across the categories like MEHQ, Guaiacol , Palmitate .
Pratik Bora : We would like to mention capacity utilization across segments rather than products. So Performance and FMCG are in the range of 75 -odd percent. Pharma is around 68%. And HALS is around 22% for the quarter gone by.

Rehan Saiyyed: Okay. Another question, sir, is regarding the HAL S 944 and 783 performance. Are you seeing any offtake momentum towards INR210 crore target for FY '26 that we have put in the last con call?
Pratik Bora : Sorry, we couldn't follow you. Your voice was muffled. If you could repeat the question.
Rehan Saiyyed: Sir, I'm asking how are the HALS 944 , 783 performing? Are we seeing any offtake momentum towards the INR210 crore target for FY '26 that we ha ve got in last quarter?
Pratik Bora : Yes. I mean the volume for 944 and 783 during this quarter was encouraging. In fact, we have seen a good volume mix contribution coming from these 2 projects also.
Rehan Saiyyed: Okay. And sir, regarding the capex guidance that you have given in the last quarter in FY '26. So how much amount you have deployed in the quarter 1?
Pratik Bora : For quarter 1, INR80 crores infused. Yes. So quarter 1 INR80 crores is infused, additional INR120-odd crore could be infused in the subsidiary company.
Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: A few questions I have. So first, starting with the standalone. I think phenol prices have fallen 8%, and we are largely growing by volume that implies that even the lower raw material benefit is benefiting us on the margin side. Will that be a fair assumption?
Pratik Bora: No, no, Sanjesh. So actually, for the quarter, our consumption prices have for the phenol specifically have remained in line with the last quarter on a sequential basis....
Sanjesh Jain: No, no Y -o-Y?
Pratik Bora: Yes. On Y -o-Y basis, you're right. On Y -o-Y basis, we have got some benefit there.
Sanjesh Jain: Okay. The second thing y ou have said that...
Pratik Bora : Louder Sanjesh.
Sanjesh Jain: Can you hear me now?
Pratik Bora : Now better.
Sanjesh Jain: Okay. Sorry. What has gone with the non -established product? When we say non -established product in the stand alone, what exactly are we referring to the products?
Siddharth Sikchi : So these are products like DCC, TBHQ, vereitraol, corbil palmitate . So here, there was just a little slower demand in this quarter.

Sanjesh Jai

n: Because if I see it's solvay's, they h ave talked about slowdown in phenol and phenol derivative globally, the demand is coming down. That's the same thing given we ar e seeing the same trend. There is no different in that.
Siddharth Sikchi : Absolutely. We are seeing, but we have still tried to maintain volumes in our existing businesses. I mean, in our established products. But overall, there has been a numbness or a slower in demand. That is why we have seen that in more impact giving in our non -established products.
Sanjesh Jain: Any geographically different, we are seeing India being fine, China, US, Euro pe, which are the geographies ?
Siddharth Sikchi : China is very slow. Europe is slow. Chi na, Europe and United States was still dabbling between the tariff tensions, so that has also b een a little slow.
Sanjesh Jain: Very clear. Particularly pharma, I see there is a 29% sequential decline this quarter. Anyth ing which has gone wrong there o r it is this glycol which is still continuing to be very volatile ?
Siddharth Sikchi : No. It has bee n the other way around. So what happened is because like you knew, Guaiacol was very slow and we got a lot of pickup. I mean, we picked up Guaiacol in quarter 4. So today, glycol is sold out, but the base was very high in quarter 4 because we sold maximum Guaiacol during the quarter 4 to vanillin producers.
Sanjesh Jain: Okay. Instead of cough syrup, we have now even reached out to vanillin. Earlier, we used to

be...
Siddharth Sikchi : You remember we had surplus stock. We had excess inventory, which we were able to let it -- I mean, which we were able to sell it to vanillin producers.
Sanjesh Jain: Very clear. No, that's fair. Because that also restricts our MEHQ production, right?
Siddharth Sikchi : Absolutely. That is why we never hold MEHQ production. We r ather prefer to stock up Guaiacol .
Sanjesh Jain: Very clear. My next question is on the gross profit margin in the consol e minus stand -alone, that swing ed a lot. Last quarter, it was like 62% and this quarter 42%. What explains such a sharp movement? I kno w it's a small base, but still curious ?
Pratik Bora : So Sanjesh, last quarter, our RMC was 45% for the subsidiary company, which this quarter is around 62%. That is primarily because last quarter, we were carrying a higher closing stock and hence related o verheads. That led to a lower RMC last quarter. So it's more of an accounting impact. But as we have been maintaining HALS, RMC is in that range of 65%.
Sanjesh Jain: Got it. So 35% gross profit margin is what we are telling and that we hold on?

Pratik Bor a: Yes.
Sanjesh Jain: Okay. And from the full year perspective, what we talked about earlier, I think revenue we may miss, but margin we may still achieve. That's the way we look at it, correct?
Siddharth Sikchi : See, subsidiary is a little tricky because we are like seeing a slower demand, but HALS will pick up and with the performance chemical 1, we are very upbeat about the quarter 4 numbers. And hence we feel we should not really miss the profitability even if we miss on the revenue side.
Sanjes h Jain: Got it. One last question from my side. Can you now know that we have started water trial and all, can you throw more light on the -- this product 1 , we are now going to expect, say, the end of next quarter?
Siddharth Sikchi : Sanjesh, water trials will begin in the next three to four weeks. And post that, we will share much more details.
Sanjesh Jain: Clear. So probably in the next call, we will hear more on it.
Siddharth Sikchi : Absolutely. In the next quarter con call, you will have all the details .
Sanjesh Jain: Thanks for all those answers and b est of luck for the coming quarter s.
Siddharth Sikchi : Thank you, Sanjesh.
Moderator: Thank you. The n ext question is from the line of Jason Soans

from IDBI Capital. Please go
ahead.
Jason Soans: Thank you so much sir for taking my question. Sir, just wanted to know, last call we had a very sanguine road map for HALS for FY '26 and targets beyond that also. So the volume target was probably 4,500 tons and now sales of INR210 crores, which we are targeting for FY '26. Just wanted to know, sir, with the run rate in Q1, are we still maintaining that o r just some color on that? How do you see that shaping up?
Siddharth Sikchi : So we are trying to maintain that number. In fact, by the newer HALS, which we are trying to introduce, which are more expensive and which we feel will be able to help us to complete the number which we have stated in the last call. So as of now, we are holding to that statement.
Jason Soans: Sure. Sir, possible to give with the volume and the sales this quarter for HALS?
Pratik Bora : This quarter the sales is close to INR24 crores in terms of value. And in terms of volume, it's close to 580 tons.
Jason Soans: Okay. Thanks for that, sir. And sir, I just wanted to understand also o ne more thing. I mean, sir, in terms of competition, of course, you're looking at it as an import substitution product, which

it HALS. Now I understand that everything can't be spelled out. But just wanted to know, there are players like Chinese players li ke Rianlon also competing with -- in this segment in the market and being a major competitor as well.
So just wanted to know if -- just whatever you could share, what steps are we taking to basically compete with such players with such a big TAM market fo r us. Just wanted your perspective on that?
Siddharth Sikchi : Yes. So the perspective is Rianlon is not the real competitor. The real competi tor in China is Suqian please not e that it's English name is Unitech em . So that is a major competitor for all the HAL S producers, not just to us, but for all the players. What are we trying to do is, A, of course, trying to increase our yield efficiencies, which is happening as we speak because as and when our plant is running more capacities are coming up, whatever w e are understanding for them --

from this process, the yield is improving, which will help us to compete.
Secondly is we are trying to diversify into more complex products. One is 2020, which we mentioned which we are starting next month. So all these is giving customers confidence that i t is not that we are only into four , five basic HALS product, but we are also into more complex series, which gives them the confidence to switch over as my base keeps increasing, my fixed costs keep reducing and thus the EBITDA margin should improve.
Jason Soans: Sure. Thanks for that. And just finally, I just would want to know, sir, you did mention that established products saw and exhibited good growth in this quarter. Any particular reason for that? So I would assume MEHQ, BHA, that did well for you. So just any particular reason you saw in this quarter for this growth?
Siddharth Sikchi : This is just volume momentum. I mean, nothing in general, but I mean these are -- I mean, this is just regular for us. But the most important point which we are trying to make is we have not lost any market share to any competitor if that is important for others to understand.
Jason Soans: Sure sir. Thanks. Those were all my questions. Thank you for answering them.
Moderator: Thank you. T he next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.
Rohit Nagraj: Thanks for the opportunity. S ir, first question is you mentioned just now in your earlier remarks as well that we will be going into the premium HALS. So in terms of the market, in terms of the customer, will it be a similar set of customers or we will have to scout for new set of customers? So how are we looking at from the marketing and scale -

up perspective?
Siddharth Sikchi : Similar customer ba se.
Rohit Nagraj: Okay.

Siddharth Sikchi : In fact, by introducing these higher version of HALS, we are trying -- the customer is getting that confidence that we are equivalent to any other European player who has the entire basket to offer. Thus, it is hel ping us so that -- I mean, when we are supplying these -- I mean, these higher grades, so the regular grades, I mean, they will increase that wallet share with us.
Rohit Nagraj: Right. Got it. That's helpful. Second question, in terms of -- I mean, we've b een hearing that Q4, there were generally frontloading in the US. And subsequently, there has been some impact in terms of exports, particularly to the US market. So have we also experienced a similar situation during the quarter gone by and probably for t he last maybe 15 days during this quarter?
Siddharth Sikchi : That has happened overall because the customers wanted to stock up because they were really unsure about the tariffs. So yes, to some extent, yes, but it's not that the biggest item in our list.
Rohit Nagraj: Sure. Just one last clarification. On the stand -alone numbers, we have clocked the highest ever EBITDA margins. So any specific reason beyond the raw material cost being low?
Siddharth Sikchi : Product mix. I mean the non-established products sold lower than the established ones. And hence, the margins in our established products have always been better than the non -established products. That's all.
Moderator: The next question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: First question on the pricing trend across all the products, the core one as well as HALS side. Any changes that you're seeing from last quarter versus this quarter?
Sidd harth Sikchi : Not during the quarter, but if the raw material prices correct in the future, then yes, we might have to reduce the finished product price, which is a very general trend.
Ankur Periwal: Sure. And even in that scenario, the percentage gross ma rgins that we have been guiding for will largely stay intact there because it's a price...
Siddharth Sikchi : Yes, it's more or less.
Pratik Bora: Yes, more or less.
Ankur Periwal: Sure. Second thing on the new product launches, the Performance Chemicals 1 and 2. One, you mentioned that samples have already started going on. How has been the feedback? Is there any sort of teething trouble that one can think of there, maybe some iteration required or the feedback...?
Siddharth Sikchi : The pharma plant -- I me ntioned, Ankur, the pharma plant, which we started has -- now the samples have been going out to the customers. The Performance Chemical 1, where the water trials will begin in the next 3 weeks' time, then the plant will start, the production will come and

then the samples will go out to the customer because customers would be keen to test the commercial sample, not the lab or pilot samples.

Ankur Periwal: Sure. So that was more for the pharma product there, not performance. Performance probably will happen next quarter?
Siddharth Sikchi : Yes. The pharma product, Performance Chemical one. I think the sampling will start somewhere in September, October.
Ankur Periwal: Okay. Fair enough. And just lastly, on the revenue breakup bit, while you did mention that C hina and Europe looks lower, US and India specifically have shown reasonably good numbers on a year-on-year basis. Will this delta be largely backed by HALS here? Or specifically for US
Pratik Bora : No, no. Ankur, on an annual basis, it is largely backed b y other products also on the Performance segment. HALS is one contributor.
Ankur Periwal: So HALS right now also is largely India 75% you mentioned?
Pratik Bora : Correct. Correct. Correct. Yes.

So that's what I'm mentioning is other products also from the Performance segment.
Ankur Periwal: Okay. Okay. Fair enough.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella: Yes. So Siddharth, if you could please share some insights into this communication from the promoter and promoter group regarding the intent to significantly reduce the stake, it seems. So if you could please just help us unde rstand the exact plans out here? Thank you.
Siddharth Sikchi: So the basic plan is some fraction of the Boob family are exiting part of their equity. I am not selling a single share, and the business will remain as usual. And I think -- I mean, anything more or I think this is what it is.
Abhijit Akella: So at present, the total promoter stake is 75%, a nd we intend to keep it above 50%. So up to 25% -- up to 25% is...?
Siddharth Sikchi: 24-ish.
Abhijit Akella: And -- okay. This is -- I mean, entirely to do with estate planning purposes basically.
Siddharth Sikchi: Absolutely, absolutely. From the Boob fa mily.

Abhijit Akella: Okay. The second thing I just had was on the 18% to 20% EBITDA growth guidance that we had sort of communicated last quarter. So in light of the softness in business conditions, does that still seem like an achievable target for us fo r this year?
Pratik Bora : We think it could be in the range of 15% to 18%. But we'll have a little more clarity by Q2 end. Because we are also banking on DHDT stepping up, Performance Chemicals 1 starting to contribute and the higher grades of HALS to cont ribute. So 18% to 20% could be moderated to 15% to 18% at this stage.
Siddharth Sikchi : But just allow us a couple of months, I think, at least 2 months more once we get this clarity on, so we would be far more clear on the numbers going forward.
Abhijit A kella: Sure, sure. I appreciate that. So in terms of the quarterly trajectory, maybe can we expect that 2Q might remain comparably subdued similar to 1Q? And then the real pickup growth starts to happen in 3Q and especially in 4Q. Is that how we should thi nk about it?
Siddharth Sikchi : Absolutely. Yes, yes. Yes, that's a good way to think about it.
Abhijit Akella: Got it. And just one last thing from my side. In the MEHQ/anisole derivatives business, have we started to see any early signs of any competition products in the market yet? Or is that still not visible?
Siddharth Sikchi : Not yet. And hence, we mentioned that our volumes of our established products have remained intact. We have not lost any business. So we are not seeing anybody, any -- I mean, at the moment.
Abhijit Akella: Okay. Great. All the best.
Moderator: The next question is from the line of Arun Prasath from Avendus Spark.
Arun Prasath: So the first question is on the two grades that you spoke on the HALS. This is something that we have done recently, or this was always in the plans. How should we look at it?
Siddharth Sikchi : So out of two, one was already in the pipeline, we always wanted to do. The other one, which we are trying to start in Q3 is something which we learned is very critical, and there are -- it's a single source product for the customers. So I think we developed the process, we developed the tech. We made a pilot sample, submitted to the customers, got ap proval. And I think this is something we should do on priority because it will help us increase our margin and that product is itself about $30, $35 a kg.
Arun Prasath: Okay. So one grade you mentioned that 2020. What is other grades mean? Can you just num ber it?
Siddharth Sikchi : Let us start that, Arun. We will give us a couple of weeks, months, yes. Perfect.

Arun Prasath: Okay. Okay. Understood. And is there any such more opportunity on th

e HALS side where we
haven't thought about, but customers demandin g or requesting us to do that? Any such more opportunities...?
Siddharth Sikchi : See what happens is, Arun, once we started with the basic 770, 622, 944, 119, then the customer asked us, can you make these two grades. Once we have established those, when w e start these, then I'm sure the customers will come up that since that you have made these, can you come up with these as well? So it is a lot of interest coming from customer side. And I think it will keep coming as and when we keep gaining their confide nce by making such products which are, I mean, not made by all.
Arun Prasath: Understood.
Siddharth Sikchi : Niche market.
Arun Prasath: Yes. Right. And do we need to do any modification, or our existing facilities is good enough to handle this and...
Siddh arth Sikchi : A little bit modification. Some modifications are needed. But because we are not running our existing plants at full capacities, hence, we can take that liberty to quickly change over and produce certain grades, so that there is improved plant utilization.
Arun Prasath: Understood. And on the domestic front, have we done any incremental market share gains on a quarter -on-quarter basis or...
Siddharth Sikchi : Absolutely. All products, I think, have now increased in domestic. So the 622, 944, 119 , which hadn't picked up so much. Now most of the accounts have at least started trying using the product. So I think in the next quarter, 2 quarters, we will have much more better penetration even in Indian market for other HALS as well. Plus, when we are introducing the higher HALS, which was not even available for some of the users have given them the confidence that with us or with partnering with us, they will have access to products, which was not even accessible to them.
Arun Prasath: I just need one clarification, Siddharth, because Q -o-Q, ours HALS revenue seems to be more or less flat, but our export has grown. So I thought domestic, we have done a little bit lower on a quarter -on-quarter basis...
Siddharth Sikchi : No, no, because of absolute price s have come down a little bit.
Arun Prasath: Okay.
Pratik Bora: Volume -wise, there is no reduction. And point two is, if you see, our exports have also grown. So month -on-month, now we are starting exports to Vietnam, which market we didn't have probably 3 months ago. So these newer markets are now opening, which, of course, we had

started work probably 6 months ago, and the fruits are now -- I mean, now these orders are coming through.
Arun Prasath: Okay. Understood. Understood. My second question is on th e Performance Chemical 1. Is this primarily a domestic product or export market?
Siddharth Sikchi : Both.
Arun Prasath: Okay. And you said that after the order trials, you'll be doing the sampling from the commercial plant. Typically, what is the time line from the sample sending approvals and then ramping up? Any rough time lines?
Siddharth Sikchi : Between 2 months to 6 months. So for some people, it could be as little as 2 months, probably in India could be a very quick market for us. Taiwan, China, South Korea could be very quick. Europe might take a little bit longer. That's all.
Arun Prasath: Okay. And bulk of the revenues that we ar e expecting that is from the ex -Europe markets? O r -- where is the demand coming -typically coming from?
Siddharth Sikchi : Demand is global demand, but the quickest market I mentioned would be Asia market for us.
Arun Prasath: Okay. And that's where the maximum volumes will be looking to?
Siddharth Sikchi : Eventually, all major volumes eventually go into Asia only.
Moderator: The next question is from the line of Jason Soans from IDBI Capital.
Jason Soans: Actually, just a clarification. I just wanted to know that at a run rate of

INR10 crores for HALS,
there's a breakeven. That's what you mentioned. Is that c orrect?
Siddharth Sikchi: Absolutely. Just to clarify, we just not have any -- I mean, if we attain a revenue of INR10 crores, we will do a breakeven in the subsidiary.
Jason Soans: That's a monthly run rate, right, Siddharth?
Siddharth Sikchi: Of course, monthly, monthly.

Jason Soans: Yes, monthly, monthly. Okay.
Moderator: The next question is from the line of Abhigyan Srivastav from Marcellus Investment Managers.
Abhigyan Srivastav: Okay. Sir, I wanted to ask a follow -up question on the stake sale that was earlier asked. You mentioned that the final stake would be 51%. Do you mean that the Boob family would continue

to retain more than -- so the Boob family would continue to retain 51 %? Or would it be the total promoter stake that would remain above...?
Siddharth Sikchi: The total promoter stake from 75% will go down to 51%. The difference of 24% will be sold by a faction of the Boob family.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Siddharth Sikchi for closing comments.
Siddharth Sikchi: Thank you so much for all of you for taking time out and to attend our earnings call. Looking forward to connecting you post the Q 2 numbe rs. Thank you so much and have a great day.
Moderator: On behalf of Clean Science and Technology Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

11.11.2025
To
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E), Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conference call on the Company's Q 2 FY25-26 Earnings .

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ("Listing Regulations")

Dear Sir/Madam
Further to our letter dated 15th October , 202 5 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q 2 FY25-26 Earnings held on Thursday, 6th November , 202 5.

You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Ruchita Vij
Company Secretary and Compliance Officer

Encl: as above

"Clean Science and Technology Limited
Q2 FY 26 Earnings Conference Call "
November 06 , 202 5

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND
EXECUTIVE DIRECTOR – CLEAN SCIENCE AND
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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY26 Conference Call of Clean Science and Technology Limited. We have with us on the call Mr. Siddharth Sikchi, Executive Director

and Promoter; Mr. Sanjay Parnerkar. , CFO; and Mr. Pratik Bora, Vice Pres ident.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddharth Sikchi. Thank you, and over to you, Mr. Sikchi.
Siddharth Sikchi: Thank you so much. Good evening to all of you. We are delighted to welcome all of you for this Q2 interaction of Clean Science and Technology. Let me get to the numbers.
The standalone business performance . The revenues decreased by 5% to INR20 6 crores on a sequential basis and 8% on year -on-year. The decline in revenue was primarily led by lower sales in some of our established products.
Consequently, top four products contribution to standalone revenue dec lined to 80% as against 84% in the last quarter, whereas it improved from 74% on a Y -o-Y basis. Despite the moderation in revenue, EBITDA margins remained resilient at 44% for this quarter. The slight margin impact was largely attributed to change in produ ct mix. Further, when we compare on a Y -o-Y basis, EBITDA margins improved by 2% on account of favourable product mix.
The standalone EBITDA for the quarter is about INR90 crores, which is 10% lower on Q -o-Q basis and 5% on a Y -o-Y basis. Standalone PAT f or the quarter is INR65 crores, which is 15% lower Q -on-Q and 4% on Y -o-Y basis. The reduction in PAT was steeper than EBITDA, primarily on account of forex loss. The changing market dynamic s in China have led to cascading effect on our lower sales volume.
We believe the lower sales during the quarter were driven by a combination of following factors. Number one, for some customers, we observed a sharp decline in price of their end product amidst the competitive intensity from Chinese suppliers. As a resul t, these customers have slowed down their procurement. And number two, for certain other customers, there is demand uncertainty in their end markets, prompting them to defer or moderate their procurement plans.
To summarize, we believe these trends represe nt a mix of second order impact of tariffs and demand slowdown in some end industry, influencing our customers' purchasing behaviour during the quarter.
On consolidated business performance on a sequential basis, the revenues were steady at INR 240 crores. Consol . EBITDA and PAT is INR87 crores and INR55 crores, respectively.For HALS segment, we are pleased to report that the monthly run rate volumes for quarter 2 averaged to about 260 tons per month, representing a growth of over 25% compared to previous quarter. As

a measure to enhance volumes, we are enriching the product port folio by introducing higher grades of HALS. To that effect, we are pleased to report that we have commercialized HALS 2020.
It is worthwhile to note that the material margin for HALS portfolio has improved to 35% from 31% due to improved raw material cost s.
A little on capex update , Clean Science invested roughly INR150 crores during the first half year in CFCL the subsidiary . The Performance Chemical 1 is undergoing chemical trials, and the results have been satisfactory till now. We look forward to anno unce comm ercialization during this month . Since we are closer to commercializing, let me share a few highlights about the p

roduct. Number one, the proposed new product enjoys synergies with our existing products in terms of cross -sell opportunities and als o backward integration for certain of our other products.
We have also successfully commercialized barbituric acid by repurposing one of our existing facilities. We have successfully expanded capacities of some of our food -grade antioxidants.
With this, I conclude my opening remarks and look forward to the Q&A sessions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is in the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Yes, good evening, Siddharth. Thanks for taking my question. I have a few of them. First on the established products, what was the volume grow th or decline, and what was the realization change versus previous quarter? In YOY is fine, whatever data you've got.
Pratik Bora : Hi Sanjesh, sequentially, when we say that the revenue have declined by 5%, 2% contribution was volume -led and 3% was realization -led. This is at the company level, , rather than speaking about individual product levels. And on YOY , the sales have decreased by 8%. Almost around 6.5% was volume -led and balance was realization led.
Sanjesh Jain: That's quite clear, thank you. Now, what are we doing to see that I know customer uncertainty is causing it, and this is generally a transient in nature. Now, for next couple of quarter s, how are we planning to save this diff icult scenario of uncertainty?
Siddharth Sikchi: So, Sanjesh, for the next few quarters, I think we are trying to work very closely with the

customers to really understand the real need, and if there is price reduction needed, so that they
can be competiti ve in their end product. And this is some of the ways we are trying to counter
to increase the revenue and trying not to lose market share.
Sanjesh Jain: I'll start with this one geographical question along with that. I can see the YoY basis, the decline
has come from U.S. and China, okay. Now, how are we trying to address these two geographies?
China, obviously, they are themselves very competitive. And U.S., I thought, is it more of an
impact from tariffs we are seeing are seeing or what is playi ng out in the US? Oh, sorry, rather
America's, my bad, America's.

Siddharth Sikchi: China, I think the major impact is one of our product in FMCG segment has taken a hit in China
market. So how are we trying to address? I think the customer is slower in pi cking up the volume,
or there is also a possibility that they have backward integrated. In case it is backward integrated,
then the volumes will not come back. And in that case, we will have to refurbish or relook at the
strategy on company level.
In Amer icas, it is just a product's customer -specific volume which he did not lift this quarter or
probably he might lift next quarter.
Siddharth Sikchi: And also because of tariff uncertainty.
Sanjesh Jain: Got it, got it. Next on the new product that we are commercializing, and we've already started .
Can you give us the offtake that we are expecting in the second half of this year and next year?
I thought we commissioned what, 3000 metric ton s of capacity in that?
Siddharth Sikchi: No, no, no, we didn't commission 3000 ton. We have just started with the small volumes right
now. The whole point is the plant is commerci alized. The commercial samples are out with the
customers who are based out of India. And I first want to see how are they, I mean, again, there
will be validation batches because ultimately it goes into pigment yellow.
So what are the applications? How d oes it work with their application? And based on it, we will
get a clear -cut idea from the customer what, how much would they really want to shift to us
because current

ly the entire volumes come from China. So once I have more clarity, probably
in the next quarter I will be able to answer this better.
Sanjesh Jain: So, what is the capacity right now we have started with, Siddharth?
Siddharth Sikchi: We have just started with about less than 1 ,000 tons, closer to 1 ,000 tons per annum because this
is refurb ishment of our existing plant.
Sanjesh Jain: And then the new product which we proposed , I think is hydroxychloroquine , anything you want
to talk about it, what kind of capacity we are looking at in the terms and how much can it add?
Siddharth Sikchi: So I think the performance chemical one, the capacity installed is about 10,000 ton s. And on
full-scale capacity, we envisage a revenue of about INR300 odd crore s with the current prices
which are at currently all -time low prices.
Sanjesh Jain: Got it. And margins will be healthier considering the prices are very low?
Siddharth Sikchi: Should be a decent margin, but I think let me commercialize it on the plant scale, let me get
yields norms before I make this statement.
Sanjesh Jain: Okay, one last an d I know I have taken a lot of time. On the HALS side, I know the progress has
been quite decent and very, very nice to hear that we have improved the margins, but what is the

blended realization? We were looking at moving gradually to 6, 8 , in that range . I know these
new products are quite new.
But how is that progression happening in terms of customer acceptance, in terms of validation,
people evaluating those products? Are they happening in line with what they were anticipating?
Siddharth Sikchi: If you see, the quarter -on-quarter volume jump is about 25%. However, we would have expected
it to be better. But at least the acceptance has come up. The plans, our quality is now, because
this is a combination of a couple of products. So fortunately, all the products are now in line in
terms of quality with the competitors like BASF. So product is there.
Now we have to just enlarge the market. India, probably, if you see, we are already at 50%
market share within India. Now, our next geographies, if you look at the export data, we have
already s tarted exporting globally, including United States, Europe, Vietnam, Middle East,
South Africa. And I think quarter on quarter, we expect this business now to grow because the
product is there, pricing is there.
Now, it's just to reach each customer and s tart taking more and more wallet share.
Sanjesh Jain: That's great. Thanks, Siddharth, for answering all those questions and best of luck for the coming

quarters .
Siddharth Sikchi: Thank you so much , Sanjesh . Thank you very much.
Moderator: Thank you. The next question is in the line of Arun Prasath from Avendus Spark. Please go ahead.
Arun Prasath: Hi, good evening. Thanks for the question, Siddharth. So my first question is on subsidiary numbers. If you see this, run rate has improved sequentially, top line, but gross margin has come down from roughly 42% to 26% in the subsidiary. Is it the mix or a one -time some product has been lower or the overall portfolio, how should we look at this?
Pratik Bora : Yes, Arun, Pratik t his side . For the subsidiary company, the gross margin impact which you are highlighting that is on account of the difference in change in stock. So you know for this quarter there is a lower closing stock. That means we have consumed higher opening stock of the last quarte r. That is leading to this. So it's more of an optics . But on our portfolio level, as we mentioned, that the material margins are in the range of 35 -odd percent.
Arun Prasath: Okay, understood. So we should see the subsidiary margins coming back to this 3 5-40 percentage levels, depending upon which of course, right?
Pratik Bora : That’s right.

Arun Prasath: Okay. Understood. And earlier I think in one of our commentary we mentioned that , largely we are selling via distributors. Now that the product has stabi lized and we have confidence on the quality, is it the time to approach the bigger customers , Siddharth?
Siddharth Sikchi: Yes, we are already doing combination of both. So there are larger accounts which we are catering to directly. And then of course there are distributor model as well. So India, I think quite a bit accounts, all the large accounts are driven directly via, and so is the case in Europe, where we have direct contacts, we are working directly with them. But of course, distributor m odel is also needed because a lot of customers prefer just -in-time because of the, to avoid the large transit time from India.
Arun Prasath: Okay, understood. And when you say India, I mean, is this, actually if I look at the first half number for ‘26 vers us ‘25, India has, in terms of top -line, it has grown by around 13 percentage. As I said, it's not quite clear. I'm looking at the first half. S o this is mainly attributable to the HALS or some other products also there.
Siddharth Sikchi: No. It's only HAL S. It's only the light stabilize r.
Arun Prasath: Only HALS is contributing with these domestic sales of 13% actually.
Siddharth Sikchi: Yes.
Arun Prasath: Understood. Understood. And earlier we came up with this couple of products DHDT and BHT. In terms of KPIs, has it reached our internal targets and milestone or it's reflecting in the P&L, or you are yet to…
Siddharth Sikchi: The BHT was our, primarily the market was US, because it was for similar , for same customers who purchase other products for us. But unfortunately, BHT, anyways, it was a three -ish dollar product, but it got a tariff of 55%. So that has slowed down this entire offtake within the U.S. because of the 55% tariff.
Arun Prasath: Okay. And just to clarify, when you say Americas, again, if I look at the numbers, it has grown up by 33% and this is something to -- and Europe is down by 13%. Is it some kind of a realignment or a shifting focus from, or are you focusing more on the …
Sidd harth Sikchi: No, it's nothing to do, it's just a little quarter realignment based on customer's needs and requirements. There is nothing sizable to mention here.
Arun Prasath: Okay , understood. And secondly, on your PC1 chemical trial, you mentioned they have moved from water to chemical trial. What are the next milestones we are, we should look forward and what are the associated timelines?
Siddharth Sikchi: The next milestone is to start getting the final product out. So that is what in chemical t rials, I mean, whatever teething issues we are observing in chemical trials, we are trying to fix them as

we move along. And the next outcome, because these are large chemical trials where we take all the raw material in and passing it through multiple dis tillations and crystallizations.
So the next goal is to stabilize this, stabilize each process, internal individual process, and get to the finished product. So the timeline is probably two weeks from today is when we expect to see the final product. Howe ver, the optimization of the process will still take about a quarter. When you start optimizing yields, when you start optimizing process, when you start optimizing a lot

of parameters, process parameters.
So that could go up to March. The point is to at least start seeing the end product and start sampling to the customers within the month of December is the target.
Arun Prasath: Okay, so these two things will go parallel. You will start selling samples by December, but at the same time, optimization thro ughout March will be happening. So probably a big chunk of volume we should expect by

April. That's the right understanding?
Siddharth Sikchi: Yes, Q4 also there will be sales Because the process optimization is a process. You know, it will take longer ti me. It is a very large, continuous plant. So it will keep happening. But the offtake and the sales, we should start seeing in quarter four.
Arun Prasath: Understood. And in your opening remarks, you also talked about capacity expansion of food grade antiox idants. Is it the BHA or some other antioxidant you are talking about ?
Siddharth Sikchi: It is some other antioxidant, which also goes into food industry.
Arun Prasath: Okay. But otherwise, BHA because if you look at the pricing of the established products, while MEHQ is seeing some decline in the pricing, but BHA holding st eady. I'm assuming this is an reflection of the end category. So have you maximized our ability to push more MEHQ to BHA and running the full utilization or still the re also we see some kind of challenges?
Siddharth Sikchi: No, there is no challenge. I mean we still are running at 70%, 75% capacity utilization. We still have scope to expand customer base. So there is no challenge, but of course the market has to take u p.
Arun Prasath: Okay. Understood. All right, sir. Thank you very much and all the best.
Siddharth Sikchi: Thank you, Arun.
Moderator: Thank you very much. T he next question is from the line of Abhijit Akela from Kotak Securities. Please go ahead.
Abhijit Akela : Yes, good evening. Thank you so much. S o just one question regarding the outlook, if I may. Last quarter, we had kind of spoken about an initial target of maybe around INR450 crore s EBITDA or something li ke that for this year. Obviously , I understan d the market environment has kin d of deteriorated in the timeframe, b ut any sort of guidance you could offer for this year

or maybe next year. That would be really helpful just from an anchori ng perspective for the analysts?
Siddharth Sikchi: I know, Abhij it with these very tricky time situations currently with these tariffs coming up, with all these uncertainties, I think it will be very tricky to mention on EBITDA level at the moment. I would suggest let a quarter or two pass by, let these new facilities also come up. By the time I would also understand the competitive landscape. So I think that would be a better idea to give you a little bit on EBITDA. For now, we are only trying to tackle and understand where are we located in amidst all these uncertainties in the global scenarios.
Abhijit Akela : Fair enough. I appreciate that. And just on HALS, could we share what our growth plans are now at this point in time, now that the volume interest has started to accelerate?
Siddharth Sikchi: See, as we have started growing like 25% quarter -on-quarter, our endeavour is to keep growing this on a quarter -to-quarter basis because as we are growing, this was a new business line, more and more ma rket share we are trying to acquire, getting into newer customers. So on quarter -on-quarter, you will see growth happening in the HALS series, plus newer products is also started. So all this is going to accumulate, I mean, will account for increased capac ity utilization and increase revenues over the next two quarters.
Abhijit Akela: Okay. Got it. Thank you so much and all the best.
Moderator: Thank you very much. Th e next question is from the line of Rajesh Kot hari from AlfAccurate Advisors . Please go ahe ad.
Rajesh Kothari: Good evening, sir. F irst of all, Siddharth Ji, I think in a otherwise tough macro environment, it has been reasonably resilient work. So congrats for that. I have just two questions. My first question is with regards to this Performance Chemicals where we are talking about 10,000 tons capacity. And you mentioned that currently, the prices are very low and full capacity, we can probably

target around INR300 crores kind of revenue. So that basically you would assume in the second year?
Siddharth Sikchi: So we are budgeting in this over 3 -year period. So by FY '28, we are budgeting to reaching this revenue potential.
Rajesh Kothari: Understood. And when you look at -- from the overall pricing environment perspective across the different prod ucts, how do you see the Chinese competitive environment?
Siddharth Sikchi: So China is a very, very tricky environment. And it is sometimes very -- it's like a black box, and it is very difficult to predict exactly what is happening there. I think the bes t part, I mean,

what we are trying to do is get as much understanding on the China market because 25% to 30% of our revenues still come from China.

And I think our prices to China is already at all -time low. So I don't know if there is further decline goi ng to happen. But as of now, we feel it could be a little steady market, but only time can say how things revolve in China, how the demand picks up and how are we going to position ourselves.
Rajesh Kothari: I see. So when you look at the Performance Chemicals and in terms of when you say that INR300 crores at the current prices, this assumes primarily how much India revenue and how much export revenue and if any key markets which you are going to target?
Sidd harth Sikchi: We expect 50 -50, 50 would be domestic market and 50 will be international market.
Rajesh Kothari: I see. And in domestic right now, 100% imported right?
Siddharth Sikchi: Absolutely, 100% import.
Rajesh Kothari: And these primary import is fr om China?
Siddharth Sikchi: China, Japan and also United States.
Rajesh Kothari: I see. And do we have anti -dumping duty on China?
Siddharth Sikchi: Not at the moment.
Rajesh Kothari: I see. And when you say that we'll become much more competitive because of the better projects and the better yield. Currently, the product realization, what is the current realization and how do you see the Chinese versus the U.S.A. prices when India imports, is it -- when you look at it from the C IF perspective, how the pric e trends are?
Siddharth Sikchi: I mean, ultimately, this is a crude oil -linked raw material -based products. So we are seeing, as crude oil decreases, these products are also coming down and of course due to fierce competition amongst the existing players.
Rajesh Kothari: I see. Got it, sir. Perfectly all right, sir. Thanks probably I will take it a little bit offline to get a little bit more insights. Thank you, sir wishing you all the best.
Siddharth Sikchi: Thank you.
Moderator: Thank you very much. T he next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.
Arun Prasath: Siddharth one follow -up, clarification. You are saying HALS grew 25% sequentially. What we see in the subsidiary -- subsidiaries a 4 5% sequential growth, so what is the disconnect?
Pratik Bora: Yes, a kind of c larification here, actually a good question. We are talking about volume growth of 25%. But I mean the value growth is almost 34%. That is because now we have started selling

higher grades of HALS also meaning 944 and 119 the realizations are much better. And your answer, which coming to 40%, that is on account of these other by products which we are selling when we are manufacturing HALS. T hese other products are also contributing to the sales value.
Arun Prasath: Okay. Understood. Than k you, Pratik for th e clarification.
Moderator: Thank you very much. T he next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Yes. Hi, team. Thanks for the opportunity. Sorry joined the call a bit late, so pardon me if my question s that are repetition.

On the HALS front, if I got you right, 25% Q -on-Q volume growth ,
34% in terms of value growth, b ut the margins over here are still relatively lower on a Q -on-Q basis. So any specific reason?
Pratik Bora : No, Ankur, Q -o-Q basis there is a slight improvement in margin because what you are seeing is -- I mean, the P&L margin, but there is a difference of change in stock, which is impacting the COGS. But at a portfolio level there is a slight improvement in the margin. The improvement is slight because the larger portion of HALS sales continues to come from 770.
Ankur Periwal: Okay, sure. And we were waiting for a few product approvals to come in, especially from the global markets for HALS. Where are we over there in terms of approvals ge tting for those multiple products?
Siddharth Sikchi: So we have started seeing good approval traction from higher grade of HALS. And if you start seeing -- I mean, so for month -on-month, our higher grade of HALS exports both -- I mean exports have started increasing. And also in domestic market these higher growth grades of HALS has started picking up. And I think in the next, probably two quarters more, I think we should have almost most of the large approvals what we are looking at.
Ankur Periwal: So that is the global approvals that you're looking at across all the products?

Siddharth Sikchi: All major approvals, global approvals.
Ankur Periwal: Sure. Last quarter, we were around 75% share of domestic within HALS. What is that number right now?
Siddha rth Sikchi: No, I said last quarter we were about 30%, 40% market share domestically, which we are currently at 40%, 45%, probably 50% global market share. However, I think domestic to exports would be 75 -25. Domestic to export was 75 -25, which is now dire ctly started changing because more and more exports have started picking up.
Ankur Periwal: Sure. And if I recollect it right, domestic market in any case, is more heavy on the low end HALS, the lower realization HALS products ?

Siddharth Sikchi: Absolutely . So they are very high on the low end, whereas international is on the high end and hence the international pickup is very, very crucial for us, which we are anyway seeing now.
Ankur Periwal: Sure. Second bit on the capex front, any time lines or any cha nges in time line in terms of commissioning of the Project 1 and Project 2 there?
Siddharth Sikchi: Project 1 is already done, water trials done. It is chemical trials, which has started and we expect to have commercial production announced probably in the next three, four weeks' time frame.
And for Performance Chemical 2, we are still sticking to the time line of starting the facility in April.
Ankur Periwal: So when we are saying starting the facility, this is the commercial production, or this have been going through water and chemicals?
Siddharth Sikchi: Water trial. So the plant will be up and ready, water trial should start in April and with the commercial production by June.
Ankur Periwal: Sure. And the time line for ramp -up of both these projects wil l be the same almost 3 years fr om the start of date of commissioning?
Siddharth Sikchi: Typically, that's what we are seeing.
Ankur Periwal: Okay. Great. And just last bit on the margin front, both on the standalone and on the consolidated basis, I'm looking more at the gross margin there. Any change in trend, any sort of increase in pricing competition, which would have impacted the numbers h ere or is it purely product mix exchange?
Siddharth Sikchi: Largely it is product mix change. And maybe some competition within China. I mean, which I already mentioned earlier on that one of our FMCG product, which was getting into the China market, the Chinese might have backward integrated, and we would have lost that market share.
Ankur Periwal: Okay, fa

ir enough. Thank you. That's it from my side. All the best for the future intervals.
Thanks.
Siddharth Sikchi: Thank you.
Moderator: Thank you very much. T he next question is from th e line of Dhruv Muchhal from HDFC AMC. Please go ahead.
Dhruv Muchhal: Yes. Thank you so much. Sir a bit of confusion in the standalone minus subsidiary that we do. So if I look at the EBITDA standalone console sorry console minus subsidiary – console minus standalone, it was a loss of about 8 million in 1Q. The loss is now 29 million. So on a percentage basis also the EBITDA loss is higher, alt hough volumes have grown. And you mentioned that the material margin has improved to 34, 35. So I'm just trying to understand what am I missing?

Pratik Bora : Dhruv, the math which you get consolidated minus standalone to arrive at the subsidiary EBIT DA of INR3 crores loss. There is the revenue minus COGS minus operating cost . COGS in your math comes out to somewhere I think, 73%, 74%. That is on account of change in stock impact in the subsidiary COGS, meaning opening minus closing stock.
Dhruv Muchhal: So that can only -- so -- okay, so what I'm trying to understand is – yes that is the only bit what I am trying to say is, when you say 31% margin moved to 34% margin, that's on a spot basis. I mean spot base is on an increme ntal basis that your margins are, say for example, you have to buy the raw material today, that is what the co nversion margins that you do. Is that -- is that what you're trying to say?
Pratik Bora : That's the correct takeaway. Yes, that's the material margin on the blended portfolio as of now.
Dhruv Muchhal: Got it. So we see a difference when we look at the numb ers is because of inventory and that inventory was probably at a higher cost. You had a higher cost inventory which effectively got used this quarter, but as you probably b uy the new material, which probably at says the spot pricing, that is what the margi n -- this margin has improved from at a gross level from 31 to 35

or 34.
Siddharth Sikchi: Yes.
Dhruv Muchhal: That is the core of the understanding. Got it. This makes sense. Okay. This is done. The second was you, I think you mentioned that the volume decline in a y -o-y basis was about 6%.
Siddharth Sikchi: Not so far . Yes, I mean revenue decline is 8% partially contributed by volume.
Dhruv Muchhal: Revenue decline is, this is only the stand -alone business?
Siddharth Sikchi: That's right, yes, because, you know, we have grown.
Dhruv Muchhal: Yes, yes, yes, that is what I was coming to, okay. And so, okay, 6% volume decline and primarily, okay. This, okay, this is done. The next is, we are seeing that , there is some domestic disruption in the raw m aterial pricing because of all this . I think, restrictions against some of these companies by US. And phenol prices have started to increase. It is a big product for you. Just wanted to understand how do you, manage this disruption? Can you import and be o ut of this impact or do you see any impact of this? So, my point is there is some pricing pressure on the phenol product side, probably demand pressure, not pricing pressure, but we are also seeing some raw material price fluctuations, so how does it impac t you?
Siddharth Sikchi: So, I think, I mean with tariff, when we are supplying to a customer within India, however if their product has got 55% tariff in the US.
Dhruv Muchhal: No, sorry, I just want to clarify, I am saying about the US has put some restr ictions on some traders in India because of which there are some price increases

Siddharth Sikchi: No, no, that has nothing to, that has nothing to do. There was just a spurt in raw material prices for that two weeks period, but that has, I think, all resu rfaced b

ack and that really has no major impact. Of course, there was an impact on prices for those two weeks, but if you see, the prices have further softened and that impact is no more there.
Dhruv Muchhal: All right, all right, perfect. And the last thing is, earlier you mentioned the mix in the HALS business shifting more towards export. So, earlier in 1Q, it was about 75 -25, this quarter is a bit different. What is this quarter?
Siddharth Sikchi: No. So, I mean last quarter it was close to 80-20, this quarter is close to 75 -25.
Dhruv Muchhal: Okay got it.
Siddharth Sikchi: And this mix will keep changing as you move more and more towards export, as you get more and more approvals and stuff.
Dhruv Muchhal: And that you have done the chemical water trials and chemical trials just to start for Performance Chemical One. I mean, of course, this is too much picking, but just trying to understand, based on whatever parameters you see, the path is there, or are there some hurdles to that one should be aware of?
Siddharth Sikchi: The path is there. We are on the right track. And of course, what we anticipated, we are seeing that it is just these teething issues which are taking time, which is a very regular matter when you have such large, continuous f acilities running.
Dhruv Muchhal: Got it, perfect. Thank you so much, and all the best. Thank you .
Siddharth Sikchi: Thank you.
Moderator: The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.
Krishan Parwani: Yes, hi, s ir. Thank you for the opportunity. Two questions from my side. First, on a standalone basis, given we are already almost halfway through the quarter, do you expect a volume growth to come back in 3Q and what about 4Q?
Siddharth Sikchi: Not Q3 for sure.
Krishan Parwani: Okay, and secondly when are we expecting a decent contribution from barbituric acid lamivudine intermediate and Performance Chemical One?
Siddharth Sikchi: Again Q4.
Krishan Parwani: All three, I mean the barbituric acid lamivudine intermediate and Performance Chemical One ?

Siddharth Sikchi: Performance Chemical One, yes. barbituric , yes. For the lamivudine intermediate, we are waiting for customer validation because this goes into pharmaceuticals. So they are further dependent on their customers.
Krishan Parwani: Got it , so net-net 3Q could be a flat and probably a 4Q with these new products and then some probably the legacy products. So there should be growth in 4Q. Is that the right way to unders tand?
Siddharth Sikchi: Yes, hopefully yes.

Krishan Parwani: Thank you so much. Wish you all the best, sir.
Siddharth Sikchi: Thank you, Krishna n.
Moderator: The next question is from the line of Raghav Maheshwari from Kamakhya Wealth Management. Please go ahead.
Raghav Maheshwari: Good evening, sir. So, sir, I wanted to ask a couple of questions. My first question will be on the HALS division. What about the capacity utilization for this quarter?
Siddharth Sikchi: 23%.
Raghav Maheshwari: Sorry can you come again.
Siddharth Sikchi: 25%.
Raghav Maheshwari: 25%, so from 20% now we are at 25% , am I right?
Siddharth Sikchi: Yes. Okay.
Raghav Maheshwari: And what is the like average margin in this division as of now?
Siddharth Sikchi: Yes, so I mean it is close to 35% is the material margin at the portfolio level.
Raghav Maheshwari: Okay. Sir, my second question was about the competitive landscape , like we are seeing companies like, Viniti or Camlin Fine Sciences getting into MEHQ and f or Clean Science we are also facing some volume degrowth and so is there some like you know, competitive pressure which we are facing which is giving us this volume de -growth?
Siddharth Sikchi: Not from these players which you mentioned.
Raghav Maheshwari: So, like in general I am not talking about, not in particular?
Siddharth Sikchi: In general. No, actually it is not, we are not seeing this because of some competition within India. Probably some competition within China could not be ruled out.

Raghav Mah eshwari: Okay, so nothing from domestic?
Siddharth Sikchi: No, not at all.
Raghav Maheshwari: And, sir, can you give a guidance on the capacity utilization for HALS unit for upcoming quarters and maybe FY '27 for a better revenue projection point of view?
Siddharth Sikchi: No, I mean we just outlined like quarter 3, quarter 4, we expect a good growth, I mean at least a sequential growth, but we do not want to quantify it at this stage.
Raghav Maheshwari: Understood. Thank you so much, sir, best of luck.
Siddharth Sikchi: Thank you very much.
Moderator: The next question is through the line of Archit Joshi from Nuvama . Please go ahead.
Archit Joshi: Hi, good evening, gentlemen. Just one question on understanding this entire competitive landscape and the second -degree impact that you spoke of. And i f one could just understand what would be the sustainability of this given that some competition has emerged in China? Would it be that, because in all prices have been such significantly lower in the intern ational markets, it was thought of as an opportune thing to get into MEHQ, maybe in the Chinese markets, if you are confirming that. And is that also going in line with or in tandem with, let's say, the second -degree impact that we are facing from the US c ustomers that they have maybe a second or a third fiddle in the supply chain to China.
So overall, maybe it could be transient in nature, let's say, this quarter or maybe third quarter that we are seeing to be flattish. But have we done any scenario analys is that if these prices or the competition continues to be aggressive at large, what would be the strategy for us to maintain the margins and volumes?
Siddharth Sikchi: See, our strategy would be to maintain the volumes for sure, we do not want to lose mar ket share for sure. So, that is a clear thought we have in our mind.
Archit Joshi: Sure sir, and the part on the competitive intensity of MEHQ , are there any other products also in our standalone business and how did it, I was wondering, how did it suddenl y emerge? Is it only because of phenol prices being that low, given that it's such a small market per se ?
Siddharth Sikchi: Archit, j ust to clarify, we are not mentioning about any emerging competition in MEHQ at this stage. Mentioned about FMCG product. One of the customers has now backward integrated and making this product in -house.
Archit Joshi: Okay, so, MEHQ is largely insulated from this onslaught that we have seen, would it be a fair assumption?

Siddhart h Sikchi: MEHQ, sorry, go again.
Archit Joshi: I asked, would MEHQ be largely insulated from the competitive intensity in Chinese markets, would that be a fair assumption?

Siddharth Sikchi: For quarter two, we did not see that. Going forward, the Chinese, as I said, is very tricky to understand. And you have to be very agile to keep looking at what is happening. And if there is a way, I mean, and of course, if you realize, we will have to change our strategy to look at China market in total.
Archit Joshi: Right, so just clarifying once again, and sorry for prying on that issue. So, it's only from the FMCG segment that we are seeing right now, not the overall standalone portfolio level. Would that be correct? At least in Q2
Siddharth Sikchi: Yes, at least in Q2, yes, the answer is correct. Yes.
Archit Joshi: Okay, got it, got it, sir. Thank you and all the best for the coming quarters.
Siddharth Sikchi: Thank you so much.
Moderator: Thank you very much, ladies and gentlemen. That was the

last question. I would now like to hand the conference over to Mr. Siddharth for closing comments.
Siddharth Sikchi: So, thank you all for taking your time out and understanding our Q2 numbers. We appreciate the questions and the feedback and looking forward to seeing you all at the Q3 call in January. Thank you so much. Have a good day, guys.
Moderator: Thank you very much . On behalf of Clean Science and Technology L imited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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To
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E), Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conference call on the Company's Q 3 FY25-26 Earnings .

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ("Listing Regulations")

Dear Sir/Madam
Further to our letter dated 17th January , 202 6 and in terms of Regulation 30 read with Schedule III - Part A to the Listing Regulations, please find enclosed herewith the transcript of conference call on the Company's Q 3 FY25-26 Earnings held on Satur day, 31st January, 2026 .

You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Ruchita Vij
Company Secretary & Compliance Officer

Encl: as above

"Clean Science and Technology Limited
Q3 FY'2 6 Earnings Conference Call "
January 31, 202 6

MANAGEMENT : MR. SIDDHARTH SIKCHI – PROMOTER AND
EXECUTIVE DIRECTOR – CLEAN SCIENCE AND
TECHNOLOGY LIMITED
MR. SANJAY PARNERKAR – CHIEF FINANCIAL
OFFICER – CLEAN SCIENCE AND
TECHNOLOGY LIMITED
MR. PRATIK BORA – PRESIDENT , COMMERCIAL –
CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call of Clean Science and Technology Limited. We have with us on call Mr. Siddharth Sikchi, Executive Director and Promoter; Mr. Sanjay Parnerkar, CFO; and Mr. Pratik Bora, Pr esident, Commercial.

As a reminder, all participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you, and over to you, sir.

Siddharth Sikchi: Thank you so much. Good evening, everyone. We thank you all for joining our con call on a Saturday afternoon. I'm happy to connect with you all to discuss the business performance of the company for Q3 FY '26.

Let me first start speaking about the business environment . There have been challenging conditions, which we witnessed in quarter 2, have continued during this quarter as well. The current quarter was marked by challenging and uncertain business environment, driven by muted customer offtake, pricing pressure and tariff -related uncertainties, along with incremental capacities of some of the products, especially in China. We remain focused on customer engagement, long -term growth and operational discipline while maintaining the market share amid these evolving marke t conditions.

On a positive note, the HALS business delivered robust Y -o-Y growth of 55%, driven by a favorable product mix and higher contribution from cost -efficient higher derivatized HALS polymers. With the commercialization of our new hydroquinone an d catechol plant, we expect immediate margin benefit across the downstream products such as TBHQ and Veratrole.

Let me speak on the stand -alone business performance on a Q -o-Q basis. On Q -o-Q basis, the revenue moderated to INR180 crores, largely due to l ower sales in certain established products. The EBITDA and PAT margins are at 40% and 29%, translating into an EBITDA of INR72 crores and a PAT of INR52 crores. The Q -on-Q decline in revenue was primarily led by softer volumes in some of our selected produ cts, which also led to temporary reduction in the contribution of our top 4 products.

Consequently, top 4 products contribution to stand -alone revenue declined to 75% as against 80% in the last quarter. Coming to the Y -o-Y comparison, on Y -o-Y, the sales declined by 21% during the quarter. This revenue decline was primarily led by decrease in sales volume. The profitability margins impacted on account of change in product mix.

On 9 -month Y -o-Y basis, the revenue declined by 10%, that is from INR668 crores to INR602 crores. It was -- the reduction in revenue was attributed to a loss of a key customer in one of our

products in cosmetic section, also pricing pressure and lower offtake in Agchem segment. We believe we are well positioned to protect market shar e and drive sustainable growth over the long term.

On consolidated business performance, on a sequential basis, revenue moderated by 10% to INR216 crores and the consol EBITDA and PAT margins are at 33% and 21%, respectively, which stood at INR72 crores a nd INR46 crores. In the sales profile, the segment -wise, the Performance Chemical has been the largest with 72%, Pharma Agro at 21% and FMCG was 5%. The Performance segment was most impacted with volume -led decline in sales across MEHQ and BHA. However, pl ease note, we have not seen any domestic competition in these products. The FMCG segment witnessed volume decline in a product called 4 -MAP.

Key business de

velopments. In the HALS business, volume showed steady improvement during the quarter, driven by be tter demand traction and effective execution. The HALS business continued to grow sequentially, supported by a healthier product mix and increasing contribution from higher -margin products. Building on this momentum, this quarter marked a meaningful milest one for us as we achieved EBITDA breakeven in the subsidiary Clean Fino Chem Limited. We are encouraged by the progress and remain confident in sustaining this momentum.

A little on capex update. The hydroquinone and catechol was commercialized in the mon th of December and customer trials are ongoing. With commercialization of these products, we will have immediate moderation in raw material costs of both the end product that is TBHQ and Veratrole. The commercialization of the hydroquinone plant and the ex pansion of TBHQ are strategically aligned with our -- with our purpose -driven growth and value optimization strategy and are expected to enhance existing product margins.

Further capex time line of Performance Chemical 2 is as per plan, and we expect to commercialize in Q1 FY '27. With our reworked process, we have sent newer samples to customers for our Pharma intermediate DHDT. While the testing is underway, we expect to have clearer outcomes over the next coming few weeks. During the last 9 months, the capital infusion

in subsidiary has been INR150 crores with now the total investment in subsidiary around INR700 crores.
On account of corporate governance, in line with our commitment to dividend payout policy, the company has approved an interim dividend of INR2 per share. We are also very happy to announce and welcome two new Board members, Mr. Raj Kamal and Mrs. Pallavi Gokhale as successors to our earlier retiring independent directors. With this, we continue to uphold the highest corporate governance standards.
With this, I conclude my opening remarks and look forward to the Q&A. Thank you so much.
Moderator: Thank you very much. The first question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Yes. Sir, first question just pertains to the -- I mean, the 2 capexes which we had mentioned. Now you've spoken about Performance Chemical 2 and 1. So going back, of course, you were investing INR1.5 billion in both of these projects. So I just wanted to know, sir, I mean, according to your internal -- I mean, calculations, how much revenue do we expect these -- both these projects to generate in '27 and '28, just as a broad outline. I know you've spoken about an asset turn of 2 for both these projects, bu t just '27, '28, jus t some specifics could be given?
Siddharth Sikchi: So typically, in these fluid market conditions, we would avoid giving any forward -looking statements. But to just pinpoint with the Performance Chemical 1 because of the prices reductio n overall, the -- around 80% capacity utilization, we are looking at a revenue of INR260 crores, which was earlier INR320-odd crores. And Performance Chemical 2, the capex is under -- I mean, we are still under capex phase and the facility will only begin by May, June. And we expect after teething issues, customer approvals, we should only see revenues in Q4.
Jason Soans: Okay. So Performance Chemical 2 will be commissioned by May, June and then probably Q4, you will get some revenue from that, right?
Siddh arth Sikchi: Not full revenue. Of course, staggered revenues.
Jason Soans: Yes, staggered revenue. Okay. Sure, sir. And sir, again, now with regards -- yes, and with regards to -- with regards to HALS, I'm sorry, the Hindered Amine light Stabilizers, just wanted to understand how much volumes and realizations are we targeting for '26 and '27, now '26 is almost done. But how much volumes and realization in dollars are we targeting f

or '26 and '27?
Management: So I mean, for this year, we are already at 2,000 tons of volume for 9 months. And I mean, we'd be happy to note that year -on-year, we have reported a 55% growth in HALS sales for this particular quarter, right? And our target remains like that's typically with any new product which we are commercializin g at least around 50% of utilization over a 2 -year period. Now HALS has been a different case because this is a totally new zone which we have entered into. But our endeavor continues to remain to stand by that guidance.
Jason Soans: Okay. And just our rea lization would be around $5, that range or $5.5? Or are we looking at a lesser realization?
Management: Our blended portfolio realization for this quarter has been INR425 a kg.
Jason Soans: INR425 per kg, okay.
Management: Yes. Because predominantly, the sales is being driven by HALS 770.
Jason Soans: Sure. And just lastly, sir, just wanted to understand, I mean, you spoke in your initial comments about, I mean, probably losing a customer in the cosmetics segment. Just I missed that comm ent. Was it in the Performance Chemicals segment? Or what segment was that?

Siddharth Sikchi: FMCG segment, where a product called 4 -MAP, where we've lost a customer in China. And due to secondary impact of tariff of our end customers in India, they have l ost their business in the United States, and hence, we are impacted by them as well.
Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: I got a few. Let's go segment by segment. First on the performance, you did mention two things. One, you said MEHQ and HALS has a lower volume, but you also mentioned that there was no competition in the domestic market. At the same time, in the opening remarks, you said that China has started pr oducing some o f these molecules?
Can you give us a complete road map on performance established molecule? It is China, which has got aggressive and hence, we have seen MEHQ BHA volume decline? Or was it general demand slowdown? What's your take on MEHQ and BHA?
Siddhar th Sikchi: First, let me speak on MEHQ. So the reason of price drop is reason is because overall pricing of

hydroquinone, which is in the old process, the conventional process to make MEHQ starts from hydroquinone.
Now because the Chinese have lowered the prices of hydroquinone all -time low price and hence, the conventional process of hydroquinone to MEHQ makes MEHQ also at a lower cost point.
To attribute to this, we have no choice but to lower our prices of MEHQ to compete with these emerging players of hydroquinone -derived MEHQ in China. That is point number one. Are you clear on this?
Sanjesh Jain: Yes. But we said that there is still no price decline. What you're mentioning the price decline in MEHQ is to hit our P&L or it's already there in Q3?
Siddha rth Sikchi: It is already mentioned in Q3.
Sanjesh Jain: We have already taken that in Q3.
Siddharth Sikchi: We have taken that. We have reduced the prices because the endeavor was to keep volumes intact. But -- so this has happened. BHA, no, there is nobo dy in China. When I mentioned about domestic player, I was pertaining to the players, which announced coming in MEHQ or BHA or guaiacol and 4 -MAP. That is what I meant that we have not seen any competition from these players. So there is no volume loss to these players is what I wanted to mention on the call.
Sanjesh Jain: And reason for BHA being slower for us, is it pricing driven or it is more volume driven unlike MEHQ?
Siddharth Sikchi: The BHA, we've reduced -- it went lower mostly in quarter 3. It is a very typical standard because the drop has happened in North America. There was some tariff -related concern and also because

a lot of customers prefer to have lower stocks at the end of December month. So that impact is not as huge as the other products.
Sanjesh Jain: And you mentioned about China starting certain product, you mentioned about HQ and MEHQ value chain?
Siddharth Sikchi: Yes, and 4 -MAP.
Sanjesh Jain: And 4 -MAP?
Siddharth Sikchi: Which we lost a customer in China and also indirect tariff, which has hit our customer, and hence, we are hit by them.
Sanjesh Jain: Got it. Now we forward integrate MEHQ to make BHA. Can that be possibility in China as well now that they have started manufacturing MEHQ?
Siddharth Sikchi: The possibility in China is very difficult to mention today.
Sanjesh Jain: I agree, Siddharth. I know it's very open -ended, but have you seen any sign is my que stion, because it is open -ended?
Siddharth Sikchi: No, no, there is nothing today. There is nothing today.
Sanjesh Jain: Got it. Got it. Now coming to the FMCG, last quarter, you mentioned that probably that 4 -MAP customer is also looking to backward integrate? Or it's purely the U.S. thing, which has hurt or the customer not going to backward integrate. Some time can it come back or that possibility is rolled out?
Siddharth Sikchi: No, I mentioned even on the last con call, and I'm rerepeating it again, that customer, I think, is dead. I mean it's lost for us because they have backward integrated. So that remains for China.
However, the Indian customers and the customers in other parts, the reason is because, say, our end product of 4 -MAP is avobenzone. Now avobenzone from India has a tariff of 55% in the United States. So all the Indian customers who are buying have s lowed down dramatically because of this severe impact of tariffs from the U.S.
Sanjesh Jain: So what is the revenue hit from the Chinese customers, so we know that, that is a permanent loss and remaining can come back?
Management: Sanjesh, product -wise or customer -wise, we are not comfortable sharing.
Sanjesh Jain: No, that's fine. I was just -- from modeling perspective, how much should I take as a recurring loss and how much is recoupable, but that's fine?

Management: But yes, it needs to anchor that you can take probably this quarter as a run rate going forward at a...
Sanjesh Jain: This quarter has a right run to look at, right?
Management: Yes, yes. We are not factoring in any further customer loss in this run rate.
Sanjesh Jain: Got it. Now switching to HQ and catechol. HQ we will use, obviously, for TBHQ and the agro intermediate. How much will be captive demand for HQ for us? That's number one. Number

two, catechol, what are we planning with that product?
Siddharth Sikchi: So catechol, the current plan is to, of course, make our own in -house Veratrole, which anyways we are making. We are also talking to companies within India who are buying catechol to make some of the derivatives because if you -- there is no current -- I mean, no current p roduction happening of Catechol within India at the moment. So we are also talking to these customers within India, whether we can have a contractual arrangement with them. So that are the 2 applications. And also we are started to export, we have recently got some orders from China to export catechol and that you shall see starting from February itself.
Sanjesh Jain: It is largely goes into making vanillin. I think Camlin used to make it in a large quantity. They doesn't make it any more in India?
Siddhart h Sikchi: No, I'm not aware of what is happening with them. But I just think probably -- I mean, I have no comment on the competition, but I don't see a lot of catechol available -- in the market available. And all is imported currently from China. If you see the import data, currently, all the catechol is imported either from China or by Solvay. So th

is is a market which we want to capture first being the local player and giving services like just in time to the customers.
Sanjesh Jain: That's fair. On HQ, the entire HQ, we will use in -house or we will also have HQ to sell in the market?
Siddharth Sikchi: No, no. We will have a lot of HQ to sell. Probably, we will be only using about 15 -odd percent for our own captive and the balance will be sold in the market. That is both international and local.
Sanjesh Jain: Got it. That's great, Siddharth. I think I got all my answers. Just one comment on EBITDA. I know you mentioned that it's quite fluid and uncertain time and you don't want to give any guidance. But at the start of the year, you mentioned that 40% EBITDA margin at consol was something we were aspiring for. We have hit 33%. What should one look at an EBITDA margin for this year at the console level?
Siddharth Sikchi: I know, I understand. But with th e way the pricing are being driven by the Chinese, the way things are -- also with the tariffs, the uncertainties which we are seeing, it is -- it would be

appropriate to wait for at least for a quarter to really understand where we stand. So probably in the next quarter or the end of the next quarter, we can have this discussion, please.
Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.
Abhijit Akella: So maybe just to start with the volume versus price breakdown of the revenues this quarter, if it's possible to share that, please, on a Q -o-Q and Y -o-Y basis?
Siddharth Sikchi: So on a Q -o-Q basis, the volume decline, out of the 13% decline, majority is by volume decline. And on a Y -o-Y basis, out of the 21%, the volume d ecline is 19%, whereas the price realization is 2%. So majorly, it's volume decline.
Abhijit Akella: Got it. And just on HALS, on a sequential basis, what would the volume trajectory have been like 3Q versus 2Q?
Management: Abhijit, on a sequential basis, we have witnessed 6% growth in volume. So this quarter, we have almost crossed 800 tons in volumes, almost 810 tons is the sales volume. And just to add over that, the product mix has also improved meaning 944 is now almost contributing 20% to the HALS por tfolio.
Abhijit Akella: Okay. So on a revenue basis, how much would the growth have been sequentially in HALS?
Management: Sequentially, 5%, 6%.
Abhijit Akella: Revenue as well is it, volume as well as revenues?
Management: Volume last quarter was 760 tons. This quarter, it's close to 810 tons.
Abhijit Akella: Okay. And just to understand this tariff impact, which is happening because of destocking, I guess, primarily by customers. So across the major products that we have, what categories of customers are these exactly in MEHQ or, I don't know, BHA, guaiacol as well. What categories are these? And are we seeing any maybe greenshoots in terms of their demand in the new calendar year?
Siddharth Sikchi: I think the -- I mean, there are multiple factors there. I think there are -- some reasons are also impacting the sales in North America as well as in Europe also because their end product could also be impacted by competition from the Chinese, okay? So that would have also led them to cut down their production, which implies that their offtake has also reduced, which is -- I mean, that is what completely impacts us as well because if their contribution or their sales has reduced -- purchases have reduced, so that impacts our sales. That is one level. And of cour se, the second is with the uncertainty which remains on our products on tariff.
The customers are very careful in deciding when to order and how much to order. So these are two impacts which we are seeing. Whether this will improve? I think, with tariffs not going

anywhere, so that impact of tariffs still remains. And the prices, which currently we are seeing in the chemical market segment, primarily led by the Chinese also, I think, might remain for the quarter or 2. So the impact would be at least contin ue for the next 2 quarters, if not more.
Abhijit Akella: That's clear. I understood that. And just last couple of ones from my side. One is with regard to this 4 -MAP. As and when maybe demand comes back, from the customers that have been impacted by tariff s, would that be adequate to sell out our full capacity despite the loss of the customer we have had? Or will we sort of need to you know...
Siddharth Sikchi: A lost of customer will -- I mean, whatever volumes we used to make for him that customer, that volumes is lost is lost. Others might not be able to recover their volume as well as that volume. So I think we would be seriously evaluating what can we do out of that facility, which, of course, we are working on or making something intere sting out of these products so that we can keep utilizing these facilities.
Abhijit Akella: Got it. And the last one from my side is actually regarding the promoter slide in the presentation. The title says, strong visibility on longevity for promoters eng agement in the business. So just wanted to seek your perspective on, whether we should interpret that to mean that even after the expiry of the 3 -year lock -in period that there will not be any further OFS from the promoters? Or any comments you could offer on that point?
Siddharth Sikchi: Of course. Of course, the promoters, I mean, though there was a 3 -year period or so, but of course, I mean all of the promoters are equally engaged in the business and all want to work towards the wellbeing of the company. So in my view, there will not be any further dilution by the Boob Family in the next couple of years.
Abhijit Akella: But I guess the lock -in was anyway for 3 years. So the question pertains to beyond that. So any thoughts beyond that as well?
Siddharth Sikchi: See, it is a very subjective decision by the family, I mean, by the Boob family. I cannot really comment, but unlikely that they will even sell beyond 3 years. And not in these markets, which I'm sure you understand. So I think it can be a delayed process by them.
Abhijit Akella: I really appreciate your frank answers to that. Thank you so much, and wish you all the best.
Moderator: The next question is from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: First question on the geographic breakup. If I look at the Q3 numbers in specific, domestic demand slowdown probably was a bigger factor here. If I look at 9 months, obviously, China is also a contributor here. So any thoughts from a demand uptick both in the international mark ets as well as on the domestic side?
Siddharth Sikchi: So domestic -- first, let me understand the international . International, yes, definitely, both in Europe and U.S., we have seen a decent decline closer to 15%, 16% in these markets. As I

mentioned rig ht now, it is because of two factors: one is tariff; and other is whether they're being impacted by the global acrylic acid prices, which have come down and they are at its all -time low point. So if that is the reason, that is why the Europe and the sales are down.
In terms of India, these were just campaign -related cycles, I think, which have moved or postponed, and it is a very customer -centric thing. So when these agchem cycles come back, probably these volumes will again come back. But we have not lost the volumes. I just want to repeat this. The volume is not lost, it is postponed.
Ankur Periwal: Sure, sir. And just on the volume bit, is it largely the macro? Or is there a risk of the backward integration what we saw in 4 -MAP, also playing out in some of our leading products there?
Siddharth Sikchi: See, the leading products, there are -- you have to understand, these are performance chemicals. So again, as I mentioned, these are performance chemicals, which are -- so an acrylic acid is the biggest exam ple where MEHQ -- a 1,000 PPM MEHQ or a 2,000 PPM hydroquinone is used. So a backward integration to these would not make any sense to the buyer -- I mean, to the customer. This was particularly in a particular example of 4 -MAP because avobenzone 60% of the cost of raw material depends on 4 -MAP. And hence, it made probably logical sense for them to do so, but not in other segments.
Ankur Periwal: Okay. So it's largely the end product driven demand, which is slowing down and possibly maybe a couple of quarte rs and then there should be some leg up there.
Siddharth Sikchi: Absolutely.
Ankur Periwal: And another thing on the pricing bit. Given what you already share on the China bit as well, the

pricing in the overall, let's say, HQ value chain. Presuming these prices are what they are, let's say, even 1 year down, what will be your thoughts in terms of the cost economics for us or probably the pricing and whether these margins probably can hover in this range only going ahead?
Siddharth Sikchi: If everything rem ains the same, then this is what is going to happen. I mean if your question is, if prices of finished good is going to remain at this point, assuming the raw materials are also at the current -- I mean, the oil prices are also at low point? So if this con tinues for 2 quarters, then the number remains the same over the next 2 quarters as well, right?
Ankur Periwal: So my question was more like, let's say, 3, 4 quarters out, the volume growth recovery comes back, but the pricing is what it is. Is there further sort of scope for us to probably improve our costing in terms of improving the margins or probably it's only the operating leverage, which will play out on those front?
Siddharth Sikchi: See, operating leverage will play out. We will try and optimi ze some of the costs. So these are initiatives, which we are taking constantly on trying to improve the prices. But again, I mean whatever we do, we cannot -- I mean, because these are so squeezed out products for us that I

don't see anywhere that we can d o some magic and reduce the prices by 10%. So it will be very marginal what I can do, but rest, the prices are currently driven by the world market itself.
Ankur Periwal: Sure. Fair enough. And just lastly on HALS, how has been the geographic mix now? You did mention the higher -end products are seeing some pickup, which is driving the EBITDA breakeven as well. How should we see this?
Siddharth Sikchi: 70% is domestic currently, Ankur. 70% is domestic, 30% is international, but you will start seeing as we mo ve in quarter 4 and then subsequently in '27, this mix will start changing, and we expect the exports to quickly start ramping up.
Ankur Periwal: Yes, we were waiting for some product approvals to come in from Europe and other countries.
Siddharth Sikchi: Yes, we have got some of these approvals. And in fact, in month of January also, you will start seeing a lot of shipments happening in the United States. But yes, you will start seeing more action in the export markets.
Moderator: The next question is from the line of Archit Joshi from Nuvama.
Archit Joshi: Sir, first question on MEHQ. I mean you did explain quite well as to how MEHQ prices have come off. But sir, the entire let down in HQ prices would also be a function of phenol prices coming off. Would i t be right to assume that with phenol maybe pricing cycle going higher, HQ prices will also eventually be on the higher side, and we will have the MEHQ prices also going upwards. So is this like a very transient situation?
A slight extension to the same q uestion like you men

tioned before. HQ also is used as a polymerization inhibitor. So is there a down -trading that is happening from MEHQ to HQ, which might have aided into this volume loss?
Siddharth Sikchi: No, no, no. There are a couple of questions you asked. Let me start by the last one. See, these processes of interchangeability of performance additives is not -- I mean, I'm sure people would have done this in the past, but these are now set rules of the game. So I don't think those shift has happened that people have replaced MEHQ to HQ.
So that has not happened, number one. Number two, yes, the phenol prices have come off, but I have seen these phenol prices a couple of time in my 20 -year of working career. But the prices of HQ and MEHQ, which I'm se eing today are the prices which were not even -- these are not even -- I mean, t hey are below 20 or low prices.
So what I'm trying to mention is just raw material play is not playing out. There is also competition and the prices of -- lower prices of hydr oquinone is also pushing, lowering prices of MEHQ and hence, we have to lower the prices to keep our volume up in these markets.

Archit Joshi: Got it. Got it. That's why the fluidity in the situation, I get your point. Sir, secondly, on the hydroquinone, c atechol plan that we've had, and I believe we did have plans to have better yields of HQ and catechol compared to the competitors. Where would we be in that learning curve or have we already achieved that yield that you had expected earlier?
Siddharth Sikc hi: So I can say that probably we are better than the competition, but we are still a little away from where we had expected to be. And probably all the endeavors we are still trying to figure out how to reach at that point, which we had anticipated. So ac tually, we are in midpoint between the competition and the perfect scenario, we are actually in the midpoint. And probably in the

next couple of months, we should reach the better yield process.
Archit Joshi: Sure, understandably. Sir, the same question on HQ and catechol. On an overall margin basis, would we be at par to what we are doing in terms of EBITDA margin?
Siddharth Sikchi: No. I don't think that -- no, that EBITDA margins will not be at those extent. They would be -- they will be lower . I think they will be better than HALS', lower than the parent business. Again, they will be like midpoint.
And with these current prices of hydroquinone, which we are currently seeing and because they have declined quite a bit, so I think it is, again, a very fluid condition to mention really on the EBITDA front. Probably another quarter or so to understand where it all stabilizes, how our plans also stabilizes. And I think we will have some better picture.
Archit Joshi: Sir, one last on HALS. I believe in the previous quarter, a few global majors have taken a price hike in HALS. Is the overall global situation in HALS improving by that price action that they had taken? Anything that you would like to comment on how margins and prices can be in HALS, let's say, 1 year down the line?
Siddharth Sikchi: I think those announcements were made. Yes, we have also seen those public announcements, but they have not really translated into reality, so we have to just keep a wait -and-watch scenario. But they h ave not been implemented by the competition yet.
Archit Joshi: Understood. So the situation broadly is status quo on the total supply -demand dynamics of HALS, let's say?
Siddharth Sikchi: Yes. So we have to keep working and keep improving our wallet share, and that is what we are doing. And despite of those low prices, I think the improvement has completely happened because of our improvement in our process efficiency and of course, because these higher -grade HALS have also started picking up. So I think th is will keep improving over the next

few
quarters.
Archit Joshi: Understood. Sir, would it be fair to assume that our cost competitiveness in HALS will be better than our peers globally? Or we are still in that learning curve to improve our yields or maybe cost to that extent?

Siddharth Sikchi: See, I think we are still -- see, it is very difficult to understand the competitive processes of the other competition and what are their yields and norms. But what I believe is, we are still not at the most optimum situation because I think we are still improving. Like if you can see between Q2 and Q3, also, there is an improvement in the process efficiencies, and I believe there is still more scope for us. And I think that is what makes a little difference that bec ause these products are all created in -house, we have an ability to improve the process further and the endeavor is to further improve these so that it will start meaningfully impacting our EBITDA levels.
Archit Joshi: Got your point, sir. Wish you all the best in these tough times. Thanks a lot.
Siddharth Sikchi: Thank you so much, Archit.
Moderator: The next question is from the line of Bala Murali Krishna from Oman Investment Advisors. You are on mute, Bala. As there is no response from Bala's side, we'l l move to the next question. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.
Jason Soans: Thank you so much for taking my question again. Sir, you explained very much in detail about the HQ prices and how that those t ypes are going down. Now I understand that they're at an all - time low. Just wanted your take on, sir, I mean, there's a lot of talk about this China anti - involution drive going on where they'll basically focus on getting back to market dynamics. Do you exp ect, by any chance, this drive to basically -- at least gradually, there will be some uptick in those HQ prices that will help you gain pricing advantage?
Siddharth Sikchi: See, I mean, I have also been reading a lot of articles, but I think it's better to see in reality than to make assumptions because what is said and what really happens is absolutely two different scenarios. So all our costings and all our pricing currently, we are based at the current market situation rather than speculating of any pric e increase from the Chinese competition.
Jason Soans: Sure, sir. And sir, just the next question. I mean I understand both these INR1.5 billion capex , they have been a little bit delayed. I understand tariff thing and you've explained that the distribution is fluid. Now I just wanted to understand, sir, the Performance Chemical 1, at least must be ready. Are we expecting it to generate revenue? By when do we expect in '27 for it to generate any revenue? And how much?
Siddharth Sikchi: We will start seeing -- so the plant started. Currently, we are using -- because there are teething issues, the product is slight off spec, but we are currently consuming all the products in -house. So where I was importing, say, probably around 70, 80 tons of hydroquinone per m onth, you would have seen that those imports have stopped completely. Same is the case with catechol, which we were importing to make our own Veratrole. So these imports have stopped completely. So all these current products are being serviced by our own subsidiary to the parent company.

That is point one. And point two is, we will start seeing sales starting in the month of February and of course, gradually increasing in March. And of course, we expect decent numbers coming in FY '27.

Jason Soans: Okay. But Performance Chemical 2, so you expect revenue only in the last quarter. That's been a little bit delayed from that perspective, right?

Siddharth Sikchi: Yes. I think we had anticipated that we will sta

rt the production in March. But now we feel w ith the current scenario, we'll start by May. So there has been a 2 month -- a 60-day delay, probably another 15 -odd days for water trials and commissioning. So yes, there has been a quarter delay; yes, you're right.

Moderator: We'll take the last question from the line of Manish, an Individual Investor.

Manish: Sir, I'm a retail investor. I have written a mail to you as well. So what I understand from the layman term, as a layman term, that we have some loss from China because of some customers, and we hav e some loss from U.S. So that's the reason we have -- because of the tariff, so we are losing revenues. On top of it, because of the Chinese competition, we are losing revenues, right? So we are hit from all ends. Now what message do you give to retail in vestors who have been invested in you since long? When can we see the margin that we used to do around -- revenue growth that we had around '21 to '23 could come back?

Siddharth Sikchi: So Manish ji, thank you for your question. Of course, the endeavor for us is always to keep making more profits. But alongside the endeavor is also to retain our market share in the segments because it has taken us 20 long years to build these markets, to retain these customers. But the macroeconomics is something, which is very difficult and which is beyond our control. So a tariff of 55% in United States was never anticipated.

The overcapacities in China was never anticipated. And all this has led to margin reduction. However, the endeavor is to come up with new products. The endeavor is to derisk from a couple of products to more products. The endeavor is to keep performing and doing R&D and to get more and more products online so that the revenues built -up keep happening.

The endeavor is to not lose a customer to a compe tition. So these are some things which I, as a promoter, have to do to make sure that my business does not -- I mean, it's not a quarter business that we run for a couple of years. I mean, we have to look for a 5 -year strategy in the company. So with all t his, yes, there has been a hit. But we are there.

I mean, we are healthy in terms of cash flow, company is still sitting on INR450 crores of cash. The projects, which we had mentioned, have all happened beyond -- I mean, within probably a less than a quar ter delay, but all the capexes have happened at the project costs, which we had anticipated despite of all these volatile times. So I mean we are trying our best, I can only say that. And even our endeavor is to reach those profitability, but with the macr oeconomics in hand, I mean we have -- I mean something which we cannot control, we cannot control.

Manish: Agree, sir. I have read about you a lot. I'm a great fan of yours, how you build up this company along with the Boob family. So I respect that. But I was just coming from a retail point of view.

Many retailers have seen many trends of mine. Everyone is scared, everyone is scared. What will happen next? Okay. So that's the reason I thought of asking you.

And second, one more question that I wanted to ask you is, the trade deal that we had, right, as of now with Europe, that might help us, right, sir? That might help us to negate some traffic or that might help us -- if you compare to China, china has some tariff -- if you see, China has some tariff in Europe, EU, but we'll not have that tariff. So do you see that playing around? And why -- sorry, sir?

Siddharth Sikchi: Yes, I agree with you. That would play. But of course, I mean this -- I think this will only start in '27. I think there's still a l ot of paperwork has to be done between the two countries. So it is not going to -- I mean you will not see anything on an immediate basis.

This will, I think, only start in '27. And the trade impact would have a 5

.5% to 12% is the tariffs, which we pay an d also the Chinese. So if those will come out then, of course, it will help the Indian chemical industry for sure versus the Chinese, of course.

Manish: So we have one, what do you say, positive for the FTA. And also, why don't we capture the market of Aus tralia? Have you any plans to do that, or Canada, by any chance? Because by -- if

you see the condition going on, Canada is anti -U.S. Sorry sir?
Siddharth Sikchi: To your point, sir, Australia or Canada, they don't have such acrylic acid plants. For that m atter, even India does not -- India has only one acrylic acid plant. Plus all these blends of pet food industries where we supply, they are users, but they are not producers. Hence, Australia is not a market for our products at the moment.
Manish: All the best. We hope to grow with you. Thank you, sir.
Siddharth Sikchi: Thank you so much, Manish ji.
Moderator: Thank you. I now hand the conference over to Mr. Siddharth Sikchi for closing comments. Over to you, sir.
Siddharth Sikchi: So thank you all for spending time with us on Saturday. I understand there has been -- I mean, it has not been a greatest quarter for us. I think we've had a glitch in our quarter 3 also as well as in quarter 2. But I can only assure that we are working to wards improving the margins, improving the revenues, bringing new products online as quickly as possible, trying to maintain our capex cycles. And I think we are trying to do, as a team, whatever best can be done. And I think that's all from our side. Than k you so much.
Moderator: On behalf of Clean Science and Technolog y Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

20th May, 202 6
To
BSE Limited
Phiroze JeeJeebhoy Towers,
Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 543318 National Stock Exchange of India Limited
Exchange Plaza, Plot no. C/1,
G Block, Bandra -Kurla Complex
Bandra (E), Mumbai - 400 051
Trading Symbol: CLEAN

Subject : Transcript of conferen ce call on the Company's Q4 and financial year ended 31st March , 202 6 Earnings .

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ("Listing Regulations")

Dear Sir/Madam
In terms of the referred Regula tion 30 read with Schedule III - Part A to the Listing Regulations, we are enclosing herewith the transcript of conferen ce call on the Company's Q4 and financial year ended 31stMarch, 2026 Earnings held on Thursday, 14th May, 202 6.

You are requested to take the same on record.

Thanking You.

For Clean Science and Technology Limited

Ruchita Vij
Company Secretary & Compliance Officer

Encl: as above

"Clean Science and Technology Limited
Q4 FY26 Earnings Conference Call "
May 14, 202 6

MANAGEMENT : MR. SIDDHARTH SIKCHI – MANAGING DIRECTOR AND
PROMOTER – CLEAN SCIENCE AND TECHNOLOGY
LIMITED
MR. SANJAY PARNERKAR – CHIEF FINANCIAL
OFFICER – CLEAN SCIENCE AND TECHNOLOGY
LIMITED
MR. PRATIK BORA – PRESIDENT , COMMERCIAL –
CLEAN SCIENCE AND TECHNOLOGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY26 Earnings Conference Call of Clean Science and Technology Limited. We have with us on the call Mr. Siddharth Sikchi, Managing Director and Promoter; Mr. Sanjay Parnerkar, CFO; and Mr. Pratik Bora, P resident, Commercial.
As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an o perator by pressing star then zero on your touch -tone phone.
I now hand the conference over to Mr. Siddharth Sikchi for opening remarks. Thank you, and over to you, sir.
Siddharth Sikchi: Thank you so much. Good evening, everyone. Thank you for attending our quarter 4 and 12 months FY26 earnings call. I sincerely appreciate your continued trust and engagement, and it is our pleasure to connect with you once again.
Let me speak briefly on the business environment. The Q4 FY26 has been a resilient quarter for the company, marked by strong delivery despite challenging global environment and geopolitical uncertainties.
The challenging conditions that we had highlighted during the earlier part of the year continued for a large part of FY26 with muted customer offtake, pricing pressure in selected products and selected geographies and, of course, tariff -related uncertainty. At the same time, we remain focused on customer engagement, process efficiency, backward integration and protecting our market position in our key product categories.
On other side, the quarter reflected sequential improvement in overall performance, largely driven by increase in customer ’s volume offt ake in our products. We continue to see scale in our HALS business segment, which saw the highest ever revenue in Q4 FY26 with continued improvement in favorable product mix.
During this quarter, in line with our disciplined and shareholder -aligned approa ch, the Promoter Directors voluntarily chose to forgo substantial portion of their performance bonus for this particular financial year. Consequently, the performance bonus for FY26 is reduced to less than 1% of PBT as against entitled 4% PBT for this fina ncial year.
On stand -alone business performance, starting from Q -o-Q comparison, the revenues improved by 8% to INR193 crores, largely due to increase in customer offtake. The EBITDA and PAT margins are at 46% and 40%, respectively, translating into an EB ITDA of INR88 crores and a PAT of INR 77 crores. This revenue increase is primarily led by increase in volumes.
Coming to Y -o-Y, the sales declined 19% during the quarter, and this decline was primarily led by sales volume.

On 12 -month Y -o-Y front, the revenue declined 12% from INR 900 crores to INR 796 crores i.e. roughly INR 800 crores. This is attributed to loss of key account or a particular customer in an FMCG, which is 4 -MAP product, lower offtake and pricing pressure in our key products.
On consolidated business performance, the consolidated revenues increased by 14% to roughly INR 246 crores and the consolidated EBITDA and PAT margins are at 33% and 28%, respectively. In absolute t erms, that is INR 96 crores and INR 58 crores, respectively.
On 12 -month Y -o-Y basis, the revenues remained flattish at about INR 945-odd crores against the stand -alone revenue on account of consistent scale up in our HALS business. The consolidated EBITD A and PAT margins are at 37% and 24%, respectively, which amounts to INR 355 crores and INR 230 crores, respectively.
The key business developments for the Clean Fino-Chem Limited - Company reported a positive EBITDA of INR 7 crores in Q4, marking its first quarter of positive EBITDA following an EBITDA breakeven performan

ce in the preceding quarter. The Hydroquinone /Catechol plant which was established in December '25 is under initial stabilization phase, and we expect the plant to achieve optimal operations with improved productivity and efficiency in the following 1 to 2 quarters.
The product quality approval from customers have already been secured. In the current quarter, the Hydroquinone and Catechol imports are fully r eplaced by captive HQ Catechol production for our products, TBHQ and Veratrole, leading to moderation in raw material cost.
A little on capex update. Our capex timeline of Performance Chemical 2 is as per plan, and we expect to commercialize by September '26. The change in plant commercialization timeline is attributed to scarce manpower resources as labor movement is observed due to increase in gas

prices.
The Clean Fino-Chem is further backward integrating in some of the key starting material or raw mat erials, which are required for our HALS production. This strategic initiative is aimed at ensuring uninterrupted supply of essential inputs while strengthening our margins and overall operational efficiency. And these initiatives will be implemented with m inimal capital expenditure and in -house developed processes.
We are now planning to also debottleneck our -- some of our HALS product lines and also setting up a dedicated product line for HALS 2020, which is a key intermediate product for higher grade of NOR -HALS product. Thus, we are enlarging our existing HALS product portfolio while enhancing our presence in val ue-added specialty chemistries.
During this year, the capital infusion in subsidiary was approximately INR 200 crores with total investments of subsidiary now standing at INR 750 crores. I am glad to inform you that the Board in today's meeting has declared a final dividend of INR 4 per equity share, amounting to 400% of face value of INR1 per share.

With this, I conclude my opening remarks and looking forward to the Q&A session. Thank you so much.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: First, just can you help us with the segmental numbers , I think , that you used to give in the presentation . That will be really useful to make the analysis.
Siddharth Sikchi: So, basically , you want the Performance versus...
Sanjesh Jain: Performance, Pharma, FMCG and others.
Pratik Bora: So Sanjesh, Performance segment contributed 72%; the second segment i.e. Pharma -Agro contributed 19% and FMCG contributed balance 9% to standalone revenues .
Sanjesh Jain: This is for the quarter or the full year, Pratik?
Pratik Bora: This is for full year.
Sanjesh Jain: Okay. For the quarter?
Pratik Bora: Quarter, I can -- okay, I'll get back to you on quarter number. But effectively, in the presentation also we put for the full year. So basically, full year minus 9 months, you can get to a qu arter number.
Sanjesh Jain: I can do that. I got it. But that's super useful. Siddharth, just wanted to get your view on MEHQ. Now that HQ prices have gone up so sharply, how should we see the MEHQ competitiveness for us? The phenol price has also gone up. But relatively, do you think your position has strengthened in the market in -- post this West Asia? And how should we see MEHQ market in FY27?
Siddharth Sikchi: No, I agree with you because of the Hydroquinone prices going up, it definitely helps us in MEHQ. But also, to be honest, with the capacities of Hydroquinone in China, and they are not as impacted with the raw material prices to that extent , which we have in India. So in view of this, we have to calibrate our prices in a manner that we are able to balance all the positions and still keep our market share within China as a market.
Sanj

esh Jain: Okay. So what we are telling is that we are able to fully absorb the increased phenol prices or do you think...
Siddharth Sikchi: We are able to pass some, b ut wherever there has been long -term contracts, in those cases, we have not been able to pass.

Sanjesh Jain: And how long are these contracts for us?
Siddharth Sikchi: It depends on customer to customer. There are some contracts which are half yearly, some there are full yearly.
Sanjesh Jain: So as they expire, we will renegotiate, right?
Siddharth Sikchi: Absolutely.
Sanjesh Jain: Got it. Got it. But slowly, steadily, we will pass on a lot of it, would be the right understanding?
Siddharth Sikchi: Yes, yes . We definitely will.
Sanjesh Jain: Got it. Got it. Second, on the HALS, very heartening to see a very sharp increase in the revenue for HALS when we do consol minus stand -alone . Can you just give us a color what led to a sudden jump? And how sustainable these numbers are? What volume we did ? Which category of HALS did very well for us domestic versus international?

Siddharth Sikchi: Yes. I will not get into too much of product -wise due to competitive nature of the business. But I can tell you, this was a little delayed response. I mean we we re really hoping this response to come a few quarters prior. So this is not actually surprising, but it is just delayed. So of course, as customers were evaluating big accounts for testing, trials, all validations, that took a large portion of this time.
But now that, as I said, you can see our export growth picking up. Earlier, we were predominantly India import substitute. We were only trying to cater majorly to Indian market. So we were roughly 80% India, 20% export. Today, we stand at 50% export in sel ect products . So our exports have picked up dramatically.
And I think over the period, our expensive grades of HALS are also being -- I mean, we have been able to also start selling those on larger scale. And hence, we are also now in the process of debot tlenecking and also putting more capex wherever needed to get into backward integration of these products.
Sanjesh Jain: I thought we were significantly backward integrated.
Siddharth Sikchi: Yes, actually, we are. But then there are some of the key interm ediates, which typically not all HALS producers make. But we have found that it would further strengthen our positions, and we are getting into those intermediates as well.
Sanjesh Jain: Got it. Got it. What was the HALS volume because we were looking at l ike 250 metric tonnes per month?
Siddharth Sikchi: I think , overall , we did about over 1,000 -plus tonnes for the quarter.

Sanjesh Jain: In this quarter?
Siddharth Sikchi: Yes, yes.
Sanjesh Jain: And as you said, when you say export, which are the geographies where we are seeing a... ?
Siddharth Sikchi: Majorly Europe, Middle East, and of course, United States. So there are still untapped regions now where we are exploring, like majorly Southeast Asia, LatAm. So these are some markets which now we want to explore.
Sanjesh Jain: Just one question here. For HALS, we use acetone and acetone as a commodity has seen a very sharp increase in prices.
Siddharth Sikchi: Absolute sharp increase. And same is the case with ammonia because light stabilizers are amine -based, and so is the case with ammonia.
Sanjesh Jain: So how should we see the pricing competitiveness for us and the ability to pass on in the market, considering that we are a new kid on the block?
Siddharth Sikchi: See, I can tell you you have see n quarter 3, we were EBITDA neutral. In quarter 4, we made an EBITDA of INR 8 crores despite all prices shooting up in the month of March. So more or less, we are now quite competitive. We are able to pass pric

es at some point, not 100%. But I think with t he efficiencies which we have picked up and as the volumes grow, all these in combination will help us in this financial year. And we are very hopeful that HALS will be a good -- I mean, a good business decision for us.
Sanjesh Jain: Got it. Just one final question before I join back in the queue. How should we look -- so last year was a flattish year fo r us? How do we envisage FY27 panning out for us with HALS finding traction, inflation being in the business? How should we see the EBITDA and revenue growt h in FY27?
Siddharth Sikchi: We are waiting for this Chinese summit to end, then this Russia summit to end to understand where the world stands in terms of crude oil, what is our supply positions in terms of crude oil. We are so dependent on macro that it is very difficult to really tell you how do we see this financial y ear. This is going to be a very tricky financial year for chemical industry in my view.
Sanjesh Jain: But generally, I thought inflation is a good scenario to be than the deflation.
Siddhar th Sikchi: It is very good, but it has to be across the world. It does not work when price differentiation exists -- if China gets better crude oil position from some part of the geography and we don't get in India, then there will always be a price arbitr age between the Chinese producers for commodity versus us. This is the major hitch which spoils the party. I hope you are able to understand.

Sanjesh Jain: No, no, I got your point. But have we seen that happening in last 1, 1.5 months?
Siddharth Sikchi: I can tell you, we bought majority of phenol and acetone from China, which was never the case in last many years.

Sanjesh Jain: There was a significant pricing differential in India available...

Siddharth Sikchi: Yes.

Sanjesh Jain: Versus China?

Siddharth Sikchi: Absolutely, absolutely. And the delta -- in commodity chemicals, the delta is not too high, but this time, the arbitrage was very high. So I mean just to give you a correlation so quickly, the prices in China are so -- I mean, quite better for these commodities that we were able to import into India and still be competitive against the guys who are just few hundred kilometers away from us.

Sanjesh Jain: Got it. But has that reduced over time or you still see that scenario persist in India?

Siddharth Sikchi: At least in June, I can tell you they are more competitive.

Moderator: Next question is from the line of Ankur from Axis.

Ankur: First question, continuing with HALS there. So given that we have seen good traction in the export markets her e, would it be fair to say that Q4 should be a base case revenue here for us and incrementally things should only improve? And second -- yes, and this will also -- is there a significant benefit that we are seeing from the distribution tie -up that we had d one? Or is it the older ones wherein you were doing direct touch with the customers and those have sort of converted?

Siddharth Sikchi: Ankur, it's always a combination, right, in the sales, larger accounts, direct accounts, distribution channel. Even when distributions are now increasing, I mean, they started with small volumes. Now their confidence have picked up. They are now able to maintain more safety stocks, supply more to the customers. So it's a combination of both, right? But in totality, we are n ow known as a good supplier of HALS, both not just India, but also global player. And now we are also seeing a lot of inbound interest coming from customers. So it's a good thing for us, I think.

Ankur: Sure. And given the traction now, your earlier guidan ce of, let's say, optimal utilization in 3 years, that stands or probably we can look at -- we will be looking at increasing capacity in HALS further to capture the opportunity?

Siddharth Sikchi: I think whe

n we try and increase capacity, we have a little longer term view because increasing capacities in chemical businesses do not happen in a few weeks. It typically takes couple of months, sometimes a larger period when you have to debottleneck in a running plant. So with

all these view, we have started to understand that there will be a phase where we will run out of these capacities.

And hence, we have already started looking at debottlenecking or getting backward integrated in some of our products, which I mentioned during the start of the call. So with all this, we feel or I personally believe this can be a good traction for the company in the coming years.

Ankur: Okay. Fair enough. From the other capex that we were doing, you did highlight pushback in the water treatment product, the Performance 2 part, to September there, right? If you can help the timelines of capex and if at all with the current volatility, there is any c hange in revenue time lines, et cetera, that will be helpful?

Siddharth Sikchi: So I think typically, validation Q3, commercial production -- I mean, commercial, some business Q4 and then pick up FY28. So it's a standard process.

Ankur: Sure. This is for the Performance 2. The HQ catechol, you mentioned 1, 2 quarters will take for the product validation?

Siddharth Sikchi: Yes. So that has started in some of the accounts. I mean, I'm sure you've seen some exports also happening. We are already supplying within India markets. Plus we are fulfilling all our captive needs by our own in -house production. But we are still not at the point where we want to be. So I think -- I mean, in chemical plant, it takes some time. Probably 2 more quarter will take to completely optimize and be running at the full -scale capacities, which we were looking f or.

Ankur: Fair enough. And the last one, the pharma one, that plant already got commissioned, right?

Siddharth Sikchi: No, the pharma, we have already refurbished. We realized there is too many issues which we did not anticipate. And fortunately, we were able to refurbish those plants very quickly to make the HALS intermediates where we were dependent on just some Chinese sources. So all those refurbishments will happen in the next couple of months and those plants -- and those are better return to us rath er than keeping that pharma intermediate.

Ankur: Okay. So as a product, that intermediate is no longer there on the...

Siddharth Sikchi: No, we dropped it.

Ankur: Fair enough. Lastly, we have also been working on other products across performance as well as on the pharma side. Any updates there? Any breakthrough there? And just one more addition there. From a global competition perspective, not only India, any thoughts there? Anyone sort of being looked as a competition or a threat to our business or growth there?

Siddharth Sikchi: No, I think whatever we are looking at, I mean, we are still pursuing those opportunities. And of course, like we mentioned right now that I mentioned, this 2020, which we developed a

completely in -house technology, that will be a greater addition to our HALS and also already been validated with some customers in Europe where supplies have begun.
We want to scale up these capacities and also now trying to get into higher grade of HALS. So I think a lot of focus is now put on those businesses where we see the offtake being quicker and also the TAM being far larger than some of the other products which we were pursuing in the past.
Ankur: Sure. And on the competition bit, any comments?
Siddharth Sikchi: In which business?
Ankur: In the MEHQ, BHA business, both in India or even from the global players, if at all?
Siddharth Sikchi: See, India, I mean, you know the players who are there, but we are not seeing yet. So

I will not
comment too much. There could be some competition within Chi na, and we are well placed to compete with them.
Moderator: Next question is from the line of Arun Prasath from Avendus Spark.
Arun Prasath: My question is on the MEHQ. So because of the excess HQ capacity last at least 3, 4 months, we were anticipating th ere will be -- we need to compete really hard in terms of pricing. So is that part behind us or we are still seeing too much of HQ being in China at least diverted towards MEHQ production and keeping us in toes?
Siddharth Sikchi: See, we are still trying t o keep our market share. And if you see, that is still happening. So wherever needed, we are working on pricing, tech and whatever is needed to keep our market share.
Arun Prasath: Okay. So these HQ capacities were originally put up for manufacturing MEHQ or something else? And that something else is not happening that's why this HQ is diverted towards MEHQ? How is this happening in general?
Siddharth Sikchi: Hydroquinone in itself is a very, very large product. It itself is used as multi -fold application. MEHQ is just the smallest item out of that. So hydroquinone is never made to -- I mean, hydroquinone is not produced to make MEHQ. Hydroquinone itself has a lot of usage. Like for instance, we have started hydroquinone now, but we are not maki ng anything getting into MEHQ.
Arun Prasath: Right. So what prompted these Chinese players to actually -- I mean, allocate HQ for MEHQ production in the first place?
Siddharth Sikchi: Only if we can understand Chinese and their pricing ways, I mean, life w ould be so easier, Arun.

Arun Prasath: Okay. So that uncertainty still remains largely in the MEHQ business. Is that the right understanding?
Siddharth Sikchi: I don't know if it's the right answer, but it says that, as I said, whatever is needed to maintain the market share, we are doing. And I think you have seen that the revenues are not dropping anymore, but it is on a flattish basis. So we have been able to, I mean, keep our market share intact.
Arun Prasath: Right. Can you just highlight what is our volume growth in MEHQ during FY26?
Siddharth Sikchi: We don't give all these product by product math, Arun, you are aware of it.
Arun Prasath: All right. But largely, when we say we have maintained the market share and MEHQ as a category also grows at a certain level, there will be some positive growth. That is a fair understanding?
Siddharth Sikchi: Yes.
Arun Prasath: Understood. Second, though we are saying that we have maintained the market share in MEHQ by taking the appropriate pricing actions, at least on a gross margin level, we are seeing -- not seeing this happening. Is it because as a percentage, it is not giving the right picture because we have maintained the gross margin almost at 65 to 67 percentage in the stand -alone business. So what is happening on this point?
Pratik Bora: Arun, in stand -alone the gross margins have improved. For this quarter, the RMC is 33%, which is better compared to the previous quarters by at least 2%. So the gross margins...
Arun Prasath: That's the point. We have maintained the market share by responding to the competition, but still in -- at least in percentage terms, the gross margin has increased. So I'm trying to understand what we are missing here. Is it the mix or is it the rupee...
Siddharth Sikchi: No, no, it's a good thing, right?

Pratik Bora: But it's a product mix, which is driving a better gross margin. On a sequential basis, whatever growth we have seen of 7%, 8%, that is largely volume led. And in that too, if you go to Level 2 detail, which is these f lagship products have contributed more compared to the last quarter. So in fact, we have seen a rebound in volume in the flagship products, which is leading to not only increase in reven

ue, but also better gross margins.
Arun Prasath: All right. Any one-off because of, say, rupee depreciation or say, inventory -related gain in this?
Pratik Bora: No, no, there is no one -off. Not in the gross margin. But yes, below line items, we have already explained about this performance bonus thing. Apart from that, there is no one -off in this.

Arun Prasath: Understood. And secondly, on our Performance Chemical 1, we said we will take around a couple of quarters to optimize. But usually, volumes are at least firm here. Optimization will probably help us in achieving better yields and margins. But do we have visibility on the volume placement for our capacity?
Siddharth Sikchi: We have already started selling hydroquinone catechol both in India and abroad. The product quality, which is coming out is at par with the wor ld's, I mean, competition quality. So quality is not a concern. However, we need to keep improvising our processes, meaning the efficiency, the norms, they have to keep improving .
So when you start a plant, the norms are not as we had expected. So the opti mization keeps happening, but the production has started. The volume are accruing on a daily basis. We are already selling these products. But what we would love is to get that norms, perfectioning that norms, what is happening, and that is what we are try ing to establish over the next 1 or 2 quarters. That's what I wanted to highlight.
Arun Prasath: No, understood, Siddharth. Just what I'm trying to understand is if our utilization levels reach certain threshold so that we can actually breakeven within the se 2 quarters or you will increase the utilization only after achieving certain optimized yield levels?
Siddharth Sikchi: Yes. Yes, you are right.
Arun Prasath: So we will -- so our utilization level is still at a very low level at this point?
Siddharth Si kchi: Very low. It's quite low compared to what we -- yes, it is less than -- it is 10%, 15% -odd right now. And we want to ramp up. Every quarter -on-quarter, you will see the ramp -up happening.
Arun Prasath: Okay. If we have volume placement and sales visi bility, why not operate at a higher level? And then later on, we can do minor optimization because at any point of time, absolute revenue and absolute EBITDA is better, right?
Siddharth Sikchi: Arun, let us do what we want to do and we understand our busin ess.
Arun Prasath: No, no. I just wanted to usually the...
Siddharth Sikchi: I know, I know. Usually what happens, we understand, but let us do what we are doing.
Arun Prasath: Got it. Got it. And finally, on HALS, this -- we said that we have converted ou r DHDT facility into HALS intermediate. Does it give you the better edge over, say, at least Chinese players?
Siddharth Sikchi: 100%, otherwise what would be the point on doing all this ? And even in that same line also, we will be adding this 2020 capacity.

Arun Prasath: Right. And then this quarter's EBITDA margin in the subsidiary, 15%. I'm sure there will be some cost associated with the HQ catechol also into this. So if not for this, what kind of...
Siddharth Sikchi: Not to o big.
Arun Prasath: Okay. And this -- sequentially, the margin expansion in the subsidiary from 1% to 3% because of the -- anything is because of the pricing because I'm sure you would have passed on the better pricing... ?
Siddharth Sikchi: No, no, ramping up will start happening. Fixed cost will get distributed. And plus, the higher value -added products, see primarily, we were -- until last year, we were still selling the basic HALS product. Now the highe r grade of HALS has started picking up. So the favorable mix, if you read my transcript, I mentioned that the favorable product mix is now rolling out what we wanted. So all thi

s will start -- you'll start seeing will help us in margin expansion.
Arun Pras ath: What is our exit utilization in HAS in March, Siddharth?
Pratik Bora: March was almost around 40%, Arun. Stand -alone March quarter .
Arun Prasath: How much percent, sorry?
Pratik Bora: 40%.

Arun Prasath: And you said that you have better mix and what w ill be the blended realization?
Pratik Bora: Blended realization per kg is around INR 460.
Arun Prasath: Which was around probably 8% to 10% higher than on a sequential basis?
Pratik Bora: No, no. Last quarter, it was in the range of INR 420, INR 430.
Arun Prasath: Okay. And then eventually, our plan to reach $7 to $7.5 per kg of blended realization. That is still we are aspiring to?
Siddharth Sikchi: Yes, absolutely. We are aspiring to do that.
Moderator: Next question is from the line of Shreyans Jain from Sjain Capital.
Shreyans Jain : So I have a few questions. Sir, first, with new players entering the anisole, MEHQ, BHA with large capacity and they have started filling up.
Siddharth Sikchi: Who?

Shreyans Jain: Companies like Vinati Organics and Gem Aromatics. How do you see the demand and supply scenario over there? And can there be an oversupply? And can prices come down and hit our margins?
Siddharth Sikchi: See, we cannot comment on the competition, bu t so far, we are very well secured.
Shreyans Jain : Okay, sir. And just wanted to know about the stand -alone market size of anisole in India and globally?
Siddharth Sikchi: Anisole market in India and globally, we are the largest producer and we are the lar gest consumer.
Shreyans Jain : Okay, sir. And I'm new to the company. So I have a question like why China is producing MEHQ from HQ? And why they are not developing vapor phase technology which will get better realization and also do better ESG compliance?
Pratik Bora: Shreyans , just in interest of the other participants who have joined the call, we can connect offline for these questions because these are primary level questions.
Moderator: Next question is from the line of Omkar Dandekar from 3A Capital Se rvices.
Omkar Dandekar: My question is on the -- who are the players globally and India who has developed vapor phase technology currently. I think Gem Aromatics and Vinati also have this same technology. Any other players?
Siddharth Sikchi: I think you know better. These are the 2 we heard . I don't know any third one. In India, we don't have.
Omkar Dandekar: Globally?
Siddharth Sikchi: Globally for which product? Anisole?
Omkar Dandekar: Vapor phase technology.
Siddharth Sikchi: Vapor phase t echnology. Whom you said in India has developed?
Omkar Dandekar: Gem Aromatics and Vinati Organics.
Siddharth Sikchi: Okay, okay.
Pratik Bora: Omkar, we can't confirm for other companies. It's only in our case we can confirm that vapor phase route has been used for manufacturing anisole. For other companies, we are not the right ones to confirm.

Omkar Dandekar: Okay. One more question I have. Do we face any competition from China in anisole? And how is the demand and supply scenario in anisole?
Pratik Bora: Anisole we use largely for the captive purpose. Competition from China does not impact us on the sales part. Anisole global market could be in the range of 25 ,000-odd tonnes.
Omkar Dandekar: And one question is on a global player, Solvay. They are selling their aroma business, which in -house anisole, MEHQ, guaiacol, BHA. They are losing the market share in this product from last 3 to 4 years. So this is the reason Indian players entering this market to take market share?
Siddharth Sikchi: But if the y have already lost then somebody has already gained also.
Omkar Dandekar: Yes. So this is the reason like Indian

players are entering?
Siddharth Sikchi: Indian players, I don't know if they are entering, but they believe looking at our margins that they c an also replicate this. That is why Indians enter in other businesses. There is no other real reason for it.
Moderator: Next question is from the line of Abhijit from Kotak Securities.
Abhijit: Congratulations on significantly improved results. Just a few basic data point related questions for me. I'll keep it brief. That revenue salience of the top products, would it be possible to share how much it was this quarter? And second thing also the breakdown by geography. We used to

give that in the presentation .
Pratik Bora: Abhijit, we have realized that these are fairly sensitive data points from competition perspective. And that's why we have taken a conscious call not to share that level details.
Abhijit: Fair enough. Fair enough. The revenue -- sorry, the r evenue breakdown in terms of volumes versus prices for this quarter gone by?
Pratik Bora: So sequentially, whatever growth we have seen around 8%, that is largely volume led. And I'm talking only from a stand -alone perspective, at consol level, of course, because of HALS, the growth is more volume led.
Abhijit: Okay. And the INR200 crores capex that you're investing in Clean Fino-Chem , any further color you might be able to share with us on that in terms of capacity or revenue potential or products or thing s like -- anything that would be possible to share?
Pratik Bora: This INR200 crores, this is an enabling resolution which we have taken from the Board. There are certain projects in the pipeline. We may also plan to undertake a greenfield capex . We are in the initial stages, but this is an enabling resolution. We have a road map, but we don't want to put out at this stage. It's more like work in progress stage.

Abhijit: So will there be any investments in fiscal '27 on this front or is that a bit later on?
Pratik Bora: No, it could be in the later half of FY27.
Abhijit: Okay. Just a capex budget for the upcoming year, what should we work with?
Pratik Bora: It could be in the range of max INR80 crores to INR100 crores.
Abhijit: Understood. And one last th ing from my side, just on this, the performance bonus reversal. So what would the exact amount be that we have reversed out here? And how much would the bonus be for the full year?
Siddharth Sikchi: That is roughly amounting to about INR11-odd crores.
Abhijit: INR11-odd crores reversed. And so the full year bonus will be -- I can take that offline.
Siddharth Sikchi: Yes, I can take it offline.
Moderator: Next question is from the line of Priyank Chhed a from Vallum Capital.
Priyank Chheda: First, Siddharth, if we were to analyze the situation of our industry before this disruption that happened, the prices were trending at 20 -year low and which was the case with the base chemical as well as the end products that we make. Now the position as we stand today, I'm sure the base chemical would have moved, would you be able to quantify in certain or any -- and in broad range that would have been the price hikes or the increase in the prices because of whatever the reason that we would have taken st anding as on date, which should be reflected in the coming quarters?
And to our positioning or our situation where we are, in our industry, would there be certain any disruption which would lead to an advantaged position for us to supply our materials, ma ybe there would be certain other players in Europe who would be facing high cost of raw materials, maybe certain parts of China may be facing some other disruption. So we would be in the position to ramp up our core products other than HALS? I'm not talkin g about HALS, but our stand -alone business.
Pratik Bora: Yes. Priyank, in base products, like at least in the commodit

y, we have seen the prices shoting up 2x in that range. But that's not again a fair benchmark because these are not transactional prices. Second is, there is a more pressure in the European geography, which is leading to some gain in terms of volumes or the end product pricing as well. However, as Siddharth mentioned earlier that China continues to be in a better position compared to the oth er geographies. And there is some arbitrage in terms of the price increases in China versus rest of world .
Priyank Chheda: Got it. But we would not be able to quantify that benefit that we should think of it when it comes to FY27 in terms of stand -alone business. And just wanted your thoughts around what should be

-- after reaching 1,000 tonnes of HALS sales in Q4, what should be that number that we should think of as a target for FY27? And also, I just missed out what should be the utilization that we are planning in HQ catechol for FY27 that we should think of?
Pratik Bora: So Priyank, we don't want to pencil in any price hikes and give guidance as this is a very evolving situation as of now. However, as we have mentioned that in inflationary environment, we stand to benefit. And that has been the case during FY23 as well. For HALS also, progressively quarter -on-quarter, we have seen increase in momentum.
Like 8 quarters back, we were doing around 350, 360 tonnes per quarter. Today, we are doing

over 1,000 tonnes per quarter. So that momentum we see building. And not only momentum, but also the product portfolio. Now the higher grades of HALS have also added to the revenue, and hence, the margins are also seeing better profile quarter -on-quarter.

Priyank Ch heda: One last question on HALS again. The backward integration that we have done or we are planning to do, I'm not sure, I'm confused around it, that DHDT plant or pharma plant which we were having, we have converted into the intermediate which leads to b ackward integration for HALS, right? So that leads to certain benefits in terms of margins for us. What should be a revised state -- steady state optimal utilization level margins that earlier we were guiding for '25, what should be that revised number?

Siddharth Sikchi: No, we are not getting into such numbers. But yes, it will definitely help us improve our margins and supply position. So our dependence on import will dramatically drop.

Priyank Chheda: Okay. Got it. And Siddharth, one last thing, again on HALS, sorry. We read through that a large European player like BASF is expanding HALS capacity in China , NOR HALS. Is there any possibility of we benefitting out of that in terms of contracting large volumes to their front -end products? Is there any such kind of possibility that we should think of it?

Siddharth Sikchi: No, not at the moment.

Priyank Chheda: So the total sales, whatever we have or we would do are the commercial sales not in terms of contract manufacturing, but in terms of final end -to-end sales to the consumers?

Siddharth Sikchi: Yes. Right now, we are focusing on distribution and end -to-end customers.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference back to Mr. Siddharth Sikch i for closing comments. Over to you, sir.

Siddharth Sikchi: So thank you, everybody, for your time to understand the company and for our -- understanding our quarterly and '26 numbers. I appreciate your time. Thank you so much. Have a good one.

Moderator: Thank you very much. On behalf of Clean Science and Technology Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Siddharth Sikchi: Thank you.